

PI Industries Ltd. (PIIND)

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■ Mr. Mayank Singhal, Executive Vice Chairman and Managing Director

- Mr. Rajnish Sarna, Joint Managing Director
- Mr. Manikantan Viswanathan, Chief Financial Officer
- Mr. Prashant Hegde, CEO (Domestic) and
- Mr. Atul Gupta, CEO (Exports)

We will begin the call with key perspectives from Mr. Singhal. Thereafter, we will have Mr. Manikantan sharing his views on the financial performance of the Company. After that, the forum will be open for question -and-answer session.

Before we begin, I would like to underline, certain statements that may be made on today's conference call could be forward -looking in nature, and a disclaimer to this effect has been included in the investor presentation, which has been shared with you earlier and also available on stock exchange website s.

I would now like to invite Mr. Singhal to share his perspectives with you. Thank you, and over to you, sir.

Mayank Singhal: Welcome, everyone, and thank you for your participation today. The macro environment continues to remain challenging, after resurgence of COVID - 19 cases in many parts of the world, high inflation, sustained rise in input costs, uncertainties around availability of critical inputs, currencies fluctuations, etc.

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The food security for a growing global population at affordable price continues to be under threat owing to climate change, impact of the ongoing war, particularly, when the arable land is also shrinking. Therefore, the need for assured yields and higher farm productivity per acre is only growing, making the role of agri-inputs and crop - protection very critical.

Against this backdrop of the operating environment, I'm happy to report that we have delivered yet another strong performance in Q1 FY23. The expansion came in despite the challenging environment and high base of last year in CSM exports. While the overall growth was mainly led by volume scale -up, the price correction on account of increased costs and favorable product mix, currencies, etc., have also contributed to the growth. I once again thank all the PI team members for their customer centricity and our business partners ' continued support and trust in our relationships.

Traction in new inquiries in CSM exports continued with significant number coming from the non -AgChem space. There's a good buildup of rich pipeline of more than 40 products at different development stages out of which a substantial number are non -AgChem products. We're targeting to commercialize 7 new molecules during the current fiscal year and 1 has already been commercialised in Q1.

Delayed onset of the monsoon, late pickup in the sowing of the key crops is reflected in the growth of the domestic revenues which did not witness much of volume uptick, although, we benefited from favorable product mix. During the quarter, we successfully launched new herbicide, PROVIDE and an insecticide DINOACE for cotton and a combination fungicide SECTIN for horticulture. We are systematically rolling out crop solutions approach and already offer one of the most comprehensive portfolios for key crops.

We are now augmenting our portfolio in biologicals with a strong pipeline in place. We are excited about the whole slew of products coming shortly. BROFREYA, a new generation broad spectrum insecticide and ULTIMARE, a long duration insecticide in the JIVAGRO portfolio as part of our dual growth engine focusing on horticulture. In addition to crop solutions approach , we continue to leverage our deep market penetration and engagement with over 3 million farmers through digitization and farm application services. Our constant endeavor is to help farmers improve productivity through one -stop-shop eco -friendly solutions and services. We are building a greener and more sustainable tomorrow. We strive to develop

transformational solutions by harnessing advanced technologies and chemistries.

Last but not least, we are investing to create digital growth platform through an integrated approach and programs. We are not just deploying state-of-the-art modules of ERP and analytical tools but aiming to create a long-term sustainable digital edge. The work we have undertaken to scale our presence in next generation technology and advanced chemistries will set us apart within the industry.

Our business outlook remains robust and we are confident of delivering 20% plus revenue growth in FY23 with continued improvement in margin and returns. Manufacturing activities remain impacted by inflationary trends, triggered by rising energy costs and supply chain interruptions. We have always aimed to optimize performance by way of improving product mix, better productivity and efficiencies.

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Diversification into adjacencies through an inorganic route remain our top agenda apart from technology scale-ups. We are actively evaluating various opportunities both in India and globally to zero down on a few that could meet the objective to create sustainable and differentiated value proposition. We are proud of our industry and customer accolades. As announced earlier, PI was conferred Corpo

rate Award 2022 for outstanding performance by Dun & Bradstreet. We also won the Golden Peacock Quality Award showing a commitment to excellence and high quality.

Let me now thank all the stakeholders for their contribution, and I would like to hand over to Manikantan to take you over the financial performance, and we look forward to a good year ahead. Thank you.

Manikantan Viswanathan: Thank you, Mr. Singhal. Good afternoon, everyone, and thank you all for joining us on the call today. I'll be summarizing the financial highlights for the Company for the first quarter ended 30 June, 2022. Please note that all these comparisons are on a year-on-year basis and refer to the consolidated performance.

During Q1 FY23, we recorded a revenue of INR 15,432 million, a growth of 29% over the same period of last year. This was driven by growth in exports revenue by 42% to INR 11,421 million and 4% increase in domestic revenue to INR 4,011 million.

The exports revenues growth of 42% was driven by volume growth of around 30%, coupled with favorable price and currency of around 12%. Domestic revenue growth was mainly driven by price.

The trend of elevated input cost continued during the quarter, although we effected partial pass-through by increasing product prices both in exports as well as in domestic.

Our gross margin increased by 8 basis points in Q1 to 44%, partially due to cost pass-through and favorable product mix which negated impact of rising input costs.

EBITDA increased by 39% to record INR 3,495 million for the quarter, driven by efficient supply chain management, operational efficiencies and tight control on fixed overheads.

Profit after tax increased by 40% to INR 2,624 million.

Net cash flow from operating activities during Q1 FY23 was INR 1,915 million.

Our balance sheet further strengthened during the quarter. Net worth increased to INR 63,497 million. Total capex for Q1 stood at INR 506 million.

For this year, we estimate a capex of around INR 5,000 million.

Inventory levels increased by INR 1,523 million compared to previous quarter due to our supply chain disruption and to meet customer supply schedule s and continued operation s. Trade working capital in terms of days of sales has remained relatively flat at 102 days versus 103 days as on March 31, 2022.

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The Company maintained a strong liquidity position with surplus cash net of ECB of INR 23,116 million, including QIP proceeds .

That concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: The first question is from the line of Aditya Jhawar from Investec Capital.

Aditya Jhawar: Congrats on a great set of numbers. My first question is that, Mayank, your commentary was very upbeat on the growth prospects. So just if you can help us understand that, what are the factors that are driving this strong visibility. And what implication it has on our organic capex plans?

Rajnish Sarna: Thanks, Aditya. The key factors driving this growth are : one is the volume scale up of some of our existing CSM exports products. The other factor is, of course, that the pace of launching these new molecules has picked up during last couple of quarters. And obviously, these new products are also scaling up as demand is picking up in different geographies. In general, the demand upbeat is there from these global customers, which is certainly helping the uptick in the growth and demand of the CSM exports. This is certainly also kind of reflecting in our efforts in terms of capacity optimization as well as enhancement. On the optimization front, in last few quarters, we have been already updating the commentary that we are putting in lot of efforts in terms of increasing the throughput, efficiencies. Last year, we improved by close to 15% or so. This year, that effort has continued. So t

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is helping in terms of utilizations . In addition, given the significantly better visibility, we have already, in the recent Board meeting decided to increase our capex plan. And we are now considering close to INR 600 crore to INR 650-odd crore of investment in the current financial year.

Aditya Jhawar: Okay. Sir, my second question is on this acquisition that we have been talking about it. Any areas that you have shortlisted? And in the past, you have also indicated that the geographies can be overseas. So if you are looking for overseas, what kind of asset it could be, in the sense that, will it have a manufacturing base overseas? So any update on the acquisition area?

Rajnish Sarna: Yes. You can appreciate that in M&A these are lengthy processes. We have screened, evaluated several opportunities . And now we are zeroing down on certain opportunities, both in India as well as outside India and actively evaluating them. But yes, this process takes its own time, but we are very actively working in the direction that we have set for ourselves.

Aditya Jhawar: If it is the overseas, would it mean that it should have manufacturing facilities in overseas geographies?

Rajnish Sarna: Yes. Okay, so in terms of what we are looking at, obviously, we are looking at a good set of products, regulatory -approved sites, portfolio of good set of customers. Obviously, I mean these are the things that we are looking at within each of these opportunities and, of course, the pipeline of products, and what kind of synergy and leveraging we can achieve by combining our organic efforts that we are already making inside PI and combining with these potential entities.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations for a good set of numbers. Continuing on the CSM side, you did allude towards elevated capex. And earlier in the call, we had mentioned the tech-led initiatives, which will increase our asset turns here. So are the full benefits behind us? Or there could be decent uptick further here over the next, let's say, 1 to 2 years?

Rajnish Sarna: We are still, I mean, working on many of these initiatives. Some are realised, some still in the process, which we are expecting to realize in the coming years, also in the second half of current year. So yes, and there are multiple initiatives we have taken in terms of increasing the throughput of our existing plants. And we are still to realise some of these benefits.

Ankur Periwal: Sure. And, secondly, in the PPT, we do mention around 7 products to be commercialized this financial year in the CSM space. If you could broadly highlight in terms of what could be the size, potential, whether these are existing customers that we are launching, against whom we are launching this or there is addition of newer customers or geographies as well?

Mayank Singhal: Yes, obviously, as we work with almost all the global innovators, so there will be some business from the existing customers. There are few in the non-AgChem space, but they are in the early stages. I believe they are interwoven with various opportunities as we introduce new generation of products, each of which will have its own plan and structure to emerge over the course of three to five years. But obviously, these are decent-sized opportunities which we're excited about. That's how I would like to put it for now.

Rajnish Sarna: Which is also, Ankur, even in the initial screening, all aspects are thoroughly assessed as to what is their future potential, what kind of size, what kind of scale that these products are projected to grow globally. And only then, once they meet our desired expectation, then we really take them forward in the next phase. So yes, I mean, these aspects are assessed during the initial screening itself.

Ankur Periwal: Sure

. Just a follow-up here. So does that mean, our earlier guidance was around 20-odd percent growth on the CSM side and given the increase in capex and your positive commentary, any revised thoughts there?

Rajnish Sarna: Yes. So last time, we had indicated 18% to 20%. But I mean, given the current rate and also the visibility, we are certainly expecting to do better. It should be certainly 20% plus. But at the same time, I must also caution that, in fact, we all should be cautioned of the current global scenario that we have. Every day, we hear different news, whether it is about the war-related uncertainties or COVID-related uncertainties. So we always want to be very cautious in our commentary that while we see good opportunities of exceeding our guidelines, but we are cautious. And therefore, we are very cautiously indicating on 20%-plus kind of growth rate.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Congrats on a good set of numbers. First question is, we've been saying that we are building manufacturing capabilities for electronic chemicals. So where are we currently? And when do we expect any commercialization of products from this particular segment?

Rajnish Sarna: In fact, as we reported last time that we already commercialized a couple of products last year. This year also, we are scaling them up. In terms of

building capacity, again, we are working on that project. Maybe I request Atul to briefly give some commentary on that.

Atul Gupta: Yes. We are expanding the capacity for electronic chemicals, the commercial scale as well as at the pilot scale and there are good amount of molecules in pipeline. And as Mr. Sarna said that, last year we did scale up

the molecules towards commercial scale. And we do have plans for a couple of molecules to scale up in this year as well.

Rohit Nagraj: Any potential for the commercialized molecules in terms of size of the opportunity that we are targeting?

Rajnish Sarna: Well, we generally do not talk about size and values and volumes at product specific level.

Rohit Nagraj: Sure. Second question is, we've also mentioned that we have successfully developed and operationalized Azide chemistry. So is it for a particular user segment apart from the agro and pharma space?

Rajnish Sarna: So yes, I mean, like technologies, when we are talking, these are across multiple verticals. Some of them are engineering technology, some of them in chemistries and their usage and applications is across verticals. Like today, we are also getting a lot of traction in our specialty chemical segment like electronics and various other specialty chemical segments. So there also, we are able to use these technologies in the scale-up and achieving the desired efficiencies and all.

Moderator: The next question is from the line of Surya Patra from Phillip Capital.

Surya Patra: Congratulations for the great set of numbers. My first question is on the prevailing situation in the European market. There are indications from bigger agri players that there could be stoppage of production and all that because of the gas concern and all. So how should one really think that is an opportunity or is a risk for us?

Rajnish Sarna: Well, I mean, as far as our sourcing is concerned, I mean, we are not so much dependent on raw material sourcing from Europe. So to that extent, I mean, it's not any way impacting our productions and our operations. But many a times, it is very difficult to anticipate and also estimate the far-reaching impact of this. Yes, you are right that we also hear sometimes some commentaries around some of these large chemical companies' set-ups getting impacted because of gas availability. Now these are very large chemical companies and set-ups they have. What kind of linkage to the downstream and upstream, material producers,

raw material producers, it is very difficult to estimate. But directly, there is no kind of impact as such that some of the products that we are importing from Europe and that may get impacted, that is not the kind of scenario that we see. In terms of opportunities, while, yes, in general, there are certainly good opportunities for the other geographies, particularly in specialty chemicals. But as we have always commented that the kind of business model that we operate, we do not work on spot opportunities kind of a model. We engage with our customers in early-stage molecules and this whole process is a very time consuming couple of years process, and we identify opportunities, we screen them according to our principles and then we engage if we are able to add certain values. So these ad hoc opportunities, in any case, they generally do not fit in our scheme of things, to say it in short, but yes, in general, there are opportunities for the industry.

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Surya Patra: Okay. So for example, for agro, let's say, we have been talking about even the electronic space or electronic chemicals or the fine chemical space, which we have already launched few products. And we are also seeing there is a kind of a rise in the customer inquiries. And the current trend is also talking about larger outsourcing opportunities for players in India. So given that, have you seen any meaningful change to your order book position from the non-agro base?

Rajnish Sarna: Well, non-agchem products, as we explained, I mean, obviously, there is good traction both in the R&D scale as well as at commercialization. In last few years, we have commercialized several products. But at commercialization, in the initial years, the volumes and values are not very

significant. And in any case, in these verticals, we are kind of at the stage where we are building our rapport with these large global customers in the non-AgChem space and then getting into more strategic and larger products. And at some stage, then we will get into maybe a longer-term understanding for these strategic products. So in short, they do not have a meaningful representation in the order book today, but the way we are progressing, we are certainly expecting this to become a reasonable sized businesses and components in our overall order book in years to come.

Surya Patra: Sure, just one clarification. See, this quarter we have seen strong pricing scenario for our product segment and the industry pricing scenario is also like really robust. So 12% what we have indicated for us. So given that, and the outlook also indicates that most likely, this is a kind of a pricing scenario likely to prevail in the near future, given the elevated cost. So is it fair to believe that the guidance what we have given, let's say, 20%, considering the volume growth, what we have seen in the first quarter and this pricing scenario, which is likely to prevail, it is a very conservative number.

Rajnish Sarna: That's your perspective. And I think I already explained to the earlier participant that, yes, I mean, there is good visibility. We are also seeing good traction. And therefore, from 18% to 20%, we are already indicating 20% plus kind of growth. But at the same time, we all have to be mindful of the uncertainties that the world is facing. So I'll not say conservative, but yes, this is a very cautious guideline. And we are always, as a Company, we are happy to deliver better than what we guide.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: The first question, if we look at our journey over last 3 to 5 years in terms of the customer relationships, depth of it, diversity of it, usually it is branches of chemistry, our strength there, new product introduction and deepening and widening the moats, and of course, people and R&D capabilities.

So a number of important strides have been made. If you have to think about what PI would look like 5 years down the line on each of these parameters, and therefore, it will have implication on the growth of the firm. The customer centricity and the relationships and the depth and the width of it, products, technology, engineering, chemistry, various segments with pharmaceutical or specialty and, of course, agrochem, where do you think what PI would look like, not happening of it, will you be dissatisfied, and attaining which PI would feel justifiably proud of what it has done?

Mayank Singhal: I think that's a very good question. It is actually putting out together what is the purpose for which PI would exist 5 years from now. We as a leadership

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team, whatever we do, we have put ourselves this whole purpose of reimagining a healthier planet. Yes, reimagining a healthier planet means I think that's going to be the key, whether the environment helps and what are the key drivers that we see. And we really want to use the enabler as the science and technology to do it. And to enable to do that, we are looking at what we call the partnership model because in today's world, innovations in science and technology is going to take you to that level, look at any sector. And how we're going to do that is taking science at work and building partnerships to do that because we don't believe that's solo initiative, if you're alone, you don't do anything. You need to partner up. And could that be driven by the people first approach, that depends on the learning and growth capabilities, obviously supported with strong capability in digital backed by what we call the ESG framework, which is a way of life at PI. Now once you start moving in these directions, these become the anchor of the areas of our expertise, which have been leveraged in different categories and segments of the business, whether it's in the area of agri-chemistry, pharma, or fine chemicals, eventually becoming a smart life science industry, which is backed with strong creativity, with courageous capability to innovate with a curious mindset to deliver with a care to the climate and human beings. That's really how I would like to say that 5 years from now, we would see PI.

And all these factors stack together to create an innovative -led organization. So clearly, we would like to see PI be re-coined as a Company known, P stand for Passion, I stand for Innovation.

Bharat Shah: And what would you think is the later part of the question, what would you think, therefore, apart from the qualitative dimension of this journey, what it would mean for in quantitative terms for PI, say, 5 years down the line, achieving which, it will be a moment of pride and not being able to fulfill that would leave a tinge of regret.

Mayank Singhal: See, as history talks, we've continued to show growth and we do believe without growth, there is no life, but now it's also becoming important, as I made in the earlier part of my statement, we continue to grow that journey and to be always above the mark, if you have to achieve what we said. With qualitative initiatives, quantitative growth should be far above what we've been able to do. So based on these various attributes which I put out to you, so that when added together, should give us the exceptional growth compared to the competitive landscape. That's the way we look at it.

Bharat Shah: And second question, if you make a critical internal evaluation of all the things, customer relationships, product portfolio, technology, chemistry and other allied strength, various brand segments that we need to serve, our people portfolio, intellectual capital, research. If you were to make a critical evaluation as to the way that PI stands today, what will be your candid thoughts on that?

Mayank Singhal: So, let me answer that in a different way

. If you look at the journey for the last decade and when we look at the journey going ahead, obviously, when you climb one peak, you always want to have the aspiration to scale the next higher peak. So the delta is something which we aspire to fill all the time. Each of these stacks have different stages, will have a different width and depth, which needs to be put together to anchor ourselves to the people. And what we do is constantly re-evaluating. And as a leadership team, we look at all these factors which you already mentioned to say, what we need to proactively invest, what we need to strengthen and what we need to change and constantly reinvent ourselves and be adaptable to reaching our objectives. So at different stages and different scales, we're hitting different shared maturity. If you were to talk to me 10 years ago, the innovation was not core idea. Today's innovation is becoming a culture at PI, tomorrow it will be led by innovation. So now for that, the skills, capability, organizational thinking, financial structuring too, delivery structures, to the kind of partners that we need to work with, would evolve. So that's really what I would like to take as an example to answer that question. I hope that answers your question.

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: So can you talk about the recently commercialized products, say, for the last 3 years, its overall revenue mix and growth of these products?

Mayank Singhal: You're looking for revenue mix in the last 3-year products?

Sumant Kumar: Yes, in the CSM segment.

Mayank Singhal: Well, we don't have the numbers upfront, but typically, a freshness index over a 3-year scenario will be about 25% to 30% of the revenue.

Sumant Kumar: Okay. And the growth of this product?

Mayank Singhal: Growth rate, I mean, I don't know the exact growth rate right now. The growth rate is usually higher than what we see with the older products because these are typically new generation products, so they double every year or two.

Rajnish Sarna: And also, the base is small so obviously, in the initial year, their growth rate is higher.

Sumant Kumar: Okay. So let's say for 75% of your business in CSM, what would be the growth? So 75% of your business, where you're talking about 25% is newly commercialized projects in last 3 years. So 75% of the CSM is growing at what rate in last, say, 3-year CAGR or 5-year CAGR?

Rajnish Sarna: I mean, last year, we grew by close to, I think, 21%. Before that, we grew by 30%. And this year, again, we are talking about more than 20%. So yes, I mean, you can say 25%.

Sumant Kumar: Okay. And can you talk, what is the capex and tax rate for FY23?

Manikantan Viswanathan: Yes. Capex for the FY23 guidance is around INR 650 crore.

Sumant Kumar : And tax rate?

Manikantan Viswanathan: Tax rate is very dynamic based on business mix between domestic and CSM , ETR for the year will be 17.5% .

Sumant Kumar: Okay. And the last question for domestic business. Are we seeing recovery in domestic business in the current month?

Prashant Hegde: Look, our growth this year is driven by new products. And the first quarter usually is more of a generic products because it's a placement for 3 months and new product sales will start from second quarter onwards because new products usually we don't place in advance. It is closer to the season and almost 6 new products we are launching in FY23. So the growth will pick up from quarter 2. That is what I can say.

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Moderator: The next question is from the line of Vishnu Kumar from Spark Capital.

Vishnu Kumar: In the past, we have spoken about the agrochem CRAMS as an opportunity not being very big in terms of \$8 billion to \$10 billion, and there could be a time or a point where it could kind of stall

. Given this backdrop, I mean, since you are also talking about a lot of new molecules that are coming in, can we double our agrochem exports or within the CRAMS subset, we think still there's a lot more scope for us to double? Is that a right understanding? Is it possible?

Mayank Singhal: What is the horizon that you think double or triple, I mean, the question is number one, that. And obviously, as you can see, there are 3 headwinds which are becoming headwinds becoming tailwinds. I think you look at the China Plus One factor, you look at the global challenges in manufacturing in the European segments. And we look at the cost at which innovation is happening, leading to looking at return on capital coming from outsourcing. Because of these opportunities, I don't see that challenge, we're looking at a 20% CAGR, we see ourselves over the next 3 years, which is visible. Doubling should not be a challenge over the next 3 to 5 years. Looking at that scenario with new innovation and ideas, it is this opportunity that our pipeline plans can most likely grow at twice the rate of the industry levels. . While the front end is only growing at single-digit, as you would say, the agrochemical industry, but the value chain, which is manufacturing outsourcing has probably gone up at twice the rate.

Rajnish Sarna: And in any case, our size, vis-a-vis the global opportunity is not that big today. So yes, there is certainly scope for growing at a much higher pace. Also the overall market is also growing because of these challenges that we discussed. The share of India as a country is also growing. Besides this, as a Company, as we explained earlier, we are also continuously working on diversification beyond agrochemicals. That is another initiative, keeping in mind, 3 to 5-year scenario ahead of us, that we are working in different areas of specialty chemicals both at R&D and also commercial scale.

Vishnu Kumar: Got it, on the pharma bit, while we are making our best efforts for closing any deal, we understand that, but is there a plan B at some point where you think that there are no suitable suitors for you, so would you probably start considering direct investments where you start things from scratch? Is that a possibility? Or any thoughts on that?

Rajnish Sarna: Well, by the way, that we are already doing for last year, 1.5 years, we are already working organically what we intended in terms of working on certain intermediates in our R&D, certain scale-ups in our pilots. In fact, we commercialized couple of products and supplies last year as well.

Mayank Singhal: Yes. So we have actually started investing in our infrastructure R&D, building team and capabilities, I wish we planned A, B, C. And question is very clear that we need to get into it, finding the right mix while we're developing our own strategies. So yes, but we are looking at this inorganic approach to really bolt up this to a different level. As you would appreciate the buildup and time line, which come in the organic phase, but not with that investment. We are fully conversant with that, and we are still continuing to do that, but priority will build by the inorganic approach and that we are very much on that right now.

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Vishnu Kumar: Got it. And one final question. If you could just help us understand what percentage of our revenues would be from, say, pharma, if you can, and non-pharma, non-agrochemical, anything on the other specialty chemicals as a bucket, if you could give us that split, at least a rough sense?

Mayank Singhal: I would say that's negligible in terms of bigger scale right now. But as we mentioned that we are now putting this full throttle investment, and that could probably be looked at differently, and as another step to this area, we've already put a leadership in place only last month, Mr. Anil Jain has joined in as the Managing

g Director of PI Health Sciences, where he will be leading this whole initiative with his vast experience from operations to leading the API business, last assignment as the CEO of Sun Pharma API business at a global level. We are clearly looking at various optional structures to integrate a synergistic and differentiated solution across the value chain again in the pharma play.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Just a couple of clarifications, minor ones. One is on the tax rate. I'm sorry, I couldn't quite understand the guidance for FY23. Also I just wanted to check that in the past few quarters, the tax rate has been rather on the lower side, 17% to 18% or so. So what is driving this? And sort of what do we see as a more sustainable number over the medium term?

Manikantan Viswanathan: On the tax side, this is driven by the eligibility and the revenues are growing, which you might have seen and our exports are growing. This is where the trigger for getting a more efficient or better tax rate. As we look at the other things, we are looking at around 17.5% to be the effective tax rate during this fiscal. Depends upon the business mix between domestic and exports. This is the first quarter, difficult to adjust but this is where we are.

Abhijit Akella: Okay. Understood. And the other one I just had was on the acquisition. I mean, any rough time lines you could share with us, by when you might expect to get closer to completion of that process?

Rajnish Sarna: Well, we are actively evaluating. And I think you can imagine that it is very difficult to put a time line. But yes, we are very actively evaluating certain shortlisted opportunities.

Moderator: The next question is from the line of Rohan Gupta from Edelweiss.

Rohan Gupta: A couple of questions. First is on our gross block to asset turnover. You have

mentioned that the endeavor of the Company will be to achieve close to 2.2x plus in future. What we want to understand, definitely it must have some lag of close to 2 years to 2.5 years to fully utilize that potential. With your current run rate and you have committed roughly INR 600 crore to INR 650 crore kind of capex for the current year, it means that even at the full potential, it can add close to INR 1,200 crore to INR 1,300 crore in terms of revenues. Just the concern is that going forward, I mean, over the next 2 to 3 years, if we are not able to seal any deal right now or there is some further delays, aren't we future ready? Or isn't there going to be gaps in terms of future growth if we are not fully investing in a capex or greenfield capacities are not being created for the future growth?

Rajnish Sarna: Yes. So good question, Rohan. But we need to actually combine a few answers to get the complete answer, and we are also talking about improving the throughput and efficiencies of our existing plants, as we

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discussed earlier with the earlier participant. And there are good opportunities there and good scope there that we are working towards. The second is this investment that we are talking, which we have decided around, say, INR 650 -odd crore of investment in capacities and expansions. And if you look at the previous 2 years, we've done very aggressive investments, which is also available to pick up the capacities. Yes. And thirdly, that as we are moving forward and the kind of tractions that we are seeing, we can always review this situation on investments in the coming quarters as well.

So therefore, there is no question of staying behind the cycle in terms of investment and miss out on opportunities and all. As a Company, we have always invested ahead of time. And that's what we have seen over, say, last 5 to 10 years, that we have always invested ahead of time, and that's the reason we have been always been able to also catch up

the cycle. And this

is what we are doing today, if you see our growth rate for last 3, 4 years.

Rohan Gupta: Only because when we compare our capex plans compared to some other industry players, they are making an investment up to the tune of close to INR 2,000 crore, so we're still much lower in terms of investment. While we are definitely sitting on a huge pile of cash, still our investment compared to other companies remains muted. So that was a concern that, aren't we going slow on the capex, though, you always mentioned that there is a potential improvement in asset turnover, but that can definitely have some limitations. So that concern was definitely compared to the industry over next 3 years, can we be behind in terms of growth?

Second, in your presentation earlier, you mentioned that there is a surge in new inquiries and product scale-up driving the growth of CSM exports. This is something incremental you are seeing in last 1 year you're experiencing it or it is the old thing which has been going on, and that is driving the growth for the CSM exports?

Rajnish Sarna: Before this, let me also reflect on your earlier point. So when we say INR 650-odd crore CAPEX, this is the investment in organic business and core business. I'm not adding here any kind of close to whatever INR 2,000 crore that we are, in any case, targeting towards this inorganic opportunities and our initiatives in the pharma. So if you sum it up, then it will be more than INR 2,000 crore, isn't it? Now coming to your point on inquiries, yes, there is certainly a surge in inquiries, I would say, last couple of years. This year also that trend has continued. Maybe Atul, you can put some light on it.

Atul Gupta: Yes. So in terms of the enquiries, the trend in the enquiries are showing a very positive trend. And this quarter, we have received good amount of enquiries from both AgChem and non-AgChem space. And there is a good visibility about these inquiries turning in to be good opportunity for us.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Securities.

S Ramesh: So, in terms of the CSM growth, in the last couple of calls, we were given to

understand that you're not laying as much weightage on the order book and the capacity realization as you were before. So in terms of the growth you have achieved this quarter, can you give us some color on how much of that was from the order book? How much of that was from the merchant business for the year? And how much of the new MPP capacity has already been monetized in the current quarter's growth?

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Rajnish Sarna: Well, to be honest, we will not have these numbers in front of us. But yes, significant portion of this business is from the order book, okay, which also will tell you that the fill-up of order book is also continuing. If we are delivering at this pace, 40% growth and delivering this kind of business in a quarter, and it's still maintaining around \$1.4 billion of order book, this tells you that the order filling is also continuing at the same pace. In terms of MPP utilization, can you please repeat your question?

S Ramesh: So, the 2 MPPs you had commissioned in the second quarter, has it been fully utilized? How much of that is utilized and what is the kind of headroom you have in terms of either volumes or the synthesis that you can do with those 2 new facilities?

Rajnish Sarna: Yes. So currently, they are utilized close to 55%, 60%. But as the volumes of these molecules will scale up, I mean, obviously, we will surely be seeing more than 85%, 90% utilization in 1.5 years.

S Ramesh: The second thought is on the domestic business. So you saw a lot of traction in the fourth quarter possibly because of the AWKIRA brand as well as the Rabi contribution. So how do we read the potential for growth? Is it because you have launched a lot of products last

year? And is there going to be some kind of back-ended growth in Rabi because your horticulture portfolio is perhaps skewed towards fruits and vegetables? So is there a seasonality there? And do we see the traction we see in the industry overall based on the pickup in monsoon and the sowing pattern improving from the second quarter onwards?

Prashant Hegde: Yes. So good question. As I said earlier, we have launched new products, including the one which you mentioned, AWKIRA, around 3 years back. All these products are having a good traction. As I said earlier, most of these products are basically, the season is starting from Q2, and we are tracking as per the plan in all these products, that is what I can say. So yes, we are optimistic, and we are tracking as per the plan.

S Ramesh: Okay. If I may just squeeze in one last thought. In terms of the global environment for your potential customers in agrochemicals and other areas to give business for CSM companies like, what is the kind of expectation we have on the budget, say, over the next 2, 3 years, given that everybody is facing headwinds, but at the same time, this year, we are seeing a lot of positive tailwinds for growth? So do you see the inquiries on the flow of business continuing unless we have some major setback? So do you see some continuity in terms of the momentum over the, say, next 2 to 3 years for order flows for CSM and for your Company?

Rajnish Sarna: Yes, I mean, we are seeing very positive commentary from all these large global customers of ours. As and when we are meeting them, we are hearing very positive commentary. Obviously, this is also driven from commodity prices in general, but also the new launches that have been made by these companies. And the good part is that if we look at our product portfolio, we are participating in many of these very interesting new launches and some of the big blockbusters out there, either through AI or intermediate. So yes, I mean, we are getting very positive commentary and if you track commentary of these global companies, you'll also kind of note that most of them are giving a very positive commentary, not only for this year but next few years.

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Moderator: We'll take one last question, which is from the line of Isha Agarwal from VT Capital.

Isha Agarwal: Just one question from my side. Like, as you see the CSM outlook to be very strong and we have strong order pipelines, inquiries in our CSM, so do we see the order book improving, like will it add directly to the order book?

Rajnish Sarna: Yes. So we certainly expect this to reflect in order book expansion in coming quarters. Although, as I said, maybe in the last call or previous quarter call, that given the current uncertain environment, both the customer as well as the suppliers always kind of want a normalization of scenario before we get into a very long-term kind of contract and understanding. But yes, having said so, I mean, given the kind of pipeline that we have and the way it is progressing towards commercialization, we expect this to reflect in the order book position as well.

Isha Agarwal: Yes. So I just wanted to confirm that as you mentioned that, yes, we see the present inquiries adding it to our order book, so from the recent levels of \$1.4 billion, we see it to the last year levels of \$1.5 billion or it should be at the present levels only?

Rajnish Sarna: No, so it would certainly improve from this present level. Now whether it will become \$1.5 billion or \$1.75 billion or \$2 billion, it is difficult to comment right now because we would imagine that when these products progress from R&D scales to the commercial scales, during this period, a lot of volume estimates are made by the customers and then commercial negotiations and discussions happen on price and all. So basis those finalized terms, both volumes and on pricing at certain

point, we will be able to quantify that, okay.

And if 10 out of 20, 30 inquiries are progressing and moving towards commercialization, what is the total value of these products and so on. So it is difficult to quantify at this point. But what I can tell you is that it will surely reflect in improvement of order book where we are today.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Rajnish Sarna: Thank you to all our friends who were there on this call for your continued interest in PI and also your all-good wishes and blessings. Thank you so much, and have a good day.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2022

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November 1 6, 2022

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor,

Dalal Street, Mumbai – 400 001

Code No.523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No.C/1, G -Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051

Code No. PIIND

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (listing Obligations and Disclosure Requirements)

Regulations, 2015 - Transcript of the earnings conference call for the quarter and half year ended

September 30, 2022.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Analyst and Investor Conference Call for Un -audited financial results for the quarter and half year ended September 30, 2022 held on Wednesday , November 09, 2022. The link to access the transcript of the earnings conference call is https://www.piindustries.com/Media/Documents/PI%20Industries%20-%20Q2%20FY23%20Concall%20Transcript_Final.pdf .

This is for your information and records

Thanking you,

Yours faithfully,

For PI Industries Limited

Manikantan Viswanathan

Chief Financial Officer

Encl: As above

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PI Industries Limited

Q2 & H1 FY23 Earnings C onference Call Transcript

November 9 , 2022

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY 23 earnings conference call of PI Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*” then “0” on your touchtone phone. I now hand the conference over to Mr. Nishid Solanki from CDR India.

Nishid Solanki: Good afternoon, everyone, and thank you for joining us on PI Industries ' Q2 FY23 earnings conference call. Today , we are joined by senior members of the management team, including :

- Mr. Mayank Singhal, Executive Vice Chairman and Managing Director
- Mr. Rajnish Sarna, Joint Managing Director
- Mr. Manikantan Viswanathan, Chief Financial Officer
- Mr. Prashant Hegde, CEO Domestic and
- Mr. Atul Gupta, CEO Exports.

We will begin to call with key perspectives from Mr. Singhal. After that, we will have Mr. Manikantan sharing his views on the financial performance of the Company. After that, the forum will be open for question -and-answer session.

Before we begin, I would like to underline that certain statements made on today's call may be forward looking in nature.

And a disclaimer to this effect has been included in the investor presentation shared with you earlier and also available on Stock Exchange websites. I would now like to invite Mr. Singhal to share his perspectives with you. Thank you and over to you sir.

Mayank Singhal: Welcome, everyone and thank you for your participation today.

I'm happy to report that PI has built on the growth momentum sustained over the last few quarters and delivered a strong performance in Q2 FY23. We have achieved overall revenue growth of 31% on a high base of last year , EBITDA has grown by 49% and net profit has increased by 46% on a year -on-year basis.

There was strong demand for our crop protection products during the robust Kharif season. The agriculture sector is buoyant driven by higher price

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realization , normal monsoon and healthy reservoir levels . Our newly launched products are getting good traction and acceptance across all crops.

The outlook for Rabi season looks very promising, and we are expecting the domestic segment to achieve strong growth.

The opportunity in the agchem worldwide is apparent and PI with a differentiated model is in a position to create value with its unique strong technological capabilities that puts us in the lead. The challenge today, however, is to maintain a steady line of predictability on costs of raw materials, power & fuel and the various other costs, which are getting disrupted in the industry . Whereas we actively manage our products mix so that we could deliver sustained performance , the broader industry is lagging to absorb the higher costs. We also believe that India is well-poised to address this opportunity to emerge as a high -technology manufacturing base . India's approach to looking at the backward integration across all sectors will be a strong asset .

In CSM exports, there has been an uptick in order book position. We are proud to announce an order book of around \$1.8 billion, . There is traction from the new inquiries, particularly for products in the non-agchem space.

We're also enhancing our R&D and manufacturing infrastructure for non-agchem. We have already commercialized one new molecule in this space this year.

I'm pleased to report our S&P Global Corporate Sustainability Assessment ranking improved to 93 percent ile, another great achievement by the PI team. We view sustainability as a source of competitive advantage and a key to our business continuity and our success and the way of life at PI.

On the domestic operations, we are poised to exceed the numbers of new product launches during this fiscal year to previous years. We have launched 5 new products so far and 2 more are planned in Q3. We're also expanding the depth of our offerings in a ddressing new market segments such as TAURUS a revolutionary nematicide and TOMATOUGH , a unique biological product .

We plan to continually introduce brands with a pipeline of over 17 more innovative products in different stages of development and registration. We are striving to deliver cutting -edge solutions to maximize farmer productivity for their crops. We already have a fleet of 300 -plus advanced boom sprayers and also piloting drone applicat ion services .

Our performance is underpinned by the PI compass and our purpose of 'Reimagin ing a healt hier planet'. In addition, we're implementing an integrated program to build our digital edge and people first capabilities. T his is the multipronged program for building leadership pipeline to enhance performance with digital tools while growing and enhancing products with data sources. We want to provide the best platform and an opportunity for growth for individuals to lead by science and technology to create transformative solutions in the life science space.

Diversification to adjacencies through an inorganic route remains our top agenda apart from technology scale -ups. We have inducted season ed leadership and continue to expand the teams with a view to intensify our effort s in the pharma foray. We continue to actively to evaluate inorganic

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growth opportunities in pharma, both domestically and internationally in line with our pharma strategy.

The outlook for the year is encouraging. This is complemented by sustained improvements to the margins as our model further scales up. Through an enhanced product mix, better business productivity , and tighter control on volatility, we are set to contain the impact of inflationary tendencies in the input and energy costs across disruptions to supply chains.

Let me once again thank the stakeholders and to all the members of PI for their

great contribution for this quarter .

I would like to hand over to our CFO, Mr. Manikantan to share key financial performance highlights.

Manikantan Viswanathan: Thank you, Mr. Singhal. Good afternoon, everyone, and thank you for joining us on the call today. I'll be summarizing the financial highlights of the Company for the second quarter ended 30th September , 2022.

Please note that all the comparisons are on a year -on-year basis and refer to the consolidated performance of the company.

During Q2 FY 23, we reported a revenue of INR 17,700 million, a growth of 31% over the same period of the last year. This was driven by growth in exports revenue by 29% to INR 12,783 million and 36% increase in domestic revenue to INR 4,917 million. The export revenue growth of 29% was driven by volume growth of around 25%, coupled with favorable price and currency

of around 4%. Domestic revenue growth of 36% was mainly driven by volume growth of approximately 31% and price increase of around 5%. New innovative Agri brands launched recently also contributed to this growth.

The trend in elevated input costs continued during this quarter and half year, although we achieved pass-through by increasing product prices, both in exports as well as in domestic markets. Our gross margin increased by 18 basis points to 45%, partially due to the cost pass-through and favorable product mix.

EBITDA increased by 49% to INR 4,331 million for the quarter, driven by efficient supply chain management, operational efficiencies and tight control on fixed overheads.

Profit after tax increased by 46% to INR 3,348 million attributable to EBITDA growth.

Net cash flow from operating activities during the first half year was INR 3,078 million.

Our balance sheet further strengthened during the quarter. The networth increased to INR 66,176 million. Total Capex for the half year stood at INR 1,204 million. Actual Capex is in line with the plan. For this year, we estimated a Capex of around INR 6,500 to INR 7,000 million.

On inventory levels have increased to INR 16,095 million, in line with our higher revenue as well as to avert supply chain disruption to meet customer supply schedules and continue the operations.

Trade working capital has gone up by 8 days in terms of days of sales from 103 days to 111 days during the first half year.

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The company maintained its strong liquidity position with a surplus cash net of ECB of INR 23,211 million, including accretive proceeds.

That concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: We have the first question from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: It's good to hear that you have increased the Capex guidance to INR 700 crore from INR 650 crore in the last quarter. Is this increase sufficient to take care of the increase in the order book, which increased by almost 30% in this quarter? And also keep in mind that our asset turns on a trailing 12-month basis is already 2.4 x, and in the first half of the year we have spent just about 20% of the annual Capex guidance, if you can dwell a little bit on this it would be great.

Mayank Singhal: Thanks Aditya for the question. As you know, we are a technologically focused organization. I think the company has done a great job in the first half of the year. We've been able to improve asset turns by increasing the productivity and efficiency. And that's where we believe we've been able to handle this growth. Going forward, the company is putting more efforts and experiences, more areas in this front to drive capacity announcements with low capital investments. And while we are pretty confident to do this in the right approach, we'll be able to deliver the growth plans that have set the company going into the future.

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Aditya Jhawar: As you know, Mayank, it was very insightful, but if you can help us to understand a little bit that in the first half, our Capex spend was only about 20%. And if you think about the acquisition that we have been talking about,

a large part of the acquisition would be far marking about, say, 70%, 75% of the funds will be deployed. And earlier you had mentioned that it would be for non -agrochem. So , for agrochem growth, our Cap ex seems to be a little bit on a lower side, if you can help us understand why is that the case?

Mayank Singhal: So as mentioned, we're including the throughput efficiency. As you know, some of this capacity has been built much earlier . And if you've seen our commentary earlier, we have said, yes, we will be increasing the asse t turn based on better asset utilization by improving efficiency. And those are the points to highlight, and that's a well -balanced equation that we have internally. And third intervention is coming through process technologies t hat we are putting into the game.

Rajnish Sarna: And just to add to this, Aditya, we have to also keep in mind the kind of investments in capacity expansion that we have made in the last couple of years . And this is where we have some headroom for growth. And plus, we are also making new investments. So , I mean we'll have to look at it in totality when we look at growth and the order book and the current capacity utilization together .

Mayank Singhal: So just to give you a little bit more comfort on that, we have an independent cell that constantly looks at this, and we would very much appreciate this business is not about today's demand and tomorrow's capacity, it is the long - term orders. So capacity planning and asset utilization all are integrated - processes including the technology interventions and the company has, over the last 20 years, constantly delivered on its expectations, both in terms of growth and customer requirements.

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Aditya Jhavar: Absolutely. A final question is with this order book accretion of \$400 million, what could be the share of non -agrochem and in our revenue also , what is the current share of non -agrochem?

Rajnish Sarna : Yes. It's not significant at this moment. The major increase in order book comes from some of our existing products, which we have been doing and which we have also launched in last few years. So , there is certainly a ramp up in the long -term demand of these products. The non -agchem products, as we have also guided in the past that th ey have been at a very initial stage of their commercialization at our end. So , some of these products are commercialized, say, in last couple of years, and many of them are still at R&D scale and pilot scale and getting to commercialization in the next few years. And in this kind of business model, the volumes and values of these non Agchem products at the initial stage are not very significant.

Moderator: We have our next question from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Continuing with the order book here. So earlier also we had highlighted our expansion into the electronic chemical space. And just now you commented that some of these products probably may, it will take some more time for them to ramp up in terms of volume or revenues. So , will it be fair to say that large part of this delta in order book is led by agchem product s? Could be China plus 1 or maybe the benefits from Europe diversification coming in?

Rajnish Sarna : This is what exactly I said that the major contribution of this order book is coming from our existing products, products which we have been doing for some time and the products which we have commercialized in the last 3, 4 years' time . So, the increase is coming from there. Please appreciate that we are into agchem CSM space for almost n

ow 25 years and there are many large scale strategic products in the portfolio. Whereas we have diversified into non-agchem space hardly for last 3, 4 years. The development cycle of these products from R&D to commercialization itself takes 1 to 1.5 years. So, keeping that in mind and these other verticals will have a meaningful

contribution in order book or revenues maybe in next few years' time .

Ankur Periwal: Sure, sir. And the H1 growth in the CSM side, if you could break it up into maybe the newer products in the last 2, 3 years launched products, how big was the contribution coming from there? And what were the older products or the growth driving there?

Rajnish Sarna : The freshness index in our CSM exports is close to 16% to 18% on annual basis . The products which are commercialized in the last 3 years, they are contributing close to that .

Ankur Periwal: And if I'm not wrong, this number was around 20%, 25% last quarter?

Mayank Singhal: No.

Ankur Periwal: Okay. So , this is the broad range that is maintained, is it?

Rajnish Sarna : Yes. On an annual basis and not for a specific quarter,

Ankur Periwal: Fair enough. And sir, lastly, on the Cap ex front, you did allude towards technology-led initiatives, which should enhance the asset turn further. Are most of those benefits now already in? Or do you believe there is further scope for improvement here, which basically means that the intensity of

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Capex will not improve further and probably there could be significant cash flow accretion there?

Mayank Singhal: No. There are a number of initiatives which we have identified. Many of them have already been implemented and reflected in the throughput and expansion and growth of the business disproportionate to the Cap ex that we have already discussed. But yes, there are still many such initiatives, which are in the process of fine-tuning execution and many of them will get executed and also reflecting in our next quarter's and year's growth as it comes.

Mayank Singhal : It's a continuous process at the end of the day, I think those are the unique capabilities the organization has technocommercial ability which makes PI a different from the other players in the business. And that's what I would call our internal USP and our trade secrets.

Moderator: We have our next question from the line of Vishnu Kumar from Spark Capital. Please go ahead.

Vishnu Kumar: Sorry to go back on the Cap ex question again. Now we have experienced a superior volume growth of 25% plus. With our investments of INR 700 crore which you are talking about, I mean can we increase production or on a blended basis, our volume growth can sustain another maybe 30%, 40%? Or indirectly, I'm asking what the utilizations would be. So , just trying to get some sense at what point we need to step up on Cap ex again.

Mayank Singhal: So great, I'll address the question, which is a recurring question that I've been handling over the last decade, and that makes it even more interesting. And everybody seems to ask, but unfortunately , we are not in the commodity space, and we are not into 1 plus 1 is equal to 3 . In the chemical business, it depends on the many moving parts and PI has many moving parts and Capex is dependent on those moving parts. One is technology. The other is efficiency and capacity enhancements. The third is process disruption and also dependent on product and chemistries, right .

So, all these factors have to be seen to really see what the Cap ex is. Point is that what we see for now is what we have said from the order book and what we vision for the next 2, 3 years. And based on this, the Cap ex is running at the rate it is. And you've seen that. I think it was interesting 2 years ago, people are seen putting a lot of Capex. So , you want to look at

what, right . So, this is all looked at wha

t comes in and how that has to be played out. And we were sitting with lower assets turns today we're seeing high turns. And so , this is the cycle of the game and is dependent on how you look at it. That's the way I want to answer it. So , I cannot say a specific answer. Yes, do you want to put that in your model and say, look at a steady rate and look at the percent of average that we'd invested in over a span of 2 to 3 years, that's the way to look at this .

Vishnu Kumar: Got it.

Rajnish Sarna : Just to add that given our current capacity utilization and our growth visibility , we are sitting in a comfortable position . As you know, we also have no constraint as far as putting more investment and ramping up this capacity as and when we will find it necessary .

Mayank Singhal: The world is a highly volatile place. And I think somebody asked earlier, is Europe moving here. I don't think that is happening. I would say, okay, China

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could be an opportunity. But close home supply chains are becoming the strategy for companies.

Vishnu Kumar: Got it, sir. And my second question was the intensity of inflation that you talked about passing through. But on the present day , there's only been a 4% or 5% price increase. I mean I do see that your margins have been held up. But I mean, when compared to peers, the price impact seems to be far lesser. So , is that our raw materials have a lower cost because you've kind of covered it or at least I'm just trying to understand on here the inflation side of it because it's just 4% to 5% is the price pass -through increase ?

Mayank Singhal: So, what I say is that you cannot again look at the others and us because we have different business model / approaches working with different companies. But at the end of the day, the main objective is to maintain the margins and handle the inputs cost challenges coming. And overall if you see, that's what we've been able to manage. That's what I would look at, not really benchmark it to others because companies are doing different classes of products where price inflation also varies .

Vishnu Kumar: Understood. And finally, the EBITDA margin guidance given you have done a good number? And also , the forex benefit that we'll get will get passed through just on these 2 points?

Mayank Singhal: Yes. The forex does pass through in certain instances for sure, as we've discussed over the past.

Vishnu Kumar: Got it. And the EBITDA margin guidance for this year and, let's say, if you're seeing better numbers next year?

Mayank Singhal: Yes. as we have guided, we see the opportunity of improving it by a few hundred basis points from the last year .

Vishnu Kumar: Okay. So , we did something like, I mean, 22%. So , I mean we've done 24%, but you're still saying only 100 basis points over the previous year?

Mayank Singhal: Yes. If you look at where the world is today and the way , we look outlook. We want to be conservative. Yes, there is huge amount of volatility and climatical impact and challenges. And given that, we would still like to stick to our guidance. Obviously, the company is constantly striving to do better.

Moderator : We have the next question from the line of Mohit Pandey from Citi. Please go ahead.

Mohit Pandey: Sir, my question is also on the order book increase. So , as I understood, the

increase is largely driven by repeat orders. So just to understand it a bit better, so is this being driven by market share gains for you as in are you gaining share from European competitors? Or is it just that the end products, where your products are being used, they're seeing greater traction in the end markets? How should we read that, sir?

Mayank Singhal: Well, order book position is driven , and your scales are going up, opportunity is going up and all the commitments. So , I would not like to dwell to see
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European markets are moving here, but that's not really what it is. . But yes, order books are growing as the business size is growing. And PI, as I've mentioned earlier, we look at order book position based on the opportune risk and things that you are looking at, right . And it can go down and up. But the order book and the PI context should be looked at as a factor of creating

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comfort to the guidance . So, it is more about creating a little comfort, around \$500 million here and there is not going to much change in the delivery in the performance of business. It is more of our risk management and customer commitment management, yes.

Mohit Pandey: Right. And sir, secondly, has there been any increase in the share of spot orders in your revenue contribution in the recent quarters?

Mayank Singhal: Well, it's a contracted order. So , I would not say spot. They may be not long - term contract, but there are mid -term commitments. That 's how we work. So , I would not call them spot orders because we're not really doing spot business .

Rajnish Sarna : If you look at our business model, we do synthesis and then we get into long - term supply agreements and long -term understanding, not for spot basis that. Therefore , if there is some shortage in some geography or some products, and fill that gap and put that product in plant or something , that doesn't work in our business model. So, all the businesses, are on a long - term basis. And there's no such room for spot business, given the kind of capacities that we work and the kind of processes that we work.

Moderator: We have our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: First, just on the growth guidance for the full year. So , in the first half, I believe we've done about 31% revenue growth year -on-year. So , in that context, would you be comfortable increasing the full year revenue growth guidance from the 20% first that's been indicated?

Mayank Singhal: Well, let me tell you that we have given the initial yearly growth guidance given the volatility, the challenges that we see in the world. And we would still like to continue with our earlier guidance . But yes, there could be certain positive swings, which could really up this, but it would be too early to take a call. It's only half year down the road.

Rajnish Sarna : And just to add to this, if you recall, our initial guideline was 18% to 20%, . And then , seeing some uptick in demand , we have already up this to 20% plus in the last quarter . Our guidance also factors in supply schedules of exports and contingencies of Rabi Season.

Abhijit Akella: Okay. I understood. And the second question I just had was on the tax rate. I understand that it's been on the lower side because of the ramp -up in our s SEZ operations. But if you could please help us understand for how many more years do we expect it to stay around this trajectory? And where does that eventually end up, let's say, a few years from now?

Manikantan Viswanathan : Yes. Thanks for that. As far as SEZ are concerned, we have 2 SEZ units where we have 5 years or 10 years. Looking at that, we comfortably have left 5 more years to get SEZ benefits will continue.

Abhijit Akella: So, we should expect the tax rate to remain around this 16%, 17% for the next 5 years at least ? Is that how I should read it?

Mayank Singhal: In fact, if this is the only business, yes but we are also looking for inorganic moves.

Moderator: We have a next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

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Vivek Rajamani: Sir, my question has been addressed, so I'll just get back to the queue, sir. Congratulations on a great set of numbers.

Moderator: We have a next question from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: So, Mayank mentioned the linkage of the order book with visibility and this mitigation. So, can you give us some sense in terms of what will be the majority of this order book in terms of number of years?

Mayank Singhal: Well, I didn't get the question. What do you mean majority of it in terms of number of years, if you can please explain?

S. Ramesh: So, in terms of the number of years of revenue that you expect based on this order book or in terms of the booking cycle.

Mayank Singhal: Yes. So, these are spread over a span of 3 to 4 years; some are 4, some are 3, some are 2.

S. Ramesh: Okay. And in terms of the domestic business, you have obviously done very well in the second quarter based on the momentum in Kharif and you actually are much better in terms of overall growth. So, is it possible to give us some sense in terms of how the margins are moving in the domestic business? And how you see the overall top line growth in the domestic business here over the next 2 years compared to what you have done this year?

Mayank Singhal : These are not two business but an integrated business model and we don't discuss separate margins. But yes, we are looking at a higher level of contribution coming from the domestic business with the changed focus and strategy with the introduction of new products. It is creating a differentiated trajectory into the market where we are bringing new innovation, higher growth rates with better and stable contributions and putting PI in a pole position to continue for this for the next 4 to 5 years given that these products have just started their journey into the markets, and we have another set of 17 products coming through over the next 3 to 4 years, which are in the various stages of regulatory approvals.

S. Ramesh: So, I guess one last doubt in terms of the global macros. If there is a slowdown or recession in Europe or rest of the world where you do business, is there any risk for you have to reschedule some of your commitments? And will that have some downside to the expectations on the CSM business?

Mayank Singhal: Well, so far we've not heard any cues, which are leading that way. Food is one commodity which given the climatical challenges and low productivity is still moving at a higher trajectory of demand and prices. So, I would say we are seeing a pretty stable, if not more upside, kind of an opportunity that may be clearly coming to the sector.

Moderator: We have our next question from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Clearly, this is one more gratifying gain satisfying performance over a period.

Beyond the clearly apparent strength of the numbers and the order book, are there any other qualitative insights or any other aspects that you may want to highlight, which are not visible in the numbers, which can give us a better understanding of where things are headed?

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Mayank Singhal: So, thank you very much for that question. I think this is really what we call about sustainability parts of the play that PI is constantly focusing on. So, if I look at the qualitative part, we look at 3, 4 key pillars. And I think we are on a very aggressive note at the back working for the long-term future of this organization. And the greatest success to share that has been on the ESG for S&P doing the 93 percentile tells us that both on that front PI is moving ahead at certain aggressive targets. The other aspects on the technology front, our IP index has gone up, our IP creation has gone up. Our research capabilities are going into the next phase. We're expanding our capabilities and offerings in this area.

Third, on the other area, we have started looking at building in more complex areas in the chemistry. Flow chemistry technology is getting upgraded and our innovation spends are

moving up. The third area of a pharma strategy is an aggressive pace where we're coming out with some innovative business models where we build the human capability.

On the people side, this all leads to a very aggressive work plan. So, we've taken very aggressive agenda where we work with the external consultants and internal leadership teams to develop a strategic move on the culture shift to go to the next organizational level where we are actually identifying, developing talent to interventions and also accumulating and enhance care capability and a cultural shift to globalize the organization with strong interventions through the digital platforms to create more process orientation, simplification and learning. And so that the scalability as we look to the next phase of our journey is a comfortable and a challenging one, but putting a culture of high price of high performance, expectations are high, plays has to be high and efforts have to be high, and that's the DNA of PI. So that's really where we are.

Bharat Shah: Wonderful Mayank, delighted to hear this. The second, when we look at the way things are going in many parts of the Western world, especially more so in Europe and to a fair extent in America as well, generally Europe seems to be bumbling around rate, very legacy, regression kind of a mindset and behavior. The energy crisis that they are facing is just one of them, but not confined to that. And in general, the quality and the strength of the public policy formulation in Europe and America seems to be in a state of disarray. In China, we are seeing the muddle around supply chain disruptions and frequent lockdowns and many other things that you would think that doesn't make our plan change. So, given the fact that a good part of our business is in some of these territories and some part of sourcing is from these territories, are there any near-term and longer-term implications from the business and the business model that we need to be mindful about?

Mayank Singhal: Thanks for that question. And I think that's a question that everybody is dabbling from managements to country leaders to company leaders to citizens, which way the world is going. But I think it depends how you look at it. You can look at it in both ways. These are challenges and yet opportunities.

Now I think the key thing here is that somebody say things will move into Europe, I believe, yes, things would move into Europe, and their home supply chains could become the next play. Certain things can't move out. So, what is that opportunity. Somebody will say, Oh, that's a high risk, there are quite challenges. With this volatility, I think the key capability has to be to constantly able to see who manage, watch and have a little opportunistic mindset, either to invest, divest or create, whether it's in products,

inventories or assets. So constantly keeping a watch on that is going to drive

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the performance and really what I call now this is a real world. So, the key challenge which I put to the team, to the people and to all the stakeholders, be agile, be fragile and yet be strong. And that's really where we're going to be headed as a world.

And I think finding that path, there's no one answer, but there could be an answer to look at how to really define it for your organizational DNA to deal with it. I say some things you can change, some things you can manage, but today we're in a situation both don't apply. It's something we have to be watched and have the ability to deal with it. So, building capability is going to be the challenge here.

Bharat Shah: But on balance, does this sound more like a concern or more like an opportunity?

Mayank Singhal: I look at every concern as an opportunity. So maybe that's where PI has been. This was a concern if I look back in '96 of outsourcing cost structure to China that PI pi

oneered and got the manufacturing business. I look at the concern of agriculture where technological innovation was not coming, and that was an opportunity. And somebody said high-cost imports, supplying new technologies would be a challenge. This is also an opportunity, as we understand this thing bit better. And therefore, we are leveraging our capabilities and looking at how we carve our opportunities, whether within or outside the geographies, to answer these challenges. And there could be an answer at a higher level which may look and not so sensible, but at a detailed level, it could be strategically correct.

Moderator: We have our next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, we have said that in CSM in second half will be commercializing 6 new products, out of which how many would be agrochem and non-agrochem?

Mayank Singhal: Atul, maybe you want to.

Atul Gupta: Yes. So, we are expecting some 3 to 4 molecules in agrochem and 1 molecule in the non-agrochem segment to be commercialized in the next half, H2.

Rohit Nagraj: Okay. Sir, second question is we have also mentioned that we are working organically on the scale-up of pharma intermediates and R&D pilot scale. So, does this mean that we will be able to supply at least some commercial quantities on the pharma side to our customers? And how do we look at it in terms of scaling up this particular portion till our inorganic doesn't fructify?

Mayank Singhal: Sorry, I didn't do the last part.

Rohit Nagraj: So, till the time our inorganic initiative in terms of acquisition, till that time it doesn't get fructify, how the scale-up would really work in favor of us?

Mayank Singhal: Obviously, these have a time dimension of 2 to 3 years, and we started initially, as I mentioned, in the R&D capabilities and developing that into the next phase. And obviously, as you know, the pharma world takes a bit longer to look at approvals in time cycle. So, I see them fructify in 2 to 3 years. But this could also be complementary or could also be an additive to what we may be doing in the inorganic way.

Moderator: We have our next question from the line of Nitin Agarwal from DAM Capital. Please go ahead.

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Nitin Agarwal: Sir, you mentioned in the presentation that 11 of our plants are M PP plants. So how many are dedicated plants of these in the CSM business?

Mayank Singhal: All these plants are fungible by design concept and multiproduct plants. But right now, 4 plants are running at full capacity for single products. So, you may want to call them as dedicated.

Nitin Agarwal: Sorry, so you said there are 4 of these 11 plants which are running on dedicated basis?

Mayank Singhal: Yes, all our plants are multiproduct plants. Right now, maybe 4 plants are running a single product, so they may be looked at dedicated plants.

Nitin Agarwal: I got it. So, 4 of these plants are running a single product right now?

Mayank Singhal: Yes.

Nitin Agarwal: Okay. And secondly when we look at the domestic market, we've had a very , very strong Q2. Now Rabi last year was a reasonably good year. How should we look at the second half of the domestic year market?

Mayank Singhal: Prashant, would you like to give a comment there?

Prashant Hegde: So, thanks, it's a good question. Look, we have a very strong desire to grow. However, we also must keep in mind it is a seasonal business. And we have to keep in mind how crop economics work, and we are optimistic . And our portfolio earlier, it was skewed more on rice and cotton. Now we are expanding into horticulture, wheat and few more crops as well. So , we are optimistic, that is how I can put it.

Moderator: We have our next question from the line of Dhavan Shah from AlfAccurate Advisors. Please go ahead.

Dhavan Shah: Yes

. Most of my questions have been answered. Just one on the domestic business front. So , we have seen the strong volume growth during this quarter. So , can you please shed more thought on this? I mean, which brand did contribute to the overall numbers for this quarter?

Mayank Singhal : To be very honest, we can't go to product -wise information as there is competitive intelligence. But I would say it at a higher level. It has come from the many of the new product launches, and scale up of some of our leading brands .

Dhavan Shah: Okay. And sir, in this quarter, the herbicide contribution would not be there, right, the A wkira contribution?

Mayank Singhal : There is some contribution. Yes.

Dhavan Shah: There is some contribution. Okay. But largely, it is driven by the existing and the new products which we have launched for the Kharif?

Mayank Singhal : That's a mix of all the new product launches that we've done over the last couple of years this year, yes.

Moderator: We have a next question from the line of Archit Joshi from Batlivala & Karani Securities India Private Limited. Please go ahead.

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Archit Joshi: Sir, you've mentioned our plans on diversification. Other than the inorganic plans that we have, we have also seen quite a bit of traction happening on the non -agchem side with respect to order inquiries. I was just curious if you can elaborate this with respect to if there's any specific platform or chemistry

or application where we are seeing this traction just to understand where the company is headed to with respect to its growth in the non-agchem side?

Mayank Singhal: I can give you a larger perspective here. I cannot get into the details of the technology part because of various reasons which you would appreciate. But obviously, looking at PI's competence and capability of having complex chemistry technologies, that's the area we are focusing in certain niche non-agchem application areas, which would be a little more value accretive. This is where we are sowing seed to build up market credibility so that it could be a third engine of growth for future.

Moderator: We have our next question from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Really fantastic performance, congratulations. Sir, a couple of questions. First is on the Europe opportunity, sir, which you mentioned that right now you are not witnessing any significant opportunities coming out of Europe despite the Europe facing such a large disruption, especially in Ag chem, while many companies have spoken about it that they're seeing increased order or they are seeing increased inquiries. So, sir, when they are supplying a lot many intermediates to our German partners and those partners are I mean, looking at increase in energy cost and not able to operate the plant, aren't we seeing that there is an opportunity for a player like PI? Actually, it should be a very solid opportunity going ahead over the next 1.5 years to 2 years. So, I just wanted to get some more clarification on that, the disconnect between the industry and the PI.

Mayank Singhal: I don't think I mentioned that we're not getting an opportunity from that. So maybe there is some misunderstanding. We're getting opportunities from the Europe. But it's not that Europe manufacturing base is completely shutting down.

Rohan Gupta: Okay. Sir, definitely, I mean, such a short amount of time, we can't also expect things to move.

Mayank Singhal: Exactly. Gap filling will take place for sure. We're getting operates right across the world and you would appreciate the largest 3 innovators in the world are European. So obviously, if the products are going to Europe market is a separate question, vis-a-vis being shifting from Europe is a separate question.

Rajnish Sarna : Just to add to this, Rohan, I think the key point that w

e were trying to highlight

earlier also is that the kind of business model that we are operating, the kind of product portfolio that we have, there's not much scope for spot business opportunity. So yes, there is certainly some opportunity in terms of gaining more market share of some of the products that we are already doing in view of the current scenario. But the major contribution is coming from the products where there is some long-term/unique strength which is there in the offering of PI. Now be it in terms of technology, or competitiveness, or our relationship with these global players. So, the bigger chunk of this growth is coming mainly on account of these factors and not so much so because of this temporary phenomenon of China plus or Europe plus.

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Rohan Gupta: Fine. Sir, second question is, I mean, exciting opportunity, which we are seeing in terms of revenue growth, but that also worries me a lot because given our business model, we generally work on per kg margin in kind of thing. Sir, it's a bit confusing that in an inflationary environment, which is driven by the raw material, top line growth is largely driven by the price increase. But even our EBITDA growth I mean, in the inflationary environment also, we are seeing EBITDA margin expansion. And that's why even EBITDA growth is even higher than the top line growth while you should be chasing more of the volume growth.

So, what worries me that when tomorrow we see that the price erosion, raw material prices definitely will soften and will come down to average level, at that time will we see that our EBITDA, the growth will happen because of the price-led growth won't be there and the prices will start declining? So, I mean that is the reason for worry because we are seeing too much EBITDA growth and EBITDA margin expansion in an inflationary environment. So, I'm not able to understand how and why it should be happening. So, if you can give some clarity. We obviously just completely driven by the product mix change or the operating leverage because this trend is across the industry.

Rajnish Sarna : Yes. This is precisely the point we have tried to explain that the EBITDA growth is majorly coming from operating leverage benefits. As we are growing at 30%, and we are able to efficiently manage our fixed costs and other things. 2ndly, the favourable product mix has also helped.

Therefore the EBITDA growth is not flowing from purely from price rise or some opportunistic price increase, absolutely not. In fact, as we have guided in past also that we have also not been able to pass through 100% cost in many cases. There is always a lead and a lag in the cost pass through.

Rohan Gupta: So sir, we are confident enough, when the next year suppose the raw material price drops by 20% and because of the softening raw material prices and our top line will decline by 20% because of the pricing decline, we won't see our EBITDA declining by 20%, in line with the price decline. So, it will still grow with the volume growth?

Rajnish Sarna : In fact, if you just simply go mathematically, that scenario should improve the EBITDA margin.

Moderator: We have a last question from the line of Sumant Kumar from Motilal Oswal Financial Services. Please go ahead.

Sumant Kumar: Yes. Sir, can you talk about the key product performance in the domestic market? We are talking about the new products that has driven the domestic business growth. So, what is the key product which has given the growth?

Mayank Singhal: Prashant you may want to answer to these products, which you launched in overall general.

Prashant Hegde: Yes. So rather than getting into a very product-specific response because some are restricted information. I'll say, look, we are expanding into horticulture crops, into wheat and our existing portfolio led by Nominee Gold

is also doing well. We have launched 5 new products and mainly in horticulture there are 2 products, and we have launched, we have scaled up our service side in wheat. And we also launched a couple of products which are suitable for one for cotton and one for soybeans as well. So, these are all definitely helping us in terms of gearing up domestic revenues.

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Moderator: Thank you. I now hand over the conference to management for closing comments. Over to you, sir.

Mayank Singhal: So, thank you, everybody, for coming on the call today, and thank you to all the stakeholders and want to congratulate the PI team for being a part of this journey, and continued success. Thank you, everyone.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2023

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February 22 , 2023

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor,

Dalal Street, Mumbai – 400 001

Code No.523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No.C/1, G -Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051

Code No. PIIND

Dear Sir,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the earnings conference call for the quarter and nine months ended December 31, 2022.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Analyst and Investor Conference Call for Un -audited financial results for the quarter and nine months ended December 31, 2022 held on Wednesday, February 15, 2023. The link to access the transcript of the earnings conference call is

https://www.piindustries.com/Media/Documents/Q3%20FY23%20Concall%20Transcript_Clean.pdf

This is for your information and record please.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

End: As above

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PI Industries Limited

Q3 & 9M FY23 Earnings Conference Call

February 15, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY23 Earnings Conference Call of PI Industries Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal a Moderator: by pressing star, then zero on your touchtone phone.

I now hand the conference over to Mr. Nishid Solanki from CDR India.

Nishid Solanki: Thank you. Good afternoon , everyone, and thank you for joining us on PI Industries Q3 FY23 Earnings Conference Call. Today, we are joined by senior members of the

management team, including :

- Mr. Mayank Singhal, Executive Vice Chairman and Managing Director
- Mr. Rajnish Sarna, Joint Managing Director
- Mr. Manikantan Viswanathan, Chief Financial Officer
- Mr. Prashant Hegde, CEO, Agchem Brands and
- Mr. Atul Gupta, CEO, CSM Agchem

We will begin the call with key perspectives from Mr. Singhal. After that, we will have Mr. Manikantan sharing his views on the financial performance of the company. After that, the forum will be open for a question -and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call could be forward -looking in nature, and the disclaimer to this effect has been included in the investor presentation shared with you earlier and is also available on stock exchange websites.

I would now like to request Mr. Singhal to share his perspectives. Thank you, and over to you, sir.

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Mayank Singhal: Good afternoon, everyone and thank you for being with us on today's call to discuss our third quarter performance.

It gives me pleasure to share that PI has delivered yet another quarter of outperformance. Year on Year, our revenue growth during Q3 FY23 came in at 19%, with EBITDA increasing by ~40% with margins standing at ~26% supported by favourable product mix and operating leverage. Consequently , our PAT during Q3 saw an expansion of 58%. Further, efficient net working capital management significantly improved free cash flow.

In line with the superlative performance , the Board of Directors has considered an interim dividend of Rs. 4.50 per share for FY22 -23.

Our Branded products for crops including Cotton, Rice, Chili, Horticulture and Wheat, have performed well. With a portfolio of advanced brands, we have carved out leadership in respective categories. Further, we are recording attractive responses to the spate of new brands that we have recently introduced into the domestic market ; one of the highest number of launches in the industry in a year. Our brands integrate and incorporate best -in-category solutions for crop protection, helping farmers prosper. We have a strong pipeline of products at different stages of development to continually enhance our portfolio. The institutional sale remained subdued during the quarter due to higher channel inventory and hence reflected in the overall domestic revenue growth.

Dynamics within the global speciality chemicals industry are evolving to realise higher value procurement of products from India, where the country stands out both in terms of quality, processes, and technology. Global clients are prioritising diversification of sourcing to India, even as the country develops an integrated value chain in key chemistries. Our order book at the end of the quarter stood at around US \$ 1.8 billion, indicative of the confidence the innovators repose in our business model and delivery.

PI is renowned for its ability to partner with innovators for their global requirements. PI has earned a niche for itself through proactive investments in capacity building and research in novel technologies and platforms. The need for breakthrough and innovative molecules today is very apparent. The operating environment today is far more volatile than earlier, and the business models that have balanced exposure to clients, geographies and technologies will scale up more attractively. Our ability to engage with our global customers on a long -term relationship basis and our keen

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understanding of complex chemistries are core advantages for the Company and our Customers.

The share of non -agchem enquires rose to 25% of the total. The product mix for PI continues to evolve and we are looking at higher share of non -agchem molecules getting commercialised in the coming quarters.

We are augmenting our outlook by widening customer relationships beyond agchem. Our research and innovation teams are continually engaged in developing relevant next-generation offerings. We are comfortably placed to realise 20% plus revenue growth with continued improvement in margins and returns.

This will be backed by expansion in business from commercialised molecules, with a better margin profile and sharper checks on costs. Recently launched molecules have continued to scale up. We aim to commercialise up to 4 to 5 new molecules

each year. To leverage this momentum we will accelerate capacity expansion further.

Our business model remains poised to scale up markedly once the consummation of the new pharma entity takes shape. We continue to actively evaluate inorganic growth opportunities in pharma domestically and internationally in line with our pharma strategy. Initiatives to augment leadership bandwidth are ongoing to steer our foray.

I am pleased to report that, it

is a proud moment for PI, as we received the Golden

Peacock Award for Corporate Social Responsibility for the year 2022. PI is committed to inclusive growth aligning with the SDGs and creating long-term sustainable solutions toward reimagining a healthier planet.

With that, I draw my opening remarks to a close and handover to our CFO, Mr. Manikantan for the financial discussion.

Manikantan Viswanathan: Thank you, Mr. Singhal. Good afternoon, everyone and thank you for joining us on the call today. I will summarise the company's financial highlights for the third quarter ended 31st December, 2022. Please note that all comparisons are on a year-on-year basis and refer to consolidated performance.

During Q3 FY23, we reported revenue of Rs. 16,132 million, a growth of 19% over the same period of last year. This was driven by growth in exports revenue by 23% to Rs. 13,286 million and 2% increase in domestic revenue to Rs. 2,846 million.

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Exports revenue growth of 23% was driven by volume growth of around 9% and price and currency of around 14%. New innovative Agri brands launched recently also contributed to the growth.

Our gross margin increased by 73 basis points to 47% partially due to cost pass through and favourable product mix. EBITDA increased by 40% to Rs. 4,156 million for the quarter driven by operating leverage benefits and tight control on fixed overheads. Profit after tax increased by 58% to Rs. 3,518 million, attributable to EBITDA growth.

Cashflow from operating activities during 9M FY23 was Rs 9,951 million. This was due to higher EBITDA and efficient net working capital management. The Trade working capital in terms of Days of Sales was reduced to 90 days vs. 103 days on 31-Mar-22.

Our balance sheet further strengthened during the quarter. Networth increased to Rs. 69,716 million. Total CAPEX for 9M FY23 stood at Rs. 2,585 million and is in line with the plan. This year, we estimate a CAPEX of around Rs. 5,000 million.

Inventory levels reduced in terms of Days of Sales to approximately 81 days to Rs. 14,517 million in line with higher revenue and adequate safety stock to avert supply chain disruptions.

The Company maintained its strong liquidity position and has recently repaid the outstanding ECB of US\$ 25.71 Mn

That concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator : First question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella : Two of them. First, on the capex side. The presentation talks about planning to intensify the capex in the future. So while we are guiding about INR 500 crore of capex for fiscal '23, is there a number you could help us out with for '24? Is it going to be substantially larger and if so, in which projects? And the second part was just on the pharma side. I believe you have invested INR 675 million into PI Health Sciences to kick start our organic initiatives on the pharma side. If you could please just elaborate a little bit about the plans out there.

Rajnish Sarna : Thanks, Abhijit. So for the first question, this year, we had a plan of INR 600 crore of capex, but some part of it will surely get rolled over as some of the multiproduct

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plants, we are reworking on the design. For next year, we are expecting anywhere around INR 800 crore to INR 850-odd crore of total capex.

Abhijit Akella : Got it. And also if you could just talk about the pharma investment into PI Health Sciences.

Rajnish Sarna : Yes. this investment is basically for initial operating setup and our activities that we are intensifying and augmenting our resources in the pharma space..

Abhijit Akella : Fine. And just the last thing from my side was on the margins. Margins overall have

been much stronger than perhaps you would have expected about at 25.7% this quarter. So a

ny specific benefits this quarter in particular? Or is this a sustainable sort of run rate for the future?

Rajnish Sarna : This is majorly coming from 2 to 3 areas. One is that the product mix has been positive for us. In this quarter, certainly, the sheer operating leverage benefit is also kicking in with this sustained 20 % to 25% growth. And then, of course, we have had a very tight control on our fixed costs. So all these are contributing to this margin improvement . While there will be certainly some variation quarter -on-quarter basis depending on product mix but on a year -on-year basis, we'll be able to reasonably sustain these margin levels.

Moderator : Our next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani : Two questions from my side. Firstly, there's obviously been some concerns of slowdown in some pockets of agrochemicals, both domestically and in the export market. Could you maybe provide some colour on the trends that you're seeing with respect to your products, both for domestic and exports? That was the first question. And secondly, on your point where you're saying you will obviously be focusing more on capacity expansions going into next year. Any indication on what kind of increase you are envisioning there? I know that this is not a straightforward question with respect to your products, but some colour would be very helpful.

Mayank Singhal: So if I get your first question right, you're looking , you see a downward trend agrochemical products? Or what was that?

Vivek Rajamani : Some trends that you are seeing with respect to your products?

Mayank Singhal: Okay. If I look at the product portfolio, I think that's the unique part about P I. Both in the domestic business, as you've seen, we declared that we have seen the highest concentration of innovator products. And these innovator products have put us on a

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growth trajectory while the growth of certain generics has been muted due to adverse weather conditions . The new products will continue to grow, and we see a good positive direction coming from the product portfolio that we have. I'm pretty sure some of the products will scale up through different weather conditions and will give some exceptional outcomes.

When I look at the global product portfolio that we are in, we again see positive trends some of the large products that we are in still need to be registered globally, and there is a positive trajectory of growth that continue to happen. At the same time, we have entered some interesting strategic products, which have a good potential for growth in the global markets, and that's quite exciting for us to see that we are poised to be in a comfortable position in terms of our product portfolio strategy. While there could be certain headwinds, which could come in, these will take good shape in the future.

Vivek Rajamani : So just to clarify, you've not really seen any significant slowdown with respect to your products, particularly on the export side, so that would that be a fair statement?

Mayank Singhal: Yes. We've already put in our order book position we see as well the demand and that continues to happen. So that is where we are right now.

Vivek Rajamani : Sure. And on the capacity expansion, any colour would be really helpful.

Mayank Singhal: I think that was answered. Obviously, one great job has been done , we've looked at about taking 12% plus capacity debottlenecking of the existing assets by looking at various engineering and technological solutions and given us the growth trajectory that we have. And looking at the portfolio of the consumer, the impact on the technologies, we are looking at ~INR 600 -plus crore extra capex for next year in addition to the rollover capex of a couple of hundred crores from current year. So that is where we are.

Moderator : Our next question is from the l

ine of Aditya Jhavar from Investec.

Aditya Jhavar : My first question is on one of a key molecule has seen a very strong growth in this quarter. So just wanted to understand that what could be the reason driving this growth? Are you seeing market a wider application of this product? Are farmers using this product as a substitute of Glyphosate? And I am sure you would have also collected some market intelligence on what should be the growth for one of key products?

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Mayank Singhal : Well, as you know, these products are cyclical in demand. There has been a product portfolio expansion. Newer geographies, which are being added clearly, application and acceptance are growing. So we do see growth coming through this. And obviously, I would not like to talk about quarterly up and down. It depends on the supply chain, market situation, and cost positioning, which is taking part in various parts of the geographies.

Aditya Jhawar : Okay. That's good to hear. So that essentially means that the growth that we have seen is an organic growth and it is not that the inventory gets piled up in the channel and in the subsequent quarter, we see a significant slowdown? Yes. My next question is on the tax rate side. What should we expect on tax rate on a full year basis?

Manikantan Viswanathan : The Tax rate for 9 months is 14.5%. So the full year basis will be less than 15%

Moderator : Our next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Congrats on a good set of numbers. So first question is on Slide #9. We have mentioned that more than 60% products falling in green category. So what exactly does this mean? And how beneficial it is for us given that the sustainability is a criteria for global innovators?

Atul Gupta : Yes. So the product under the green category are the one with green Ecoscale and low level of wastage etc. We decide which products fall in the green category, yellow category and in red category basis international criteria and then work systematically in the development stage to improve the Ecoscale of products.

Rohit Nagraj : Right. Just a clarification. This is applicable for both CSM as well as domestic?

Atul Gupta : Yes. It has got both.

Rohit Nagraj: Right. Got it. Second question after commercializing 3 products in CSM, what is the total number of products in CSM and any non -agro products in current landscape?

And for next year, are there any non -agro products, which will be commercialized in FY '24?

Mayank Singhal: Yes. So we have already got 3 commercial products in CSM exports. We're looking to commercialize 2-3 non-agro products in the next year. And obviously, we are in the early stage of this business, and these are not forming substantial revenue, but these investments just show a positive direction for growth and customer confidence with them.

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Rohit Nagraj: Just different number right now, including these 4 products?

Mayank Singhal: We would not have a number on hand in that for the moment.

Moderator : Our next question is from the line of Vishnu Kumar A .S. from Aventus Spark.

Vishnu Kumar A.S: Congrats for good numbers. This question is on margins. In the past, we understood that many of our contractual terms to the customers are that we will earn a fixed kilo per margin. And so irrespective of the price movements we earned, fixed price and higher pricing will still probably percentage margins will be lower. That is one. And second, as the production scales up for certain products, we were -- at least what we understood was that we will have to transmit certain efficiency gains to the customer. But the current commentary seems to suggest that there is a change in the contractual terms, if you could slightly elaborate on this point.

Rajnish Sarna : As I explained earlier, this is majorly coming from change in product mix

ix favourably

for us. Every year, we are launching 4 to 5 new products. Even in domestic, many new products have been added in the last 2 to 3 years. So obviously, the product mix is favourably changing. That is one. And secondly, the operating leverage benefits. We suffer in the initial periods of capacity installation with the lesser utilization of these plant investments and at a later stage, the operating leverage kicks in. So right now, some of these benefits are kicking in and that is giving this margin improvement.

Vishnu Kumar A.S: Understood. In terms of new products on the export side, how much would be, let's say, the last 2, 3 years, if we have launched certain products, any rough contribution of revenue, if you could just help us understand the last 2 years or 3 years, what would that proportion of your overall revenue would be?

Rajnish Sarna : We don't have exact numbers with us. But I think I mentioned in the last call, around 17% to 18% of total export revenue comes from products introduced in the last 3 years.

Vishnu Kumar A.S: Got it. And on your comment, you said that domestic products also, we are getting better margins. So the margins that you are currently earning would be higher in the domestic because of the new product launches? Is that the way also we can think, that you are earning slightly better numbers from these?

Mayank Singhal: Adding new products at higher margins, the domestic business will be giving us the better contribution level.

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Vishnu Kumar A.S: Got it. And just on the capex bit, you said we have spent about INR 250 crore out of the INR 600 crore, another INR 350 crore is pending, plus about INR 800 crore which you just mentioned. When should we expect these new plants to be coming up? Any rough commissioning dates that we are looking for?

Rajnish Sarna : Yes. So just to clarify on it, some of the capex, which was planned in the current year is getting rolled over because of the plant design related changes. And that will also be covered under this INR 800 --850 crore that we have indicated for next year. We have two multiproduct plants scheduled to get commissioned maybe one in the second half of next year and the other one, we are monitoring, may come in next to next year, that is FY '25. So this is currently the tentative plan that we have.

Mayank Singhal : And on the other hand, we changed the way of the structure of formats of how we look at these plants with new technological capability and giving us better throughputs and efficiencies with the larger footprint for each plant.

Vishnu Kumar A.S: Got it. And sorry, I am just looking back on the margin, should we take the guidance to be at probably at 23%, 24% from here on is earlier it used to be 21%, 22%. So we should see a step up going forward over the next couple of years to be anywhere between 23%, 24% or any thoughts?

Rajnish Sarna : Yes, 23 to 24% is what we are currently estimating.

Moderator : Next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congrats for good set of numbers. Sorry, again, just checking on the capex side. So on the -- our earlier commentary was that we will be continuously focusing on improvising and improving the asset turns, which we have sort of displayed over the last few quarters. And at the same time, the capex number is also getting decreased. You also suggested to invest further into the pharma production there. So from your thought perspective, from a sustainable growth run rate in CSM business, are we looking at upwards of 25% plus or maybe even higher rather than the 20% plus mark that you typically comment on?

Rajnish Sarna : In terms of growth, we are still guiding for 20% plus growth rate on a sustainable basis. That's what currently we are predicting, and we are continuing with that guidance.

Ankur Periwal: Sure. Where I was coming from was typically, it takes 3 to 4 years for a product to

mature. And historically, we had launched newer products, which were probably

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margin negative as well as higher potential ones. So is there a faster growth coming in the near term there or probably it's still a medium-term thought?

Rajnish Sarna : Well, yes, a product takes 3-4 years to mature, but we have to also appreciate that the base is also growing. I mean, if you see last 3-4 years of growth, we have been growing @ 20% plus year-on-year. So the base is also high and therefore, we are guiding for 20% plus kind of growth rate on a sustainable basis. Although there are opportunities but there are also uncertainties around the global supply chain and hence we are a bit cautious in guiding growth.

Ankur Periwal: Sure. And just second bit on the domestic side. One, if you can comment how the branded or the newer launch products are doing in terms of growth rate versus the just likely older portfolio? And secondly, your comment on the channel inventory, is it largely done or probably it will take some more quarters to settle?

Prashant Hegde : So as you rightly said, yes, the channel inventory because of lower-than-expected uptake in Kharif season, so -- due to adverse weather conditions, the higher channel inventory build-up. However, it is being consumed. So that is a good trend, I can say. The overall growth is subdued, but growth has come from newer products. However, the generic products have suffered. So that is why overall growth is subdued.

Ankur Periwal: Sure. Sorry, just a clarification. So on the channel inventory, so Q4 should be a normal quarter?

Prashant Hegde : It's a very good question, but let me also tell you, Q4 is not a major consumption period. Industry usually prepare for Kharif through preplacement effort. Hence, there is always a limitation on growth purely from the consumption point of view.

Moderator : Next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: So can you talk about the AWKIRA performance in the Rabi season?

Rajnish Sarna : We normally do not talk about specific product performance as you know. But

generally, as Prashant indicated, all the new products that we have introduced in the last couple of years, have been very well accepted by the farmer. The growth year-on-year has also been very good.

Sumant Kumar: Okay. And the second question is other expense, is there any forex gain and freight cost is also lower in this quarter, Y-o-Y?

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Manikantan Viswanathan : Yes, freight costs were lower basically this quarter. You are right. And on the forex, there are no major gains in the other.

Sumant Kumar: Okay. And what is the tax rate for FY '24-'25 Kharif?

Rajnish Sarna : Sorry, can you repeat please?

Sumant Kumar: Tax rate for '24-'25.

Manikantan Viswanathan : It's too early to predict for '24-'25, my dear friend. We can give guidance in the next quarter on '24-'25 tax rate .

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: So if you look at your domestic business on the kind of base you have this year, including the weak base in the third quarter, would you be able to do double-digit growth in FY '24? What is your expectation considering the kind of launches you have done this year?

Prashant Hegde : So yes, based on the launches we had in the last 2 years, definitely double-digit growth is what we are expecting.

S. Ramesh: And would that help you improve your margins as well given that FY '24 should be a more normalized year in terms of at least the inventory or and with the input costs coming down and the freight costs coming down, will that give you some increase in pricing power and margins?

Atul Gupta : Yes. So as I said earlier as well, as we start scaling up the new products, definitely,

yes, margins in new products are better. And definitely, it will improve overall margins for sure..

S. Ramesh: Okay. Now on the CSM, when you look at the capex plan, it's about INR 1,200 crore over 2 years. So how much of this is to increase your capacities and synthesis capabilities for the increase in the order book by about \$200 million between first quarter and the second quarter? And how much of it is to build your capabilities to get the normal business as well as to bid for new orders? Can you give us some indication of that?

Rajnish Sarna : Well, I'm not too sure on several elements of your question, but let me try. So yes, with these investments in last 2 years or even next year, including that will surely add to capacity to the tune of 25% to 28%. And apart from this, as we have been guiding

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for last few quarters that we are also working on improving efficiencies of our existing facilities, multiproduct plants and improving throughput.

Last year, we improved throughput by more than 12% to 15% this year, also close to 10%, 12%. So apart from fresh investments in capacity expansion, we are also improving with technological improvement, the plant throughput of the existing capacity. And all this is certainly helping us increase capacity utilization and also improve capital efficiency, which is also clearly reflected in the numbers that are there. And being a capital-intensive business, our whole objective is to keep improving capital efficiency.

S. Ramesh: Yes, understood. So what I was trying to understand was in terms of the increase in the order book, is any part of this capex intended to enhance your capacity to be in a position to deliver the increased order book?

Rajnish Sarna : Yes. I mean a part of capacity expansion is certainly towards this increase in order book position. And also some part of this expansion is towards many new products that are also coming through the R&D pipeline and commercialization of those.

S. Ramesh: Okay. Just one housekeeping question. Can you give us some insight into how the other income has gone up and how the interest expense has gone up?

Manikantan Viswanathan : Basically, you are aware, there was an increase in rate of SOFR.. And also the exchange rate was also there, both together has increased the overall interest expenses.

S. Ramesh: And on the other income?

Manikantan Viswanathan : On the other income, what's the specific question? Other income is foreign exchange gain and interest income .

Moderator: Our next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Congratulations on a good set of numbers. A couple of questions. First is on -- you had mentioned that there has been a significant surge in inquiries in non -agri product by roughly 25%. I understand that right now the revenue contribution from non -agro and non -pharma is still very less. So just wanted to understand when we talk about that continuous increase in inquiries, how well we are leveraged to use these capabilities -- use our capabilities and scaling of the revenues from this segment, where you see that over the next 2 to 3 years business can be from non -agro, non -pharma?

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Atul Gupta : Yes. Basically, these products that we're seeing in non-agro area, they have got a life cycle approach and right away from the labs to scale up and commercial scale, there is a gestation period for these molecules to scale . And we foresee that many of them will fructify over a period of time in terms of meaningful revenue from non-agro and non -pharma.

Rohan Gupta: In terms of like 3 to 4 years where we see this business panning? And will we be using our existing set of plant machines only for the product development here or we need to have a fresh capex to capture the growth there?

Rajnish Sarna : Yes. at commercial scale, broadly the existing mul

tiproduct plants are being used till

the time the volumes go up to a scale where you need a dedicated plant. As the development stage, most of the existing setup is what is getting leveraged. But yes, there are certain specific quality -related requirement for such different specialty chemical areas for which we have already augmented our set ups in R&D and making further investments in FY '24.

Rohan Gupta: Further, I still did not get what is your plan in 3 to 4 years any guidance? Any target which the management is set for the coming 3, 4 years?

Rajnish Sarna : Rohan, our aspiration of getting non -agchem contribution to close to 20 -odd per cent in the next 4 -5 years. This is what we have also guided in the past.

Rohan Gupta: Okay. So as of now, so the revenue guidance which you are having is still maintaining 20%. I believe that we are still relying on agrochemical product only. And even in agro also, we had that one product contribute significantly to our e xports, almost 50% of the volumes coming from the one single product. So do we see that there is a risk in terms of our export revenues -- sorry, our CSM revenues and the 20% growth guidance which you're talking about, if you are not able to scale up the other products?

Rajnish Sarna : Not really. So I'm not too sure about the percentage you mentioned, but there are 3 - 4 points to keep in mind here. One that every year, we are commercializing 5 to 6 new products, Today, if you look at our CSM export portfolio , there are 27 -28 products ; and in the last question, we mentioned that 4 - 5 products from non -agchem are already at commercial scale. Next year, we are commercializing 4, 5 non -agchem products. So you see these many numbers of new product launches as well as non -agchem products. The diversified portfolio is already there. It is no more dependent on 1 or 2 molecules. That is one aspect.

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The second point is that even on the domestic side as well, many new products are getting launched. So if you look at the company level, blended level, the portfolio diversification is there and in terms of broadening the product portfolio, even on the domestic side beyond agchem, we are getting into biological - with a large range of products already in play and many of them are at the development stages at different levels.

So this is how the product portfolio is getting diversified and this is certainly not a scenario of dependence on one product. The CSM export model with 15-16 customers and 27-28 products with another 35 -40 products at R&D scale from 10-12 new customers will only broad -based this structure. Of course, each product will have its own life cycle and at different points in time, different products will peak. So in the next 3 -5 years, the scenario will be completely different.

Rohan Gupta: On pharma side, we have seen that in last 1 year, the profitability of many pharma companies have been impacted and so as the valuations of these companies has also been impacted. We have been very value cautious, and I think that was also one of the deterrent that we were not able to back some good deal as far as the inorganic growth ambitions are concerned. Do you see that in last 1 year with the moderation and the valuation across the pharma companies? We are now more

closer and the chances have increased significantly that we have any value deal in pharma, and we can hear something soon. If you can just give some more idea about that.

Rajnish Sarna : Yes. we are currently at an advanced stage of negotiations of a few of these opportunities and at an appropriate time, we will let the investors and markets know of it.

Moderator: We'll take our next question from the line of Noel Vaz from Union Asset Management.

Noel Vaz: My questions have been answered.

Moderator: Our next question is from the line of Naushad Chaudhary from Aditya Birla Mutual

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Fund.

Naushad Chaudhary: Congrats on a good set of numbers. Firstly, just a follow-up on the previous question.

On the CSM business, the number of commercials which we did last year and this year in looking at the historical run rate, it seems really higher. So firstly, on the growth guidance, if I look at the commercial numbers versus the growth guidance, do you see the guidance which we are giving is slightly conservative, looking at the

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number of launches? And secondly on this, any of these commercials can it become a sizable in the next 3 to 4 years? Can it become to a similar size of your existing top 2, 3 products?

Rajnish Sarna : It would be helpful if you can please repeat your question.

Naushad Chaudhary: So the first piece of question was in terms of your commercials in the CSM business last year and this year has been slightly higher than our historical run rate. So going by the numbers of commercial, would it be fair to assume your growth guidance of 20% is slightly conservative?

Rajnish Sarna : I will not say conservative. But yes, this is a guidance we are very confident of, We always remain cautious of the global markets and we are seeing the kind of swings , which are happening in the global market, whether it is European markets or American markets and many other challenges in the global supply chain . So we have to be mindful of these uncertainties and we always try and give a guidance with which we are very confident.

Naushad Chaudhary: Okay. And secondly, on this, from your new product basket, can we see any or a few of them can be a sizable or similar to our existing top 2, 3 products in next 2 to 3 years?

Rajnish Sarna : Yes. When we decide to work on a molecule for our development for the domestic market or for export, we always screen those molecules on these parameters. And many of these molecules are for multi crop/pest segments and wider geographies and therefore, they have the potential to be a sizable molecule .

Moderator: Our next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Just to clarify regarding the capex footprint, the asset footprint we have at this time. So we've mentioned in the presentation, we have 15 multipurpose plants. Are there certain dedicated plants also that are part of our infrastructure right now within these 15 or excluding them? And then these 2 new plants that we are talking about over the next 2 years, are these primarily for the newer molecules that are getting commercialized? Or is there also some capacity expansion for the existing major products that we have?

Rajnish Sarna : Yes. out of the 15, there are 3 or 4 dedicated plants for which we have long-term contracts and volumes which are pretty high. For the next 2 plants, there are many new products that are getting scheduled there for commercialization. And again,

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these are all fungible plants. So as the volumes of even existing products grow, we keep switching capacities from one to the other plant in order to meet the customer requirements and all.

Moderator: Our next question is from the line of Aditya Jhawar from Investec.

Aditya Jhawar: Can you comment on the inventory situation in our key export market?

Rajnish Sarna : You said inventory position?

Aditya Jhawar: Yes. How is the channel inventory in our key export market?

Rajnish Sarna : Well, there is a mix kind of scenario . It varies from product to product, market to market. So in a few markets, yes, there is some sort of inventory pile up. But in others, we are seeing also a scenario where there are challenges on supply and product availability on time as well. So there is a mixed scenario.

Mayank Singhal : To put it in a summary, we go with the uncertainty in China, and definitely the generic

are facing the pressure of this build -up at a global level, both the inv

entories because

they were secure in that on the other hand, supply is opening up. So that's going to be under pressure in a generic play, yes. And that's the indicators, especially in the latin part of the world and in certain markets. So inventories are as a matter of fact, yes, there will be certain challenges for some of these areas in the coming year.

Aditya Jhawar: Okay. That's helpful. But sir, if you can just specifically talk about how is the inventory situation in North America, South America and Europe?

Mayank Singhal: Well, these are very well captured in global reports. If you see at a general level, yes, there are inventory build-up, but as the seasons progress well, they should be aligned, in America and Europe. And I can't say how inventory cycles will run, whether this could change we don't know what happens in the next 6 months, but from a channel point of view and from a logistics point of view there could be challenges, in the coming year.

Rajnish Sarna: But fortunately, for the kind of product that we are dealing in, we have not yet seen those kind of alarms.

Aditya Jhawar: Okay. My final question is, typically, in agrochemicals patented products. So as compared to the total ASP of the product, what proportion is the active ingredient?

Mayank Singhal: What do you mean, I mean in terms of proportion of the active ingredients?

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Aditya Jhawar: Yes. So for them, if the product is selling at, say, \$10, what would be the cost of active ingredient for a patented agrochem?

Mayank Singhal: Well, there is no standard formula my friend. If you look at the API world, there is no standard formula because cost is very different from the selling price. Selling price is determined by the affordability of the farmer and the value proposition to the farmer and what goes behind technologies. So it is not just the cost of raw materials, which are driving the cost of sales. There's also investments which companies have made over the last 10, 15 years, a little bit different by different products. It could be \$200 million to \$ 7-800 million. So that is not a cost which comes in cost of goods. So depending on which lens you look at it. Today, if you are registering one product in one geography there is a cost; if you are registering multiple crops /pests/ formulations, the investment is completely different. If the registration is for herbicides there is a different requirement for toxicology and the requirements for fungicides are different.

So the cost of goods is not the only factor to decide the selling price of the goods if I was to put that very clearly. There are other costs, which may not be visible on the base. I hope that answers.

Moderator: Our next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: My question is on the pharma business plan that we have. Like in agro, after predominantly our entire businesses is on different products. In pharma, when you're looking for acquisitions, are we looking for purely patented products, like patented in CDMO or are you looking at generic CDMO also?

Mayank Singhal: Well, let me answer this. I think when we look at the custom synthesis & manufacturing business, it is a service which we provide in research, development and manufacturing, products obviously form a part of that. When you look at the domestic business, it's purely products, yes, and crop solutions. When you look at the pharma business, we are obviously eventually manufacturing the products, but again, we intend to start with the service in the CRO/CDMO model. Yes, it's coming into products; if we look at manufacturing some of those large cases then they become products.

Nitin Agarwal: I get your line, but is our -- so we are agnostic to whether it's a generic or a period product as well as pharma is concerned?

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Mayank Singhal: Well, there will not much of a CRO or CDMO work in generics, but it will be more innovators pipe, that's where we will be focusing. When we look at CRO or CDMO, which has started the innovator side where we work with the innovator at an early stage and take it to commercial because of the regulatory framework. The generics will be a value add in certain select products if we are able to create some differentiated proposition for our customers with our chemistry capabilities.

Moderator: Our next question is from the line of Dhruv Muchhal from HDFC Mutual Fund.

Dhruv Muchhal: In your 9 months for the export business, you mentioned favourable product mix.

Yes. So in the exports business, you mentioned that for the 9 months, the product mix and currency is about 12% contribution. I just wanted to understand what we understand is, that in the CSM business or the exports business, the price increase would largely be due to an RM price increase because that gets passed through is what our understanding is. And if that happens, generally the gross margin should decline because your per Kg margin remains broadly the same because you work on a contribution basis. But your gross margins are still improving or still steady. So just wanted to understand, is there some change in the structure? And on currency, that also largely is a pass-through, if I'm not wrong, and in your contract. So does the currency always benefiting in your revenue? Does it also benefit in your EBITDA?

Rajnish Sarna : Yes. Just to explain, first of all, this notion is not correct that there is a per kg fixed or something. That is not the kind of business we are in. Yes, we work on a model where there is transparency on raw material costs, currency movements and conversion costs and any increase or benefits are shared with our partners.

So yes, in the last 1-1.5 years, there is a significant increase in the input cost both in terms of raw material prices and other inputs like fuel, etc. The benefit that you are seeing reflecting in our numbers is, as I explained to the earlier participant also, is mainly coming from improved product mix as we have commercialized more than 10-12 products in last 2.5 years. So product mix is improved. The contribution of some of the existing products, which was different, say, last couple of years versus this year. So overall product mix change is favourable for us. That is one.

Secondly, the operating leverage benefit is also kicking in for us. This scenario was obviously different a few years back when the capacities were underutilized. But yes, this year, those benefits are kicking in for us. And that is what is reflecting in these numbers.

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Dhruv Muchhal: Understood. On EBITDA basis, I understand the operating leverage benefit. But even on the contribution margin where it is largely RM, if I'm not wrong, where it's a transparent model. So you get to retain a decent part of the -- it seems the efficiency gains or the benefit from higher volumes.

Rajnish Sarna : Yes. So that comes from product mix. Because if you look at the contribution level, only 1-odd-percent is the improvement and that is coming from the favourable product mix.

Dhruv Muchhal: So it's primarily the product mix, which is helping us maintain our gross margins.

Mayank Singhal: Yes.

Moderator: Ladies and gentlemen, we take that as a last question. I now hand the floor back to the management for closing comments.

Mayank Singhal: Thank you for joining us on this call, and we look forward to a successful year and thanks for all your support to PI. Good evening.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2023

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May 26, 2023

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Dear Sir /Madam ,

Sub: Transcript of the Earnings Conference Call for the quarter and financial year ended March 31, 2023

Pursuant to Regulations 30 (6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the transcript of Earnings Conference Call held on Friday, May 19, 2023 to discuss the Audited Financial Results for the quarter and financial year ended March 31, 2023. The link to access the transcript of the Earnings Conference Call is <https://www.piindustries.com/investor-relations/co-go/Concal-Transcript>.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

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PI Industries Limited

Q4 & FY23 Earnings Conference Call Transcript

May 19, 2023

Moderator: Ladies and gentlemen , good day and welcome to the Q4 FY23 Earnings Conference Call of PI Industries Limited.

As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0" on your touch -tone phone.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you and over to you, Mr. Solanki.

Nishid Solanki: Good afternoon, everyone and thank you for joining us on PI Industries ' Q4 & FY23

Earnings Conference Call .

Today, we are joined by Senior Members of the Management Team including :

- Mr. Mayank Singhal – Executive Vice Chairman and Managing Director
- Mr. Rajnish Sarna – Joint Managing Director
- Mr. Manikantan Viswanathan – Chief Financial Officer
- Mr. Prashant Hegde – CEO, Agchem Brands
- Mr. Atul Gupta – CEO, CSM Agchem , and
- Mr. Anil Jain – MD, PI Health Sciences

We will begin the call with key perspectives from Mr. Singhal. After that, we will have Mr. Manikantan share his views on the financial performance of the Company . After that, the forum will be open for a question -and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call may be forward looking in nature and a disclaimer to this effect has been included in the investor presentation shared with you earlier and available on stock exchange websites.

I would now like to request Mr. Singhal to share his perspectives with you. Thank you.

Mayank Singhal: Good afternoon, everyone and thank you for taking out the time to join us today. We have assembled to review the fourth quarter and annual performance of the Company.

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FY2023 witnessed unprecedented challenges. Global economic activities experienced a widespread, sharper -than-anticipated slowdown, and inflation has risen . The cost-of-living crisis, tightening financial conditions in most of the global regions followed by Russia's invasion of Ukraine, and the lingering effects of the COVID -19 pandemic have all hurt the economic outlook.

Against this backdrop of the overall business and operational environment of 2022 - 23, I am very pleased to report that we have delivered on our ambitious financial targets , revised upwards in Q3. Team PI has excellently continued the growth momentum of revenue and EBITDA during Q4 and for the full year '22 -23. This growth came despite the aforesaid challenges in the last year's high base both in domestic and exports. I thank all PI team members for their winning spirit and our business partners for their continued support and trust in our relationships.

PI model continues to deliver . Year -on-year, our revenue growth for FY23 came in at 23% with an EBITDA increasing by 35% and a profit after tax of 46%. Further, a laser sharp focus on net working capital management significantly improved the cash flow from operation activities to nearly 3x of that of FY22.

Given our growth disposition, we delivered a healthy accretion to free cash flows and investments in capacity creation and new research. In line with the continuity of superior delivery of results, the Board of Directors have recommended a dividend of Rs. 5.50 per share (face value Rs.1) thereby giving a shareholder total dividend of Rs. 10 per share for the year FY22-23.

I will also take this opportunity to convey yet another milestone in PI 's journey. With the twin acquisitions in the pharma CDMO and CRO space announced on 27th April 2023, these acquisitions mark a solid and accelerated beginning of the PI journey in the pharma space. Our unique ability to build concrete offerings from abstract situations and leveraging our capabilities across the complex chemistries in the value chain and business processes will continue again to create a differentiated value proposition to our stakeholders.

With the advanced range of crop -protection brands, the domestic business has thrived at a 12% annual growth with 8% volume, and 4% price increase in FY23. Our new launches in the recent few months have witnessed good acceptance with a portfolio of new brands and brand launched over the past few years, we have established leadership in the respective categories. During FY23, we delivered one of the highest number of launches of new brands in the industry in a year. We have a strong pipeline of products at different stages of development and continue to enhance our portfolio with a differentiated offering.

India exported \$24 billion plus worth of chemicals in FY22, the highest level achieved since the year 2015. In another 15 years or so , India is expected to have a chemicals market of \$850 billion to \$1,000 billion accounting for about 10% to 12% of global share. Specialty chemical exports from India are slated to scale 10x between 2023 to 2030 in line with the growing consumption in the consumer, agri and industrial space. As per CRISIL, Indian Ag-Chem is slated to grow 10% to 12% in FY24 with

exports accounting for 50%. Concurrently, the China +1 phenomenon and the decline of the EU as a chemical industry powerhouse will support growth for India. India is naturally well placed to absorb this new demand on account of development of the value chain backed by its finesse in chemical engineering and technologies.

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In the recent past, the specialty chemicals industry has been witnessing some headwinds with the US seeing recessionary pressures and Brazil expecting elevated channel inventories. Similarly, demand for the agrochemicals is said to be getting lo

wer in the EU and China as well, but all this is more relevant to the generics and more matured products in the market.

PI, which is mainly engaged in the early -stage molecules, the demand scenario for such products largely remained unaffected given the inherent nature of its model. We continue to work with partners for the global requirement for their new molecules. PI has meticulously developed the business model over the years that works best for the innovators and ensures high quality and timely supply of next -gen products to global requirements. The quality and the quantum of order book and the pace of inquiries, testify to our renown for developing advanced solutions. Over the years, we have diversified our client engagement to cover newer markets, products /, crops, segments. PI's competitive advantage lies in technological edge, world -class infrastructure ensuring sustainable operations, and enduring relationships with global innovators/large MNCs.

I am confident of the underlying momentum in our core businesses and expect the Company to deliver an 18% to 20% growth momentum with better margins in FY24. The pace of commercialization of new molecules has increased year-on-year, which is apparent in our performance. We expect to continue this pace with 4 to 5 molecules yearly and record scale -ups of existing molecules.

Our recent foray into the pharma CSM, through announced acquisitions presents a well-defined pathway into the pharma ecosystem with the help of integrated approach from R&D starting materials, API, and single -stop solutions to our customers.

Once again, ESG remains the core of our initiatives. It is a way of life at PI. I am pleased to report that team PI received several accolades during the year reorganizing our long -term quality, CSR, and safety programs. PI is committed to inclusive and responsible growth aligning with the SDGs and creating a long-term sustainable solution towards the purpose of reimagining a healthier planet. With that, I now conclude my remarks and would like to invite the CFO – Mr. Manikantan, to take you over the statements of financial performance. Over to you, Mani.

Manikantan V: Good afternoon to everyone and thank you for joining us on the call today. I will be summarizing the Company's "Financial Highlights" for the fourth quarter and full year ended 31st March 2023.

Please note that all comparisons are on a year -on-year basis and refer to consolidated performance of the Company.

During Q4 FY23, we reported a revenue of Rs. 15,656 million, a growth of 12% over the same period last year. This was driven by growth in exports revenue by 15% to Rs. 12,814 million and 1% increase in domestic revenues to Rs. 2,842 million.

The export revenue growth of 15% was led by price and a favorable product mix of 17% offset by volume decrease of 2%. Domestic growth of 1% year-on-year was driven by volume increase of 2% offset by a price decrease of 1%. Our gross margin improved by 74 basis points to 45% due to favorable product mix. EBITDA increased

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by 13% to Rs. 3,440 million for the quarter driven by operating leverage benefits and tight control on fixed overheads.

Profit after tax increased by 37% to Rs. 2,806 million is attributed to EBITDA growth despite high depreciation. Cash flow from operations before tax during Q4 FY23 was Rs. 5,729 million. This was due to higher EBITDA and efficient working capital management. The trade working capital in terms of number of days of sales reduced to 79 days vis -a-vis 103 days as on 31st March FY22.

Let me cover the "Annual Performance" for FY23:

Revenue was Rs. 64,920 million, a growth of 23% over FY22. This was driven by solid growth in export revenues by 26% to Rs. 50,304 million and 12% increase in

domestic revenues to Rs. 14,616.5 million. 26% growth in exports was driven by scale up of existing products and introduction of 4 new products. The growth was led by

volume growth of 11% and 15% from price and favorable product mix. Revenue growth of 12% in the domestic segment was driven by a price increase of 4% and balance from volume growth.

Rising input costs were offset by efficiencies and price increase in exports and domestic. EBITDA increased by 35% to Rs. 15,489 million for the year. Favorable product mix and significant increase in operating leverage reflected an improvement in the EBITDA margin by 223 basis points to 24%. Profit after tax improved by 46% to Rs. 12,295 million on account of ETR (effective tax rate) improvement of 14.9% due to growth in export revenue.

Our balance sheet further strengthened during the year. Net worth increased to Rs. 71,985 million as on 31st March 2023. Total CAPEX for FY23 stood at Rs. 3,385 million and is in line with the plan. Inventory levels also reduced in terms of days of number of sales approximately to 79 days to Rs. 13,976 million. The Company repaid its entire ECB loan during FY23 and maintained its strong liquidity position. Cash generated from operations before tax during FY23 was Rs. 17,572 million vis-a-vis in FY22 of Rs. 7,038 million including efficient working capital management leading to significant improvement in the cash position.

That concludes my opening commentary. I will now request the moderator to open the forum for Q&A.

Moderator: We will take our first question from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: My first question is that we acknowledge that inventory situation for generics is much more as compared to innovative product, but keeping that in backdrop, a volume decline of 3% in this quarter, if you can throw some light, are you seeing a change in production schedule of customers and are you also seeing that there is a commentary which is suggesting that deferment of procurement by farmers? And in that backdrop, how is the volume momentum looking over the next few quarters?

Rajnish Sarna: Yes, as you explained, the backdrop of falling generic prices given the overall inventory in the channel is fine, but in case of the products that we operate in the early-stage molecules, we are not currently witnessing any kind of significant change in the demand scenario for us going forward. As far as Q4 volume decline that you are referring to, this was in line with the annual plan because there were supplies scheduled of different products for different customers in Q1 to Q3, and accordingly as per the planned schedule, certain quantities were scheduled in Q4. Therefore, volume degrowth and the overall value in Q4 is absolutely in line with our plan. In fact, overall FY23, we have finally delivered better than what we had anticipated for

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this year for our exports, and this is obviously based on the surge in some of the existing and new products that we commercialised.

Going forward, in the coming quarters as we have also guided again, we are seeing a similar trend. We are expecting 18% to 20% growth. Yes, in certain quarters, this growth may be higher. In certain quarters, again, basis the schedule, growth may be a little lower than 18% to 20%. But overall, for the year FY24, we are very confident, and we have a very clear visibility of growing this business by close to 20%. I hope this answers your question.

Aditya Jhawar: One bookkeeping question, sir. When we look at the export database, that and what numbers PI has reported, there is clearly a difference of about \$50 million. In terms of revenue recognition, do we recognize the revenue once the shipment reaches, or it is based on the export?

Rajnish Sarna: This is the basis of different incoterms with different customers and different contracts with different customers. Revenue recognition is in accordance with the accounting standards.

Adit

ya Jhawar: As a ballpark, which is the large part? After it reaches or when it is shipped?

Rajnish Sarna: As I told you, this is according to the incoterms and contracts with different customers. Obviously, it is not in front of me to tell you what percentage is to what kind of incoterms.

Aditya Jhawar: Final question is on margin if you can throw some light. We saw sequential margin compression. How should we think about margin going into FY24? What are the key monitorable that we should look for?

Rajnish Sarna: Margins, again, if you see in Q4, there is a dip of close to 2.5% in gross margin and that is directly linked to the product mix. As I said earlier, different quarters will have different product mix while in Q3 or Q2, the product mix was different. Even the business composition was different. In Q4, it was slightly different and that the gross margin dip is clearly reflecting the product mix change. Besides, this being the last quarter of the year, there are also annual provisions and charges and there were also one-offs pertaining to some of the strategic initiatives that we were taking throughout the year. That is even less than or around 1% or so. I would consider that to be a one-off kind of case. Going forward FY24, we are expecting to certainly improve our overall FY23 margins. It would be difficult for me to quantify it, but yes, as the volumes, and values are expected to grow by 18% to 20% operating leverage benefits and some qualitative improvements in the product mix, will help further improve EBITDA margins going into FY24.

Aditya Jhawar: My final question is on CAPEX, sir. How should we look at the number combined CAPEX for even the acquired assets in FY24 and FY25?

Rajnish Sarna: As we guided in the last quarter, we have carried over CAPEX of close to Rs. 300 odd crore. We are also expecting to do another Rs. 600 odd crore CAPEX in the core business areas. So overall, close to Rs. 850 crore to Rs. 900 crore of CAPEX we are seeing in the Ag-Chem business areas. In case of pharma, we are still to get into the depth of assessing the current stage but, tentatively, around USD 10 million to Rs. 12 million is what we are projecting in FY24 and these pharma-related numbers will get firmed up once we take full control of these acquired entities.

Moderator: We will take our next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

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Vivek Rajamani: One clarification and one question from my side. Just an extension to the previous participant's question on the margins. You mentioned that the dip in this quarter was because of the product mix. I just wanted to clarify; does this product mix typically happen in the Q4? Because, in the last couple of years as well, the Q4 margins have gone a bit below the previous quarters. So, just wanted to check if this is a Q4 phenomenon normally or it is just something that specifically happened in this year?

Rajnish Sarna: I will not say this is a very normal or a regular phenomenon, but yes, every year the scheduling of the product may undergo some change depending on the specific markets or customers or product-specific requirements, but yes, the product mix may vary year to year. There is no fixed trend or there is no specific trend on this for a specific quarter.

Vivek Rajamani: The second question was more on CAPEX. Even after the recent acquisition, we still have a lot of firepower with respect to your balance sheet and cash. Just looking slightly beyond FY24 and FY25, could you just maybe provide some color with respect to your more medium-term ambitions with respect to how you are thinking of deploying this cash?

Rajnish Sarna: We have several strategic initiatives identified for the long-term growth of the organization and obviously this cash on the balance sheet will get deployed over the years as we progress on some of these initiatives. These initiatives include Pharma

bolt-ons, strengthening our product portfolio in the domestic market. As you know in the past we have been evaluating, looking at, and are still looking at some of the opportunities of near-shoring and expanding our global manufacturing footprint going beyond India. So, yes, there are several of these strategic objectives that we have clearly identified, and we are actively evaluating several inorganic opportunities to meet these objectives. As we will eventually zero down on some of these opportunities, we will keep deploying the cash on the balance sheet.

Moderator: We will take our next question from the line of Sabyasachi Mukerji from Bajaj Finserv AMC. Please go ahead.

Sabyasachi Mukerji: My first question is a clarification on the growth guidance between the 18% to 20%. This is excluding the pharma CDMO consolidation that will happen, or this is including that?

Rajnish Sarna: This is excluding the pharma consolidation.

Sabyasachi Mukerji: A follow up to that is, if I look at your FY23 revenues which have grown at 23% and the CSM exports basically have grown at 26%. A large part of that also came from the benefit of currency depreciation. What kind of volume growth if I may ask that you are looking at in FY24?

Rajnish Sarna: I would say it will be broadly the volume growth that we are indicating, 18% to 20%, because we are not expecting a significant price movement or currency movement

from here. So, yes, it is majorly coming from volume growth.

Sabyasachi Mukerji: Is there any skewness probably towards H1 or H2? You are seeing depending on the client orders and all, will it be back ended, or it will be even out during this year?

Rajnish Sarna: There is no major skewness that we see here. The domestic business is majorly in the first half, at least 60% of it. When we talk about exports, it is evenly distributed in H1 and H2.

Sabyasachi Mukerji: Last question from my side is how should one look at the tax rates for FY24 and FY25?

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Manikantan V: For the current year, it is 14.9%; however, for the next year, it will be between 15% and 16%.

Moderator: We will take our next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, the first question is on the pharma acquisition. Is it possible to give broadly what kind of asset turns both Archimica and TRM have and what kind of incremental projects that they are working on?

Anil Jain: As Rajnish said in the initial discussions, we are in the phase of detailing it right now. One transaction is closed; the other is under process right now. So, it will take some more time for us to assess that part, I think.

Rohit Nagraj: The second question is particularly from the domestic market. We have been hearing that there is a good amount of channel inventories in the system and an influx of China generics. Will that also have an impact on our products based on the last one and half months of placements that we have done for the kharif season.

Prashant Hegde: Channel inventory we are maintaining as per our practice and strategy which we have been doing for the last few years. I do not see any abnormality in the channel inventory for us. Whatever growth we are forecasting for Q1, we are optimistic and positive about that.

Rajnish Sarna: Just to add to this, PI is in any case into specialized products and not so much into generics and me-too kind of products. So, this steep fall in pricing or channel inventory that is being talked about is not much relevant for us.

Moderator: We will take our next question from the line of Praful Kumar from Dymon Asia. Please go ahead.

Praful Kumar: CAPEX number for next year. What is that? Rs. 1,000 crore is what you are saying?

Rajnish Sarna: Yes, around Rs. 900 crore.

Praful Kumar: Secondly, sir, in

terms of your acquisition plans. You said there are a few other opportunities that you are working on. Broadly, I wanted to understand exactly what space, geographies, or alignment to the business they will be?

Rajnish Sarna: That's what I was explaining to the earlier participants. For example, there are certain other technologies that we are evaluating to further strengthen our portfolios of marketing and distribution space. There are opportunities that may also help us derisk our manufacturing concentration in India and have a more global manufacturing footprint near-shoring the markets and all. There are also opportunities that may add more value and help us further strengthen our pharma business model, could be the bolt-ons to that. So there are different opportunities and to meet our long-term objectives, we will be evaluating and suitably deploying our cash on the balance sheet in some of these areas.

Praful Kumar: Finally, Sir, on the asset turn that you incrementally deployed would be similar to what asset turn we have currently, or these are better opportunities?

Rajnish Sarna: This would surely be our objective, but as you can imagine that whenever you get into a new business area or new asset, you will have to make some development spend but after that initial period of integration, yes, this will be our objective to improve on our current financial metrics including asset turns, margins, asset returns, and all.

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Moderator: We will take our next question from line of Ankur from Axis Capital. Please go ahead.

Ankur: Sir, the first question on the CSM side. If you can highlight the revenue contribution from let us, say the newer products which we would have launched over the last few years or the freshness index that you usually share in terms of the ramp-up?

Rajnish Sarna: New products commercialised over last 4-5 years, 17% to 18% is the revenue coming from those products. Generally, that is the metric we look at.

Ankur: And if I am not wrong, last year this number was around 15% to 16%.

Rajnish Sarna: Yes, 16% to 17%.

Ankur: Sir, on the domestic side as well, while on an overall basis, there is a pricing and volumetric growth and you have mentioned an 8% odd growth for the full year, how has been the ramp-up there from the new products and the older ones? And an allied question to that; is there any down-trading or any slowdown in terms of the uptick in sales?

Prashant Hegde: Overall, in terms of new products, it will continue to grow. We do not see any challenge on the products which we have launched. These are very specialized products and there is a requirement in the market. That is why we strongly feel even this year as well, these products continue to do well.

Ankur: Just a follow up if I may. The working capital reduction that we have seen, an impressive performance there, should we expect that to sustain going ahead as well, especially on the inventory side?

Rajnish Sarna: I would say, by taking some initiatives, we have significantly reduced the working capital particularly on the inventory side as you may know that for the last 1 to 1.5 years because of COVID and uncertainties in supply chain, shipping lines, etc., we were operating at higher inventory levels and working capital levels. By taking these initiatives, a significant part of it we have already normalized in the last couple of quarters. There is still some room and, on both sides, domestic as well as exports side, we will be working on it. There is some scope for improvement, but yes, I would surely exercise caution to not extrapolate from the current levels of improvement.

Moderator: We will take our next question from the line of Madhav Marda from Fidelity. Please go ahead.

Madhav Marda: I just wanted to broadly understand when customers are asking for more near shoring of capacity, I would assume t

he cost of manufacturing or CAPEX cost would be a bit higher if you were to make the same product in Europe or in the US. What is the key reason for having this near shoring?

Rajnish Sarna: Near-shoring may have many strategic advantages. One is that some of the strategic projects they may want to have closer to their sites, closer to their markets, plus near-shoring also helps in overall supply chain management because there are other people and other suppliers also involved in a particular product. Therefore, from the overall supply chain efficiency point of view, they find it better to have some of the suppliers near-shoring or near the markets or their setups. Some of these reasons are there and obviously, as far as cost is concerned, from our point of view, we would always want to retain the cost advantage that we have been operating ..

Madhav Marda: The second question from my side is when we look at our pipeline, you do mention the mix between agrochem and non-agrochem pipeline, but within the agrochem, for example, is the pipeline more to do with new patent that we are looking at or is it

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more intermediates? If you could give us a broad sense in terms of how does the pipeline mix look like?

Rajnish Sarna: When I look at the two areas, it is more into the IP space whether it is new APIs or advanced intermediates. That is where we play with a little more complex in technological-related products.

Madhav Marda: APIs and advanced intermediates are patented molecules, right?

Rajnish Sarna: A mix of both.

Moderator: We will take our next question from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Sir, you have mentioned in the PPT the five innovative products we are going to launch in FY24. Can you talk about how many products are patented and any product is a very good product and in the high-opportunity segment?

Rajnish Sarna: As we explained to the earlier participant that most of the products that we commercialized in our exports are early-stage molecules, be it API or be it intermediate. And even in the domestic area, most of the brands that we introduced are specialty products. Patent or no patent, but almost of them are specialty products and many of them are introduced in the Indian market for the first time.

Sumant Kumar: I am asking for the domestic market, branded.

Rajnish Sarna: Yes, Domestic market and many are specialized products.

Sumant Kumar: Any product you want to highlight? Likely to do well or high-opportunity area?

Rajnish Sarna: Most of these products whether it is Brofreya® or whether it is Sectin®. Prashant you may want to elaborate on it.

Prashant Hegde: I don't want to get into a product very specifically, but I can say that these products we can do very well on wheat, we can do well on rice, we can do well on horticulture

crops, and on top of it, we are adding few biological products and they are crop agnostic. They can move into many other crops. It is a mix of obviously biologicals as well as crop protection products.

Sumant Kumar: Any exceptional item or forex loss and gain in other expenses this quarter?

Manikantan V: The other expense in this quarter includes one -time forex impact due to repayment of ECB loan.

Sumant Kumar: Any one -time expense in other expenses this quarter?

Manikantan V: We have told that there are some one -time expenditures on account of the strategic initiatives as well as some usual year -end, provisions.

Sumant Kumar: Can you quantify that?

Manikantan V: Rs. 25 odd crore .

Sumant Kumar: That is not going to continue in the next quarter .

Rajnish Sarna: Yes, those are annual provisions, and the strategic initiatives are one -off.

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Moderator: We will take our next question from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

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Sanjaya Satapathy: Sir, if you can just explain to us that your revenue growth is coming despite volume not growing as much, the price hikes, how much of it is because of the product mix change and how much of it is you taking price hike?

Rajnish Sarna: We don't have this much detail in front of us, but as we explained, close to 11% of the growth in our exports is from volumes and rest has come from change of product mix, price, currency, because we have seen all these things moving and also overlapping. It is very difficult to segregate price from product mix and then to currency.

Sanjaya Satapathy: The primary reason we are asking this is that nowadays mostly we are in a bit of a deflationary environment whereas your numbers are pointing out as if you have been taking a lot of price hikes . So, I was just trying to understand whether it is actual price hike, or it is getting into some different product.

Rajnish Sarna: No, there's no price hike in the current scenario . If you talk about FY23 , , yes, there was inflationary impact on the input material prices and as you know, our business model is that these inflationary impacts are passed through to the customer so that we can sustain the margins at which we are operating . And that was the reason of the price increase.

Sanjaya Satapathy: And a related question is that in your guidance you were really looking at the next year, i.e., FY24 as more driven by volume growth than 18% to 20% growth rather than a price increase.

Rajnish Sarna: Yes, because we do not see this inflationary trend and the currency trend moving up from where we are today.

Sanjaya Satapathy: And at the same time, you are looking at better margins. So, it must be because of better utilization and operating cost savings.

Rajnish Sarna: Yes, you are right.

Sanjaya Satapathy: Last thing I just wanted to understand, though you might have already explained that there is a step jump in CAPEX , and the Rs. 900 crore does not include the acquisitions, I assume. This step jump partly is because of the delayed deferred CAPEX . Is that right, sir?

Rajnish Sarna: Yes, we are carrying over close to Rs. 300 odd crore from FY23 as we explained earlier.

Sanjaya Satapathy: And the benefit of this new CAPEX will be realized in FY25 onwards?

Rajnish Sarna: Yes.

Moderator: We will take our next question from the line of Vishnu Kumar from Spark Capital. Please go ahead.

Vishnu Kumar: Just a connected question from the previous participant . Are you currently seeing a deflationary trend starting to play out now? Some RM material that is coming off now and which you would have to pass on to your customers at a later part of the year?

Rajnish Sarna: There is no common scenario here. It varies from product to product. As we were talking earlier, in the case of generics and in the case of many of these commodity

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chemicals, yes, there is a deflationary trend that we are witnessing. But yes, there are still several of these raw materials, where the prices are quite stable; in a few cases, even increasing. So, it is a very mixed scenario. But yes, as per our business model, whenever we see this kind of downward price improvements we pass -

through these benefits to our customers.

Vishnu Kumar: Earlier you used to say that a lot of efficiency gains we were bringing in terms of our manufacturing practices and hence we were able to increase revenue on volumes with a limited CAPEX. Where are we now? Have we maxed out that? And if you could also talk about your Rs. 300 crore carry over plus Rs. 600 crore this year? Also, next year, what kind of agrochem CAPEX you will be doing over the next 24 months, and how many new multipurpose plants if you can give some commentary on this?

Rajnish Sarna: Over the last 2 years, we have taken a lot of initiatives towards increasing the plant through

put, improving the capital efficiency, and this is all reflecting in asset turns. I will not say that this magnitude of improvement will continue, but yes, there are a lot of opportunities still exist and our teams will keep working on further improving these efficiencies from here as well.

What was the second part of your question?

Vishnu Kumar: I just wanted to understand the nature of the CAPEX you are doing in Ag-Chem. Close to Rs. 900 crore including the carryover of previous year and whatever you have some plans in terms of putting in next year. What will be in the new multipurpose plants or what is the nature of CAPEX or how many new plants will be coming in? Any idea on it?

Rajnish Sarna: A major part of this CAPEX is towards capacity expansion, and we are putting up two more multi-product plants. The other part of this CAPEX is towards further automation, qualitative improvement of these sites, R&D, and other technological upgradation of these plants.

Vishnu Kumar: One clarification of a previous point you made. Sir, you mentioned that there are some contracts where you will recognize this is on revenue recognition, more to Mr.

Mani sir. Are there any contracts where you have exported some volume, but it is still not reached to the customer? Only when it reaches more of a CIF basis, then only you will consider as revenue?

Rajnish Sarna: As per the accounting standards, if there are contracts where you are producing exclusively for one customer and they also very specifically mention that you produce and keep this at the port or at some warehouse or something, so, as per the accounting standards, those things are recognized accordingly. That is what I am saying that each contract, each product, there are different incoterms, there are different inventory terms, and supply terms. And accordingly, the revenue is recognized. But all this is done as per the accounting standards.

Moderator: We will take our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: On the pharma acquisitions, would it be possible to share some rough guidance regarding the sort of EBITDA contribution they could make in FY24? And one corollary to that; for TRM, we do not have the FY23 EBITDA. In case you have it handy with you, could you please share that as well?

Rajnish Sarna: We are still in the process, Abhijit, and as I told you last time, we are still to close TRM transactions, and currently the FY23 numbers are not readily available with us.

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But tentatively, our projections are anywhere between Rs. 550 crore to Rs. 600 crore kind of revenue. Again, it will all depend on when we close and when will these numbers get consolidated with PI, and 15% to 18% of EBITDA on that.

Abhijit Akella: 15% to 18% margin? Okay. I was under the impression that TRM was doing much better than that from the FY22 numbers.

Rajnish Sarna: Yes, but there will also be development spend in the initial years and consolidation. We are also putting up our R&D site.

Mayank Singhal: We are in the process of building a unique business model and acquiring and taking it to the next level requires significant development spend. Those investments will happen over the next couple of years whether it is in overheads or whether it is in structures or whether it is in building assets..

Abhijit Akella: The second thing was on the new product contribution. The percentage of revenues from the new products has been stable at around 17% to 18% for some time in the past. As we move into the next 3-4 years and try to bring down our product concentration within the agrochemical business away from the top molecule, how much confidence do we derive from the traction in the new molecules that we are moving in the right direction and what sort of improvement could we expect to see there?

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Mayank Singhal: The fact of the case is this is a constant pipeline of things that keep coming. There are peaks for each product, and at each different stage, different products take the lot. And if you look at the cycle of 15 -20 years because that is the lifecycle of a product. If you look at the history of the last 4 -5 years, it is between that range of 16% to 18% because that is the typical scale-up time lifecycle for a new product.

Rajnish Sarna: And many of these new products that we have added to our portfolio, I would say both on the export side as well as on the domestic side, have significant potential. On the domestic side, some of these products are multi-crop -by-segment products, not specifically for a single crop or a pest segment. They have a much larger market potential. Same way, on the export side as well, some of these are either APIs or intermediates of very large global molecules. So, yes, they have a very good market potential for growing big.

Abhijit Akella: Just one last quick thing. Slide # 16 of the presentation talks about working with some global advisors for integration and transformation for value creation initiatives. If you could please shed some details on what direction are these initiatives towards, that would be helpful.

Mayank Singhal: This is as you have seen in the pharma initiatives, we would need to get the various expertise and that is what we are doing.

Rajnish Sarna: This will be towards the integration of these acquired entities and transforming them to build a differentiated model.

Moderator: We will take our next question from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: In terms of the outlook for the next year if you are looking at the entire top line growing in volume, how would you expect to maintain margins at 24%? Will there be some stability in margins per unit? Because the reason I am asking is if there is some decline in prices compared to the base of last year to the extent that there is a decline in the top line, the overall trend will be down. So, in terms of the margin outlook, can you give us some sense of what to expect?

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Rajnish Sarna: As explained earlier, we are expecting to improve on margins, and this will mainly be driven by operating leverage because we are expecting to grow 18% to 20% and there are also several initiatives that we are working on to further improve efficiencies around our manufacturing as well as on the marketing side.

S Ramesh: On the pharma acquisitions, is it possible to indicate what is the timeline you would expect to bring the ROCE in line with your current blended ROCE? And can you give us some sense in terms of the development expenses you will have to incur both for development as well as integration cost, whatever broad estimates you can give?

Rajnish Sarna: The kind of acquisitions and the differentiated model that we are planning to build, it will take anywhere between 2.5 to 3 years for us to get to the level where it will start matching margin and return profile that we have in PI today.

Moderator: We will take our last question from line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Sir, in our exports market, last year, we had roughly volume growth of 11% while balance was currency and product mix change. Sir, if you can just give some sense how much of this volume growth of 11% was primarily driven by pyroxyasulfone the single product and how much would have been from the other products? And the guidance which you are giving for the current year, 18% to 20%, is it on net revenues or it is driven by volume?

Rajnish Sarna: Firstly, as we have discussed in the past, we cannot share product-related growth and volume. But the growth that we have seen in the last year is certainly widespread. It does not come from a single product. There are 4 new products

we

have commercialized in FY23. Apart from that, there are several existing products including the one that you are talking about which has scaled up. This is about FY23 that we talk about. Going forward, FY24, again, the growth that we are projecting is volume growth. It is majorly coming from volume as I explained to the earlier participant. Because, we are not expecting a significant change in terms of inflationary impact on the raw materials or currency to this 18% to 20% growth or major driver for this growth will be the volume scale-up. And again, this will also be widespread; it is not going to be one odd product that will be driving this volume growth.

Rohan Gupta: Sir, the second question is about our cash flows. We have roughly Rs. 3,200 crore cash on the balance sheet as of now. I understand Rs. 700 crore will be paid for the acquisition. We are still left with Rs. 2,500 crore. You have an Rs. 900 crore CAPEX for FY24 that can be easily funded through the cash flows generated in the current

year itself. Now, Rs. 2,500 crore cash we are sitting on the balance sheet. If you can give some guidelines on how soon we can deploy this cash in terms of further opportunities or any scaling up further CAPEX plan or inorganic growth? If you can give some sense on that, sir?

Mayank Singhal: We are looking at opportunities as mentioned earlier and we'll continue to look but how soon is not a question that we can answer at the moment because it's got to be right opportunity which fits in and is in the strategic right path of PI's intent which is technology and scalability in the areas which we want to operate in and the right strategic fit. Clearly, the Company has a focus on it, the leadership is driving as mentioned earlier .

Moderator: Ladies and gentlemen, that was the last question. I now hand d the conference over to the management for closing comments.

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Mayank Singhal: Once again, thank you everybody for joining the call today. I appreciate your time and your continued support and look forward to a great year ahead. Thank you.

This is a trans cript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2023

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PIIL:SEC:NSE/ BSE: 11/2023-24

May 09, 2023

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor, Dalal Street,

Mumbai – 400 001

Code No.523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No.C/1, G -Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051.

Code No. PIIND

Dear Sir / Madam ,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of the Analysts and Investors Conference Call held on May 03, 2023

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose the transcript of Analysts and Investors Conference Call held on Wednesday, May 03, 2023 to discuss acquisition announced into Pharma API & CDMO space. The link to access the transcript of the conference call is <https://www.piindustries.com/Media/Documents/PI%20Industries-May03-2023%20markup%20GK.pdf>

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

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PI Industries Limited

Analysts and Investors Conference Call

May 03, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the PI Industries Limited Conference Call for Analysts and Investors. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this call is being recorded and the call will be for a duration of 30 minutes.

I now hand the conference over to Mr. Nishid Solanki from CDR India.

Thank you and over to you.

Nishid Solanki: Thank you. Good morning, everyone, and thank you for joining us on PI Industries conference call to discuss acquisitions announced into Pharma API & CDMO space. Today, we are joined by senior members of the management team including Mr. Mayank Singhal, Executive Vice Chairman and Managing Director; Mr. Rajnish Sarna, Joint Managing Director; and Mr. Manikantan Viswanathan, Chief Financial Officer. We also have with us Mr. Anil Jain Managing Director at PI Health Sciences Limited. We will begin the call with comments from Mr. Singhal and thereafter, Mr. Jain. After that, the forum will be open for question-and-answer session.

This call is being posted to facilitate a discussion around the announced acquisitions. Being in silent period, the management will be constrained not to respond to queries on any other aspects, including financial performance. Participants are therefore requested to limit their questions only to the announced acquisitions.

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Before we begin, I would like to underline that certain statements made on the conference call today may be forward-looking and the disclaimer to this effect has been included in the conference call invite shared with you earlier and is also available on stock exchange website.

I will now hand over the call to Mr. Singhal. Thank you, and over to you, sir.

Mayank Singhal: Yes. Once again, good morning, everyone, and thank you for joining the call today. We have circulated the relevant documents pertaining to the acquisition on April 27, 2023. And these are also available on the website of the stock exchange. Hope you have had a c

hance to go through the same.

Thanks.

So now I would like to quickly summarize the same for you. PI Health Sciences Limited is a wholly owned subsidiary of PI Industries has executed the definitive documents with 1. Therachem Research Medilab i.e. TRM US and its promoters and Therachem Medilab India Private Limited i.e. TRM India for acquiring 100% shareholding of TRM India, which is an Indian subsidiary of TRM US. And with TRM US and promoters and Solis Pharmachem Private Limited to acquire 100% shareholding of Solis Pharmachem, which is again an Indian subsidiary of TRM US. Further, PI Health Sciences Netherlands B.V. is a wholly owned subsidiary of PI Health Sciences, entered into a share purchase agreement with Plahoma Twelve GmbH, which is an existing sole shareholder of Archimica S.p.A. for acquiring 100% stake in Archimica S.p.A.

Also, PI Health Sciences USA, LLC is a wholly owned subsidiary of PI Health Sciences Netherlands B.V. and has entered into asset purchase agreement with TRM US, and its promoters for acquiring certain identified assets of TRM US. These announcements are in line with PI's long-term strategic vision of building a differentiated CDMO offering across the pharma value chain.

We're excited about these acquisition as this marks accelerated beginning of the PI journey into the pharma space, a unique ability to build concrete

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offerings from abstract, situations and leveraging our capabilities across complex chemistries and business build up capabilities in the value chain, once again, helping create a differentiated value proposition to our stakeholders. These acquisitions are also aligned with PI's approach of working with global innovators at the forefront of innovation, science, technology and human ingenuity to create transformative solutions in the life sciences for the purpose of reimagining a healthier planet.

Further, the purchase considerations will comprise for TRM, \$50 million and an additional \$25 million on performance-linked pay-outs over the next six years. For Archimica, with EUR 34.2 million, upon closing. These

purchase considerations will be paid in cash and funded from the completed qualified QIP placements proceeds and internal accruals. Both acquisitions are expected to be earning accretive with immediate effect. I would like to add that the consummation of these transactions and integration into the corporate structure of PI is expected to be completed in Q1FY24, subject to fulfillment of customary closing conditions and regulatory approvals.

With this, I would now like to conclude the opening remarks, and hand it to Mr. Anil Jain, the Managing Director, PI Health Sciences, to give you further inputs on these. Thank you, all. Over to you, Anil.

Anil Jain: Thank you, Mayank. Good morning, and a warm welcome to everyone on the call today. Let me briefly explain the differentiated business model that we intend to build in PI Health Sciences. As a long-term strategy, we are building a niche and integrated business model, starting from R&D, starting materials, APIs as a one stop solution. We are building a world-class integrated pharma research centre in IKP Hyderabad, which is in Genome Valley for CRO and CDMO offerings. This will notably widen the set of target customers across the entire pharma value chain by helping us to leverage the expertise of the acquired entities' R&D capabilities. Let me tell you briefly. TRM is an innovative chemistry driven solution provider in medicinal chemistry research, process research and

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development specialising in the rare disease area, which ultimately connects to the rare disease platform in the advanced markets. It provides services and products to pharmaceutical and biopharmaceutical companies in the preclinical and clinical stages. It has manufacturing fac

ilities in India

and R&D facilities in India and US. TRM R&D team works closely with the marquee publicly listed US biotech companies and big pharma companies based in Asia Pacific in developing their product pipeline. TRM had consolidated revenue of \$33 million, with a normalized EBITDA of \$ 14 million for the year ended 31 March 2022.

About the other transaction, Archimica is a Italy based, highly reputable small-scale API manufacturer and contract development and manufacturing organization, servicing over 60 marquee customers in more than 30 countries. Currently, Archimica owns 24 US DMFs, GMP manufacturing facility for the niche APIs and intermediates across wide therapeutic and substance classes such as oncology, anti-ulcer, and anti-rheumatics. And all these therapies are right now –are growing more than the average rate. Archimica manufacturing facility, near Milan is certified by the major regulators like US and the local regulator like AIFA. Archimica had revenue of \$45 million and EBITDA of \$7 million in the year ended 31 December 2022.

While the acquisition of the Archimica has been completed with effect from 27 April 2023, and therefore Archimica has become subsidiary of PI Healthcare Sciences Netherlands B.V. We expect to close the acquisition of TRM and Solis by end of the May 2023. Our object is to build a unique position for ourselves in the high potential space of pharma API and CDMO by leveraging our inherent competencies in complex chemistry, process development, operational excellence, technology platforms and global reach through collaborations with prominent innovators.

This concludes my initial comments. I will now request moderator to open the forum for question-and-answer. Thank you very much.

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Moderator: Thank you very much. We have a first question from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Hi, thanks for the opportunity and congratulations to the team for a wonderful acquisition. My first question is, what is the capacity utilization of Archimica? And what are the capex plans for the company for the next couple of years? And just to add to that, if you can also highlight that what are the growth drivers considering we had 11 to 12 active products. And -- but still, we have about a 24 DMFs. If you can just speak about this?

Anil Jain : Okay. Let me give you some background. Archimica is a 75 -year-old company and these 24 DMFs have been filed over a period of time. Out of that, 12 products are right now active . As far as the capacity is concerned, around 50% of the capacity is currently employed in manufacturing niche API and 50% capacity is available for CDMO activities, which we use over there. I hope it answers your question.

Aditya Jhawar: Yes. And the capex plan, sir?

Anil Jain : So it's a very much running asset and -- so there are normal capex which are required to be done. There are no specific requirement for any particular capex. And some strategic capex, we might do it in the coming years based on our business development activities.

Aditya Jhawar: And sir, last question. I mean, the management retention plans of Archimica, and we clearly have staggered payment in TRM?

Mayank Singhal: Come again? You asked management retention plan of Archimica?

Aditya Jhawar: Yes.

Anil Jain : So Archimica was owned by a fund and we have taken over the Company including its complete leadership team...

Mayank Singhal : And we don't see challenges of any talent retention there. There's good leadership there which will continue to work and grow the organization.

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Aditya Jhawar: Perfect. All the best I'll join back in queue. Thank you.

Mayank Singhal: Thank you.

Moderator: Thank you . We have a next question from the line of Rohit Nagraj from Centrum Broking. Please go

ahead.

Rohit Nagraj: Yes, thanks for the opportunity and congratulations. Sir, my question is we have been telling that on the pharma side, we have done a lot of trials in the R&D as well as pilot stage. So, what is the commercialization schedule that we are looking at across the three geographies over the next maybe one to three years? Thank you.

Anil Jain: So currently, both these companies which we acquired, they are all running and they are producing and selling products in the market. And I think you are referring to research centre , which we are building up new?

Rohit Nagraj: So, I understand that we have done pharma -related trials at our R&D and pilot and those products were supposed to be commercialized, but since we did not have a facility. This is the facilities which we will be using for commercializing these products. I was just asking from that perspective.

Mayank Singhal: As you know, from the PI perspective , we have worked on certain initiatives in the non-GMP space. So, these two are not related to be very frank. This is -- the CRO, CDMO play that we are doing, that's more on the intermediate chemistry -based capabilities.

Rohit Nagraj: Okay. Thank you.

Moderator: Thank you. We have our next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Hi, sir. Thank you so much for the question. And congratulations for this acquisition. Sir, you earlier highlighted in the past that you've been looking for pharma assets that could complement your existing portfolio. So just wondering from these assets that you've acquired, are you looking to extract any kind of synergies with respect to the facilities that you have that

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could help in your own product development and our customer acquisition?

Thank you so much.

Mayank Singhal : The pharma space is a bit different than the agri space. The only synergy that could be a potential, would be to look at value accretion from backward integration and non -GMP intermediates from the PI existing assets. The other key complementary capabilities will be in the area of complex chemistry business processes, operational excellence and understanding global customer management. And those are the capabilities, which could be quickly leveraged to create integrated play and a differentiated value offering to our customers.

Anil Jain : On the TRM front, there is one more area which we are also looking. Currently, the one company is working the pre-clinical and clinical side of it.

They have been working in this space for the last eight to 10 years. Now many of the programs have moved to the Phase 2 and Phase 3. So now these all programs would complement for the GMP asset which we have bought into Europe. So, that's the strategic fit which will happen.

Vivek Rajamani: Got it, sir. Thank you so much.

Moderator: Thank you. We have our next question from the line of Rachit Ganatra from Max Life Insurance. Please go ahead.

Rachit Ganatra: Hello. Sir, could you spell out the client concentration for both of these companies for TRM as well as for Archimica?

Anil Jain: So, client concentration, right now, both -- like Archimica has more than 60 clients right now for the revenue of about \$40 million. And similarly, TRM has more than 10 clients where we are working with. So, we are in touch with many clients with which we are doing the business development activity. So that we are setting up a new full-fledged business development capability within this organization to leverage further.

Rachit Ganatra: Okay. And then what will be the split of under patent products versus generic products for TRM and for Archimica?

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Anil Jain: So TRM is right now dealing with all the under-patent products only. There are no generic products that in the TRM platform.

Rachit Ganatra: Okay. And for Archimica?

Anil Jain: Archimica, currently, we have the niche APIs. So, majority of the API, are post patent.

Rachit Ganatra: They are all generic. Okay. And then sir, what would be the sort of targets that you would have set for these companies, the kind of revenue potential that you see over the next few years? Could you spell out something on this one?

Mayank Singhal: Yes, we are looking at the whole integrated business model and the process of building that up. Obviously, we look at the current growth rates, the key activity we are going to do for the next three years internally is actually build a strong platform for the rest of the growth going forward.

Rachit Ganatra: And sir, I guess this question was asked earlier also, but lastly, could you please spell out to what is the kind of capex or investment that you would look at for the pharma vertical for the next few years?

Mayank Singhal: We look at about \$10 million to \$15 million capex for now. And obviously, as we get into these assets, and we've seen larger opportunity and we look at what we need to build. The capex will be optimized by the team, and that's what Anil and the team will be taking up in the next couple of quarters.

Rachit Ganatra: So, \$10 million to \$15 million per year for the next few years, both TRM and Archimica combined?

Mayank Singhal: Right.

Rachit Ganatra: Okay. And this will exclude the capex that you will do in India to build up the capacity for production?

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Rajnish Sarma: No. This is all inclusive for all three centres, the R&D centre, TRM and Archimica, all three put together, it will be kind of investment plan we have as of now. But as you can imagine, that as we get into these companies assess, the current capacities and utilization and also the pipelines of the molecules at our end and their end, then we will have a firmer plan on the capex.

Mayank Singhal: So fundamentally, One is looking at capacity based on pipelines. The other is we are just looking at business capability build-out. And the third investment will be going in to asset quality upgradations.

Moderator: Thank you. We have a next question from the line of Vishnu Kumar from Spark Capital. Please go ahead.

Vishnu Kumar: Thanks and congrats for the acquisition, sir. Part of my question was answered, but I wanted to understand that the size of the pie in terms of opportunity that we are looking with these two businesses, and over a three years, five years, how much can we target out of that pie in these two acquisitions, if you could help us on that?

Mayank Singhal: Vishnu, that would be best answered by you. Size of the pie is several

billion dollars. It is too early to estimate, but I think the pie is big enough for us to build aggressive plans. Global pharma is more than \$1 trillion industry in the future.

Anil Jain : So, this is a solid runway, we have built in right now.

Vishnu Kumar: Unders tood. Also, one question is that from a point where we were trying to look at assets which are very, very costly and now we have kind of quoted at relatively substantially very good pricing. Just to understand, is there anything -- there is a general question in the market that how are we able to help these at a much lower pricing just to help us understand on this?

Mayank Singhal : To be fair. I mean, we look, as you know, we've been evaluating. I mean, that's the trick of the trade. We look at opportunities and actually look at the

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capabilities to bring them together to pay the value. That's the way I would take that for now.

Vishnu Kumar: Got it. Thanks and all the best.

Rajnish Sarma: Vishnu, valuations have different perspectives, different ways of looking at it, and now there is also scalability, there is also investment for scalability

ility

on these assets. So, all these aspects need to be looked into. You can't look at valuations with respect to last year's performance only.

Vishnu Kumar: Understood, sir.

Moderator: Thank you. We have our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes, good morning. And thank you so much. Sir, I have two points. I try to squeeze them into 1 question, if you permit. One is just for correcting, is it possible to share with us the -- actually the preliminary numbers for FY '23 in terms of revenues and EBITDA?

Second, why are the two entities within Therachem? What exactly is the business that Soilis is involved into? I guess it doesn't really generate any revenues at this point in time. And the last part is just with regard to the financial aspects of the transaction. If you could help us with the breakdown between, say, the goodwill, fixed assets, working capital and also any debt that you might be acquiring as part of the transaction? Thank you so much.

Rajnish Sarma : Thanks, Abhijit. First of all, March 2023 financials are still in preparation. So obviously, we cannot right now share with you. In any case, TRM closing is yet to happen and hence these numbers, etc, will have to be available after the closing.

Your second question about the breakup. Obviously, in our stock exchange intimation, we have already mentioned the net worth of these targeted companies. So, it is not really difficult for anyone to work out what is the goodwill part of this, okay? Obviously, the working capital part is one. But in

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case of TRM that is close to \$5 million and rest is all goodwill and the customer contract value, that is what majorly there.

In case of Archimica also, I mean we have very clearly articulated the -- we mentioned number of net worth in our press release, the stock exchange release. So, the remaining part is -- will be goodwill.

Abhijit Akella: Got it. Sir, that's helpful. Just one last clarification. The pharma industry in general has seen a very difficult FY '23 after a much better FY '22 and the aftermath of COVID. So, is it possible that TRM might also have adjusted a little bit of a decline in sales in the preceding year?

Rajnish Sarma : The product portfolio of TRM and Archimica are not COVID -- specific, but I will still ask Anil to elaborate more on that.

Anil Jain: Right now, if you see this data, there are more than 20,000 drugs which are in various pipeline of the development and out of that, majority of the candidates are in the pre-clinical Phase 1, Phase 2, Phase 3 space. So, this market has put immense opportunity right now. So, there is ample scope to continue. And I do believe this is something which is going to persist for years to come. So actually, we have not seen any sort of impact coming in because of the COVID on this pipeline.

Moderator: Thank you. We have a next question from the line of Saurabh Kapadia from Sundaram Mutual Funds. Please go ahead.

Saurabh Kapadia: Yes, thank you for the opportunity. TRM, if you look at FY '22 has a sharp jump in revenue. So, was there any one-off, or is it because of some new commercialization? And secondly, if you can talk about pipeline in long-term contracts for TRM?

Anil Jain: So, this particular observation, what you said is correct. One of the programs got advanced in the clinical phase. And hence, the need for supply of the quantities were higher. And therefore, you have seen the spike going in the particular year. As such, there are many programs coming in and sometimes some programs get advanced, some programs

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get delayed. So, we are very hopeful based on our understanding that this program will be continuing, and there are certain programs which are also going to add during the course of the

year. So, we are very hopeful on continuing the strength.

Saurabh Kapadia: And any long-term contracts and your comment on pipeline of the products?

Anil Jain: Yes. So, there are certain contracts in place right now with some of the customers, and they are for one to three years.

Saurabh Kapadia: Okay. Thank you.

Moderator: Thank you. We have a next question from the line of Rajesh Aynor from ITI Limited. Please go ahead.

Rajesh Aynor: Yes, thanks for the opportunity. Congrats on acquisition. Sir, my question was on the R&D spend of these companies versus what we also have in India? And what kind of synergies or because the -- basically my say is that companies which are operating in developed market, they operate, they have a different financial metric versus similar jobs in India, where the financial metrics are improved or mainly because of the Ph.D hiring costs and -- so from a capability point of view as well as from the financial point of view, what are the future synergies possible? And what is the current status of the R&D spend at these entities and in India?

Anil Jain: There are three research centres. One is in US, one is in India, one is in Europe. And there are certain customers, they want development within the US, certain customers, they want to develop in the Europe, certain customers want to develop in India. So, for each area, there are specific centres which are available. And the centre we are building up in Hyderabad is going to be complementary for all the three platforms. And this centre is going to be GMP compatible in nature and for this centre also, we have many people who are right now willing to work with us. So, I don't

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see cost structure is giving us any kind of challenge in these services that we are offering right now. In fact, we have a lot of variability.

Mayank Singhal: We have various capabilities, cost leverages and these combinations will come together to create a unique value offering to the customer to give them the flexibility in terms of capability, knowledge, service, and cost.

Rajesh Aynor: Okay. And sir, in terms of understanding the product profile, you mentioned that biologics are a complex. So, can you please throw some more light on which are more probable areas, which will also be in the gamut where will be targeting?

Anil Jain: Let me tell you that TRM is working with the customers who are dealing in the biologic process. We are supplying building blocks to them. The TRM portfolio as such is not having any biologic process.

Moderator: Thank you. We have a next question from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Yes, sir. Good morning and congratulations on this acquisitions.

Questions on the utilization will be of TRM right now. And we have the facilities in India and also have lab facilities in the US. So, what are the current utilization? And you mentioned that TRM is mainly focused more on the under-development products. So, if you can give some kind of revenue visibility which you may have some few molecules, which are working on with the pipeline and what can be expected over the next couple of years on this?

Anil Jain : TRM is currently, operating at ~50% capacity utilization . Right now, there are many programs running in and we are in discussions with many customers that are coming. So, I don't see capacity as a constraint for us to take the further revenue development.

Rohan Gupta: And sir, you made some arrangement with the further US in terms of the under the consideration where it is the performance -linked \$25 million for that to be paid over the next six years. If you can just throw some light on

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that, what is the performance -linked incentives you're talking about? And what are the benefits you people are expecting.

ting.

Rajnish Sarna : Yes, performance is linked to the pipeline products and their commercialization and the kind of revenue we can generate out of the pipeline. So basically, the part of overall valuation is linked to the pipeline and its commercialization and revenue generation out of it.

Rohan Gupta: So, under what circumstances, I mean, if you can give some line that over the next six years, this is the revenue guaranteed for which we will be paying for \$25 million, something can, on some sort of those lines, can you give some numbers?

So, we are saying that over next six years, we will be paying them \$25 million depending on some performance link there, if they are able to deliver on those products, deliveries and all. If they are able to deliver and \$25 million will be paid to them, can you give some quantification or quantify these numbers that will be added to the revenues or top lines of the company over next five to six years?

Rajnish Sarna : I obviously cannot divulge too much details here. But certain percentage of this revenue creation will be shared as the additional valuation to the seller.

That is the understanding.

Moderator: We have a next question from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Sir, the current utilization of TRM is 40%, and the margin of TRM is already high in the range of 50%. So, can we expect the efficiency improvement and the margin profile of the company is going to improve from here?

Mayank Singhal: Well, it's a double-edged question. Obviously, we are looking to scale up and build the business, right? So, you will know typically what is the kind of margin in this business. So, we are in that range. And there are spikes and spurts, which will take place in the initial phase of investment build up capabilities to take it to the next phase. That's the way I would answer.

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Rajnish Sarna : The focus will be on scaling up the business from the current level rather than focusing too much on the margin improvement of the existing products.

Sumant Kumar: Okay. And what kind of growth we are expecting from this business, acquired company?

Rajnish Sarna: What kind of?

Sumant Kumar: Growth we are expecting in the next three years, four years from this company?

Rajnish Sarna: We are expecting to more than double this in the next three years to four years. This is where the combined teams and the management team that we are also investing, will work towards the aggressive business development.

Anil Jain : CDMO market is growing around 8% to 10%. I can tell you we will be better than the market. That's what I can tell you, right.

Sumant Kumar: Okay. Thank you so much, sir.

Moderator: Thank you. We have a next question from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani : Yes. Hi. Thank you for the opportunity. Congrats on the acquisition. So just two clarifications from my side. So, of the Therachem's current product pipeline, how many are going for Phase 1, to Phase 3 drugs and how many are going for commercialization -- commercialized drugs? And the second clarification is like, what sort of timeline do you envisage for this commercialization of the drugs, which are in clinical trials?

Mayank Singhal : we are not sure right now we can answer that because we do have certain confidentiality commitments in those contracts. We need to do further study before responding.

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Krishan Parwani: Okay. That's okay. Just if I can slide one on the Archimica front. So Archimica has been around EUR10 million kind of capex over the last three years. So how do you see that benefiting for the Archimica's turnover over the next three years, let's say?

Rajnish Sarna : Yes. This investment is already reflecting in their current performance over

the last few years, they have improved their performance. And going forward also, combining the various opportunities that will emerge from our CRO and also starting materials business in TRM. Many opportunities we expect from API business coming out of those areas. So yes, there are good opportunities. And these investments already made and which are also now planned going forward in the next couple of years will obviously help us scale this business.

Krishan Parwani: Understood. Thank you so much and all the best.

Mayank Singhal: Thank you.

Moderator : Thank you. We have our next question from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: Good morning and thank you very much. So, if you can share what is the kind of R&D expenditure as a percentage of sales in TRM US consolidated and Archimica. And second is, can we get some split for all the acquired entities together between CDMO and API?

Mayank Singhal : TRM has R&D driven expenses.

Anil Jain : And this time, this capex is high because we are building a research centre in Hyderabad -- that investment we are making in research centre right now.

Rajnish Sarna : Does this answer your question or if you can please rearticulate your question.

S. Ramesh: Yes. So, I just wanted to get a sense in terms of what is the thinking in terms of R&D expenses as a percentage of revenue over the next two

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years for the pharma business? And secondly, if you can give us some split in terms of the CDMO and API revenues either for TRM consolidated and Archimica separately or on a ballpark basis, all that entities are that you have.

Rajnish Sarna : You see this business model is of CRO and CDMO, where, the R&D spend will all depend on what kind of business we are able to generate in these areas because this is not a basic innovation / research kind of business. This is a services business. So, the current level of R&D spend is already there, but how this will grow will also depend on what kind of pipeline we are able to build and what kind of new businesses we are able to build over next few years.

S. Ramesh: Okay. And can we get some thoughts on the split between CDMO and API?

Anil Jain : Archimica is 80% -20% of the current revenue of niche API and CDMO. That's what the current split is.

Rajnish Sarna: TRM is a full CDMO and in case of Archimica, more than 20%, 25% is CDMO and rest is the niche APIs.

Moderator: Thank you. We have a next question from the line of Yogesh Tiwari from Arihant Capital Markets. Please go ahead.

Yogesh Tiwari: Thank you sir for the opportunity. I had 1 question on Archimica. So, I understand that they did a capex of expansion last year in September. And for the last two years, they had revenues of EUR38 million and EUR42 million. And we have bought the company at EUR34 million. So, it looks like a wonderful acquisition. So, sir, can you discuss something on the valuation, which we had? And is it profitable at the net level?

Rajnish Sarna : Thank you. Thank you for your compliment. But I hope you'll appreciate that on this topic, we cannot discuss what is the rationale for the seller and for the buyer for a particular valuation at this forum. But as I said earlier, the valuations are not only purely based on the revenue of last year and the

profitability of last year. There is also future growth prospects there is scale

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up opportunity, then the investment -- further investment needed and all that.

So, keeping in account all these aspects we found this to be a great opportunity for us to combine Archimica with other assets that we are building and also acquired in terms of TRM to be able to create this differentiated business model, whereby we can scale up this whole model in a much faster pace than what we would

have done by building all this.

So, in that sense, yes, this is a smart acquisition. But of course, time will tell as to how we are able to scale it up over a period of time.

Yogesh Tiwari: Thank you, sir. So just a number, like I think of the EBITDA is about 7 million. What would be the net profit for Archimica?

Rajnish Sarma: This was a private equity owned company. They had their own capital charges and the last reported net profit is close to 3 million Euro.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Mayank Singhal: So once again, thank you, everybody, for coming on to this call. And I wish the PI team good luck and the great work the team done for a big start at the beginning, and thanks for all your support. Thank you.

Anil Jain: Thanks, Mayank. Thanks, everyone.

Moderator: Thank you. On behalf of PI Industries Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2023

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PIIL/SEC/NSE/BSE: 53/2023- 24

August 18, 2023

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor, Dalal Street,

Mumbai – 400 001

Code No.523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No.C/1, G -Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051.

Code No. PIIND

Dear Sir/Madam,

Sub: Updated version of transcript of the earnings conference call for the quarter ended June 30, 2023

Pursuant to Regulations 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the updated version of the transcript of earnings conference call held on Thursday, August 10, 2023 to discuss the un-audited financial results for the quarter ended June 30, 2023. The link to access the transcript of the earnings conference call is <https://www.piindustries.com/investor-relations/co-go/Concal-Transcript>.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

Encl: as above

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PI Industries Limited

Q1 FY24 Earnings Conference Call Transcript

August 10, 2023

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of PI Industries Limited.

As a reminder, all participant lines will be in the listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*', then '0' on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from C DR India. Thank you

and over to you, Mr. Solanki.

Nishid Solanki : Thank you. Good evening, everyone and thank you for joining us on PI Industries ' Q1 FY24 Earnings Conference Call.

Today , we are joined by senior members of the management team, including:

- Mr. Mayank Singhal – Vice Chairman and Managing Director
- Mr. Rajnish Sarna – Joint Managing Director
- Mr. Manikantan Viswanathan – Chief Financial Officer
- Mr. Prashant Hegde – CEO (Domestic)
- Mr. Atul Gupta - CEO (Exports), and
- Mr. Anil Jain – Managing Director , PI Health Sciences

We will begin the call with key perspectives from Mr. Singhal, thereafter we will have

Mr. Manikantan sharing his views on the financial performance of the company. Thereafter, the forum will be open for question- and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call may be forward- looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you earlier and also available on Stock Exchange websites. I would now like to request Mr. Singhal to share his perspectives with you. Thank you and over to you, Sir.

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Mayank Singhal : Good evening, everyone. It is my pleasure to have you with us on this call. I shall now share my perspectives on the industry landscape and the progress that we are making with our strategy .

The global crop protection industry is witnessing a tough phase over the last couple of quarters with intense destocking by the distribution channel due to increased availability of certain categories of product post the normalization of the COVID disruption and scenarios of steep price reduction of these products leading to cautious procurement by the channel . On the other hand, the Chinese economy is experiencing slack domestic demand, and it is exporting deflation through stepped up exports of goods . It is already impacting the chemical sector across the value chain.

Given that we at PI overall year -on-year basis during Q1, we have delivered a 24% revenue growth and a 35% increase in EBITDA and a profit after tax recorded a 46% growth year -on-year. PI has though maintained course of healthy performance in its CSM exports with a 33% growth year-on-year. This performance comes back with continued strong growth in further endorsement of our approach in the business. Our domestic business performance for the quarter has been subdued due to the delayed onset of the monsoon. But on the positive side, we have kept tight control on trading working capital and the overall market scenario has focused more on qualitative aspect of the revenue than the volumes. We are confident of getting back on our growth path with the normalization of rainfall during the second half of the kharif season. We continue to maintain the momentum of new product launches. Five innovative products are planned for this fiscal year. In Q1, we have launched EKETSU. EKETSU is India's first three -way herbicide mixture to provide maximum weed control and efficacy for total control in rice herbicides. This will further fortify our portfolio of rice crops , already one of the best in the industry . The business has long pipeline of products , and exciting launches ahead.

Our business model is aligned to commercialization of advanced molecules for innovators , thanks to a very visible track record, our engagement of scale up as well.

This goes beyond AgChem . It is our intent to create a dedicated platform for the pharma CRO and CDMO play. I would like to share that this process of integration of our pharma CSM acquisition is underway and tracking internal milestones . Our combined R&D capabilities with the brand- new integrated pharma research center being developed in Hyderabad for the CRO and CDMO offering further bolster onto our business proposition.

Our forte has been our vast library of knowledge of complex chemistries with high scalability and competitive manufacturing footprint and our ability to tailor our solutions to specific circumstances to meet and be customer centric . The continued traction is delivering and driving healthy accretion to our order book position in a virtuous cycle between innovators and P I. During the quarter under the review, we have commercialized one new molecule and remained well on track for commercializing 4 to 5 new molecules every year as guided earlier.

While the industry outlook for the AgChem demand is soft with some forecasts projecting single digit contraction in the year '22-23 relatively to the previous year . However , at PI, we especially focus on new chemistries and with our advanced portfolio of products and given the visibility that we enjoy , we remain cautiously

optimistic to achieve the given target of between 18 % to 20% revenue growth in the current fiscal despite the headwinds explained above.

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We should have to keep a close watch on the market scenario and review our guidelines after the upcoming kharif season. This will be supported by ramping up the production of already commercialized molecules and the introduction of new molecules.

For the long- term perspective, India remains the locus of growth for chemicals. It is believed that India has achieved the AgChem exports worth USD 5.4 billion in 23, up by 10%, making it the second largest exporter of AgChem in the world. With policy supported by manufacturing in AgChem , these exports are expected to double in the coming 3 to 4 years. India is already the 4th largest producer of Agchem, and now No. 2 in the world from the previous year. The Government is considering PLI scheme for chemicals and AgChem domestically, and that can further accelerate the strength. With policy acting as the catalyst , the industries are plugging in gaps in the value chain with a view to offer innovators of chemistry as well as customers at the other end, added incentives to expand here. Therefore, the long- term perspective of this specialized chemical industry remained bright despite the current blips .

PI remains dedicated to driving progress in a sustainable manner. ESG still remains the center point of every initiative on our growth execution . We deem it as our responsibility to align our processes, production and products for a thriving and vibrant environment for our purpose of reimagining a healthier planet. This is reflected and can be tracked through outcomes we script .

I now close my perspective and hand it over to our CFO – Mr. Manikantan to take the discussions forward. Thank you once again to all of you. Over to you, Mani. Thank you.

M. Viswanathan : Thank you, Mr. Singhal . Good evening, everyone and thank you for joining us on the call today . I'll summarize the company 's financial highlights for the fourth quarter ended 30th June 2023. Please note all these comparisons are on a year -on-year basis and refer to the consolidated performance.

During Q1 FY24, we reported a revenue of 19,104 million, a growth of 24% year -on-year including newly acquired pharma business and 21% revenue growth without it . This was driven by growth in export s revenue by 37% to Rs. 15,630 million , offset by a 13% decline in domestic revenue to 3,474 million. The export revenue growth in CSM was 33%, comprising volume growth of 29% and 4% from price, currency, and favorable product mix . This quarter, total export s revenue included pharma revenue of Rs. 443 million comprising around 2 months period for Archimica from 27th April 2023 onwards and one month period for Therachem from 2nd June 2023 onwards . Domestic revenue was contracted by 13% year -on-year due to delayed monsoon leading to volume degrowth. The gross margin increased to 47% including pharma and 46% excluding pharma. Gross margin excluding pharma has jumped by 201 basis points. Pharma gross margin was 75%.

EBITDA increased by 35% to Rs. 4,726 million for the quarter on account of favorable product mix and operating leverage. EBITDA includes pharma EBITDA loss of Rs. 54 million after one time acquisition, integration, and initial business set -up expenses. Profits after tax increased by 46% to Rs. 3,829 million attributable to EBITDA growth and lower effective tax rate despite higher depreciation. Cash flow from operation activity during Q1 FY 24 was Rs. 3,028 million.

Trade working capital in terms of number of days of sales improved to 83 days as on 30th June 2023 vis-à-vis 102 days as on 30th June 22. Inventory levels reduced in terms of days of sales to approximately 73 days to Rs. 14,049 million excluding pharma inventory of Rs. 1,260 million vis -à-vis 89 days as on 30th June 2022. Our

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balance sheet further strengthened during the year . Net worth increased to Rs. 76,094 million as on 30th June 2023. CAPEX in Q1 was Rs. 6,490 million including pharma acquired assets of Rs. 5,249 million through business combination. The CAPEX excluding this addition is Rs. 1,241 million. During the quarter, we completed pharma acquisition of Archimica and Therachem Group amounting to Rs. 8,560 million.

Post acquisition outlay, the surplus cash net of debt is Rs. 28,066 million including balance in QIP funds of 11,320 million. QIP funds remained invested into the deposits and debt mutual funds with SLR philosophy, while final deployment aligned with PI's long-term growth strategy is underway. This concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator : Thank you very much. We will now begin the question- and-answer session. The first question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar : My first question is on our pharma asset. So, how is the integration process progressing and if you can give some qualitative information on the same and how should we think about the growth of this business? Do you foresee a significant increase in capacity utilization in these two assets versus around 50% of what we saw last year?

Anil Jain : I am Anil Jain here. Your first question is about the integration piece. Basically, three pieces namely Archimica which we acquired and it is in Italy , TRM in US, India & Hyderabad Research Center , which is newly built up and it 's also in process of getting fully ready to start. Currently we are progressing well on operating model , IT updation and HR integration built up.

We are also working with a global advisor for the business transformation across the areas including R&D , manufacturing and supply chain.

The second part of your question is on pharma revenue. We are aiming to achieve what we have committed. Gradually quarter -on-quarter business would build up as one of the company's performance is 28 days and other of 34 days only.

Aditya Jhawar : That is quite helpful. Now in this quarter , there was this one- time acquisition and integration cost. If you can just call out what was the cost and how should we see the margin trajectory of the pharma business in the remaining part of the year?

Rajnish Sarna : So, in this quarter in terms of financials, there were couple of one- offs. One is obviously the acquisition and business setting up costs and all to the tune of more than Rs. 100 to 120 million. The other is the impact of the IndAS- 115 because the acquired entity, particularly the Indian acquired entity was not accounting as per the IndAS , whereas in PI Health Science we follow the IndAS . Going forward, as we indicated earlier, there are going to be initial phases where we will be investing in the development of these acquired businesses and also the transformation of some of these businesses. So, obviously the EBITDA margins that we are looking at are going to be on a lower side. But on maturity, we would surely expect and target 20 %-24% plus kind of margin once we get to the maturity which will take more than a year's time. In the initial phase, we are expecting anywhere between 14%-15% of the kind of margins that we have indicated earlier.

Aditya Jhawar : My final question is, sir, what would be the total CAPEX guidance for FY24? It will be great if you can give a breakup between CSM and domestic as well as the pharma piece ? The core business and the acquired assets, sir, separately ?

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Rajnish Sarna : We had indicated close to Rs. 850 crore – Rs. 900 crore of CAPEX for the Agchem business . For pharma, we have close to \$10

million - \$12 million is what we will be investing. So, that's the current guideline on the CAPEX and we maintain that guideline.

Moderator : Thank you . Our next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: First question is you have mentioned in the presentation that 13 top molecules identified for capacity enhancement. These are the molecules which have been launched in the recent years or these are more matured molecules and we have seen good amount of scale up happening from the off -tech perspective ? Thank you.

Rajnish Sarna : So, these are all operating objectives that are taken by our cross functional teams on a regular basis, and these are not recently launched molecules . Over the years we have commercialized many projects and out of those projects , as the processes improve year -on-year, our teams have identified opportunities for throughput improvement .

Rohit Nagraj : Sir, second question is in commentary as well as in presentation, we have said cautiously optimistic on the CSM segment. So, in the last 1.5 months of the current quarter, have we seen any kind of slowdown in terms of volume off take and a concurrent question to that, the 18% to 20% guidance, does it now include the pharma piece as well or is it excluding the pharma, please? Thank you.

Rajnish Sarna : As far as the global scenario etc. is concerned, it is not only last one month, one and a half month, but we have been seeing this for the last few quarters that there are certainly headwinds in general in the industry. And that is more particularly towards certain categories of products on the generic side. So far, we have not seen a dramatic change as far as the demand scenario for our products is concerned. But we are saying cautiously optimistic because ultimately some such longer term trends may have some impact on the overall industry demand scenario as well, though we have not seen it so far, but as indicated we would also like to review this overall plan and guideline maybe post kharif season, by the time we'll have a better understanding and better visibility of that. But at this point, we do not see any dramatic change or new development.

Rohit Nagraj : And does it include pharma as well? Just to clarify. The 18% to 20% guidance that we have...

Rajnish Sarna : Well, our idea is that pharma, whatever contribution it comes will be on top of it. But as I said, we will review all this post kharif season.

Moderator : Thank you. Our next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar : Can you talk about the domestic business 13% degrowth and how things are panning out in the current season, in the coming quarter?

Prashant Hegde : So, the first quarter, you already might have seen from the industry, in fact, we anticipated it from at least last three or four months. So, that is why we were also cautious in terms of our procurement, especially on the generic products knowing this volatility; however, from July onwards, the positive momentum has built up. We

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are having especially commercialized seven new products last year, those are doing good and this year also we have a plan to launch four new products, in that one we already commercialized in quarter one. So, this has definitely helped us, and this will continue to help us in terms of showing positive results in coming quarters.

Rajnish Sarna : So, just to add, in terms of market sentiments, market activities, there is certainly an improvement compared to what we have seen in the first quarter. But yes, in net cases there are a couple of months to be monitored and see how the overall Kharif season will pan out.

Sumant Kumar : Can you talk about pharma like-to-

like growth Y-o-Y and also what is the quarterly run rate if we will consider from the month of April, for both subsidiaries.

Rajnish Sarna : First of all, it is not possible for us to share Y-to-Y growth on like-to-like basis because as Anil explained earlier, in one business we have revenues of 30 days or less than 30 days. The other business we have revenues of I think 50 days or something. So, we certainly do not have past data on these companies' businesses for the same period the previous year. So, that is the reason we do not have that like-to-like comparison and why this business or current quarter performance? I think Anil, has already explained. You may want to add something.

Anil Jain : As I said earlier, it's only one month performance right now and you know the CRO and CDMO business is generally customer delivery driven, they are not driven by the months. So, sometimes it comes up, but we are confident that in the coming quarters, we will be able to meet expectation.

Sumant Kumar : So, I'm asking whatever the number we have published in the acquisition note for the FY22-23 or say CY 23, there will be any growth on that?

Rajnish Sarna : If you see, those numbers were for the calendar year, if I'm not wrong. So, we'll have to see, but on an annual basis, what is that we will be finally seeing the number. But yes, in certain businesses, we are expecting growth. In some other businesses, it is flat as per the current rate, but on like-to-like on quarterly basis, data is not there for us to give you a straight answer.

Moderator : Thank you. Our next question is from the line of Vishnu Kumar from Avendus Spark. Please go ahead, sir.

Vishnu Kumar : I wanted to understand on pharma, just on continuation, now that all the plants would be running fully, is it like Rs. 150 crore to Rs. 170 crore at least would be a current run rate that we'll achieve from 2Q onwards? If I just do some approximation on the pro forma numbers.

Mayank Singhal : That is based on our acquisition stage, what number we give. We are hopeful of going in this direction in the coming quarters.

Vishnu Kumar : And also, on the CSM side, we see that 29% volume and pricing continues to be positive, but with across raw material deflation, I wanted to understand how long this pricing will continue and generally when we talk to the customers, when does

this price negotiations happen? Like because there 's a deflation, s hould we continue to believe that this will help us on the margins or at som e point we' ll see some pricing cut?

Rajnish Sarna : First of all this raw material deflation is not the same all across the product and varies from product to product . But yes, wherever there is substantial improvement in raw

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material prices or reduction in raw material prices , obviously going by our business model, new prices are factored in, in the next supplies or next contracts or purchase orders and all.

Vishnu Kumar : So, this 25% margin would be a new normal to be considered or any guidance on the margins if you could help us understand?

Rajnish Sarna : As we have explained in the past the 24%-25% margin is coming from 2- 3 factors .

One is obviously the operating leverage, the other is the product and business mix and all . And yes, we are confident that given the kind of visibility of business plans, volume , and value that we have, we should be able to sustain these margins.

Vishnu Kumar : And one final if I may. Sir, w e've done almost 30% growth plus in the CSM an d you also mentioned that our growt h is not impacted, but if I take 18% -20% guidance, it looks like even if you do 1 2% to 14% growth is enough to achieve the guidance. Is this like we are taking a conservative approach or do you ha

ve some indications that

your delivery schedules in second half will be slightly lower, just some sense here?

Rajnish Sarna : We are cautious. It is not conservative or optimistic. But yes, I mean we are cautiously optimistic that yes and in any case as indicated, we will review this overall situation in 3-4 months now.

Moderator : Thank you. Our next question is from the line of Abhijit Akel la from Kotak securities. Please go ahead.

Abhijit Ake lla: Just two from my side. One is on the CAPEX for the quarter , it is about Rs. 120 odd crore excluding the pharma acquisitions . We've guided to almost hitting Rs. 850 crore -Rs. 900 crore for the full year. So, should we expect a big acceleration in the remaining part of the year?

Rajnish Sarna : This is as per the plan only . The major part will be coming in subsequent quarters as the execution progresses . But yes, the annual plan remains what I indicated around Rs. 850 odd crore .

Abhijit Ake lla: And the second thing is just that on the guidance 18% -20% growth, earlier it included the domestic business also. So, in light of this quarter 's challenging performance there, do we sort of stick with that expectation, or should we assume that 18- 20% is only for the CSM piece for now?

Rajnish Sarna : You're right and that's the reason at this point we are saying we are optimistic cautiously that if things pan out well for the remaining period of kharif , we should be able to get there. But if not then, we will surely come back with our revised estimate.

Moderator : Thank you. Our next question is from the line of Vivek Rajamani from Mor gan Stanley. Please go ahead.

Vivek Rajamani : Sir, two questions from my side. Firstly , on agrochemicals, if it 's possible to give some color on what is the kind of inventory situation that you 're seeing for your specific products ? We've obviously been hearing that there' s a lot of inventory across the system, but if you can provide any kind of color with respect to what you' ve been hearing from customers, which would be really helpful. And the second question I had was on margins, again, very strong margins that we have seen in this quarter. I just wanted to get a sense if there was any specific factor that you would like to call out which was driving this sequential jump and just going forward should we be aware of any seasonality in the upcoming quarters? Thank you so much.

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Rajnish Sarna : Well, in terms of inventory in general, we do not see a significant challenge or stocking in the product that we are dealing with/export ing. In domestic, Prashant , you may kind of highlight .

Pras hant Hegde : Yes, overall, we know the price has been volatile. So, that is why we were cautious even in Q1 in terms of our placement as well. Now with the demand picking up, we don't see any major concerns so far. Overall, domestic side demand is now from July onwards. We are seeing that it is coming out stronger. However, again it is last 1.5 months only we are cautious. We have to wait and see how these things progress for the remainder of the k harif season.

Rajnish Sarna : And your second question in terms of margins, I already explained to the earlier

participant that last year from 22.5% -23% currently we are whatever few 100 basis points that improvement is there, is mainly on account of the operating leverage and favourable product mix , particularly in the domestic business where the volumes were becoming challenged given the overall market scenario monsoon situation . We have very clearly focused on the quality of revenue and margins and that is clearly reflected here.

Moderator : Thank you. Our next question is from the line of Ankur Periwal from Axis Capital. Please go ahead, sir .

Ankur Periwal : My first question on

the R&D side. Looking at the annual report , we have seen a sharp increase in the R&D manpower as well as spends. So, just your thoughts there, is it related to the Agchem side or the new chemistry side or it is also focusing on the pharma and one can expect a larger number of new product launches there?

Mayank Singhal : Till March 23, we did not have the pharma in this zone. This increase is coming from Agchem side and the process research and development side and also the biotechnology fermentation that we put in there.

Ankur Periwal : So, the incremental addition that we have seen now, will this also be including the allocation for the pharma R&D?

Mayank Singhal : No, that is going to Agchem now as I said because the pharma piece has come up later, right?

Ankur Periwal : Looking at the last three years number, there is almost doubling of the manpower there. Anything you'd like to share on the other performance chemicals or the electronic chemicals that we have talked about earlier?

Mayank Singhal : Clearly , we have taken some of those areas of work. The good part is that we can update about where we are on the commercialization on the fine chemical areas and what you're seeing there, please go ahead .

Atul Gupta : There had been good amount of traction around the electronic chemical segment.

And there is a good amount of enquiry in pipeline and advanced development stage.

We would be commercializing 4 -5 molecules in the electronic chemical space. And

as you know, Mr. Mayank said that there are other adjacencies where we are trying

to build the platform for the biotechnology fermentation and the other new technologies and that's where you know these additional energy resources have

been ...

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Ankur Periwal : And secondly, we also talked about rejigging our product portfolio, focusing more upon the ESG angle of the environment part of it . Is this comment focused on crop protection, the domestic business or you are including CSM also here?

Management : No, if you look at PI , it's a part of the PI strategy in every facet of our products, just not in one business area or two . We'll definitely look at this, whether it's Agchem brand, whether it's manufacturing CSM or tomorrow it's Health Sciences , automotive electronics, we're going to keep that anchor as a key driver.

Moderator : Thank you. Our next question is from the line of Rohan Gupta from Nuvama. Please go ahead, sir.

Rohan Gupta : Congratulations on such a strong set of numbers despite the weak industry scenario.

Sir, the first question is on further clarification on that. While we are seeing that the entire industry is suffering from the inventory destocking, especially in a global market , we still have been managed to grow 29% in terms of volume growth. Sir, if you can explain a little bit more, is it some because of the nature of our product or the product basket which we have that continuously seeing the higher volume growth and there was no inventory buildup has happened in last one year at all and that is driving the growth or it is just only that customers keep on buying from you without any pushing or without any delays or spillover that is still driving the growth for you and me, impact our growth going forward if they are consuming or if they are sitting on the inventory on our behalf.

Rajnish Sarna : No, the earlier is the reason . This is all about quality of the product portfolio which is driving this growth for us . These are, as you know, early -stage molecules, they are growing in different markets and basically , these are not mature products per se compared to some of these generics which are getting beating in the global market. So, as a result , our customers are also facing some significant challenges or

concerns around inventory pileups and other things of generic/mature products .

Rohan Gupta : So, if I extrapolate this thing and since we have not stuck with the higher inventory in the system and there is no Chinese dumping in our case because we are early

stage of product. So, end customer demand and especially for the new molecules for products like us is still so solid that we have been able to deliver a 29% kind of volume growth having I mean if the industry would not have stuck right now with the high inventory which is the case for most of the products in the market. Do you see that the farmer level demand is still so strong as is in case of your products, definitely your products are in early -stage molecule but still is farmer level demand is very strong.

Rajnish Sarna : Well, my personal view is that farmer level demand is strong even for generics, where there is a volume dip. The challenge is coming because of high inventory in the channel. So, the inventory destocking is happening at the channel level, but that doesn't mean that the consumptions have gone down, or acreages have gone down, that is not the case. So, yes, even in generic products, it is more about channel destocking than the significant reduction in consumption. You take any global scenario and also local scenario in terms of acreages. Prashant, may add in terms of acreages, we have not seen any significant reduction. The other impact is that some of these generic products, prices have gone down and therefore the values have come down, which is not a major issue in the case of products that we are dealing.

Prashant Hegde : Overall, in terms of acre, there was a delay in terms of sowing, so at the end of June we have seen somewhere around 16% to 20% reduction, especially in rice. But if I look at just few days back, overall, it is more or less similar to last year if I look at all

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the crops, yes, rice is up. That is positive news. However, cotton is down by around 2%, rice is up by around 3% and pulses are down by 9%. But all other crops are more or less similar to last year and overall gross crop area is 0.2% down compared to last year. So, this is nothing. So, it's more or less, the demand definitely looks like coming up. But as I said, still we are early into kharif, and we have to wait and watch.

Rohan Gupta : Sir, just on the extrapolation of the same thing, since you are saying that we are not stuck with the high inventories in the market and demand from the farmer level remains strong. So, when other companies are giving the commentary, they are not sure about how much inventory is there in the market and what is going to come up from China, but in our case, we should be fairly confident about it if the farmer level demand is strong. I still didn't get the reason that we are still making a statement like cautiously optimistic while we are seeing that the farmer level demand is coming, and it is still strong. I understand that the domestic market may have volatility with the kharif crop volatility, but as far as the global markets are concerned, we should be fairly confident about our volume growth in the current scenario, isn't it so?

Mayank Singhal : Well, that is a very optimistic way of looking at it. But if you look at our products, these are the high-end inventory in the price point. When we are below a certain point it does have a temporary glitch, right? You can't say that it doesn't have any impact, so those are the things we are cautious about. We are watching. The buffer is there, but that obviously becomes little impactful, but you don't go out and say because of that, I'm going to start doing erosions, which are short term in order to meet that because that's not going to change scenarios. So, this is

the balance in

the economy which you need to keep looking at demand scenario, competitive price, product availability and how the balance between availability and value creation.

Rajnish Sarna : Just to add one more point, there is always a lead and lag even in getting the information on the ground. You see this is not a very advanced industry per se from the agriculture and rural fields or even in the global arena, collecting updated inventory data from the rural markets is not easy and there is always a lead and lag, so we have to be a little cautious and careful in even reading these data points.

Rohan Gupta : Sir, employee cost on consolidated basis is Rs. 173 crore and standalone are 150. That means that for subsidiaries, Pharma Asset which we have acquired roughly Rs. 23 crore that is a fairly high number. And I believe that the one-off which you have mentioned will be adjusted in other expenses.

Rajnish Sarna : I do not know how you have come to this comparison that number is high or low. But yes, if you look at the acquired business, the overall revenues etc. are for a very small period. There are also setting up expenses that are happening, for example, we are setting up a Hyderabad lab. We are also hiring, and acquiring, many of these top leadership players in the pharma space to unleash value out of these acquired assets. So, yes, in the initial phases as indicated earlier, we are certainly going to see some of the development spend, including the manpower spend.

Rohan Gupta : And sir in your consolidated reporting, when we have started giving segmented

financials, we also have some part of business coming from pharma, but that is not clubbed in pharma segmentation. Any particular reason for that?

M. Viswanathan : In the segmental thing, what is coming under pharma is already stated in pharma only and that is separate cost.

Rohan Gupta : But sir we had 5% to 10% of our revenues coming from pharma.

Rajnish Sarna : Rs. 443 million in revenue is coming from pharma.

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Rohan Gupta : Rs. 44 crore , right? But that is only from the subsidiaries which you have acquired, right?

Rajnish Sarna : Yes. our subsidiary , PI Health Science, which is comprised of the entity that we have acquired in Europe, India and also in US.

Rohan Gupta : But PI standalone basis also had some pharma business, we understand 5% to 10% of the revenue used to come from pharma. Why is that not led to the pharma?

Rajnish Sarna : I do not know from where you got this number 10% from pharma ! No, not at all.

Moderator : Thank you. Our next question is from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.

Naushad Chaudhary : Firstly, follow up on the electronic chemical piece, which you indicated 4- 5 molecules we are planning to commercialize. So, just wanted to understand in terms of the size of opportunity you see here in this piece of business and how big it can be for you in the next 3 to 4 years?

Mayank Singhal : Well, let me answer that. The electronic chemical business is just an entry point right now. There is not going to be a significant number in the PI, but in the next five years, we do believe in the growth potential of the specialty chemical, and also the fine chemical area, but electronics or semiconductors, specialized polymers which all going in the same application. So, we could see a few percentage points in that there.

Naushad Chaudhary : So, in five years can it be in terms of capital deployment, can it be as big as we currently have the CSM Agri and the plan which we have in pharma? Can it consume...?

Rajnish Sarna : Certainly not the same size as Agchem that we have because you will appreciate that our position in Agchem today is the work of last more than 25 years and investment

made over this period. So, what is being said is that with our efforts in the last 3-4 years, we have already now got to a stage where we are commercializing several of these products, non Agchem products including electronic chemicals , specialty polymers etc. And this would surely become a reasonable percentage of our overall revenue, but this cannot be the same or it would be speculative to think that it will become of similar size as our Agchem business today. No, it will not .

Naushad Chaudhary : So, the capital deployment piece on the pharma business side, we had around Rs. 2000 crore of plan. We have deployed around 1000. So, pending 1000, any development on that?

Rajnish Sarna : Let me clarify here. First of all, the QIP funds of ~Rs. 2000 crore that we raised was not only for pharma acquisition but for several of our long- term strategic initiative projects including pharma, of course, for diversification into adjacencies e.g. pharma.

For pharma, we have already allocated close to 900 crore as you mentioned. For the utilization of remaining funds , we are also looking at several opportunities including some of the bolt -on opportunities in pharma. We are also looking at other M&A opportunities in the space of Agchem domestically and also outside India. we are also looking at inorganic opportunities in other technological areas like biochemicals, BioSolutions and several other such opportunities, including brands, distribution etc. I hope this clarifies.

Moderator : Thank you. Our next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

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S Ramesh : So, if you were to look at the Pharma Capital employed, is it possible to share what is the working capital in that piece and any accumulated losses? And secondly once you reach that normalized revenue of Rs. 515 crore , which is the kind of investments will require on both gross block and working capital and how do you see the growth in the revenues over the next 2 to 3 years and is there any clarity on the order size you can share with us now?

Rajnish Sarna : There are several questions in your question, but let me try and answer them one by one. So, yes, we indicated earlier that in the next 3-4 years we would surely want to more than double this business that we have acquired, that is one. And the investment details are already there in our

presentation and also earlier release. And going forward, as we are scouting for more business and particularly for a better quality business. Of course, we will be making certain investments. We have already indicated close to \$10 million- \$12 million investment in the current financial year. Likewise, depending on the business opportunities, we will be deciding on further investments, but in a nutshell the overall idea is that we would surely want to, and we are internally committed to building this scalable differentiated business over the next 3- 4 years' by making further investments.

S Ramesh : And the second thing is on the domestic market, there is a mention about 9% of your revenue coming from biological products. So, how do you see the domestic business performing and the normalized demand based on the new launches and what is the kind of aspiration for the share of biological products in your domestic portfolio?

Rajnish Sarna : Yes, Prashant, you can explain that.

Prashant Hegde : Biological products, as I said earlier as well, we have the plan to launch two products this year, one which we are launching in this month and one in quarter three.

Definitely, there is good traction even though there are many products, especially generic type which we have seen some challenges, biological products are growing in double digit, and they will continue to grow. So, that is wh

at we are estimating at this point of time.

Moderator : Thank you. Our next question is from the line of Krishan Parwani from JM Financial.

Please go ahead.

Krishan Parwani : Just two small clarification from my side. First is, has there been any purchase order deferment in the ongoing quarter?

Rajnish Sarna : Not really.

Krishan Parwani : And then the second is since second half is usually strong for us, do you see that trend changing in any sort in this fiscal?

Rajnish Sarna : No. As explained earlier, so far, we have not seen any dramatic change in the demand scenario of the kind of products we are dealing in. But given the overall industry situation, we are also very cautiously monitoring the situation and in the next 3-4 months' time, we will have certainly much better visibility and we shall review our guideline post the second quarter.

Moderator : Thank you. Our next question is from the line of Rohan Vora from Purnartha Investment Advisors Private Limited. Please go ahead.

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Rohan Vora : My first question is on working capital days. We have seen efficiencies in working capital days in this quarter. So, can we treat this as a norm? Is there a scope of still better working capital days or the days will go up from here on?

Rajnish Sarna : No, we certainly see some more opportunities for improving working capital in some of the business areas.

Rohan Vora : And sir my second question was on the horticulture business. So, just to get an idea about what would be the size of our market in that particular segment horticulture, the product that we are dealing?

Rajnish Sarna : Which segment you said?

Rohan Vora : Horticulture.

Prashant Hegde : Overall in terms of Agri hem revenue, if I see what is contributing from horticulture, it is around 30%.

Rohan Vora : And what would be the size of the pie, just the market as a whole for the products that we are deal-in?

Prashant Hegde : So, it is the revenue which what the horticulture products which are contributing to our domestic revenue is around 30%.

Rohan Vora : I wanted an idea on the market if you can, just a ballpark number would fine.

Rajnish Sarna : Overall industry size.

Prashant Hegde : So, overall, if I look at what is contributing horticulture in the industry is somewhere around 25% to 30%. If you look at what is the Agri hem market in India, around 25% is contributed by horticulture.

Moderator : Thank you. Ladies and gentlemen, our last question for the question- and-answer session is from the line of Yash Mehta from Steinberg Asset Management. Please go ahead.

Yash Mehta: The question is that now that you acquired and are currently in the middle of the integration, how have your thoughts evolved on the pharma piece? You have always maintained you wanted a differentiated model, but as we analyze the different businesses that are operating in this space, they are getting more and more similar to each other. Would you be able to share some light on this?

Anil Jain : If you see the entire value proposition right now, there are many CRO , CDMO players

in the market and they are offering the services which includes discovery and manufacturing. At PI, we would cover end-to-end pipeline starting from the key starting material to API. This is complementing the PI legacy of complex chemistry, digitization and automated manufacturing environment of basic chemical manufacturing. With this , the current offering is filling the gap in the pharma value chain.

Moderator : Thank you. Ladies and gentlemen, which brings us to the end of our question- and-answer session. I would now like to hand the conference over to the management for closing comments.

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Rajnish Sarna : Thank you, gentlemen, and ladies for joining this call and your continued interest in PI. Thank you so much. Have a good day.

Moderator : Thank you. On behalf of PI Industries Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2023

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PIIL/SEC/NSE/BSE: 52/2023- 24

August 17, 2023

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor, Dalal Street,

Mumbai – 400 001

Code No.523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No.C/1, G -Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051.

Code No. PIIND

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call for the quarter ended June 30, 2023

Pursuant to Regulations 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the transcript of Earnings Conference Call held on Thursday, August 10, 2023 to discuss the unaudited financial results for the quarter ended June 30, 2023. The link to access the transcript of the Earnings Conference Call is <https://www.piindustries.com/investor-relations/co-go/Concal-Transcript>.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

Encl: as above

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PI Industries Limited

Q1 FY24 Earnings Conference Call Transcript

August 10, 2023

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of PI Industries Limited.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*', then '0' on a touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from C DR India. Thank you and over to you, Mr. Solanki.

Nishid Solanki : Thank you. Good evening, everyone and thank you for joining us on PI Industries ' Q1 FY24 Earnings Conference Call.

Today , we are joined by senior members of the management team, including :

■ Mr. Mayank Singhal – Vice Chairman and Managing Director

■ Mr. Rajnish Sarna – Joint Managing Director

■ Mr. Manikantan Viswanathan – Chief Financial Officer

■ Mr. Prashant Hegde – CEO (Domestic)

■ Mr. Atul Gupta - CEO (Exports), and

■ Mr. Anil Jain – Managing Director , PI Health Sciences

We will begin the call with key perspectives from Mr. Singhal, thereafter we will have Mr. Manikantan sharing his views on the financial performance of the company.

Thereafter, the forum will be open for question -and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call may be forward-looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you earlier and also available on Stock Exchange websites.

I would now like to request Mr. Singhal to share his perspectives with you. Thank you and over to you, sir.

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Mayank Singhal : Good evening, everyone. It is my pleasure to have you with us on this call. I shall now share my perspectives on the industry landscape and the progress that we are making with our strategy .

The global crop protection industry is witnessing a tough phase over the last couple of quarters with intense destocking by the distribution channel due to increased availability of certain categories of product post the normalization of the COVID disruption and scenarios of steep price reduction of these products leading to cautious procurement by the channel . On the other hand, the Chinese economy is experiencing slack domestic demand, and it is exporting deflation through stepped up exports of goods . It is already impacting the chemical sector across the value chain.

Given that we at PI overall year -on-year basis during Q1, we have delivered a 24% revenue growth and a 35% increase in EBITDA and a profit after tax recorded a 46% growth year -on-year. PI has though maintained course of healthy performance in its CSM exports with a 33% growth year-on-year. This performance comes back with continued strong growth in further endorsement of our approach in the business. Our domestic business performance for the quarter has been subdued due to the delayed onset of the monsoon . But on the positive side, we have kept tight control on trading working capital and the overall market scenario has focused more on qualitative aspect of the revenue than the volumes. We are confident of getting back on our growth path with the normalization of rainfall during the second half of the kharif season. We continue to maintain the momentum of new product launches. Five innovative products are planned for this fiscal year. In Q1, we have launched EKETSU. EKETSU is India's first three -way herbicide mixture to provide maximum weed control and efficacy for total control in rice herbicides. This will further fortify our portfolio of rice crops , already one of the best in the industry . The business has long pipeline of products , and exciting launches ahead.

Our business model is aligned to commercialization of advanced molecules for innovators , thanks to a very visible track record, our engagement of scale up as well. This goes beyond AgChem . It is our intent to create a dedicated platform for the pharma CRO and CDMO play. I would like to share that this process of integration of our pharma CSM acquisition is underway and tracking internal milestones . Our combined R&D capabilities with the brand -new integrated pharma research center being developed in Hyderabad for the CRO and CDMO offering further bolster onto our business proposition.

Our forte has been our vast library of knowledge of complex chemistries with high scalability and competitive manufacturing footprint and our ability to tailor our solutions to specific circumstances to meet and be customer centric . The continued traction is delivering and driving healthy accretion to our order book position in a virtuous cycle between innovators and PI. During the quarter under the review, we have commercialized one new molecule and remained well on track for commercializing 4 to 5 new molecules every year as guided earlier.

While the industry outlook for the AgChem demand is soft with some forecast s projecting single digit contraction in the year '22-23 relatively to the previous year .

However , at PI, we especially focus on new chemistries and with our advanced portfolio of products and given the visibility that we enjoy , we remain cautiously optimistic to achieve the given target of between 18 % to 20% revenue growth in the

current fiscal despite the headwinds explained above.

We should have to keep a close watch on the market scenario and review our guidelines after the upcoming kharif season. This will be supported by ramping up

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the production of already commercialized molecules and the introduction of new molecules.

For the long-term perspective, India remains the locus of growth for chemicals. It is believed that India has achieved the AgChem exports worth USD 5.4 billion in 23, up by 10%, making it the second largest exporter of AgChem in the world. With policy supported by manufacturing in AgChem, these exports are expected to double in the coming 3 to 4 years. India is already the 4th largest producer of Agchem, and now No. 2 in the world from the previous year. The Government is considering PLI scheme for chemicals and AgChem domestically, and that can further accelerate the strength. With policy acting as the catalyst, the industries are plugging in gaps in the value chain with a view to offer innovators of chemistry as well as customers at the other end, added incentives to expand here. Therefore, the long-term perspective of this specialized chemical industry remained bright despite the current blips.

PI remains dedicated to driving progress in a sustainable manner. ESG still remains the center point of every initiative on our growth execution. We deem it as our responsibility to align our processes, production and products for a thriving and vibrant environment for our purpose of reimagining a healthier planet. This is reflected and can be tracked through outcomes we script.

I now close my perspective and hand it over to our CFO – Mr. Manikantan to take the discussions forward. Thank you once again to all of you. Over to you, Mani.

Thank you.

M. Viswanathan : Thank you, Mr. Singhal. Good evening, everyone and thank you for joining us on the call today. I'll summarize the company's financial highlights for the fourth quarter ended 30th June 2023. Please note all these comparisons are on a year-on-year basis and refer to the consolidated performance.

During Q1 FY24, we reported a revenue of 19,104 million, a growth of 24% year-on-year including newly acquired pharma business and 21% revenue growth without it. This was driven by growth in exports revenue by 37% to Rs. 15,630 million, offset by a 13% decline in domestic revenue to 3,474 million. The export revenue growth in CSM was 33%, comprising volume growth of 29% and 4% from price, currency, and favorable product mix. This quarter, total exports revenue included pharma revenue of Rs. 443 million comprising around 2 months period for Archimica from 27th April 2023 onwards and one month period for Therachem from 2nd June 2023 onwards. Domestic revenue was contracted by 13% year-on-year due to delayed monsoon leading to volume degrowth. The gross margin increased to 47% including pharma and 46% excluding pharma. Gross margin excluding pharma has jumped by 201 basis points. Pharma gross margin was 75%.

EBITDA increased by 35% to Rs. 4,726 million for the quarter on account of favorable product mix and operating leverage. EBITDA includes pharma EBITDA loss of Rs. 54 million after one-time acquisition, integration, and initial business set-up expenses. Profits after tax increased by 46% to Rs. 3,829 million attributable to EBITDA growth and lower effective tax rate despite higher depreciation. Cash flow from operation activity during Q1 FY24 was Rs. 3,028 million.

Trade working capital in terms of number of days of sales improved to 83 days as on 30th June 2023 vis-à-vis 102 days as on 30th June 22. Inventory levels reduced in terms of days of sales to approximately 73 days to Rs. 14,049 million excluding pharma inventory of Rs. 1,260 million vis-à-vis 89 days as on 30th June 2022. Our balance sheet further strengthened during the year. Net worth increased to Rs. 76,094 million as on 30th June 2023. CAPEX in Q1 was Rs. 6,490 million including pharma acquired assets of Rs. 5,249 million through business combination. The

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CAPEX excluding this addition is Rs. 1,241 million. During the quarter, we completed pharma acquisition of Archimica and Therachem Group amounting to Rs. 8,560 million.

Post acquisition outlay, the surplus cash net of debt is Rs. 28,066 million including balance in QIP funds of 11,320 million. QIP funds remained invested into the deposits and debt mutual funds with SLR philosophy, while final deployment aligned

with PI's long-term growth strategy is underway. This concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar : My first question is on our pharma asset. So, how is the integration process progressing and if you can give some qualitative information on the same and how should we think about the growth of this business? Do you foresee a significant increase in capacity utilization in these two assets versus around 50% of what we saw last year?

Anil Jain : I am Anil Jain here. Your first question is about the integration piece. Basically, three pieces namely Archimica which we acquired and it is in Italy , TRM in US, India & Hyderabad Research Center , which is newly built up and it 's also in process of getting fully ready to start. Currently we are progressing well on operating model , IT updation and HR integration built up.

We are also working with a global advisor for the business transformation across the areas including R&D , manufacturing and supply chain.

The second part of your question is on pharma revenue. We are aiming to achieve what we have committed. Gradually quarter -on-quarter business would build up as one of the company's performance is 28 days and other of 34 days only.

Aditya Jhawar : That is quite helpful. Now in this quarter , there was this one -time acquisition and integration cost. If you can just call out what was the cost and how should we see the margin trajectory of the pharma business in the remaining part of the year?

Rajnish Sarna : So, in this quarter in terms of financial, there were couple of one -offs. One is obviously the acquisition and business setting up costs and all to the tune of more than I think Rs. 100 million or Rs. 120 million. The other is the impact of the IndAS - 115 because the acquired entity, particularly the Indian acquired entity was not accounting as per the IndAS , whereas in PI Health Science we follow the IndAS . So, because of these impacts , those one-off impacts have come. Going forward, as we indicated earlier, there are going to be initial phases where we will be investing in the development of these businesses, acquired businesses and also transformation of some of these businesses. So, obviously the EBITDA margins that we are looking at are going to be on a lower side. But on maturity, we would surely expect and target 20%-24% plus kind of margin once we get to the maturity which will take few quarters ' time or more than a year's time. In the initial phase , we are expecting anywhere between 14%-15% of the kind of margins that we have indicated earlier.

Aditya Jhawar : My final question is, sir, what would be the total CAPEX guidance for FY24? It will be great if you can give a breakup between CSM and domestic as well as the pharma piece ? The core business and the acquired assets, sir, separately ?

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Rajnish Sarna : So, we had, as you recall, we had indicated close to Rs. 850 crore – Rs. 900 crore kind of CAPEX for the Ag chem business . For pharma, we have already also indicated close to \$10 million -\$12 million is what we will be investing. So, that's the current guideline on the CAPEX and we maintain that guideline.

Moderator : Thank you . Our next question

is from the line of Rohit Nag raj from Centrum Broking. Please go ahead.

Rohit Nag raj: First question is you have mentioned in the presentation that 13 top molecules identified for capacity enhancement. These are the molecules which have been launched in the recent years or these are more matured molecules and we have seen good amount of scale up happening from the off -tech perspective ? Thank you.

Rajnish Sarna : So, these are all operating objectives that are taken by our cross functional teams on a regular basis, and these are not recently launched molecules , over the years we have commercialized many projects. And out of those projects , many of these projects, as the processes improve year -on-year, our teams have identified opportunities for throughput improvement and all.

Rohit Nagraj : Sir, second question is in commentary as well as in presentation , we have said cautiously optimistic on the CSM segment. So, in the last 1.5 months of the current quarter, have we seen any kind of slowdown in terms of volume offtake and a concurrent question to that, the 18 % to 20% guidance, does it now include the pharma piece as well or is it excluding the pharma, please? Thank you.

Rajnish Sarna : As far as the trend is concerned, the global scenario etc. is concerned, so it is not only last one month, one and a half month, but we have been seeing this for last few quarters , but there are certainly headwinds in general in the industry. And that is more particularly towards certain category of products on the generic side. So far,

we have not seen a dramatic change as far as the demand scenario for our products are concerned. But while we are saying cautiously optimistic because ultimately some such longer term trends may have some impact on overall in general industry and demand scenario as well, though we have not seen it so far, but as indicated we would also like to review this overall plan and guideline maybe post kharif season, by the time we'll have a better understanding and better visibility of that. But at this point, we do not see any dramatic change or new development.

Rohit Nagraj : And does it include pharma as well? Just to clarify. The 18 % to 20% guidance that we have...

Rajnish Sarna : Well, our idea is that pharma, whatever contribution it comes will be on top of it. But as I said, we will review all this post kharif season.

Moderator : Thank you. Our next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar : Can you talk about the domestic business 13% degrowth and how things are panning out in the current season, in the coming quarter ?

Prashant Hegde : So, the first quarter, you already might have seen from the industry, in fact, we anticipated it from at least last three or four months. So, that is why we were also cautious in terms of our procurement, especially on the generic products knowing this volatility; however, from July onwards, the positive momentum has built up. We are having especially commercialized seven new products last year, those are doing good and this year also we have a plan to launch four new products, in that one we

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already commercialized in quarter one. So, this has definitely helped us, and this will continue to help us in terms of showing positive results in coming quarters.

Rajnish Sarna : So, just to add, in terms of market sentiments, market activities, there is certainly improvement compared to what we have seen in the first quarter. But yes, in net cases there are couple of months to be monitored and see that how overall kharif season will pan out.

Sumant Kumar : Can you talk about pharma like-to-like growth Y-o-Y and also what is the quarterly run rate if we will consider from the month of April, for both subsidiaries.

Rajnish Sarna : So, first of all, it is not possible for us on Y-to-Y like-to-like beca

use as Anil explained

earlier, one business we have the revenues of 30 days or less than 30 days. The other business we have revenues of I think 50 days or something. So, we certainly do not have past data of these company's businesses for the previous year. So, that is the reason we do not have that like-to-like comparison and why this business or current quarter performance? I think Anil, has already explained. You may want to add something ?

Anil Jain : As I said earlier, it's only one month performance right now and you know the CRO and CDMO business is generally customer delivery driven, they are not driven by the months. So, sometimes it comes up, but we are confident that in the coming quarters, we will be able to meet expectation.

Sumant Kumar : So, I'm asking whatever the number we have published in the acquisition note for the FY22-23 or say CY23, there will be any growth on that?

Rajnish Sarna : So, those numbers if you see, those numbers were for first of all calendar year, if I'm not wrong. One business is calendar year, the other business is also calendar year, part of it is financial year. So, we'll have to see, but on an annual basis, what is that we will be finally seeing the number. But yes, in certain businesses, we are expecting growth. In some other business, it is flat as per the current rate, but on like-to-like on quarterly basis, data is not there for us to give you the straight answer.

Moderator : Thank you. Our next question is from the line of Vishnu Kumar from Avendus Spark. Please go ahead, sir.

Vishnu Kumar : I wanted to understand on pharma, just on continuation, now that all the plants would be running fully, is it like Rs. 150 crore to Rs. 170 crore at least would be a current run rate that we'll achieve from 2Q onwards ? If I just do some approximation on the pro forma numbers.

Mayank Singhal : That is based on our acquisition stage, what number we give. We are hopeful of going in this direction in the coming quarters.

Vishnu Kumar : And also, on the on the CSM side, we see that 29% volume and pricing continues to be positive, but with across raw material deflation, I wanted to understand how long this pricing will continue and generally when we talk to the customers, when does this price negotiations happen? Like because there's a deflation, should we continue to believe that this will help us on the margins or at some point we'll see some pricing cut?

Rajnish Sarna : So, first of all this raw material deflation is not all across the product. Obviously, that

varies from product -to-product. That scenario also the raw material price trend varies accordingly. But yes, whenever there is substantial improvement in raw material prices or reduction in raw material prices, obviously going by our business model, I

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mean those prices are factored in, in the next supplies or next contracts or purchase orders and all.

Vishnu Kumar : So, this 25% margin would be a new normal to be considered or any guidance on the margins if you could help us understand ?

Rajnish Sarna : So, we have, as in past also we have explained that 24%-25% margin obviously is coming from 2 -3 factors . One is obviously the operating leverage , the other is the product and business mix and all . And yes, we are confident that given the kind of visibility of business plans, volume , value that we have , we should be able to maintain sustained margins.

Vishnu Kumar : And one final if I may. Sir, we've done almost 30% growth plus in the CSM and you also mentioned that our growth is not impacted, but if I take 18 %-20% guidance, it looks like even if you do 12% to 14% growth is enough to achieve the guidance. Is this like we are taking a conservative approach or do you have some indications that your delivery schedules in second half will be slightly lower, just some sense here?

Rajnish Sarna : We are cautious. It is not conservative or optimistic. But yes, I mean we are cautiously optimistic that yes and in any case as indicated , we will review this overall situation in 3-4 months now .

Moderator : Thank you. Our next question is from the line of Abhijit Akella from Kotak securities. Please go ahead.

Abhijit Akella: Just two from my side. One is on the CAPEX for the quarter , it is about Rs. 120 odd crore excluding the pharma acquisitions . We've guided to almost hitting Rs. 850 crore -Rs. 900 crore for the full year. So, should we expect a big acceleration in the remaining part of the year?

Rajnish Sarna : So, this is as per the plan only . The major part will be coming in subsequent quarters as the execution happens. But yes, and the overall year 's plan remains what I indicated around Rs. 850 odd crore .

Abhijit Akella: And the second thing is just that on the guidance 18 %-20% growth, earlier it included the domestic business also. So, in light of this quarter 's challenging performance there , do we sort of stick with that expectation, or should we assume that 18 -20% is only for the CSM piece for now?

Rajnish Sarna : You're right and that's the reason at this point we are saying we are optimistic cautiously that if things pan out well for the remaining period of kharif , we should be able to get there. But if not then, we will surely come back with our revised estimate.

Moderator : Thank you. Our next question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani : Sir, two questions from my side. Firstly , on agrochemicals, if it 's possible to give some color on what is the kind of inventory situation that you 're seeing for your specific products ? We've obviously been hearing that there 's a lot of inventory across the system, but if you can provide any kind of color with respect to what you 've been hearing from customers, which would be really helpful. And the second question I had was on margins, again, very strong margins that we have seen in this quarter. I just wanted to get a sense if there was any specific factor that you would like to call out which was driving this sequential jump and just going forward should we be aware of any seasonality in the upcoming quarters? Thank you so much.

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Rajnish Sarna : Well, in terms of inventory in general, we do not see a significant challenge or stocking in the kind of product that we are dealing. But yes, there are few products where we may have some sort of indication, but in general there are no such big stocking issues , the kind of products that we are dealing in our export . In terms of domestic, Prashant , you may kind of highlight .

Prashant Hegde : Yes, overall, we know the price has been volatile. So, that is why we were cautious even in Q1 in terms of our placement as well. Now with the demand picking up, we don't see any major concerns so far. Overall, domestic side demand is now from July onwards. We are seeing that it is coming out stronger. However, again it is last 1.5 months only we are cautious. We have to wait and see how these things progress for the remainder of the kharif season.

Rajnish Sarna : And your second question in terms of margins, I already explained to the earlier participant that last year from 20 %-22.5%-23% currently we are whatever few 100 basis points that improvement is there , is mainly on account of the operating leverage

and kind of product mix, the kind of revenue quality, particularly in the domestic business where the volumes were becoming challenged given the overall market scenario monsoon situation. We are very clearly focused on the quality of revenue and margins and that is obviously clearly reflected here.

Moderator: Thank you. Our next question is from the line of Ankur Periwal from Axis Capital.

Please go ahead, sir.

Ankur Peri

wal: My first question on the R&D side. Looking at the annual report, we have seen a sharp increase in the R&D manpower as well as spends. So, just your thoughts there, is it related to the Agchem side or the new chemistry side or it is also focusing on the pharma and one can expect a larger number of new product launches there?

Mayank Singhal: So, clearly on March 21, we did not have the pharma in this zone. This is clearly focusing the Agchem side and the process research and development side and also the biotechnology fermentation that we put in there.

Ankur Periwal: So, the incremental addition that we have seen now, will this also be including the allocation for the pharma R&D?

Mayank Singhal: No, that is going to Agchem now as I said because the pharma piece has come up later, right?

Ankur Periwal: Looking at the last three years number, there is almost doubling of the manpower there. Anything you'd like to share on the other performance chemicals or the electronic chemicals that we have talked about earlier?

Mayank Singhal: Clearly, we have taken some of those areas of work. The good part is that we can update about where we are on the commercialization on the fine chemical areas and what you're seeing there, please go ahead.

Atul Gupta: There had been good amount of traction around the electronic chemical segment.

And there is a good amount of enquiry in pipeline and advanced development stage.

We would be commercializing 4-5 molecules in the electronic chemical space. And as you know, Mr. Mayank said that there are other adjacencies where we are trying to build the platform for the biotechnology fermentation and the other new technologies and that's where you know these additional energy resources have been ...

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Ankur Periwal: And secondly, we also talked about rejigging our product portfolio, focusing more upon the ESG angle of the environment part of it. Is this comment focused on crop protection, the domestic business or you are including CSM also here?

Management: No, if you look at PI, it's a part of the PI strategy in every facet of our products, just not in one business area or two. We'll definitely look at this, whether it's Agchem brand, whether it's manufacturing CSM or tomorrow it's Health Sciences, automotive electronics, we're going to keep that anchor as a key driver.

Moderator: Thank you. Our next question is from the line of Rohan Gupta from Nuvama. Please go ahead, sir.

Rohan Gupta: Congratulations on such a strong set of numbers despite the weak industry scenario.

Sir, the first question is on further clarification on that. While we are seeing that the entire industry is suffering from the inventory destocking, especially in a global market, we still have been managed to grow 29% in terms of volume growth. Sir, if you can explain a little bit more, is it some because of the nature of our product or the product basket which we have that continuously seeing the higher volume growth and there was no inventory buildup that happened in last one year at all and that is driving the growth or it is just only that customers keep on buying from you without any pushing or without any delays or spillover that is still driving the growth for you and me, impact our growth going forward if they are consuming or if they are sitting on the inventory on our behalf.

Rajnish Sarna: No, the earlier is the reason, this is all about quality of product portfolio which is driving this growth for us. These are, as you know, early-stage molecules, they are growing in different markets and so far, our customers have also and basically these are not mature products per se compared to some of these generics which are getting beating in the global market. So, as a result, our customers are also facing some significant challenges or concerns around inventory pileups and

other things.

And that is the reason that the continued growth is there in these kind of products.

Rohan Gupta: So, if I extrapolate this thing and since we have not stuck with the higher inventory in the system and there is no Chinese dumping in our case because we are early stage of product. So, end customer demand and especially for the new molecules for products like us is still so solid that we have been able to deliver a 29% kind of

volume growth having I mean if the industry would not have stuck right now with the high inventory which is the case for most of the products in the market. Do you see that the farmer level demand is still so strong as is in case of your products, definitely your products are in early -stage molecule but still is farmer level demand is very strong.

Rajnish Sarna : Well, my personal view is that farmer level demand is strong even for generics, where there is a beating currently . The challenge is coming because of high inventory in the channel. So, the inventory destocking is happening at the channel level , but that doesn't mean that the consumptions have gone down, or acreages have gone down, that is not the case. So, yes, even in the generic products , it is more about the channel destocking than the significant reduction in consumption. You take any global scenario and also local scenario in terms of acreages . Prashant, may add in terms of acreages, crop acreages, we have not seen any significant reduction or reduction in end products . The other impact is of price that some of these generic products, the price impact has come that products prices have gone down and therefore the values have come down, which is not a major issue in case of products that we are dealing.

Prashant Hegde : Overall, in terms of acre , there was a delay in terms of sowing , so at the end of June we have seen somewhere around 16 % to 20% reduction, especially in rice. But if I

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look at just few days back, overall, it is more or less similar to last year if I look at all the crops, yes, rice is up. That is positive news. However, cotton is down by around 2%, rice is up by around 3% and pulses are down by 9%. But all other crops are more or less similar to last year and overall gross crop area is 0.2% down compared to last year. So, this is nothing . So, it's more or less, the demand definitely looks like coming up. But as I said, still we are early into kharif, and we have to wait and watch.

Rohan Gupta : Sir, just on the extrapolation of the same thing, since you are saying that we are not stuck with the high inventories in the market and demand from the farmer level remains strong. So, when other companies are giving the commentary, they are not sure about how much inventory is there in the market and what is going to come up from China, but in our case, we should be fairly confident about it if the farmer level demand is strong. I still didn't get the reason that we are still making a statement like cautiously optimistic while we are seeing that the farmer level demand is coming, and it is still strong. I understand that the domestic market may have volatility with the kharif crop volatility, but as far as the global markets are concerned, we should be fairly confident about our volume growth in the current scenario, isn't it so ?

Mayank Singhal : Well, that is a very optimistic way of looking at it. But if you look at our products, these are the high-end inventory in the price point . When we are below a certain point it does have a temporary glitch, right? You can't say that it doesn't have any impact, so those are the things we are cautious about. We are watching. The buffer is there, but that obviously becomes little impactful, but you don't go out and say because of that, I'm going to start doing erosions, which are short term in order to meet that because that's not going to cha

nge scenarios. So, this is the balance in the economy which you need to keep looking at demand scenario, competitive price, product availability and how the balance between availability and value creation .
Rajnish Sarna : And specifically, just to add one more point is, there is always a lead and lag even in getting the information on the ground. You see this is not a very advanced industry perspective from the agriculture and rural fields or even in the global arena, the inventory data coming from the rural market, it's not done and there is always a lead and lag, so we have to be a little cautious and careful in all these, even reading these data points.

Rohan Gupta : Sir, employee cost on consolidated basis is Rs. 173 crore and standalone are 150. That means that for subsidiaries , Pharma Asset which we have acquired roughly Rs. 23 crore that is a fairly high number. And I believe that the one-off which you have mentioned will be adjusted in other expenses.

Rajnish Sarna : Yes. So, I mean there are both aspects . I do not know how you have come to this comparison that number is high or that number is low and how you are relating this to is also not very clear to me. But yes, if you look at the acquired business , the overall revenues etc. are for a very small period. There are also setting up expenses that are happening, for example, we are setting up, Hyderabad lab. We are also hiring, acquiring, many of these top leadership players in the pharma space to overall unleash the overall value out of these acquired assets. So, yes, in the initial phases as indicated earlier, we are certainly going to see some of the development spend, including the manpower spend.

Rohan Gupta : And sir in your consolidated reporting, when we have started giving segmented financials, we also have some part of business coming from pharma, but that is not clubbed in pharma segmentation. Any particular reason for that?

M. Viswanathan : In the segmental thing, what is coming under pharma is already stated in pharma only and that is separate cost.

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Rohan Gupta : But sir we had 5% to 10% of our revenues coming from pharma.

Rajnish Sarna : So, Rs. 443 million is coming from pharma.

Rohan Gupta : Rs. 44 crore , right? But that is only from the subsidiaries which you have acquired, right?

Rajnish Sarna : Yes. I think our subsidiary , PI Health Science which is comprising of the entity that we have acquired in Europe , that entity we have acquired in India and also...

Rohan Gupta : But PI standalone basis also had some pharma business, we understand 5% to 10% of the revenue used to come from pharma. Why is that not led to the pharma?

Rajnish Sarna : I do not know where you got this number 10% from pharma? No, not at all.

Moderator : Thank you. Our next question is from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.

Naushad Chaudhary : Firstly, follow up on the electronic chemical piece, which you indicated 4 -5 molecules we are planning to commercialize. So, just wanted to understand in terms of the size of opportunity you see here in this piece of business and how big it can be for you in the next 3 to 4 years?

Mayank Singhal : Well, let me answer that. The electronic chemical business is just an entry point right now. There is not going to be a significant number in the PI, but in the next five years, we do believe in the specialty chemical, and we love our specialty , but also fine chemical area we could see some decent numbers not just electronics, but electronics or semiconductors, specialized polymers which all going in the same application. So, we could see a few percentage points in that there.

Naushad Chaudhary : So, in five years can it be in terms of capital deployment, can it be as big as we currently have the CSM Agri and the plan which we have in pharma? Can it consume...?

Rajnish Sarna :

Certainly not the same size as Agchem that we have because you will appreciate that where are we in Agchem today is the work of last 25 years and investments made over this period. So, what is being said is that with our efforts in the last 3-4 years, we have already now got to a stage where we are commercializing several of these products, non Agchem products including electronic chemicals , specialty polymers etc. And this would surely become a reasonable percentage of our overall revenue, but this cannot be the same or it would be speculative to think that it will become of similar size as our Agchem business today. No, it will not .

Naushad Chaudhary : So, the capital deployment piece on the pharma business side, we had around Rs. 2000 crore of plan. We have deployed around 1000. So, pending 1000 , any development on that?

Rajnish Sarna : So, let me clarify here. First of all, the QIP, the 2000 crore that was raised was not only for pharma acquisition. That was for several of our strategic long -term initiative projects including pharma, of course, for diversification into adjacencies in pharma. For pharma, we have already kind of allocated close to 900 crore as you mentioned. For the remaining , we are also looking at several opportunities including some of the bolt on opportunities in pharma. We are also looking at other M&A opportunities in the space of Agchem domestically also and also outside India we are also looking at opportunities, inorganic opportunities in other technological areas like biochemicals,

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BioSolutions and several other such opportunities, including brands, distribution etc. beyond the pharma. I hope this clarifies.

Moderator : Thank you. Our next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh : So, if you were to look at the Pharma Capital employed , is it possible to share what is the working capital in that piece and any accumulated losses? And secondly once you reach that normalized revenue of Rs. 515 crore , which is the kind of investments will require on both gross block and working capital and how do you see the growth in the revenues over the next 2 to 3 years and is there any clarity on the order size you can share with us now?

Rajnish Sarna : So, there are several questions in your question, but let me try and answer them one by one. So, yes, we indicated earlier that in the next 3-4 years we would surely want to more than double this business, the kind of business that we have acquired, that

is one. And the investment details are already there in our presentation also and also earlier release. And going forward, as we are scouting for more business and particularly for better quality business, of course, we will be making certain investments. We have already indicated close to \$10 million - \$12 million investment in the current financial year. Likewise, depending on the business opportunities that we are able to scout, we will be deciding on further investments, but in nutshell the overall idea is that we would surely want to, and we are internally committed to build this scalable differentiated business over next 3 -4 years' time by making further investments.

S Ramesh : And the second thing is on the domestic market, there is a mention about 9% of your revenue coming from biological products. So, how do you see the domestic business performing and the normalized demand based on the new launches and what is the kind of aspiration for the share of biological products in your domestic portfolio?

Rajnish Sarna : Yes, Prashant, you can explain that.

Prashant Hegde : Biological products, as I said earlier as well, we have the plan to launch two products this year, one which we are launching in this month and one in quarter three.

Definitely, there is good traction even though there are many products, especially generic type which

we have seen some challenges, biological products are growing in double digit, and they will continue to grow. So, that is what we are estimating at this point of time.

Moderator : Thank you. Our next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani : Just two small clarification from my side. First is, has there been any purchase order deferment in the ongoing quarter?

Rajnish Sarna : Not really.

Krishan Parwani : And then the second is since second half is usually strong for us, do you see that trend changing in any sort in this fiscal?

Rajnish Sarna : No. As explained earlier, I mean, so far, we have not seen any dramatic change in the product scenario, the kind of products in which we are dealing. But given the overall industry situation, we are also very cautiously monitoring the situation and in next 3 -4 months' time, we will have certainly much better understanding visibility,

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which we shall certainly consider while coming out with our guideline post the second quarter.

Moderator : Thank you. Our next question is from the line of Rohan Vora from Purnartha Investment Advisors Private Limited. Please go ahead.

Rohan Vora : My first question is on working capital days. We have seen efficiencies in working capital days in this quarter. So, can we treat this as a norm? Is there a scope of still better working capital days or the days will go up from here on?

Rajnish Sarna : No, we certainly see some more opportunities for improving working capital in some of the business areas, which will obviously, the turn up will happen. But yes, in short, yes, we see some more opportunities for further improvement.

Rohan Vora : And sir my second question was on the horticulture business. So, just to get an idea about what would be the size of our market in that particular segment horticulture, the product that we are dealing?

Rajnish Sarna : Which segment you said?

Rohan Vora : Horticulture.

Prashant Hegde : Overall in terms of Agchem revenue, if I see what is contributing from horticulture, it is around 30%.

Rohan Vora : And what would be the size of the pie, just the market as a whole for the products that we are dealing in?

Prashant Hegde : So, it is the revenue which what the horticulture products which are contributing to our domestic revenue is around 30%.

Rohan Vora : I wanted an idea on the market if you can, just a ballpark number would fine.

Rajnish Sarna : Overall industry size.

Prashant Hegde : So, overall, if I look at what is contributing horticulture in the industry is somewhere around 25% to 30%. If you look at what is the Agchem market in India, around 25% is contributed by horticulture.

Moderator : Thank you. Ladies and gentlemen, our last question for the question-and-answer session is from the line of Yash Mehta from Steinberg Asset Management. Please go ahead.

Yash Mehta : The question is that now that you acquired and are currently in the middle of the integration, how have your thoughts evolved on the pharma piece? You have always maintained you wanted a differentiated model, but as we analyze the different

businesses that are operating in this space, they are getting more and more similar to each other. Would you be able to share some light on this?

Anil Jain : If you see the entire value proposition right now, there are many CRO , CDMO players in the market and they are offering the services which includes discovery and manufacturing. At PI, we would cover end-to-end pipeline starting from the key starting material to API. This is complementing the PI legacy of complex chemistry, digitization and automated manufacturing environment of basic chemical

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manufacturing . With this , the current offering is filling the gap in the pharma value chain.

Moderator : Thank you. Ladies and gentlemen,

which brings us to the end of our question -and- answer session. I would now like to hand the conference over to the management for closing comments.

Rajnish Sarna : Thank you, gentlemen, and ladies for joining this call and your continued interest in PI. Thank you so much. Have a good day.

Moderator : Thank you. On behalf of PI Industries Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

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Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call for the quarter and half year ended

September 30, 2023

Pursuant to Regulations 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the transcript of Earnings Conference Call held on Thursday, November 09, 2023 at 2.30 P.M. (IST) to discuss the unaudited financial results for the quarter and half year ended September 30, 2023. The link to access the transcript of the Earnings Conference Call is <https://www.piindustries.com/investor-relations/co-go/concal-transcript>.

This is for your information and record please.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

Encl.: As above

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PI Industries Limited

Q2 FY24 Earning Conference Call Transcript

November 09, 2023

Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of PI Industries Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Nishid Solanki from C DR India. Thank you and over to you.

Nishid Solanki : Thank you. Good afternoon, everyone and thank you for joining us on PI Industries Q2 FY24

Earnings Conference Call.

Today, we are joined by senior members of the management team, including :

■ Mr. Mayank Singhal - Vice Chair person and Managing Director

■ Mr. Rajnish Sarna - Joint Managing Director

■ Mr. Manikantan Viswanathan - Chief Financial Officer

■ Mr. Prashant Hegde - CEO, Domestic

■ Mr. Atul Gupta – CEO , Exports and

■ Mr. Anil Jain – Managing Director , PI Health Sciences

We will begin the call with key perspectives from Mr. Singhal. After that, we will have Mr. Manikantan sharing his views on the financial performance of the company. Thereafter, the forum will be open for question and answer session.

Before we begin, I would like to underline that certain statements made in today's conference call may be forward-looking and the disclaimer to this effect has been included in the Investor Presentation shared with you earlier and also available on Stock Exchange websites.

I would now like to request Mr. Singhal to share his perspectives. Thank you and over to you, sir.

Mayank Singhal : Thanks, Nishid . Good afternoon to everybody and thank you for taking the call today.

Once again, I am pleased to be addressing all of you on the strategic progress that we are making in the ever evolving business landscape for PI. I am once again pleased to report a good performance at PI, its top performance quarter even in the challenging operating environment. Just to give you a flavour, during Q2, we saw 20% increase in revenue. This was accompanied by 28% improvement in the EBITDA and a PAT growth of 44%.

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While the performance has been encouraging , I would like to give you an idea of the operating scenario. Heightened climatic variations are impacting both the pattern of sowing, application and usage of crop protection . During the Kharif, we experienced erratic monsoons , consequently forcing farmers to hold back on application of certain crop protection products. The continuously falling prices of raw materials coming in from China moreover , is putting pressure on selling prices across generic portfolios.

A similar scenario is being reflected globally, where prices have been under pressure , channel inventory stayed at elevated levels and the distributors in the US and Brazil are prioritizing destocking and filling up their requirements with lower priced stocks . However, the consumption of crop protection products in the key markets of North America, LatAm is robust , thereby indicative of good health of the industry in the medium to long term.

At PI, our operating model is vastly differentiated with the focus on IP backed products and niche capabilities distinguishing us and placing us on a different path compared to the other industry players.

Our model is focused on innovative molecules based on our technical strengths and capabilities and we have seen a growth of 22% in the quarter over last year, while the industry faces headwinds . Growth remains well diversified in exports and I wish to underline that this is coming not only from Agchem but also from molecules in the other areas like, electronics , imaging and other specialty chemicals . As we exclusively work on innovative molecules, variation in operating environment do not influence our momentum, whereas we continue to get the upside in the form of wider opportunities for growth .

Given our understanding of multiple chemistries and technological platforms , and our ability to bring high performance solutions to the market, we are confident of sustaining the growth momentum. With a healthy pipeline of our molecules, we see a potential for higher growth from our future product mix. We commercialized 3 molecules during the quarter and we expect to commercialize one or two additional molecules before the end of the fiscal year .

Now, moving on to our domestic business, our focus of driving quality of our revenue rather than pursuit of growth and size of the revenue alone in these challenging times , has resulted in positive benefits. As always the emphasis has been on a good product mix and efficient working capital management and all those are presented in our presentation.

In this light, our performance has seen moderation due to erratic monsoon . The monsoon has seen uneven distribution so far with the reservoir levels in South India marked below last year's average. The sowing patterns of Rabi could be influenced as well . The high level operating discipline that we have shown in terms of managing inventory, launching high performance products and having a diverse product mix , is contributing to the momentum and mitigating the operating scenario in which we are present . We expect to see recovery of niche crop segments and our comprehensive portfolio shall be adequately placed to meet these requirements.

Coming to the outlook in the context of what I have shared , we are continuing our original guideline of 18% to 20% revenue growth with improved margin and returns . Initiatives are already underway to augment capacities , to support further growth plans . Concurrently, we are also scaling up efforts of integrating newer technologies. We recently signed an agreement

with Koppert to work on a sustainable agriculture agenda to market, distribute and innovate products in the agricultural biological space.

Our journey in the pharma is off to an encouraging start. We continue to work towards developing a differentiated

differentiated CRO, CDMO and an API-KSM model. We have had multiple senior and highly experienced resources coming on board. Our Hyderabad Research Center is being readied and is getting staffed. There is a team of domain experts both within and outside India, who are aiding us to connect with large pharma companies. In parallel, we are building infrastructure, building new Kilo Lab, modernizing the quality management systems,

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digitization and other initiatives in Italy. We have made successful debut at CPHI Barcelona recently. Our focus on scaling our business in CRO-CDMO, adding more API, KSMs and RSMs to the mix, such that we bring an end-to-end offering to the large pharma companies. Given the robust operating performance and strong cash flows, the senior management is focused on evaluating various inorganic opportunities to meet the long-term objectives. Multiple initiatives are being helmed in the ESG arena. We have already improved S&P Global Corporate Sustainability Assessment (CSA) ranking to 95 percentile, further our assessment of Ecovadis' sustainability is under progress for 2023.

I have completed my remarks and would hand it over to Manikantan to continue. Once again, thank you for supporting us and once again my congratulations to the management team for this great effort. Over to you, Mani.

M. Viswanathan: Thank you, Mr. Singhal. Good afternoon, everybody on the call today. I will summarize company's financial highlights for the second quarter ended 30th September 2023. Please note that all the comparisons are on year-on-year basis and refer to the consolidated performance of the Company.

As Mr. Singhal has shared, our performance demonstrates a differentiated approach to doing business and a sharp focus on keeping operating parameters in line with our objectives.

To share the performance highlights, during Q2 FY24 we reported revenue of Rs. 21,169 million, a growth of 20% over the same period last year. This was driven by growth in export revenues by 28% to Rs. 16,329 million and a decline of 2% in domestic revenues to Rs. 4,840 million. Profit after tax increased by 44% to Rs. 4,805 million attributable to EBITDA growth and low ETR despite higher depreciation.

Let me also cover YTM performance for FY24, YTM 30th September revenues were Rs. 40,273 million, a growth of 22% over the same period last year. This was driven by solid growth in export revenues by 32% to Rs. 31,959 million, which offset 7% decline in domestic revenues to Rs. 8,314 million. Profit after tax improved by 45% to Rs. 8,634 million. ETR for YTM was 9.83% due to growth in export revenues and onetime effect of merger on pharma entities in India.

Cash flow from operating activities increased 118% to Rs. 6,697 million and Rs. 7,253 million excluding pharma. This was due to higher EBITDA and efficient working capital management.

The trade working capital in terms of days of sales reduced to 84 days vis-a-vis 111 days as on 30th September 2022. Inventory levels also reduced in terms of days of number of sales to approximately 63 days to Rs. 13,998 million. Our balance sheet further strengthened during the year. Net worth increased to Rs. 79,820 million as on 30th September 2023. YTM CAPEX stood at Rs. 7,630 million and is in line with our plan. This concludes my opening commentary.

I will now request the moderator to open the forum for question and answer. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: So just a couple of clarifications, I wanted to seek, one was on the pharma entity performances, so first of all, if you could just help us understand from an accounting perspective, why do these Ind AS reductions or adjustments

show up when we are booking

the net revenues in our financials? Also, the earnings have been on the negative side and how should we see that trending forward over the rest of this year and into next year? And finally just on Therachem within the pharma business, the revenues for the quarter seem to be in the range of Rs. 6 to Rs. 7 crore, I believe the run rate was much higher at the time of acquisition, about Rs. 200 crore for the full year or thereabouts, so what exactly is happening there and how we should see it moving forward?

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Rajnish Sarna: Re your first question, this is more about aligning the accounting practices. So one of the companies was following a different accounting standard and since now we have combined

all these entities in PI Health Sciences, we were to align the accounting policies and standards and therefore these Ind AS adjustments. The second point on Therachem, it is more about the scheduling of the business. They were already carrying some inventory for their requirement, so in this CDMO business, it is more about campaign and the supplies according to the customer requirement but yes, there are different schedule for different products in following quarters and there is no significant downsizing of the business from the customer side, it is more a matter of scheduling of the business and inventory.

Abhijit Akella: Just to clarify, should we continue to assume roughly Rs. 500 odd crore revenue base for the pharma business for this year and this Ind AS adjustments are more of a onetime alignment and they will go away at some point in the subsequent quarters?

Anil Jain: This is Anil Jain here. Rs. 500 crore revenue was our indication for the whole year. During this financial year, one acquisition is almost 11 months and other is almost close to 9 months. We are therefore on track right and Ind AS adjustment would have one off effect.

Abhijit Akella: And just one last thing from my side, if you will permit on the CSM side, the agrochemical CSM business, how does the growth outlook look like for the second-half of this year and there is a mention in the results about shipment that got lost in transit about Rs. 40 odd crore, so number one, what happened there exactly? Is it shown as cost in the raw material line and excluding that then the EBITDA margin seemed to be even higher at about 28% for the overall company, so it seems a very sharp improvement versus what we were doing, so if you could please just elaborate a bit on what has driven the margin improvement and how we should see that going forward?

Rajnish Sarna: There are too many questions in your one question. So let me try and remember and answer one by one. First of all, we still maintain our growth guideline including that of CSM of clocking close to 18 %-20%, and accordingly, second half will also be seeing growth in this business. Talking about this container thing, yes, this is a very unprecedented situation which we have never experienced in last 75 years of our Company and also in the industry. In few of our sealed container for exports, theft took place, which is very unprecedented and we later on also found out that it is not only with PI, but few other chemical companies have also experienced this. But good part is that Police has already nabbed some of these culprits and traced the theft material. I must therefore certainly appreciate the kind of effort put in by the state and police administration for a very swift action. So at this stage, since the matter is still under police investigation, we will not speculate on the recovery and its timing but to be on a conservative side, we have accounted for the material cost in our financials for this quarter.

Abhijit Akella: And just the last point was the margins have expanded significantly if you adjust for this cost, so what

is driving that and how should we see that going forward?

Rajnish Sarna: The product mix has been favourable for us during this period and even in our domestic area, we have focused on quality of revenue and favourable product mix rather than chasing the volumes and values. That has certainly helped improve the overall EBITDA margin during this quarter.

Moderator: Thank you. We have our next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on a very strong set of numbers. First question is on the pharma initiative, so what is the progress in terms of some of the R&D molecules in PI's kitty getting commercialized through the manufacturing facilities outside. So how do we expect the rollout over the next maybe 2-3 years' timeframe?

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Anil Jain: Anil here, I do not know which molecule you are talking because this is a platform where we are providing the services to the companies, not the product.

Rohit Nagraj: We had mentioned earlier that we have been working on the Pharma segment R&D, so those molecules?

Rajnish Sarna: Those are more of intermediates and key starting materials. So yes, those are also progressing in our R&D CRO bench that we are pursuing, and this is part of our evaluation.

Rohit Nagraj: And second question is that given that during current year, there have been a significant decline generally in all the RM prices, how are we seeing our prices for the next year contracts, 2024 contracts for our products?

Rajnish Sarna: Are you talking about our exports? CSM exports?

Rohit Nagraj: CSM segment?

Rajnish Sarna: Given our business model, in any case, pricing, etc., for each campaign is reviewed before we start campaign. While the price structures are defined but final pricing is worked out basis the prevailing raw material etc. So yes, before starting 2024 campaign, necessary price corrections would take place, whether it is reducing or increasing.

Moderator: Thank you. We have a next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Thank you for the presentation and congratulations for a good set of numbers. Sir just two questions, firstly, on the broader inventory situation, you obviously touched upon that, you are still seeing the destocking kind of playing out, just in terms of your assessment compared to maybe a quarter or two back, do you get a sense that you are starting to see some improvement either in the intensity or are you starting to see some green shoots from any part of the world?

Rajnish Sarna: We are certainly seeing some improvement because the consumption remains strong in different geographies, whether it is South America, North America, even in Asia, Europe as the crop acreages are almost same or marginally increased. So obviously the inventory destocking has gradually improved in last quarter. But yes, it may take a few more quarters, again depending on products (generic or commodities), before things should normalize, is the expectation.

Vivek Rajamani: And just as an extension to that, is there any particular geography where the problem is extremely severe in your general understanding?

Mayank Singhal: In our understanding, Brazil has been facing a major challenge because there was a lot of stocking in previous years there, mostly of the generic products. Yes, given that there were supply challenges from the last year, and further added to that was the price escalation, which has now shown a turn around, both the availability and price points with a double impact and that is something we expect in the next couple of quarter shifts hereon.

Vivek Rajamani: And just last couple of clarifications from me before I rejoin the queue. The 18% to 20% guidance on the Agchem side, I would

imagine that is predominantly volume driven, correct?

Rajnish Sarna: Yes, majorly because price corrections are already there on the inputs.

Vivek Rajamani: And you have mentioned in your slide there is capacity expansion, the CS M side is on track, any ballpark, what is this capacity expansion number that you are looking for this year, any ballpark?

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Rajnish Sarna: We have guided for close to Rs. 800 odd crore of capex in current fiscal and so far we are progressing in line with that.

Moderator: Thank you. We have a next question from the line of Noel Vaz from Union Asset Management. Please go ahead.

Noel Vaz: I just have one question on the one molecule which was mentioned, this is the new product which the company is coming up with which is the new Diamide, so I just wanted to know what exactly is the total market size that we are potentially looking at as well as how does the company plan to take up this product?

Mayank Singhal: This is a very proud moment that PI has been the first Indian company to receive the International Organization for Standardization ISO recognition named Pioxaniliprole, but I think I would say this is, we have right now got the registered name, the product is under evaluation in various geographies across the world. We had discussions with various partners evaluating the product performance at various levels, at the field level, in various crops, in various regions to figure out the potential. As you may know that this is a Diamide molecule, globally a couple of billion dollar market. So, we will be looking at how we are going to play into this market. That's how I would put it for now.

Moderator: Thank you. We have our next question from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Sir, my first question is on this pharma business, you mentioned that one-off Ind AS impact is over onetime, so this you are talking about that the current numbers which you are already factoring in terms of the reporting is over or it is going to be for the balance of the year itself in the similar ratio?

Rajnish Sarna: No, whatever was, we had inherited the inventory, and all those things would have onetime impact.

Rohan Gupta: So you are saying the H1 Rs. 35 crore Ind AS adjustment that was all over, right?

Rajnish Sarna: Yes.

Rohan Gupta: So from H2, we should be seeing some positive contribution in terms of the contribution from the pharma business?

Rajnish Sarna: Yes net of any one-off Ind AS adjustments.

Rohan Gupta: Sir, second question is the ramp up of this pharma business once again and the margin profile, it is quite different than when we have got the numbers from this time of acquisition, so is it still in terms of because of the higher cost which you are incurring at these plants, that is so, or at the time of acquisition this profitability margin was high around these plants, you also mentioned that this year you would be looking roughly 14% to 15% margin, while H1 pro forma margins are still at 7%, so we see that the margin of 15% will be only achieved next year because your long-term guidance in margin in pharma business is still in the 20% to 22%, so when we are expecting that?

Rajnish Sarna : Frankly, this is too early to look at the volumes and the margin percentage of this business . I understand your point, but if you recall, we were cautioning the analysts in our earlier calls for not reading too much into deal valuation basis previous year numbers . Basically, two-three things are happening here. One is that there is lot of development spend being done as the idea is to scale up this business and not run these businesses as individual entities. I mean, whether it is the starting material company or the API company, we are not wanting to run them independently as standalone business but integrate them and scale up them in a

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differentiated model to cross leverage and during this initial period, there is certainly going to be pressure on these margins due to this development spend , but we are confident that post full integration, which will take next several quarters or a year's time , we will get to the expected margin level of 20% in this business.

Rohan Gupta: Sir, second question is on our domestic business , though we have seen most of the formulation companies in India have done collectively well in first half and Q2 was fantastic for most of the domestic formulation guys , however, that is not the case for us , so even in H1, if we combine that with the Q1 as well, we actually see the dip only in our revenues compared to last year, while in general the season and the demand scenario has been pretty decent as far as the domestic market is concerned, any particular reason for that?

Rajnish Sarna : In fact, we have seen very mixed results . There are situations where the local players have not been able to kind of achieve growth. Significant impact is there in terms of revenue and more so in terms of the margin profile and this genericization and generic situation , pricing situation has certainly reflected across the industry in the performance . We as a Company , focused on our specialized product rather than chasing revenue growth . Our focus in first and second quarter was more on quality of revenue and the discipline around the working capital and margins etc. , and that has been one reason for the flat revenue. Whatever few percentile moderation that we have seen in revenue could have been avoided if we would have also chased those typical products, even in our portfolio, but that was not done .

Mayank Singhal: So strategically, some of the products which have been kind of a generic exposure for volatility.

Rohan Gupta: So actually we refrained away from selling generic products and focus more on specialty that helped us actually in improving our margins , but not reflecting revenues ?

Mayank Singhal: Margins and working capital efficiencies, so that is a clear reflection of quality of business having a substantial shift for more value accretion .

Rohan Gupta: This is a time being exercise, sir, or you think that we may continue to do so going forward as well.

Mayank Singhal: This is a temporary exercise, obviously because the volatility doesn't add value , so its stressed. We will eventually play this game as when things stabilize .

Rajnish Sarna: But of course, if this situation for generic remains the way it is, our focus will be more on specialized and specific categories.

Moderator: Thank you. We have our next question from the line of Siddharth Gadekar from Equirus Securities . Please go ahead.

Siddharth Gadekar: Sir, my first question is on the Diamide , we had highlighted earlier that we are in talks with global partners for the product , so any progress on that side and how should we look at 3 years higher down the line in terms of the launch? Could you give us any timeline for that?

Mayank Singhal: No, but as I just mentioned to earlier question that now we have a name and we are in the process of evaluation of the product in different crops/geographies/etc and the market opportunities of Diamide are quite sizable .

Rajnish Sarna : This evaluation normally takes a long time as it is done across multiple seasons, in different geographies, crops and comparative trials.

Siddharth Gadekar: But in terms of our patents , when will our patents get counted , from 2019 or the day the product is launched?

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Mayank Singhal : Patent is, always date of filing is counted , not on the date of the launch of the product. That is the way it is done.

Moderator: Thank you. We have our next question from the line of Naushad Chaudhary from Aditya Birla Sun Life Mutual Fund . Please go ahead.

Naushad Chaudhary: Congrats on a good set of numbers in a challenging time. Within the existing basket of commercial molecule and the molecule which are at the advanced stage of pipeline, how many

do you think can become Rs. 400 - Rs. 500 crore of revenue per molecule the next 3-4 years?

Rajnish Sarna: Will you please repeat. We were not clear about your question.

Naushad Chaudhary: Within the existing basket of commercial molecules and the molecules which are at advanced stage of pipeline, how many do you think can become Rs. 400 -500 crore of revenue per molecule in the next 3 -4 years?

Rajnish Sarna : There are many of them , because this is one of the key criteria we evaluate products when we start working on them . When we get into these molecules, these molecules are at a very early stage of their commercialization and their potential is more clearer when they are already registered and commercialized in few geographies. So yes, while the initial indications are very good for several of these molecules, but we will be very sure of their scale -ups and growth potential as we progress further.

Moderator: Thank you. We have our next question from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: In terms of when you have dedicated plans for CSM versus multi -purpose plans, typically what is the difference in asset turns you are able to get higher asset turns on the dedicated plants?

Mayank Singhal: Are you asking a question that, are you able to get a higher asset turns for dedicated plans?

Nitin Agarwal: Yes, and a sense on how much higher do we are able to get typically ?

Mayank Singhal : It is unfortunately not a straightforward answer because we have to look at various factors e.g. dollar per kilo, margin per kilo, etc. it could be lower asset turn, but better return on capital, better margin. Pure asset turn may be high for the bulk chemicals, but for the specialty and big chain molecules, it could be lower asset turn, but gives you better returns on investment . So there's no standard ratio which you can identify, but typically if you look at the chemical industry in this space, it can go between 1.5 to maximum 2.8 -2.9.

Nitin Agarwal: And sir, secondly on our CSM business, with the volatility which has been there in the raw material pricing over the last few quarters, do we go through quarters during the cycle where there is a lag and lead impact in terms of the raw material pricing and the final product pricing, there are the gains we make in a sense, if there is a declining raw material pricing situation, we end up making gains in a particular quarter likewise and vice versa , does that really come about in particular quarters?

Mayank Singhal: As explained earlier , we have this pass -through model and that has been PI way of working as mentioned earlier by Rajnish on a contract to contract, quarter -to-quarter basis based on the contract .

Rajnish Sarna: Yes, there will always be lead and lag, but the commercial understanding , the business model is such that these things are shared , whichever way the trend is on the pricing .

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Nitin Agarwal: Sir, on the overheads this quarter, Y-o-Y there will be very little increase , so is there any particular factor which is driven that despite the growth in revenues?

Mayank Singhal: Overheads, frankly, are not linearly proportional to revenue , but yes, there has been a good approach to this because we obviously are looking at the volatility of the market and trying to see how we can continue to optimize and run this.

Moderator: Thank you. We have our next question from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: So first on the CAPEX you have done in pharma and the disclosure you have made in the segment assets, can you explain the

mismatch because you have acquired assets for Rs. 497

crore and you have shown an asset of Rs. 1,257 crore in the segment assets , so how do we tie in these two numbers if you can help us understand?

M. Viswanathan : On the pharma side, there is one acquired asset and what has been shown is retained assets, I can send across the details to you . offline .

Rajnish Sarna : Maybe you can connect with our CFO separately .

S Ramesh: The second thing is to dwell bit more on the pharma economics. What is the level of gross margin we should see on a stable basis as you scale up over the next say four to six quarters ?

And in terms of the proportion of overheads to revenue again , if you can give us some sense in terms of the percentage , it will help us work towards when you can possibly breakeven and get to that 20 %-25% assuming a certain scale for the revenue, we can just help us understand that?

Rajnish Sarna : Yes, sure. So currently the gross margin is at 70 %-75% plus level and we believe that this can certainly be sustained on the scaled up level as well . Regarding overhead percentage and EBITDA margin, as I explained earlier that we will have to keep in mind that this is going to be a development phase for next several quarters as we are integrating these different resources and companies from CRO to API in the interest of long -term objectives of building a differentiated model , so yes, once we get to a maturity level, we will see that we will be generating 20 %-22% kind of EBITDA margin.

S Ramesh: So in terms of the development expenditure , in terms of cash outflow, what is the kind of expectation you have say in the second -half and for FY25 for the pharma assets ?

Rajnish Sarna : Well, we don't have these specific numbers right now on the call because all this is still in development phase , but yes, we can have a separate call on this.

S Ramesh: So finally on the tax rate, now there is a certain amount of difference in the tax rate for pharma and the existing business , so can you give us some sense in terms of where the tax rate will settle for the pharma entities once it is in a steady state stable profit generating phase? What is the kind of tax rate which would assume there?

M. Viswanathan : That tax rate for pharma would be around 25% normally. But what you see in this current quarter is one of effect on account of merger.

S Ramesh: So pharma, we can work with 25%, right?

Rajnish Sarna : Yes.

Moderator: Thank you. We have our next question from the line of Krishan Parwani from JM Financial. Please go ahead.

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Krishan Parwani: Just one clarification from my side , when you said 18 % to 20% revenue growth, did you mean for overall company including pharma or just the Agri CSM?

Rajnish Sarna : Well, this is only for the Agri CSM we are saying without considering the impact of pharma acquisition .

Krishan Parwani: Thank you so much for the clarification. Wish you a very happy Diwali.

Rajnish Sarna: Thank you. Same for you.

Moderator: We have our next question from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: So just as a follow up question , now in terms of the domestic business, I know it is a little bit of a challenging environment out there, so if you look at the second -half, given the challenges in terms of moisture levels, last time you had said that you hope to do well , so what is the kind of expectation you have for growth in the domestic business in the second -half and how do you see the new molecules and normal economic condition guide you in terms of the potential volume growth for say FY25 in your domestic business ?

Prashant Hegde: Yes, last time we did mention, we were hoping that the rainfall situation will improve , but if you look at August was completely dry, that has impacted overall numbers in the domestic . As we look for

ward basically the second half, there are few areas , one is South and the wheat . Wheat is obviously very positive looking at overall commodity prices, looking at the acre ages. However, we are seeing some challenges in the South, where it is a rice and chilly because of water levels are very low, mainly because of dry conditions prevailing in parts of Andhra Pradesh, Telangana and Karnataka . That will have some impact , but we are expecting a growth on the quarterly basis both in Q3 and Q4.

S Ramesh: And any sense in terms of what we can expect for FY 25 based on your current portfolio and the new molecules you have launched?

Prashant Hegde: It is a tough question to answer at this point of time looking at the overall volatility which we are seeing globally as well as in India, probably after December, we should be able to give you a good indication.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you , sir.

Mayank Singhal : Once again, thank you everybody for coming on to this call. We at P I management are very well encouraged and supported by the Investor Community and continue to look forward to the support in these challenging times and I wish you and all your families a very Happy Diwali, a great year, full of happiness, joy , great health and success. All the very best from the PI team. Thank you.

Moderator: Thank you. On behalf of P I Industries Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

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Call: Nov 2023

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PIIL/SEC/NSE/BSE: 53/2023- 24

August 18, 2023

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor, Dalal Street,

Mumbai – 400 001

Code No.523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No.C/1, G -Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051.

Code No. PIIND

Dear Sir/Madam,

Sub: Updated version of transcript of the earnings conference call for the quarter ended June 30, 2023

Pursuant to Regulations 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the updated version of the transcript of earnings conference call held on Thursday, August 10, 2023 to discuss the un-audited financial results for the quarter ended June 30, 2023. The link to access the transcript of the earnings conference call is <https://www.piindustries.com/investor-relations/co-go/Concal-Transcript>.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

Encl: as above

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Q1 FY24 Earnings Conference Call Transcript

August 10, 2023

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of PI Industries Limited.

As a reminder, all participant lines will be in the listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*', then '0' on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from C DR India. Thank you

and over to you, Mr. Solanki.

Nishid Solanki : Thank you. Good evening, everyone and thank you for joining us on PI Industries ' Q1 FY24 Earnings Conference Call.

Today , we are joined by senior members of the management team, including:

- Mr. Mayank Singhal – Vice Chairman and Managing Director
- Mr. Rajnish Sarna – Joint Managing Director
- Mr. Manikantan Viswanathan – Chief Financial Officer
- Mr. Prashant Hegde – CEO (Domestic)
- Mr. Atul Gupta - CEO (Exports), and
- Mr. Anil Jain – Managing Director , PI Health Sciences

We will begin the call with key perspectives from Mr. Singhal, thereafter we will have

Mr. Manikantan sharing his views on the financial performance of the company. Thereafter, the forum will be open for question- and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call may be forward- looking in nature and the disclaimer to this effect has

been included in the investor presentation shared with you earlier and also available on Stock Exchange websites.

I would now like to request Mr. Singhal to share his perspectives with you. Thank you and over to you, Sir.

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Mayank Singhal : Good evening, everyone. It is my pleasure to have you with us on this call. I shall now share my perspectives on the industry landscape and the progress that we are making with our strategy .

The global crop protection industry is witnessing a tough phase over the last couple of quarters with intense destocking by the distribution channel due to increased availability of certain categories of product post the normalization of the COVID disruption and scenarios of steep price reduction of these products leading to cautious procurement by the channel . On the other hand, the Chinese economy is experiencing slack domestic demand, and it is exporting deflation through stepped up exports of goods . It is already impacting the chemical sector across the value chain.

Given that we at PI overall year -on-year basis during Q1, we have delivered a 24% revenue growth and a 35% increase in EBITDA and a profit after tax recorded a 46% growth year -on-year. PI has though maintained course of healthy performance in its CSM exports with a 33% growth year-on-year. This performance comes back with continued strong growth in further endorsement of our approach in the business. Our domestic business performance for the quarter has been subdued due to the delayed onset of the monsoon. But on the positive side, we have kept tight control on trading working capital and the overall market scenario has focused more on qualitative aspect of the revenue than the volumes. We are confident of getting back on our growth path with the normalization of rainfall during the second half of the kharif season. We continue to maintain the momentum of new product launches. Five innovative products are planned for this fiscal year. In Q1, we have launched EKETSU. EKETSU is India's first three -way herbicide mixture to provide maximum weed control and efficacy for total control in rice herbicides. This will further fortify our portfolio of rice crops , already one of the best in the industry . The business has long pipeline of products , and exciting launches ahead.

Our business model is aligned to commercialization of advanced molecules for innovators , thanks to a very visible track record, our engagement of scale up as well.

This goes beyond AgChem . It is our intent to create a dedicated platform for the pharma CRO and CDMO play. I would like to share that this process of integration of our pharma CSM acquisition is underway and tracking internal milestones . Our combined R&D capabilities with the brand- new integrated pharma research center being developed in Hyderabad for the CRO and CDMO offering further bolster onto our business proposition.

Our forte has been our vast library of knowledge of complex chemistries with high scalability and competitive manufacturing footprint and our ability to tailor our solutions to specific circumstances to meet and be customer centric . The continued traction is delivering and driving healthy accretion to our order book position in a virtuous cycle between innovators and P I. During the quarter under the review, we have commercialized one new molecule and remained well on track for commercializing 4 to 5 new molecules every year as guided earlier.

While the industry outlook for the AgChem demand is soft with some forecasts projecting single digit contraction in the year '22-23 relatively to the previous year . However , at PI, we especially focus on new chemistries and with our advanced portfolio of products and given the visibility that we enjoy , we remain cautiously

optimistic to achieve the given target of between 18 % to 20% revenue growth in the current fiscal despite the headwinds explained above.

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We should have to keep a close watch on the market scenario and review our guidelines after the upcoming kharif season. This will be supported by ramping up the production of already commercialized molecules and the introduction of new molecules.

For the long- term perspective, India remains the locus of growth for chemicals. It is believed that India has achieved the AgChem exports worth USD 5.4 billion in 23, up by 10%, making it the second largest exporter of AgChem in the world. With policy supported by manufacturing in AgChem , these exports are expected to double in the coming 3 to 4 years. India is already the 4th largest producer of Agchem, and now No. 2 in the world from the previous year. The Government is considering PLI scheme for chemicals and AgChem domestically, and that can further accelerate the strength. With policy acting as the catalyst , the industries are plugging in gaps in the value chain with a view to offer innovators of chemistry as well as customers at the other end, added incentives to expand here. Therefore, the long- term perspective of this specialized chemical industry remained bright despite the current blips .

PI remains dedicated to driving progress in a sustainable manner. ESG still remains the center point of every initiative on our growth execution . We deem it as our responsibility to align our processes, production and products for a thriving and vibrant environment for our purpose of reimagining a healthier planet. This is reflected and can be tracked through outcomes we script .

I now close my perspective and hand it over to our CFO – Mr. Manikantan to take the discussions forward. Thank you once again to all of you. Over to you, Mani.

Thank you.

M. Viswanathan : Thank you, Mr. Singhal . Good evening, everyone and thank you for joining us on the call today . I'll summarize the company 's financial highlights for the fourth quarter ended 30th June 2023. Please note all these comparisons are on a year -on-year basis and refer to the consolidated performance.

During Q1 FY24, we reported a revenue of 19,104 million, a growth of 24% year -on-year including newly acquired pharma business and 21% revenue growth without it . This was driven by growth in export s revenue by 37% to Rs. 15,630 million , offset by a 13% decline in domestic revenue to 3,474 million. The export revenue growth in CSM was 33%, comprising volume growth of 29% and 4% from price, currency, and favorable product mix . This quarter, total export s revenue included pharma revenue of Rs. 443 million comprising around 2 months period for Archimica from 27th April 2023 onwards and one month period for Therachem from 2nd June 2023 onwards . Domestic revenue was contracted by 13% year -on-year due to delayed monsoon leading to volume degrowth. The gross margin increased to 47% including pharma and 46% excluding pharma. Gross margin excluding pharma has jumped by 201 basis points. Pharma gross margin was 75%.

EBITDA increased by 35% to Rs. 4,726 million for the quarter on account of favorable product mix and operating leverage. EBITDA includes pharma EBITDA loss of Rs. 54 million after one time acquisition, integration, and initial business set -up expenses. Profits after tax increased by 46% to Rs. 3,829 million attributable to EBITDA growth and lower effective tax rate despite higher depreciation. Cash flow from operation activity during Q1 FY 24 was Rs. 3,028 million.

Trade working capital in terms of number of days of sales improved to 83 days as on 30th June 2023 vis-à-vis 102 days as on 30th June 22. Inventory levels reduced in terms of days of sales to approximately 73 days to Rs. 14,049 million excluding pharma inventory of Rs. 1,260 million vis -à-vis 89 days as on 30th June 2022. Our

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balance sheet further strengthened during the year . Net worth increased to Rs. 76,094 million as on 30th June 2023. CAPEX in Q1 was Rs. 6,490 million including pharma acquired assets of Rs. 5,249 million through business combination. The CAPEX excluding this addition is Rs. 1,241 million. During the quarter, we completed pharma acquisition of Archimica and Therachem Group amounting to Rs. 8,560 million.

Post acquisition outlay, the surplus cash net of debt is Rs. 28,066 million including balance in QIP funds of 11,320 million. QIP funds remained invested into the deposits and debt mutual funds with SLR philosophy, while final deployment aligned with PI's long-term growth strategy is underway. This concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator : Thank you very much. We will now begin the question- and-answer session. The first question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar : My first question is on our pharma asset. So, how is the integration process progressing and if you can give some qualitative information on the same and how should we think about the growth of this business? Do you foresee a significant increase in capacity utilization in these two assets versus around 50% of what we saw last year?

Anil Jain : I am Anil Jain here. Your first question is about the integration piece. Basically, three pieces namely Archimica which we acquired and it is in Italy , TRM in US, India & Hyderabad Research Center , which is newly built up and it 's also in process of getting fully ready to start. Currently we are progressing well on operating model , IT updation and HR integration built up.

We are also working with a global advisor for the business transformation across the areas including R&D , manufacturing and supply chain.

The second part of your question is on pharma revenue. We are aiming to achieve what we have committed. Gradually quarter -on-quarter business would build up as one of the company's performance is 28 days and other of 34 days only.

Aditya Jhawar : That is quite helpful. Now in this quarter , there was this one- time acquisition and integration cost. If you can just call out what was the cost and how should we see the margin trajectory of the pharma business in the remaining part of the year?

Rajnish Sarna : So, in this quarter in terms of financials, there were couple of one- offs. One is obviously the acquisition and business setting up costs and all to the tune of more than Rs. 100 to 120 million. The other is the impact of the IndAS- 115 because the acquired entity, particularly the Indian acquired entity was not accounting as per the IndAS , whereas in PI Health Science we follow the IndAS . Going forward, as we indicated earlier, there are going to be initial phases where we will be investing in the development of these acquired businesses and also the transformation of some of these businesses. So, obviously the EBITDA margins that we are looking at are going to be on a lower side. But on maturity, we would surely expect and target 20 %-24% plus kind of margin once we get to the maturity which will take more than a year's time. In the initial phase, we are expecting anywhere between 14%-15% of the kind of margins that we have indicated earlier.

Aditya Jhawar : My final question is, sir, what would be the total CAPEX guidance for FY24? It will be great if you can give a breakup between CSM and domestic as well as the pharma piece ? The core business and the acquired assets, sir, separately ?

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Rajnish Sarna : We had indicated close to Rs. 850 crore – Rs. 900 crore of CAPEX for the Agchem business . For pharma, we have close to \$10

million - \$12 million is what we will be investing. So, that's the current guideline on the CAPEX and we maintain that guideline.

Moderator : Thank you . Our next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: First question is you have mentioned in the presentation that 13 top molecules identified for capacity enhancement. These are the molecules which have been launched in the recent years or these are more matured molecules and we have seen good amount of scale up happening from the off -tech perspective ? Thank you.

Rajnish Sarna : So, these are all operating objectives that are taken by our cross functional teams on a regular basis, and these are not recently launched molecules . Over the years we have commercialized many projects and out of those projects , as the processes improve year -on-year, our teams have identified opportunities for throughput improvement .

Rohit Nagraj : Sir, second question is in commentary as well as in presentation, we have said cautiously optimistic on the CSM segment. So, in the last 1.5 months of the current quarter, have we seen any kind of slowdown in terms of volume off take and a concurrent question to that, the 18% to 20% guidance, does it now include the pharma piece as well or is it excluding the pharma, please? Thank you.

Rajnish Sarna : As far as the global scenario etc. is concerned, it is not only last one month, one and a half month, but we have been seeing this for the last few quarters that there are certainly headwinds in general in the industry. And that is more particularly towards certain categories of products on the generic side. So far, we have not seen a dramatic change as far as the demand scenario for our products is concerned. But we are saying cautiously optimistic because ultimately some such longer term trends may have some impact on the overall industry demand scenario as well, though we have not seen it so far, but as indicated we would also like to review this overall plan and guideline maybe post kharif season, by the time we'll have a better understanding and better visibility of that. But at this point, we do not see any dramatic change or new development.

Rohit Nagraj : And does it include pharma as well? Just to clarify. The 18% to 20% guidance that we have...

Rajnish Sarna : Well, our idea is that pharma, whatever contribution it comes will be on top of it. But as I said, we will review all this post kharif season.

Moderator : Thank you. Our next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar : Can you talk about the domestic business 13% degrowth and how things are panning out in the current season, in the coming quarter?

Prashant Hegde : So, the first quarter, you already might have seen from the industry, in fact, we anticipated it from at least last three or four months. So, that is why we were also cautious in terms of our procurement, especially on the generic products knowing this volatility; however, from July onwards, the positive momentum has built up. We

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are having especially commercialized seven new products last year, those are doing good and this year also we have a plan to launch four new products, in that one we already commercialized in quarter one. So, this has definitely helped us, and this will continue to help us in terms of showing positive results in coming quarters.

Rajnish Sarna : So, just to add, in terms of market sentiments, market activities, there is certainly an improvement compared to what we have seen in the first quarter. But yes, in net cases there are a couple of months to be monitored and see how the overall Kharif season will pan out.

Sumant Kumar : Can you talk about pharma like-to-

to-like growth Y-o-Y and also what is the quarterly run rate if we will consider from the month of April, for both subsidiaries.

Rajnish Sarna : First of all, it is not possible for us to share Y-to-Y growth on like-to-like basis because as Anil explained earlier, in one business we have revenues of 30 days or less than 30 days. The other business we have revenues of I think 50 days or something. So, we certainly do not have past data on these companies' businesses for the same period the previous year. So, that is the reason we do not have that like-to-like comparison and why this business or current quarter performance? I think Anil, has already explained. You may want to add something.

Anil Jain : As I said earlier, it's only one month performance right now and you know the CRO and CDMO business is generally customer delivery driven, they are not driven by the months. So, sometimes it comes up, but we are confident that in the coming quarters, we will be able to meet expectation.

Sumant Kumar : So, I'm asking whatever the number we have published in the acquisition note for the FY22-23 or say CY 23, there will be any growth on that?

Rajnish Sarna : If you see, those numbers were for the calendar year, if I'm not wrong. So, we'll have to see, but on an annual basis, what is that we will be finally seeing the number. But yes, in certain businesses, we are expecting growth. In some other businesses, it is flat as per the current rate, but on like-to-like on quarterly basis, data is not there for us to give you a straight answer.

Moderator : Thank you. Our next question is from the line of Vishnu Kumar from Avendus Spark. Please go ahead, sir.

Vishnu Kumar : I wanted to understand on pharma, just on continuation, now that all the plants would be running fully, is it like Rs. 150 crore to Rs. 170 crore at least would be a current run rate that we'll achieve from 2Q onwards? If I just do some approximation on the pro forma numbers.

Mayank Singhal : That is based on our acquisition stage, what number we give. We are hopeful of going in this direction in the coming quarters.

Vishnu Kumar : And also, on the CSM side, we see that 29% volume and pricing continues to be positive, but with across raw material deflation, I wanted to understand how long this pricing will continue and generally when we talk to the customers, when does

this price negotiations happen? Like because there 's a deflation, s hould we continue to believe that this will help us on the margins or at som e point we' ll see some pricing cut?

Rajnish Sarna : First of all this raw material deflation is not the same all across the product and varies from product to product . But yes, wherever there is substantial improvement in raw

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material prices or reduction in raw material prices , obviously going by our business model, new prices are factored in, in the next supplies or next contracts or purchase orders and all.

Vishnu Kumar : So, this 25% margin would be a new normal to be considered or any guidance on the margins if you could help us understand?

Rajnish Sarna : As we have explained in the past the 24%-25% margin is coming from 2- 3 factors . One is obviously the operating leverage, the other is the product and business mix and all . And yes, we are confident that given the kind of visibility of business plans, volume , and value that we have, we should be able to sustain these margins.

Vishnu Kumar : And one final if I may. Sir, w e've done almost 30% growth plus in the CSM an d you also mentioned that our growt h is not impacted, but if I take 18% -20% guidance, it looks like even if you do 1 2% to 14% growth is enough to achieve the guidance. Is this like we are taking a conservative approach or do you ha

ve some indications that

your delivery schedules in second half will be slightly lower, just some sense here?

Rajnish Sarna : We are cautious. It is not conservative or optimistic. But yes, I mean we are cautiously optimistic that yes and in any case as indicated, we will review this overall situation in 3-4 months now.

Moderator : Thank you. Our next question is from the line of Abhijit Akel la from Kotak securities. Please go ahead.

Abhijit Ake lla: Just two from my side. One is on the CAPEX for the quarter , it is about Rs. 120 odd crore excluding the pharma acquisitions . We've guided to almost hitting Rs. 850 crore -Rs. 900 crore for the full year. So, should we expect a big acceleration in the remaining part of the year?

Rajnish Sarna : This is as per the plan only . The major part will be coming in subsequent quarters as the execution progresses . But yes, the annual plan remains what I indicated around Rs. 850 odd crore .

Abhijit Ake lla: And the second thing is just that on the guidance 18% -20% growth, earlier it included the domestic business also. So, in light of this quarter 's challenging performance there, do we sort of stick with that expectation, or should we assume that 18- 20% is only for the CSM piece for now?

Rajnish Sarna : You're right and that's the reason at this point we are saying we are optimistic cautiously that if things pan out well for the remaining period of kharif , we should be able to get there. But if not then, we will surely come back with our revised estimate.

Moderator : Thank you. Our next question is from the line of Vivek Rajamani from Mor gan Stanley. Please go ahead.

Vivek Rajamani : Sir, two questions from my side. Firstly , on agrochemicals, if it 's possible to give some color on what is the kind of inventory situation that you 're seeing for your specific products ? We've obviously been hearing that there' s a lot of inventory across the system, but if you can provide any kind of color with respect to what you' ve been hearing from customers, which would be really helpful. And the second question I had was on margins, again, very strong margins that we have seen in this quarter. I just wanted to get a sense if there was any specific factor that you would like to call out which was driving this sequential jump and just going forward should we be aware of any seasonality in the upcoming quarters? Thank you so much.

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Rajnish Sarna : Well, in terms of inventory in general, we do not see a significant challenge or stocking in the product that we are dealing with/export ing. In domestic, Prashant , you may kind of highlight .

Pras hant Hegde : Yes, overall, we know the price has been volatile. So, that is why we were cautious even in Q1 in terms of our placement as well. Now with the demand picking up, we don't see any major concerns so far. Overall, domestic side demand is now from July onwards. We are seeing that it is coming out stronger. However, again it is last 1.5 months only we are cautious. We have to wait and see how these things progress for the remainder of the k harif season.

Rajnish Sarna : And your second question in terms of margins, I already explained to the earlier

participant that last year from 22.5% -23% currently we are whatever few 100 basis points that improvement is there, is mainly on account of the operating leverage and favourable product mix , particularly in the domestic business where the volumes were becoming challenged given the overall market scenario monsoon situation . We have very clearly focused on the quality of revenue and margins and that is clearly reflected here.

Moderator : Thank you. Our next question is from the line of Ankur Periwal from Axis Capital. Please go ahead, sir .

Ankur Periwal : My first question on

the R&D side. Looking at the annual report , we have seen a sharp increase in the R&D manpower as well as spends. So, just your thoughts there, is it related to the Agchem side or the new chemistry side or it is also focusing on the pharma and one can expect a larger number of new product launches there?

Mayank Singhal : Till March 23, we did not have the pharma in this zone. This increase is coming from Agchem side and the process research and development side and also the biotechnology fermentation that we put in there.

Ankur Periwal : So, the incremental addition that we have seen now, will this also be including the allocation for the pharma R&D?

Mayank Singhal : No, that is going to Agchem now as I said because the pharma piece has come up later, right?

Ankur Periwal : Looking at the last three years number, there is almost doubling of the manpower there. Anything you'd like to share on the other performance chemicals or the electronic chemicals that we have talked about earlier?

Mayank Singhal : Clearly , we have taken some of those areas of work. The good part is that we can update about where we are on the commercialization on the fine chemical areas and what you're seeing there, please go ahead .

Atul Gupta : There had been good amount of traction around the electronic chemical segment.

And there is a good amount of enquiry in pipeline and advanced development stage.

We would be commercializing 4 -5 molecules in the electronic chemical space. And

as you know, Mr. Mayank said that there are other adjacencies where we are trying

to build the platform for the biotechnology fermentation and the other new technologies and that's where you know these additional energy resources have been ...

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Ankur Periwal : And secondly, we also talked about rejigging our product portfolio, focusing more upon the ESG angle of the environment part of it . Is this comment focused on crop protection, the domestic business or you are including CSM also here?

Management : No, if you look at PI , it's a part of the PI strategy in every facet of our products, just not in one business area or two . We'll definitely look at this, whether it's Agchem brand, whether it's manufacturing CSM or tomorrow it's Health Sciences , automotive electronics, we're going to keep that anchor as a key driver.

Moderator : Thank you. Our next question is from the line of Rohan Gupta from Nuvama. Please go ahead, sir.

Rohan Gupta : Congratulations on such a strong set of numbers despite the weak industry scenario.

Sir, the first question is on further clarification on that. While we are seeing that the entire industry is suffering from the inventory destocking, especially in a global market , we still have been managed to grow 29% in terms of volume growth. Sir, if you can explain a little bit more, is it some because of the nature of our product or the product basket which we have that continuously seeing the higher volume growth and there was no inventory buildup has happened in last one year at all and that is driving the growth or it is just only that customers keep on buying from you without any pushing or without any delays or spillover that is still driving the growth for you and me, impact our growth going forward if they are consuming or if they are sitting on the inventory on our behalf.

Rajnish Sarna : No, the earlier is the reason . This is all about quality of the product portfolio which is driving this growth for us . These are, as you know, early -stage molecules, they are growing in different markets and basically , these are not mature products per se compared to some of these generics which are getting beating in the global market. So, as a result , our customers are also facing some significant challenges or conc

erns around inventory pileups and other things of generic/mature products .

Rohan Gupta : So, if I extrapolate this thing and since we have not stuck with the higher inventory in the system and there is no Chinese dumping in our case because we are early

stage of product. So, end customer demand and especially for the new molecules for products like us is still so solid that we have been able to deliver a 29% kind of volume growth having I mean if the industry would not have stuck right now with the high inventory which is the case for most of the products in the market. Do you see that the farmer level demand is still so strong as is in case of your products, definitely your products are in early -stage molecule but still is farmer level demand is very strong.

Rajnish Sarna : Well, my personal view is that farmer level demand is strong even for generics, where there is a volume dip. The challenge is coming because of high inventory in the channel. So, the inventory destocking is happening at the channel level, but that doesn't mean that the consumptions have gone down, or acreages have gone down, that is not the case. So, yes, even in generic products, it is more about channel destocking than the significant reduction in consumption. You take any global scenario and also local scenario in terms of acreages. Prashant, may add in terms of acreages, we have not seen any significant reduction. The other impact is that some of these generic products, prices have gone down and therefore the values have come down, which is not a major issue in the case of products that we are dealing.

Prashant Hegde : Overall, in terms of acre, there was a delay in terms of sowing, so at the end of June we have seen somewhere around 16% to 20% reduction, especially in rice. But if I look at just few days back, overall, it is more or less similar to last year if I look at all

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the crops, yes, rice is up. That is positive news. However, cotton is down by around 2%, rice is up by around 3% and pulses are down by 9%. But all other crops are more or less similar to last year and overall gross crop area is 0.2% down compared to last year. So, this is nothing. So, it's more or less, the demand definitely looks like coming up. But as I said, still we are early into kharif, and we have to wait and watch.

Rohan Gupta : Sir, just on the extrapolation of the same thing, since you are saying that we are not stuck with the high inventories in the market and demand from the farmer level remains strong. So, when other companies are giving the commentary, they are not sure about how much inventory is there in the market and what is going to come up from China, but in our case, we should be fairly confident about it if the farmer level demand is strong. I still didn't get the reason that we are still making a statement like cautiously optimistic while we are seeing that the farmer level demand is coming, and it is still strong. I understand that the domestic market may have volatility with the kharif crop volatility, but as far as the global markets are concerned, we should be fairly confident about our volume growth in the current scenario, isn't it so?

Mayank Singhal : Well, that is a very optimistic way of looking at it. But if you look at our products, these are the high-end inventory in the price point. When we are below a certain point it does have a temporary glitch, right? You can't say that it doesn't have any impact, so those are the things we are cautious about. We are watching. The buffer is there, but that obviously becomes little impactful, but you don't go out and say because of that, I'm going to start doing erosions, which are short term in order to meet that because that's not going to change scenarios. So, this is

the balance in

the economy which you need to keep looking at demand scenario, competitive price, product availability and how the balance between availability and value creation.

Rajnish Sarna : Just to add one more point, there is always a lead and lag even in getting the information on the ground. You see this is not a very advanced industry per se from the agriculture and rural fields or even in the global arena, collecting updated inventory data from the rural markets is not easy and there is always a lead and lag, so we have to be a little cautious and careful in even reading these data points.

Rohan Gupta : Sir, employee cost on consolidated basis is Rs. 173 crore and standalone are 150. That means that for subsidiaries, Pharma Asset which we have acquired roughly Rs. 23 crore that is a fairly high number. And I believe that the one-off which you have mentioned will be adjusted in other expenses.

Rajnish Sarna : I do not know how you have come to this comparison that number is high or low. But yes, if you look at the acquired business, the overall revenues etc. are for a very small period. There are also setting up expenses that are happening, for example, we are setting up a Hyderabad lab. We are also hiring, and acquiring, many of these top leadership players in the pharma space to unleash value out of these acquired assets. So, yes, in the initial phases as indicated earlier, we are certainly going to see some of the development spend, including the manpower spend.

Rohan Gupta : And sir in your consolidated reporting, when we have started giving segmented

financials, we also have some part of business coming from pharma, but that is not clubbed in pharma segmentation. Any particular reason for that?

M. Viswanathan : In the segmental thing, what is coming under pharma is already stated in pharma only and that is separate cost.

Rohan Gupta : But sir we had 5% to 10% of our revenues coming from pharma.

Rajnish Sarna : Rs. 443 million in revenue is coming from pharma.

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Rohan Gupta : Rs. 44 crore , right? But that is only from the subsidiaries which you have acquired, right?

Rajnish Sarna : Yes. our subsidiary , PI Health Science, which is comprised of the entity that we have acquired in Europe, India and also in US.

Rohan Gupta : But PI standalone basis also had some pharma business, we understand 5% to 10% of the revenue used to come from pharma. Why is that not led to the pharma?

Rajnish Sarna : I do not know from where you got this number 10% from pharma ! No, not at all.

Moderator : Thank you. Our next question is from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.

Naushad Chaudhary : Firstly, follow up on the electronic chemical piece, which you indicated 4- 5 molecules we are planning to commercialize. So, just wanted to understand in terms of the size of opportunity you see here in this piece of business and how big it can be for you in the next 3 to 4 years?

Mayank Singhal : Well, let me answer that. The electronic chemical business is just an entry point right now. There is not going to be a significant number in the PI, but in the next five years, we do believe in the growth potential of the specialty chemical, and also the fine chemical area, but electronics or semiconductors, specialized polymers which all going in the same application. So, we could see a few percentage points in that there.

Naushad Chaudhary : So, in five years can it be in terms of capital deployment, can it be as big as we currently have the CSM Agri and the plan which we have in pharma? Can it consume...?

Rajnish Sarna : Certainly not the same size as Agchem that we have because you will appreciate that our position in Agchem today is the work of last more than 25 years and investment

made over this period. So, what is being said is that with our efforts in the last 3-4 years, we have already now got to a stage where we are commercializing several of these products, non Agchem products including electronic chemicals , specialty polymers etc. And this would surely become a reasonable percentage of our overall revenue, but this cannot be the same or it would be speculative to think that it will become of similar size as our Agchem business today. No, it will not .

Naushad Chaudhary : So, the capital deployment piece on the pharma business side, we had around Rs. 2000 crore of plan. We have deployed around 1000. So, pending 1000, any development on that?

Rajnish Sarna : Let me clarify here. First of all, the QIP funds of ~Rs. 2000 crore that we raised was not only for pharma acquisition but for several of our long- term strategic initiative projects including pharma, of course, for diversification into adjacencies e.g. pharma.

For pharma, we have already allocated close to 900 crore as you mentioned. For the utilization of remaining funds , we are also looking at several opportunities including some of the bolt -on opportunities in pharma. We are also looking at other M&A opportunities in the space of Agchem domestically and also outside India. we are also looking at inorganic opportunities in other technological areas like biochemicals, BioSolutions and several other such opportunities, including brands, distribution etc. I hope this clarifies.

Moderator : Thank you. Our next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

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S Ramesh : So, if you were to look at the Pharma Capital employed, is it possible to share what is the working capital in that piece and any accumulated losses? And secondly once you reach that normalized revenue of Rs. 515 crore , which is the kind of investments will require on both gross block and working capital and how do you see the growth in the revenues over the next 2 to 3 years and is there any clarity on the order size you can share with us now?

Rajnish Sarna : There are several questions in your question, but let me try and answer them one by one. So, yes, we indicated earlier that in the next 3-4 years we would surely want to more than double this business that we have acquired, that is one. And the investment details are already there in our

presentation and also earlier release. And going forward, as we are scouting for more business and particularly for a better quality business. Of course, we will be making certain investments. We have already indicated close to \$10 million- \$12 million investment in the current financial year. Likewise, depending on the business opportunities, we will be deciding on further investments, but in a nutshell the overall idea is that we would surely want to, and we are internally committed to building this scalable differentiated business over the next 3- 4 years' by making further investments.

S Ramesh : And the second thing is on the domestic market, there is a mention about 9% of your revenue coming from biological products. So, how do you see the domestic business performing and the normalized demand based on the new launches and what is the kind of aspiration for the share of biological products in your domestic portfolio?

Rajnish Sarna : Yes, Prashant, you can explain that.

Prashant Hegde : Biological products, as I said earlier as well, we have the plan to launch two products this year, one which we are launching in this month and one in quarter three.

Definitely, there is good traction even though there are many products, especially generic type which we have seen some challenges, biological products are growing in double digit, and they will continue to grow. So, that is wh

at we are estimating at this point of time.

Moderator : Thank you. Our next question is from the line of Krishan Parwani from JM Financial.

Please go ahead.

Krishan Parwani : Just two small clarification from my side. First is, has there been any purchase order deferment in the ongoing quarter?

Rajnish Sarna : Not really.

Krishan Parwani : And then the second is since second half is usually strong for us, do you see that trend changing in any sort in this fiscal?

Rajnish Sarna : No. As explained earlier, so far, we have not seen any dramatic change in the demand scenario of the kind of products we are dealing in. But given the overall industry situation, we are also very cautiously monitoring the situation and in the next 3-4 months' time, we will have certainly much better visibility and we shall review our guideline post the second quarter.

Moderator : Thank you. Our next question is from the line of Rohan Vora from Purnartha Investment Advisors Private Limited. Please go ahead.

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Rohan Vora : My first question is on working capital days. We have seen efficiencies in working capital days in this quarter. So, can we treat this as a norm? Is there a scope of still better working capital days or the days will go up from here on?

Rajnish Sarna : No, we certainly see some more opportunities for improving working capital in some of the business areas.

Rohan Vora : And sir my second question was on the horticulture business. So, just to get an idea about what would be the size of our market in that particular segment horticulture, the product that we are dealing?

Rajnish Sarna : Which segment you said?

Rohan Vora : Horticulture.

Prashant Hegde : Overall in terms of Agri hem revenue, if I see what is contributing from horticulture, it is around 30%.

Rohan Vora : And what would be the size of the pie, just the market as a whole for the products that we are deal-in?

Prashant Hegde : So, it is the revenue which what the horticulture products which are contributing to our domestic revenue is around 30%.

Rohan Vora : I wanted an idea on the market if you can, just a ballpark number would fine.

Rajnish Sarna : Overall industry size.

Prashant Hegde : So, overall, if I look at what is contributing horticulture in the industry is somewhere around 25% to 30%. If you look at what is the Agri hem market in India, around 25% is contributed by horticulture.

Moderator : Thank you. Ladies and gentlemen, our last question for the question- and-answer session is from the line of Yash Mehta from Steinberg Asset Management. Please go ahead.

Yash Mehta: The question is that now that you acquired and are currently in the middle of the integration, how have your thoughts evolved on the pharma piece? You have always maintained you wanted a differentiated model, but as we analyze the different businesses that are operating in this space, they are getting more and more similar to each other. Would you be able to share some light on this?

Anil Jain : If you see the entire value proposition right now, there are many CRO , CDMO players

in the market and they are offering the services which includes discovery and manufacturing. At PI, we would cover end-to-end pipeline starting from the key starting material to API. This is complementing the PI legacy of complex chemistry, digitization and automated manufacturing environment of basic chemical manufacturing. With this , the current offering is filling the gap in the pharma value chain.

Moderator : Thank you. Ladies and gentlemen, which brings us to the end of our question- and-answer session. I would now like to hand the conference over to the management for closing comments.

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Rajnish Sarna : Thank you, gentlemen, and ladies for joining this call and your continued interest in PI. Thank you so much. Have a good day.

Moderator : Thank you. On behalf of PI Industries Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2024

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PIIL:SEC:NSE/BSE: 95:2023 -24

February 19, 2024

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor,

Dalal Street, Mumbai – 400 001

Code No.523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G -Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051

Code No. PIIND

Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference call pertaining to the unaudited financial results for the quarter and nine months ended December 31, 2023

Pursuant to the provision s of Regulation 30 read with Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the transcript of the Earnings Conference call held on Monday, February 12, 2024 at 2:30 P.M. (IST) to discuss the unaudited standalone & consolidated financial results of the Company for the quarter and nine months ended December 31, 2023 .

Further, please note that the said press release is also made available on the Company's website at <https://www.piindustries.com/investor-relations/co-go/concal-transcript> .

This is for your information and record please.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

ACS: 16638

Encl: As above.

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PI Industries Limited

Q3 & 9M FY24 Earnings Conference Call Transcript

February 12, 2024

Moderator: Ladies and gentlemen, good day and welcome to Q3 & 9M FY24 Earnings Conference call of PI Industries Limited.

I now hand the conference over to Mr. Sid dharth Rangnekar from CDR India.

Thank you and over to you , sir.

Siddharth Rangnekar: Thank you. Good afternoon and thank you for joining us today at PI Industries Q3 & 9M FY24 Earnings Conference Call .

Today , we have with us senior members of the Management , including :

■ Mr. Mayan k Singhal – Executive Vice Chairperson and Managing Director

■ Mr. Rajnish Sarna – Joint Managing Director

■ Mr. Manikantan Viswanathan – Chief Financial Officer

■ Mr. Prashant Hegde – CEO , Domestic

■ Mr. Atul Gu pta – CEO, Exports and

■ Mr. Anil Jain – Managing Director , PI Health Sciences Ltd.

We shall commen ce the call with key perspectives from Mr. Singhal . After that , we will have Mr. Manikantan to share his views on the financial performance of the Company. Thereafter, the forum would be open for interactive question and answer session .

Before we begin, I would like to underline that certain statements made on today's call could be forward -looking in nature and a disclaimer to this effect has been included in the investor presentation shared with you earlier and which is also available on the stock exchange website.

I would now like to invite Mr. Sing hal to share his perspect ives with you. Thank you and over to you , sir.

Mayank Singhal: A good afternoon to all of you for joining the call today for our Q 3 Earnings FY24.

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Over my remarks, I shall come about aspects of strategic and operating progress that we have made in the Company. I am glad to report a good set of results for Q3. Let me briefly cover the highlights . PI has recorded an 18% growth in Q3 over the comparable period of last year . Our EBITDA and PAT has shown a good improvement coming at 34% and 28% respectively.

In recent times , we have seen industry dynamics and global geopolitical tensions, climate change creat ing adverse impacts on the working pattern of AgChem industry . Owing to its own imperatives, we have seen China offloading material in global markets. Consequently, trade channels are yet at a high inventory and the flow of products from manufacturers is therefore impaired. Certain geographies are more impacted than ot hers internationally, but at an overall level, generic products that are the most popular are track ing declines month -on-month.

PI stands apart as a unique business model, ow ing to its robust model with a differentiated portfolio of molecules in exports, a range of brands comprised specialized products. Our respect for IPR and meticulous execution and continu ous investment in innovation are the supportive pillars of this model . The growth you are seeing in exports for us is a result of our focus on early - stage patented molecules that are still growing in many countries and obtaining registration in several others . We track the entire arc of growth from beginning to matur ity. Our track record of meeting global requirements of some of the largest IP holders over the years has strengthened mutual respect and the relationship we share. In fact, PI ranked among the top three CSM companies in the world and has truly marked the complex operations involved due to the demonstrat ed capabilities in technology and adva nced processes. Our relationships with global innovators has grown very deep, both at the product sourcing level and also in process research and process innovation where our expertise is drawn upon . Over the years, we have supported the growth of advanced molecules of innovators and given the pipeline we have built, this cycle is contin uous. It is a kind of natural virtuous cycle replenishing itself with the pipeline of products and new engagement s.

Our domestic business is again well poised to tap into the potential of early - stage molecules that are being launched by us as brands . Whereas others have seen subdued performance o wing to monsoon deficit in the south, depleting reservoir levels, elevated inventory levels for row crops , our emphasis has been on driving high quality revenue with better margins . Our superior product mix and disciplined working capital management have

contributed very well, which again is incredibly unique to us. We have been developing the horticulture category as well and these brands have shaped up well. Creating value for farmers of fruits and vegetables across the key geographies through Jivagro, India's only horticulture specialists, we have 60 brands. Biological and Bio-Nutrients have also grown strongly for us. We have a portfolio of 8 products, 2 have been well entrenched over 2 decades. As we look into the future in exports, we have steadily been working towards diversifying our mix. Whereas growth is coming from molecules in the AgChem and shall continue to come, we have grown our footprint well beyond AgChem. We have established strong capabilities in the high-quality markets for electronic chemicals and other specialty chemicals. A significant growth is originating from the new products, more than 50% growth during Q3 has come from here. Beyond this, we have visibility up to 50 new molecules in the R&D pipeline. The share of non-AgChem molecules in new enquiries have grown 30%. The proportion of new AgChem molecules that have a good runway growth ahead

and of them will see higher commercialization and will account for

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about 30% of commercialization going ahead. These will get commercialized in the future with each product giving us a growth curve as it matures. Similarly, on the domestic side, our strategies of introducing novel molecules with underlying performance, we launched 5 new products in the current fiscal year. Over the last 3 years, we have found wide acceptance, which helped us mitigate the revenue decline in the industry. Our recent launch of brands has seen a healthy uptick such as insecticide CLARET for paddy, herbicide EKETSU, a newly patented rice herbicide, fungicide KADETT® for soyabean and groundnut and Bio-fungicide PILIN® for grapes and Chili. We have a robust pipeline of over 20 products both under registration and development and will drive growth in the years to come. Our team is intensively working on the field to handhold farmers in the nuances of right usage of the products thereby generating loyalty towards our brands. We have launched a brand called AMINOGROW, which has met with a good response. Bio-Nutrients represent a growing category of products with in farming.

Moving on to our strategic objectives, as our strategic objective of diversifying into pharma has been achieved, we are prioritizing the process of integration of the facets with the help of a global consultant. PI as Health Sciences is working towards potent integration of CRO-CDMO-API platform, which we call CRDMO which shall deliver comprehensive solutions to our clients. Our work continues to enhance and modernize the set-up and capabilities and technological initiatives at both research and manufacturing location in India and Europe. Investments are also being made towards building a strong resource base in order to support the need for the big pharma and biotech clientele, thereby intensifying the new business development pipeline.

We believe that the pharma business is moving in the right direction and on the path to build a future growth engine for PI. Whereas I alluded to this earlier in my remarks, PI's stature in the business is stronger owing to the initiatives of science and technology. We are truly proud of India's only fully integrated AgChem Company. We have the only integrated single site research centre encompassing chemical synthesis, biological evaluation to process development to scale up under one roof in Udaipur. Our R&D setup engages over 800 scientists, researchers as mentioned, who have filed over 155 patents, they are focusing on unique building blocks that will give us opportunities across industry verticals and lead us to the newer capabilities and ultimately in creating new business. Over the years, the attribute has translated into stronger business patterns and a deep and wide pipeline of yet to be launched molecules.

Now, just an update on the ESG. Sustainability is a culture rather than an obligation. Our passion is defined by the purpose of reimagining a healthier planet. We have improved S&P Global Score, a corporate assessment ranked in the 95th percentile as well retained ECOVADIS gold medal with achievement of 98th percentile ranking. PI has featured in S & P Global Sustainability in a yearbook for 2024, thus giving us a distinction mark amongst the best ESG rated companies globally. Initiatives to uphold ESG are integrated well within the planning and operating for the business. Thus, as we grow business, we

are doing so with great responsibility.

We continue to actively seek and evaluate new opportunities in the inorganic domain in line with our strategic and operating aspirations, to complement the growth seen in our business. The outlook for this year remains positive and we are on the path to delivering guided performance for FY24.

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This brings me to the end of my remarks. I would now like to request Manikantan to take this forward and once again thank you all for joining this call today and to be a part of our growth story. Over to you, Mani.

M Viswanathan : Thank you, Mr. Singhal. Good afternoon, everyone on the call today. I will summarize the Company's financial highlights for the 3rd quarter ended 31st December 2023. Please note that all comparisons are on a Y-o-Y basis and therefore to the consolidated financial performance.

As Mr. Singhal has shared, our performance demonstrates a differentiated approach to doing business and a sharp focus on keeping operating parameters in line with objectives.

To share the performance highlights, during Q3 FY24, we reported a revenue of Rs.18,975 million, a growth of 18% over the same period of last year. This was driven by growth in exports revenue by 23% to Rs.16,310 million and a 6% decline in domestic revenue to Rs.2,665 million. Gross margin and EBITDA improved mainly on account of favorable product mix, operating leverage, and one-time impact of recovery of theft material, contributing around 300 basis points improvement in EBITDA. Profit after tax increased by 28% to Rs.4,486 million, attributable to EBITDA growth and lower effective tax rate.

Let me also cover YTM performance for FY24. YTM 31st December revenue was Rs.59,248 million, a growth of 20% over the same period last year. This was driven by solid growth in export revenues by 29% to Rs.48,269 million, which is a 7% decline in domestic terms to Rs.10,979 million. Profits after tax improved by 38% to Rs.13,120 million. The effective tax rate for YTM was 11.56% due to growth in export revenue.

Cash flows from operating activities increased by 16% to Rs.11,561 million and Rs.12,889 million excluding pharma. This was due to higher EBITDA on efficient working capital management. The trade working capital in terms of number of days has reduced by 10 days to 80 days compared to the previous year. Inventory levels also reduced in terms of days to approximately 59 days to Rs.12,743 million.

Our balance sheet further strengthened during the year. Network increased to Rs.84,508 million as on 31st December 2023. YTM CAPEX stood at Rs.9,001 million, including pharma acquired assets for Rs.4,972 million and is in line with the plan. Surplus cash, net of debt is Rs.32,926 million as on 31st December 2023. Our balance sheet and cash flow have stood robust in line with clear financial strategy and disciplined execution, thereby enabling superlative performance.

This concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: The first question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar : One of our key products, Pyroxasulfone, if you can highlight which are the key markets where the registration process is still on, that is #1?

Rajnish Sarna : There are several countries, but since these registrations are being done by the Innovator and not PI, we would not have the detailed first-hand information.

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Aditya Jhawar : How much pricing erosion we have seen, do we have some market intelligence for the markets where the product has become generic like Australia or Argentina?

Rajnish Sarna : We don't have first-hand information but the market intelligence suggests that the price erosion was 10%-15% in the initial year.

Aditya Jhawar : You mentioned some commentary on the CAPEX front. So, what kind of CAPEX intensity we should expect in FY25 and what could be your guidance going into FY25, sir?

Rajnish Sarna : Well, the lot will also depend on the R&D pipeline's progress, but we expect an

annual capex of Rs. 600-800 crore for organic growth . We will have more clarity on this by the Q4 end.

Aditya Jhavar:

Sir, from growth perspective, you have not spelled out FY25 guidance yet, but from a near to medium-term perspective, how is the visibility on growth ?

Rajnish Sarna : We will have specific guidance at the end of the 4th quarter, but as of now, we maintain our earlier indication and are confident of sustaining this growth momentum.

Moderator: Next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : My first question was on the pricing cut. Typically, historically , seeing that across the innovator molecules or the products that we have been working on , what has been the worst-case pricing cut that we would have seen historically?

Rajnish Sarna : Since we are working across the value chain, I am not very clear if your question is for our manufacturing or marketing in India .

Ankur Periwal: On the patented CSM side, you did allude towards around 10 %-15% pricing cut that we have seen till now given the product getting generic in some of the key markets globally , earlier experience ?

Rajnish Sarna : I think the question was about the price reduction in one of the markets where the product has gone generic, not the price cut we have seen in our supply.

Ankur Periwal: No, no , not you have seen , the final product pricing was what I was referring to.

Rajnish Sarna : Yes.

Ankur Periwal: On the similar lines historically for any patented product turning generic , what has been the worst-case pricing cut we would have seen, a broad range would be helpful ?

Mayank Singhal: Aditya, there is nothing like worst case or best case, I mean if you look at the industry and being in the sector , you know this better, it is quite a standard approach where price and volume curves play up in the industry . So, there is nothing which you can really say what is worse and what is good. Again, as you know once the volume picks up, costs also change. So , the price is determined by the product segments . As I was mentioning, the spectrum of price cuts is dependent on various factors . The innovator is the one who guides the prices in the market .

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Ankur Periwal : Second question is on the growth part . While we are not guiding anything in particular this quarter, but directionally you did mention , we will maintain the growth momentum . Trying to understand from a new product ramp up perspective , since we have been pretty reasonably aggressive in terms of our launches over the last 2-3 years, any of the products across agri and non-agri side which are seeing a good ramp up from the client perspective on the CSM side?

Rajnish Sarna : As we have also indicated that , for example in this current quarter, there is significant growth contributed by the new products commercialized (more than 60% growth). Likewise, we have a good visibility of many of these new projects, contributing to the growth in the 4th quarter as well as in the coming year.

Ankur Periwal: Lastly , on the domestic market, any timelines or thoughts on the revival or growth uptick of which you can share ?

Prashant Hegde : In the domestic market, we expect the challenges to continue in Q4 as well because of the external conditions However, our new products have really done well even in the domestic market, especially in Chili and seasonal vegetables , which was the major focus crop as well as on wheat .

Moderator: Next question is from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda: I have a couple of questions. The first one was given whatever slowdown we have seen in the global AgChem space, has there been any change in our engagement with our clients in terms of new products or have you seen any clients saying that we want to go back to China now versus sourcing from the larger Indian CMO companies , has there been any discussion of that sort?

Rajnish Sarna : W

e have not seen any change in our engagement. In fact, these engagements have only gone deeper with the customers and strategic partners. As explained earlier, since we focus on early-stage molecules , the kind of headwinds that

we are seeing and customers evaluating China as an alternate are not relevant situations for us .

Madhav Marda: My second question was slightly more basic one like in the pharma piece, when we talk about the kind of projects that we want to do with the biotech or big pharma customers . Is it basically doing research for them at phase one, phase two, phase three kind of stage or what kind of projects are we doing , if you could give some more sense on the business model would be very helpful ?

Mayank Singhal: The business model is that of a CRO contract research services supporting early -stage discovery services for innovators .

Madhav Marda: So, then the growth comes from engaging with them like phase one, phase two and then as the molecule progresses through , we scale up the business , is that how we should think about it going ahead ?

Mayank Singhal: Yes, and as you know this is a long gestation period business . We are doing the same for this business and we are focusing on the innovative pipeline.

Madhav Marda: Anything that you can share like any specific, how many big pharma clients we are engaging with or how many biotechs we are engaging with , any color on the business as it stands today will be helpful ?

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Mayank Singhal: Some of these are under confidential agreements as you would understand because it is already in the innovator space . So, yes, we are working with a few, and you would appreciate that we just started and we are building the capabilities and then we are going to be looking at expanding our platforms as well.

Moderator: The next question is from the line of Sumit Kumar from Kotak Securities. Please go ahead.

Sumit Kumar : My first question was relating to the one-off gains that we have seen in Q3. So, in quantity terms, how much was the one -off gain in Q 3?

Rajnish Sarna : This was pertaining to the recovery of the theft material and the amount was close to Rs.70 crore . Since the inventory cost related to that material was already accounted for in the previous quarter , this one-time gain and its impact on gross margin and EBITDA is highlighted in our result release also as the one-off item.

Sumit Kumar : But sir in Q3, we had mentioned that the items that were lost in transit was worth Rs. 410 million. So, how did we re -evaluate this to Rs. 700 million?

Rajnish Sarna : That was the inventory cost.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Sir, I was saying on the FY24 guidance , we talked about 18 %-20% growth in the agrochemical business for FY24 if this is correct . For 9M, we have done 15%. So, how should we look at the full year , more towards the lower end of the guidance?

Rajnish Sarna : Yes, we had indicated close to 18 %-20% YoY growth in FY24. While the domestic growth as explained earlier by Prashant is subdued and we will have to see how things pan out in the last quarter , we are still confident to achieve the original guidance of 18 %-20% for agrochem exports. To be safer , on the lower end of this guidance .

Nitin Agarwal : Just to be clear , our guidance is only for agrochem part of the business, right?

Rajnish Sarna : No, it was for overall business.

Nitin Agarwal: Including the pharma ?

Rajnish Sarna : Yes.

Nitin Agarwal: Secondly, for the quarter on the gross margin, even if we make the adjustment for the one -off item that you talked about, I mean , the gross margins are higher than the previous sort of levels. Anything has changed in this quarter for the gross margins and how should we look at the sustainable number for this gross margins for

the business?

Rajnish Sarna : We had focused on a favourable product mix rather than the volumes, particularly in the domestic business where there was a choice of chasing the volumes by liberalising credit norms and also pricing . This is the key contributor to this improvement in the EBITDA margin apart from the one -off that we have seen . Even in our exports, we have seen that because of the growth of new

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projects . Going forward, in terms of EBITDA margin, we believe that around 25%-26% should be a sustainable level.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Just one clarification before I ask my 2 questions. You mentioned earlier that over 60% of the growth in this quarter has come from the new products . Am I correct?

Rajnish Sarna : Yes.

Vivek Rajamani: Just related to that , the first question was, would it be possible to share what the contribution of these new products would be as a percentage of your overall portfolio today and where do you see this going say in the next 2 years?

Rajnish Sarna : Well, we don't have this data in front of us, but yes, this quarter's growth was more than 60% contributed by new products.

Vivek Rajamani: Just one clarification here. When you say new products , that would mean the products that you have been working on say in the last 1-2 years .

Rajnish Sarna : Yes, last 3 years.

Vivek Rajamani: The second question was just in terms of the broader industry challenges that we have been seeing with respect to the farming space, are these new products not getting affected in a big way , would that be a fair statement?

Rajnish Sarna : Yes, because these products are still in their early stage , they are still growing , they are also getting registered in the newer geographies, etc . It is quite natural for these products to continue to grow for the next several years.

Moderator: Next question is from line of Ramesh Sankaranarayanan from Nirmal Bang. Please go ahead.

S Ramesh: In the pharma business, you have indicated Rs. 350 million development expenditure year -to-date. Can you explain what is the nature of these development s expenses and what are the kind of run rate we should expect say in FY '25 and FY'26, and when do you expect this to kind of grow, how much will that be?

Rajnish Sarna : Well, the development spend is in terms of augmenting resources in R&D , in business development , in managerial /commercial areas , setting up new systems and processes wherever there is a scope found during the integration of acquired assets. The development spending is also towards a lot of infrastructure improvements that we have made or we are making right now. Since we are still in the process of completing this integration process , it is difficult to indicate what would be the development spend in the next few years . We will have clear visibility of the scale -up of the newly acquired businesses and development spending over the next few quarters.

S Ramesh: On the balance sheet details , you have given the pharma assets and liabilities . Can you share the current assets and current liabilities in pharma if it is possible?

Rajnish Sarna : Yes, that we can share on the sideline. You can get it from our finance team.

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S Ramesh: In terms of the pharma business, there is improvement in terms of your revenue and adjust for the Ind AS, there is improvement in the EBITDA and before development expenditure, EBITDA margin were 16%. How do you see the revenue run rate for the next 3-4 quarters and before development expenditure , what is the kind of EBITDA margin you would expect say by end of FY25 and FY26?

Rajnish Sarna : We will have much better visibility of what is the revenue scale -up and the margin profile in FY25 and FY26 in the next few quarters . But

on broad terms ,

once this development phase of a couple of years is over, we would surely expect the EBITDA margins and other financial parameters to be in line with PI's core business today.

S Ramesh: One last part on the CSM business . This entire Rs. 800-900 crore of CAPEX will be on CSM. So, while you have in the past said you should not look at the asset turn. But where are these investments going in terms of developing your capabilities and eventually what are the kinds of incremental growth in revenue one can expect based on this sort of CAPEX over the next 2 years ?

Rajnish Sarna : Organic growth CAPEX is mainly into capacity expansion and new technologies , capability building for which we are investing in R&D and kilo lab, pilot plant . The asset turns today are around 2 -2.25x, and we expect similar kinds of asset turns to continue in future as well for this business.

Moderator: Next question is from the line of Amarnath from Ministry of Finance of Oman. Please go ahead.

Amarnath : Sir, I just wanted to have a clarification on those news items which came to the media a month and a half back relating to some competition in the China is building up , huge capacity for the product which you are mainly dealing in and also your major clients somewhere in Japan has given a guidance of very lower growth of their final output, for which you are supplying the input. Any comment or clarification you would like to give because you might have seen this one particular news has impacted your share price quite rigorously , if you want to give certain clarification that how you see this news items impacting your business , it will be helpful for the entire investment community ?

Rajnish Sarna : In fact, we had given a clarification to this news item immediately after that news came . But I will again share our view on this topic for the interest of the investor community . Yes, as we all know , every product will eventually go generic. Same way, this product will also go generic at some point . The solo product patent has already expired in a few countries , and in other major countries, it will expire in the next few years .

But the important point to understand here is that in most of the developed markets/countries , the ultimate products sold are the combination -formulations products having a significantly longer patent life than the next few years.

Therefore , the impact of the product genericization is not going to be as significant as was articulated in that news item. This is the first point.

The second point is about the new capacity build -up happening in China with some of these companies . Since the market opportunity for the generic would be limited for the next several years because of the first point that I explained, we will have to also see that eventually what kind of capacity will actually come into play in the next several years .

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The third important point for us to also appreciate is that when the products go off patent and many generic players come into the market , the ultimate market also grows . The product that we are talking about is in a certain segment, which is a multi -billion -dollar segment, and this product is still USD 600-700 million. Hence, there is huge potential /headroom for growth in the years to come, even when there will be generic competition . And we, being one of the major suppliers and manufacturers for the last almost 8-9 years , strongly believe that there will be a strong position that we as a Company will have , that is the fourth point.

The fifth important point for us to appreciate is that PI is not a one-product Company. As we have already explained a few times , PI has a diversified portfolio . in export , we have more than 20 -22 products, and every year, 5-6 products are getting commercialized, and these products are now driv

ing

growth for the business and the Company . Even in this quarter , more than 60% growth is contributed by some of these new projects which were commercialized in the last 2-3 years . And going forward also the growth will be driven by many of these newly commercialized products . With our diversified portfolio in ag chem and other specialty chemicals, e.g. electronic chemicals, the sheer revenue and the margin risks articulated in that news item are highly exaggerated . I hope this answers your question .

Amarnath: My second question is with respect to your diversification towards this pharma business . As your results show that the growth is quite robust , just to get an idea, how quickly you have a plan to make this pharma business quite a bigger part of the total revenue pie ? Say, at the moment it is quite small . Without going to the detailed guidance which you may not be able to give , just to give an idea , this diversification drive which you just started a few years back, how quickly it could get a momentum to make certain material difference at your profitability level?

Rajnish Sarna : Right, this diversification drive we have been working on for some time . In our exports , close to 30 %-35% of our new enquiries and new projects that we are commercializing , are coming from non -Agchem areas . Besides , our diversification into pharma will also balance the overall business segmentation and business growth. Our objective is over the next 4-5 years, more than 20%-25% of our Company's revenue should be from non -AgChem areas including pharma as well as our portfolio of non -AgChem in our CSM exports . We are

progressing well in that direction.

Amarnath: This 20 %-25% contribution by how many years, sir – 3-4 years ?

Rajnish Sarna : 4-5 years as I said.

Amarnath: Because of these red seas related problem and the shipping disturbance, which is happening , is your Company getting impacted due to this which can create problems for the transportation and exporting to the US side?

Rajnish Sarna : There is certainly some impact in shipments to Europe and the US . And accordingly, the supplies are being planned . Obviously, costs have increased on some of these shipments, which have also been discussed and accordingly shared with our customers.

Amarnath: The incremental costs relating to this , will you be able to pass on to the customer or it will add on to your expenditure?

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Rajnish Sarna : No, in most cases this will be passed on because this is the general understanding we have with our customers.

Moderator: Next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Generally , I understand that we have a calendar year contract. So , when we had our negotiations during the last few months , how has been the mood from the global agrochemical players in terms of the volume lift up for this calendar year , are there any delays that we are experiencing or they are still in wait and watch mode , any comments on that?

Rajnish Sarna : That varies from product to product, but generally, we have not seen any significant change. With the kind of products that we are working with our global customers, we have seen good momentum and effort in finalizing the businesses for the next campaign .

Rohit Nagraj: The second question is on pharma bit. There are 3 sub-questions. One is the one-time development expenditure, is it over or will it continue? The second thing is in terms of the EBITDA and EBIT difference, there will be an interest cost. So, how do we justify, given that we have cash on our books, why this interest is being paid? And a third thing is we have also shown the segmental results for last year same quarter. So , what was the pharma segment during that time?

Rajnish Sarna : Regarding your first question, yes, development spend may continue for a quarter or two because we are still trying to optimize things . Regarding your

second question, I think it would be good if you connected with our finance team for these line items . What was your third question , please?

Rohit Nagraj: Sir, last year same quarter also , we have given the bifurcation in terms of segmental data. Last year I understand , we did not have pharma.

Rajnish Sarna : In the 3rd quarter of last year , we had no pharma. If you see in the investor presentation, close to 10% is coming from pharma and the remaining 13% from our AgChem exports .

Moderator: Next question is from line of Vishnu Kumar from Avendus Spark . Please go ahead.

Vishnu Kumar: Over the last 3 years, we have more or less doubled our CSM with limited CAPEX . I mean, annualizing Rs. 300-400 crore . Going forward , as we look for a similar run rate of growth , is this the CAPEX similar numbers or we have maxed out wherever efficiencies can and we need to invest a bit more CAPEX , just some understanding on this?

Rajnish Sarna : I am not too sure about your number of Rs. 300-400 crore capex . I think it would have been more in the earlier years as there is always a lead and lag in CAPEX investment and revenue realisation . So, whatever revenue growth you have seen in the last few years has also come from the investments or CAPEX that we would have made two years back. But having said, yes, we have taken many initiatives to continuously improve the existing facilities' throughput . I think in the last couple of years, we have made a 10% -15% capacity enhancement through improvements in our capacity throughput every year . Going forward, as I indicated to the earlier participant, we anticipate close to Rs. 800 -odd crore CAPEX every year while we will surely be working on further throughput improvement through technologies such as flow chemistry , etc., we

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are already commercializing a few products and I believe that will also help us further improve our overall asset turn business. Atul, you may want to add something to what I have already said.

Atul Gupta : The major focus is on the investment in the technologies in the coming years , and of course we have been continuously working on our capacity utilization of our existing assets by way of improving the efficiency plan and that is where 10%-15% capacity is being improved on every year basis.

Vishnu Kumar: In one of the previous participant 's question on margin, you highlighted that we settle around 25 %-26% on EBITDA margin . This quarter if we look at the gross margins, there seems to be some significant improvement and obviously our overhead investments have led to a slightly lower EBITDA as compared to what the gross margin is. So, looking ahead, when you say 25 %-26%, do you expect some pricing cuts from the customers as you go forward in the next year or the investments and overheads will keep you at 25 %-26%, because optically it looks like this number can be even more at the current gross level ?

Rajnish Sarna : We don't anticipate any reduction , but it is also to do with product mix, it is also to do with development spending that we believe we would be making not only into pharma space but even in agrochem, biologicals and areas . Therefore, we suggest considering 25% -26% rather than being speculative basis of 1-2 quarter results.

Vishnu Kumar: The tax rate guidance if you can give for this year and next year ?

M Viswanathan: This year will be around 14 %-15%. Next year may be in a similar range, but we need to confirm . We will confirm in the next quarter .

Vishnu Kumar: Versus this 25% normative rate , when will we be having the delta from 14 %-15%, will you catch up for the next 2-3 years or this 14 %-15% will continue for at least couple of years?

M Viswanathan: That will continue at least for one more year. But as I said, we need t

o confirm

that as there are other computations.

Moderator: Ladies and gentlemen, that was the last question for today. I will now hand the conference over to the management for the closing comments.

Rajnish Sarna : Thank you, gentlemen for joining on this call. We really appreciate your continued interest and support in this growth journey of PI. Thank you so much and have a good day.

Disclaimer: This is a transcription and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: May 2024

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PIIL:SEC:NSE/BSE: 18:2024-25

May 28, 2024

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor,

Dalal Street, Mumbai – 400 001

Code No.523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G -Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051

Code No. PIIND

Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference call pertaining to the audited standalone and consolidated financial statements and results for the quarter and financial year ended March 31, 2024

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Earnings Conference call held on Thursday, May 23, 2024 at 2.00 p.m. (IST), to discuss audited standalone and consolidated financial statements and results of the Company for the quarter and financial year ended March 31, 2024.

Further, please note that the said transcript is also made available on the Company's website at <https://www.piindustries.com/investor-relations/co-go/concal-transcript>.

This is for your information and record please.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

ACS: 16638

Encl: As above

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PI Industries Limited

Q4 & FY24 Earnings Conference Call Transcript

May 23, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY24 Earnings Conference Call of PI Industries Limited.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you.

Nishid Solanki : Good afternoon, everyone, and thank you for joining us on PI Industries ' Q4 FY24 Earnings Conference Call. Today, we are joined by senior members of the management team, including:

- Mr. Mayank Singhal, Executive Vice Chairman and Managing Director
- Mr. Rajnish Sarna, Joint Managing Director
- Mr. Manikantan Viswanathan, Chief Financial Officer
- Mr. Prashant Hegde, CEO Domestic
- Mr. Atul Gupta, CEO of Exports and
- Mr. Anil Jain, MD, PI Health Sciences.

We will begin the call with key perspectives from Mr. Singhal. After that, we will have Mr. Manikantan sharing his views on the financial performance of the Company.

Thereafter, the forum will be open for a question- and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call may be forward- looking, and a disclaimer to this effect has been

included in the investor presentation shared with you earlier and also available on stock exchange website.

I would now invite Mr. Singhal to share his perspectives with you. Thank you, and over to you, sir.
Mayank Singhal : Good afternoon and thank you for giving us your time today as we discuss the performance of PI Industries during Q4 and FY24. I will use my remarks to share the strategic and operational updates around the business. Q4 for the year has been another commendable performance from PI, yet again delivering broadly as per the guidance despite industry headwinds. Q4 revenue grew by 11% Y-o-Y . For the year, we had a growth of 18% in revenue. The improvement in the profitability stands even better with PAT growth for Q4 and FY24 coming at 32%, 37% respectively. The global industry has seen a performance pressure in the past 3 to 4 quarters, and the situation is yet to recover fully. The inventory destocking cycle is seemingly incomplete, and any material impr

ovement in the demand and pricing trends is projected to commence only in the later part of the current financial year. These trends chiefly impact generic products . PI has

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consistently stood apart and delivered above those trends in the last several quarters. Going forward, as on the ground situation changes, we will continue to do well, benefiting from the enhanced dynamics of the industry. This has been possible due to differentiated business model and product portfolio of PI.

Our growth is mainly driven by commercialization of new products in the early stage of the life cycle . These products carry significant growth potential , as when the innovator progresses with their global execution, this gives us further upside. The cycle continues, as we commercialize more new age molecules from our pipeline. What continues to attract global innovators to PI is our demonstrated capability in process development and innovation , efficient scaleup of complex molecules, project execution capabilities and our ESG standards , above all our respect to IP.

On the export front, increasing trends of commercialization of new molecules will only intensify. During the year, more than 70% of the growth has come from new products. Our pipeline of new molecules also remains robust. And here, the share of non-agchem molecules in new enquiries stood at 50%. In the longer term, we anticipate up to 3rd of new molecule commercialization to come from non- agchem. As the technology and molecules mature, we will see strong contribution to our growth rates.

On the domestic side, we have seen subdued performance owing to erratic monsoon and the El Nino condition, which led to long dry spells impacting insecticide and herbicide sales in certain geographies. Our emphasis has always been and will be on driving high- quality revenue. Our domestic portfolio comprises in-licensed exclusive products and have significant growth potential.

Over the past few years, we have stepped up our presence in the biological s area. I'm very happy to share that our brands are gaining traction with a 35% growth in Q4 and 29% in FY24. Our horticulture specialist brand, Jivagro, has also helped us in strengthening our position in this segments. And of the recently launched products, we have seen an enthusiastic response for insecticide CLARET in paddy; herbicide EKETSU, the first-time three- way combination of rice ; fungicide KADETT for seed treatment in soy abean and groundnut; and bio- fungicide PILIN for grapes and chili. Also, great response on CAMPANA insecticide for rice BPH and brinjal sucking pest . We will continue getting new -age molecules into India. During FY24, we introduced 7 domestic agri brands, all of which have been received well. PI's range of brands always represents the most advanced solutions in crop protection for the farmer. The steady pace of the business introduction of such brands has contributed to an above -

board performance from us. The development pipeline includes more than 20 products, including products in development and registration and underlines the visibility of growth for the business in forthcoming years.

I will turn my attention to the pharma side of the business. The process of building up an integrated CRDMO market offering is underway. Initiatives taken to upgrade the research and manufacturing infrastructure, strengthening business development and many other key business processes are progressing well. We have also augmented our talent base by hiring global industry experts to implement best practices and intensify business development. Our R&D pipeline of new enquiries and products is shaping up well and should help us achieve our aspirational growth in this segment.

PI continues to drive a fully integrated research set -up in a gchem, and our one- of-a-kind, single -site centre at Udaipur is crucial to our growth aspirations. This research centre can render every technological and process requirement, from bio- evaluations to chemical synthesis and product and process scale- up, under a single roof. Our R&a;

mp;D set -up is designed to global specifications and world class standards

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and engages 700+ scientists, researchers, who have delivered 165+ patents so far. These teams work on developing technology platforms that will give us opportunities across existing and newer industry verticals.

On the sustainability front, which is close to the heart of PI, we continue to make great strides. At PI, this is seen as a cultural attribute of business. PI has improved its S&P Global Corporate Sustainability Assessment (CSA) ranking to 95th percentile as well as retained EcoVadis Gold medal in sustainability achievement with 98th percentile ranking. PI has also been featured in S&P's global sustainability yearbook for 2024, thereby giving us the distinction of ranking amongst the top ESG -rated companies globally. We have multiple programs around ESG outcomes that are integrated within business processes.

As shared earlier, PI continues to actively evaluate inorganic opportunities in line with our long term strategic direction and growth aspirations, backed by strong science and technological capabilities.

Our outlook for the current fiscal year remains positive. On the domestic front, we will focus on portfolio diversification with high quality revenue from newly introduced products, as well as technology-based approaches to steer performance in the CSM business. The pharma performance will also gradually improve as we fully implement our differentiated CRDMO offerings for global customers.

With this, I bring my remarks to an end, would invite Mr. Manikantan to take forward today's discussion. Thank you once again for being a part of our growth story and always being there to support us. With this, over to you Mani.

Manikantan V.: Thank you, Mr. Singhal. Good afternoon, everyone on the call today. I will summarize the Company's financial highlights for the fourth quarter ended March 31, 2024.

Please note that all comparisons are Y-o-Y and refer to the consolidated performance of the Company. As Mr. Singhal shared, our performance demonstrated a differentiated approach to doing business and a sharp focus on keeping operating parameters in line with our objectives.

To share the performance highlights, during Q4 FY24, we reported a revenue of Rs. 17,410 million, a growth of 11% over the same period last year. This was driven by 15% growth in exports revenue to Rs. 14,701 million and around 5% decline in domestic revenues to Rs. 2,709 million. Gross margin and EBITDA improved mainly due to favourable product mix and operating leverage. Profit after tax increased by 32% to Rs. 3,695 million.

Let me also cover the performance of FY24. Revenue was Rs. 76,658 million, a growth of 18% over the same period last year. This was driven by solid growth in export revenues by 25% to Rs. 62,970 million which offset 6% decline in domestic revenues to Rs. 13,688 million.

Profit after tax improved by 37% to Rs. 16,815 million. The effective tax rate for FY24 is 11.3%, with a one-off gain of around 3% in our pharma subsidiary PI Health Sciences. The ETR for FY25 is expected to increase up to 24% due to the tax exemption of our second SEZ unit at Jambusar reducing from 100% to 50%.

Cash flow from operating activities increased to Rs. 20,359 million. This was due to higher EBITDA and efficient working capital management. The trade working capital in terms of number of Days of Sales reduced to 59 days vis-a-vis 79 days as on March 31, 2023. The inventory levels also reduced in terms of Days of Sales to approximately 62 days to Rs. 13,012 million.

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Our balance sheet further strengthened during the year. Net worth increased to Rs. 87,310 million. Capex stood at Rs. 10,823 million including Pharma acquired assets of Rs. 4,972 million.

Surplus cash net of debt is Rs. 38,825 million as of 31 March 2024. Our balance sheet and cash flows have

been robust in line with clear financial strategy and disciplined execution thereby enabling a superlative performance.

That concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: We have the first question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Just a couple from my side. I just to clarify the tax rate guidance. So, you're now talking about 24% tax rate from FY25 onwards, so that would be a continuing tax rate beyond that. Is that correct?

Manikantan V.: Yes, that will be the continuing tax rate for the FY25 and also FY26. As long as we see deductions are available, we will be in that range.

Abhijit Akella: And Mani sir, this will be for 5 years now and after 5 years probably the entire tax holiday at Jambusar goes away. Is that how it should be?

Manikantan V.: Yes. Currently, it looks like that, but there will be an opportunity to extend this period

further through reinvestment.

Abhijit Akella: Just the other question I had was on the new product launches. You mentioned that about one-third of the new products are going to come from non-agro segments. If you could please just shed some colour on what end-use industry these might be whether it is electronic chemicals, semiconductors, etc. and then just one add on to this what percentage of sales come from biologics in the domestic business and if you could also possibly share the breakdown of the pharma sales between Archimica and Therachem if possible?

Rajnish Sarna : Thank you, Abhijit . We don't have a breakup right away, but there is substantial growth in this quarter to the tune of 35%, and if you look at the financial year, this growth is ~29% over last year on the biological side. Can you repeat your other question, please?

Abhijit Akella: Yes, non agrochem side sir which one would be the prominent ones we are looking at?

Rajnish Sarna : Yes, over one-third of the new products are coming from non-agchem space if we talk about new enquiries, R&D pipeline , etc. These non-agchem segments are like you mentioned , electronic chemicals, semiconductors , etc. Maybe Atul you can pitch in and briefly explain which are the other areas we are operating.

Atul Gupta: Yes. There are other areas with respect to performance chemicals , advanced polymers which are used for the various applications apart from electronics and semiconductors.

Abhijit Akella: The last question I just had was whether it's possible to get a breakdown of pharma between Archimica and the rest?

Rajnish Sarna : That is not available right now here, but we can provide it to you separately, Abhijit .

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Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: First question is on the pharma business. So, the entire development spends, has it been completed in FY24 and given that we have done capex of Rs. 132-odd crore , what is the kind of growth that we are looking in FY25? And what kind of margins are we looking at and what could be the levers for the growth?

Rajnish Sarna : Well, this development phase will continue for the next 1- 1.5 years although we will be growing more than 25% in the next financial year. In terms of margins , till the time we complete this development phase, it is difficult to clearly indicate the numbers but once we complete this development cycle in next 1.5 years or so, we expect to achieve normalized EBITDA margins.

Rohit Nagraj: Second question is on overall consolidated business. We have seen that there is a strong almost 450 bps expansion in gross margins during FY24 and that has led to further EBITDA margin expansion. So how are we looking at it when we move to FY25? What kind of EBITDA margins that are sustainable in FY25 onwards given that there could be some benefit from gross margins which may

taper down in FY25?

Rajnish Sarna : We are expecting to maintain a gross margin of around 49% - 50% in FY25. The EBITDA margins will also sustain at this level as we are also making a lot of development spending in some of the new segments.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First question, on the working capital side. Commendable job in terms of reduction in inventory driving the working capital lower. How do you read this number going ahead, given where I'm coming from this domestic business had been through in this year as well? And going ahead, hopefully, FY25 onwards, things should improve.

So, will we see some increase in working capital led by inventory going ahead or these numbers should sustain?

Rajnish Sarna : We will sustain the current levels. While there are some improvement opportunities, there are also going to be some contingencies, and hence, we believe we'll be able to sustain the current w/c levels we are operating at.

Ankur Periwal: Secondly, on the overall revenue growth guidance that you have mentioned 15%. Is this at the company level? And how do you see the agchem CSM part going here?

Rajnish Sarna : Yes, this 15% guidance is at the Company level. We all know that on the domestic side, a lot depends on how the overall season pans out. But going by the positive commentary we hear about the monsoon and the onset of it, etc., we believe that we'll be able to achieve this growth across domestic CSM exports as well as on the pharma side.

Ankur Periwal: Lastly, if I may, just on the cash that we are sitting on, plus the incremental operating cash flow generation. For the pharma business scale up, are we still looking at the inorganic part or probably organic capex can see a significant uptick?

Rajnish Sarna : Right now for pharma, we are focusing on completing the current investment cycle. However, we are actively evaluating several inorganic opportunities in other business areas ..

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

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Vivek Rajamani: Two questions. You mentioned in the presentation that about 70% of the export growth has come from the new products. Would it be possible to share some colour in terms of what is the absolute share of these new products in your CSM portfolio today? And where do you see the scaling up, say, in the next couple of years?

Rajnish Sarna : These percentages or absolute numbers are not in front of us. But suffice it to say that we are diversifying the whole portfolio of CSM, which is also reflected in the growth numbers that we are seeing . A significant growth is coming from the new molecules that we have commercialised in the last 3 years. Secondly, the R&D pipeline consists of more than 30% of the molecules that will come from non-agchem based, basically diversifying the overall portfolio.

Vivek Rajamani: The second question was you've obviously mentioned that a third of the new molecules will be non- ag chem and they will also ramp- up. Just wondering if these products will still be operated out of your existing space of facilities and at what point in time do you think you'll have to invest in new or dedicated capacities to cater to these new non- ag chem opportunities?

Rajnish Sarna : Currently, these are being manufactured at our existing site and multi -purpose plants, white spaces. But as the volumes grow, we can certainly consider dedicated plants. By the way, one of the plants, which is in construction, is planned for some of these products.

Moderator: The next question from the line of Rohan Gupta from Nuvama Institutional Equities.

Rohan Gupta: First question is on the new products you have mentioned in the presentation, roughly six new products and a large part of the growth in exports have come from, 70% has come from the new products. I mean not im

mediately in the near term, I

mean, not FY25, but I'm looking at over the next 3 years, how do you see that the revenue contribution coming in our export market from the new products in overall exposure and can you give some broader colour on that?

Rajnish Sarna : It would be quite significant contribution. If we see the next 3 years, I think more than 30%-35% of the contribution would be from new products commercialised in the last 3-4 years or so.

Going forward, there is a lot of focus on commercializing new products and intensifying the development phase of many of these projects, which are in the R&D phase today .

Rohan Gupta: Sir, if you can give some sense on the pharma piece and where the margin profile is still, I mean, gross margin though is pretty decent at 65%. But at EBITDA level because of the overheads , if you can give some sense of how the revenue ramp up will be on the pharma part of the business. And if we can expand that because you have initially guided that your EBITDA margin in the pharma business also be aligned with the PI margin over the next 3 years. I think that almost 1.5 years already completed. So, are we looking at that margin profile of pharma realigning with the PIs and in what timeframe?

Rajnish Sarna : Yes. We have just completed one year of these acquisitions. As I mentioned to the earlier participant, the development/investment will continue for at least the next 1.5 years or so after which we expect to see the normalised EBITDA margins.

Rohan Gupta: We are still looking at in next 2 years, EBITDA margins in Pharma business is aligned to 22% -24% kind of numbers with the PI number. Is that fair assumption?

Rajnish Sarna : Yes, it will surely be a 20%-plus kind of level post 3 years development phase .

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Rohan Gupta: Sir, after 1 year of acquisition of Pharma. Once again, going back to the history , when we were looking at that the Pharma piece should contribute roughly Rs. 1,500 crore kind of revenue over the next 3 years. So, are we still looking at those numbers intact from the Pharma part?

Rajnish Sarna : As explained earlier, we expect to complete this investment and development cycle in the next 1.5 years or so . Number two, revenue growth will continue during this period. Our original outlook of more than doubling the revenues of the acquired businesses over the next 3- 4 years continues .

Rohan Gupta: I was saying that we are still giving a 15 % revenue growth guidance. However, the 6 new products launched in export markets, where you see the significant ramp up along with the biologicals. So, in our view, the growth guidance should be higher unless we are expecting our top contributing product pyroxasulfone is seeing some de-growth. Are we reflecting any such possibility , while you are giving the guidance of 15%?

Rajnish Sarna : No, it's not about the de- growth/ growth prospects of a particular product. You see, we have a product portfolio where some products will provide stable growth; for a few late stages, the growth will taper down, while many new products early in their life cycle will drive the growth. In fact our business model is such that we will continuously build the product pipeline and keep commercialising these new products. So, at an overall level, we are confident of achieving around 15% growth , which I think is quite reasonable given the not -so-positive growth scenario/sentiment of the global industry.

Rohan Gupta: Last bit from my side if I'm allowed. On the capex front, you mentioned that roughly Rs. 1,100 crore kind of capex we have done last year and Rs. 500 crore is the acquisition out of that . So Rs. 600 crore kind of investment in existing business. However, I think you're guiding for roughly Rs. 800 crore investment for the current year. So, if you can share the capex number for next year? And is there any spill over capex we will be looking at next year?

ear in the current year?

Rajnish Sarna : We are looking at close to Rs.800 – Rs.900 crore capex in the current fiscal.

Rohan Gupta: Okay. So, there is no spill over impact like because I think last year, we were still short of close to Rs. 200 crore in terms of capex. So Rs. 800 crore is a maintained number for this year also in terms of capex. We are increasing the capex guidance to Rs. 1,000 crore .

Rajnish Sarna : We have a little higher plan but there's always some lag between budget and actual spend/ capitalization, etc. Keeping that in mind, we are indicating i Rs. 800 –900 crore .

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: So, we see around 37% kind of degrowth for FY24 in Pharma business. Sir, can you talk about what is the key driving factor and how things are going to shape up in FY25? That should be the start.

Rajnish Sarna : This is mainly due to the deferment of supplies for some of the products.

Sumant Kumar: Okay. So, is there any realisation decline for the existing portfolio also?

Rajnish Sarna : There's no decline in the price realisation decline; only supply deferment .

Moderator: The next question is from the line of Ramesh Sankaranarayanan from Nirmal Bang Equities.

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S. Ramesh: So, in the pharma business, the development expenditure, which you're talking about right now is routed through P&L. Can you give us some indication of what is the kind of development expenditure you would incur, say, over FY25- FY26? And will it continue through the P&L, or will you capitalise it after some time?

Rajnish Sarna : No, it will continue through P&L, and that is why we explained this in our presentation. We don't have the development spend figures for the next couple of years, but as I said earlier, this investment cycle will continue for at least one and a half years.

S. Ramesh: In terms of ramp- up in revenue from the post -Ind AS Rs. 300 crore , can we expect, say, Rs. 500 crore by FY26 and this performance EBITDA margin before development spend of 12%? Can that go to about 14% -15% in the next two years?

Rajnish Sarna : Yes, that's what we are expecting.

S. Ramesh: And in terms of the order book execution that you have right now, that is presumably the CSM exports excluding pharma, \$1.75 billion?

Rajnish Sarna : Yes.

S. Ramesh: You have the order book of \$1.75 billion, assuming that it doesn't include any pharma orders and that's pretty much in CSM. So, when you look at unwinding this order book in terms of your future revenue in CSM, would that be evenly spread out in terms of execution, say, over the next .3-4 years? Or will it be frontend loaded or backend loaded?

Rajnish Sarna: Yes., some products for two years, some products for four years, some products for five years. But on an average, we can say 3 -4 years.

In addition to the order book, where we have long- term agreements or contracts, there are several products where we have annual purchase orders. So, the annual revenue or growth number that we see basically comes from not only the order book but also from annual contracts or purchase orders. I hope this answers your question.

S. Ramesh: Understood. So just one last thought. If you look at the Chinese price index, there is a report which says pyroxasulfone prices have declined to about \$75, which is a steep decline. So how does it impact your current CSM arrangements for supply of this molecule?

Rajnish Sarna : Well, I do not have information about the price of Chinese suppliers and also not sure if any supply is happening from China for this molecule.

Moderator: We have the next question from the line of Yash Master from Unifi Capital.

Yash Master: Sir, my first question is, this year, we are targeting around 15% revenue growth. Previously, you were targeting 18% to 20% growth. So, I just wanted to understand

that thi

s reduction in guidance, is it just for like short term because this year our main product will face some pricing pressure. And in the short term, it may impact our revenue. But as you are scaling up new products and diversifying into pharma and also, we have heavy cash on balance sheet. And we have been looking for pharma acquisition for some time, and that can bring in significant growth. So, can we expect in long term that we can go back to achieving our 20% plus revenue growth?

Rajnish Sarna : Well, there were several questions in your one question. So let me try and answer one by one. Regarding your question around why 15% versus last year, 18% -20%.

So, a few aspects. One is that the base has gone up. Now we have a new business as well . Secondly, as we were discussing earlier, the overall industry sentiment /demand scenario is not very positive for the next several quarters .

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Thirdly, the domestic market will depend heavily on the monsoon onset and rainfall distribution. So, we are cautiously guiding this growth, considering those contingencies and situations .

Moderator: We have the next question from the line of Krishan Parwani from JM Financial.

Please go ahead.

Krishan Parwani: Firstly, on this Pioxaniliprole. So, when can we expect first launch? Will it be 3- 4 years down the line? And also, any number on peak sales from this product, if you can give.

Mayank Singhal : Well, yes, it typically should start 3 -4 years plus , although it is too early to comment given that this product is still in the development phase.

Krishan Parwani: And secondly, on this rest of the QIP money. Do you have any more inorganic acquisition plans?

Rajnish Sarna : Yes. We are very actively evaluating a few options.

Krishan Parwani: Understood. And lastly, if I may, just some small clarification. On this Rs. 800 – Rs. 900 crore capex that you're going to do in the current fiscal, so like could you give a breakup in terms of what could be the non- ag chem capex?

Rajnish Sarna : It would be very difficult. Atul, maybe you can come in if you have any such breakup.

Atul Gupta: Not really, sir.

Rajnish Sarna : We don't have such a breakup. As you may know , these are multiproduct plants and not for a very specific molecule.

Krishan Parwani: Understood, sir. I was just more of asking because in the agchem, since you have the technical s, so those would be different. But in any case, no worries. I wish you all the best for the coming year, sir.

Moderator: The next question is from the line of Yash Master from Unifi Capital. Please go ahead.

Yash Master: I just had one more question. I wanted to understand on the pyroxasulfone side, the technical that we are supplying to the innovator is going off patent this year in the U.S., but the formulation is still patented for some years. So, the final product could see less price erosion, but our technical is going generic. So other suppliers could make it. So how much price erosion are we expecting on the technical side?

Rajnish Sarna : Well, we don't really expect a major impact of this product going off patent in the U.S. in the current fiscal because it will take a few years before another player registers and comes in. Secondly, the final formulations/combinations have longer patent protection, we don't expect a significant impact in such developed markets.

Yash Master: Can you just provide something on domestic outlook, like how is it looking right now? And when can we expect growth to pick up in that segment?

Rajnish Sarna : Prashant, you may comment.

Prashant Hegde: Yes, last one year, we all know has been a challenging year for domestic because of extreme weather condition. However, given the IMD forecast and climate forecast on rains, so we are definitely optimistic for the first quarter.

Yash Master: Okay. So maybe we can see growth from first quarter itself?

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Prashant Heg

de : The first quarter is more of a placement quarter. Otherwise, if you look at the consumption, it starts by second half of June and basically second quarter is at the major consumption. Having said that, the industry has a higher inventory in the marketplace. So, we also need to have a close watch in case there is a little bit of

delay in rain that may have impact. Otherwise, as of now, going by the forecast, we are positive.

Yash Master: On a Q-o-Q basis, it may defer, but on an annual basis, there will be a growth in domestic revenue. Am I right?

Prashant Hegde: Yes, definitely.

Moderator: The next question is from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: I'm asking on the new product revenue share. So last year, our revenue share was somewhere around 17% -18%. Considering 17% of growth in this segment, our revenue share from new products should have been somewhere around 23% to 25%

in FY24. Is that the right understanding?

Rajnish Sarna : Yes, you're right.

Lavanya Tottala: Okay. So, this, we are expecting to grow to about 30% -35% the next 3 years?

Rajnish Sarna : Yes, at least 30%.

Lavanya Tottala: Also, I wanted to understand a bit more on the deferment of innovative products, which you mentioned. I just missed a bit there. Is it on the Pharma space which you are speaking about?

Rajnish Sarna : Yes, that was for Pharma because the question was for Pharma.

Lavanya Tottala: Do we expect these orders to come back this year or it will take longer?

Rajnish Sarna : Yes, the discussions are going on with the customer and we are expecting this supply to happen in the coming financial year or a little later.

Moderator: We have the next question from the line of Naushad Chaudhary from Aditya Birla Sunlife AMC . Please go ahead.

Naushad Chaudhary: Sir, a follow -up on the previous participant question. We appreciate your guidance of 15% growth despite global headwind. But post FY25, do you see we have product pipeline ready that can help us to go back to our 18% -20% growth for 2 -3 years post FY25?

Rajnish Sarna : Yes, as the overall industry cycle returns to normal, there will be opportunities for us to return to our 18% - 20% levels.

Naushad Chaudhary: Without compromising on the margin?

Rajnish Sarna : Yes, of course. The option to increase growth by sacrificing margins always remains. But as you may know, our business philosophy has always been to manage business in a sustainable and differentiated manner without compromising on the quality of the business .

Naushad Chaudhary: We appreciate it, sir. Lastly, on the US market. Not from your product point of view, but in general, if product goes off patent, how much time does it take for a generic player to register in that market and to have a real impact on the patented product once it goes off patent?

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Rajnish Sarna : It varies from product to product, so difficult to generalize. Broadly, it takes anywhere between 1.5-2 years. However , if formulations are also patent -protected, then it's a completely different scenario.

Moderator: The next question is from the line of Meet Vora from Emkay Global. Please go ahead.

Meet Vora: My question was regarding the capex that we have done over the last two years, so roughly Rs. 800 – Rs. 900 crore last year, and we are planning to do this year. So, can you just give a broad sense of what is the capex that we have done? We have installed 1 dedicated plant is what you mentioned, and others will be all MPPs. As in how many plants we have put up.

Rajnish Sarna : Atul, maybe you can come in and briefly explain.

Atul Gupta: The capex, what we are talking about is for a dedicated plant, one dedicated plant and also a multiproduct plant in further new molecules, one which we have been working. And this continues for this year as well, it's in the 2025 forecast what we have given.

Meet Vora: So, in total, we

'll be putting up 2 dedicated and 2 MPPs?

Atul Gupta: Yes.

Meet Vora: Sir, second question was on margin front. So, while we are mentioning that our gross margin has improved because of that overall favourable product mix, is it because that contribution from a higher -margin product is more? Or is it because that new products that we have commissioned are having higher margins?

Rajnish Sarna : I'm not sure what you meant. But let me clarify that gross margin improvement is due to several factors. The product mix is one aspect, but also the business mix. The addition of the Pharma business where the gross margins are higher, increase in CSM exports' share in the overall revenues, etc., have made the overall business mix favourable. Besides, the product mix has also been favourable.

Meet Vora: And just one last bit if I may. If I look at the US geography, I just wanted to understand that even if pyroxasulfone, for example, is patented , can someone import pyroxasulfone from some other country or some other supplier and sell it in US? Or whether there is an application patent or there is only a process or a technical patent?

Rajnish Sarna : So long the finished product is patented in the importing country, it would be difficult for anyone to import pyroxasulfone because they will ultimately be required to use/sell the technical material for the formulation product.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Management : Once again, thank you for being a part of this conference today. And I wish all the very best and we will look forward to seeing you soon.

Thank you so much.

Disclaimer: This is a transcription and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Aug 2024

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PI External

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August 14, 2024

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor,

Dalal Street, Mumbai – 400 001

Code No.523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G -Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051

Code No. PIIND

Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference call pertaining to the unaudited financial results for the quarter ended June 30, 2024

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Earnings Conference call held on Thursday, August 08, 2024, at 2.00 PM (IST) , to discuss unaudited standalone and consolidated financial results of the Company for the quarter ended June 30, 2024.

Further, please note that the said transcript is also made available on the Company's website at <https://www.piindustries.com/investor-relations/co-go/concal-transcript>

This is for your information and record please.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

ACS: 16638

Encl: As above.

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PI Industries Limited

Q1 FY25 Earnings Conference Call Transcript

August 08, 2024

Moderator : Ladies and gentlemen, good day and welcome to the Q 1 FY25 Earnings Conference Call of PI Industries Limited. As a reminder , all participant lines will be in the listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you

need assistance during the call, please signal the operator by pressing “*” then “0” on your touchtone phone.

I now hand over the conference to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir .

Nishid Solanki: Thank you. Good afternoon, everyone, and thank you for joining us on PI Industries' Q1 FY25 Earnings Conference Call.

Today, we are joined by senior members of the Management Team, including:

- Mr. Mayank Singhal – Vice Chairman and Managing Director
- Mr. Rajnish Sarna – Joint Managing Director
- Mr. Manikantan Viswanathan – Chief Financial Officer
- Mr. Prashant Hegde – CEO , Agchem Brands, and
- Mr. Atul Gupta, CEO , Agchem Exports

We will begin the call with key perspectives from Mr. Singhal. After that, we will have Mr. Viswanathan sharing his views on the Company 's financial performance.

Thereafter, the forum will be open for a question- and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call may be forward- looking in nature. A disclaimer to this effect has been included in the investor presentation shared with you earlier and also available on the Stock Exchange websites.

I would now like to request Mr. Singhal to share his perspectives with you. Thank you, and over to you, sir.

Mayank Singhal: Thank you. Good afternoon and welcome to our call to discuss PI's 1st Quarter 2025 performance.

Page 2 of 13 Let me share my perspectives and the broad progress the Company is making:

As you already know, the global agri input industry is passing through a challenging time due to extreme weather events, inventory destocking, commodity prices, and more. The overall trend and sentiment have stayed moderate. While there is a very initial sign of improvement, it is expected to take some time for it to be business as usual.

On the domestic front, the monsoon showers were delayed in key cropping regions , translating into farmers initially taking guarded approach to sowing.

Against these odds, we maintain ed a strong growth trend during the Q 1, building on a high base from the previous year. Overall, the revenue during Q4 increased by 8%, mainly driven by agchem exports . Agchem export revenue increased by 14% led by volumes and 24% growth in new products, where we are seeing continued strong traction.

Domestic performance was moderate due to delayed sowing , erratic spread of monsoons in the initial phase. However, improvements in our product mix and working capital management contain ed the financial impact.

Within domestic, our biological s revenue has grown strongly by 39% year -on-year. The profit ability margins have improved mainly on account of favorable product mix , and a high share of biological s and operating leverage. As the monsoon has progressed well, in the last three to four weeks, the sowing momentum has c aught on and is expected to achieve a healthy recovery in Kharif .

The long- term runway for the agrochemical demand in India is good with sustained Government support , advanced mechanization and technology used on the fields. Our product footprint in biologicals is rising year -on-year. Within horticulture too, Jivagro has been delivering a good performance.

PI has consistently created its own track record in growth, backed by it's unique strategy , relationship s with global innovators and best -in-class business processes . As the industry turns the corner, PI will stay ahead with a clear growth visibility on an expanded base. We have a growing R&D pipeline of early stage molecules in CSM that are progressing well and are getting commercialized.

For the current fiscal, we have already commercialized t wo new molecules in Q1 and are looking to commercialize another 6 to 7 molecules for the sustained growth trend. Our IPR-aligned service model for innovators allow s us to go deeper in our engagement with partners for more collaboration opportunities. Out of the new inquiries, at least 50% of them come from the non- Agchem segment, which is also helping us diversify into adjacencies.

Now, on the domestic front, we see a steady stream of new introductions providing the farmers with the best and most advanced solutions in crop pro tection. We have launched two innovative brands in Q1. PRESSEDO , a patented broad- spectrum novel insecticide, OSHEEN ULTRA, superior quality stable formulation for sucking pests. Our product pipeline for domestic launches comprises more than 20 products and mark s a healthy visibility of growth in the coming year.

Page 3 of 13 Our acquisition of Plant Health Care (PHC) will provide the next set of cutting-edge peptide technology platforms allowing us to introduce new biological products globally. We are on track with obtaining the requisite court mandated approvals and hope to complete this process in the current quarter.

Now, coming to pharma, we are making strategic progress towards creating an integrated CRDMO that aligns with global innovators. Initiatives in terms of infrastructure augmentation and business developments are underway. The momentum will scale up gradually over the next couple of years, contributing well to the overall picture. We are still in the initial stages as during this quarter, the high inventory levels with innovators resulted

in muted business performance.

In a positive development, we started operations at the Hyderabad Research facility, while the GMP Kilolab in Lodi is nearing completion, we are moving on to the certification. All these facilities will significantly enhance our offerings.

We have further strengthened our Board with induction of a global Agchem industry veteran, Mr. Rafael Del Rio, who had an illustrious long career. His experience is perfectly aligned to our long-term strategic goals and vision of expanding our global footprint.

While the global industry landscape remains challenging, we maintain our growth outlook for the year, aggressively pursuing available opportunities to sustain momentum. We shall, however, closely monitor the emerging business scenarios and review our growth guidance after Q2FY25.

With this, I conclude my remarks, and I invite our CFO – Mr. Manikantan to continue the discussion. And thank you once again for taking time and being a part of this journey with us. Best regards. Over to you, Manikantan.

Manikantan V.: Thank you, Mr. Singhal. Good afternoon, everyone on the call today. I will summarize the Company's financial highlights for Q1 ended 30 June 2024. Please note that all comparisons are on a year-on-year basis and refer to consolidated financial performance.

As Mr. Singhal had shared, our performance demonstrated a differentiated approach to doing business and a sharp focus on keeping operating parameters in line with our objective. During Q1, FY25, we reported a revenue of Rs. 20,689 million, an 8% growth over the same period last year. This was driven by a 12% growth in exports revenue to Rs. 17,494 million and an 8% decline in domestic revenue to Rs. 3,195 million.

The gross margins and EBITDA improved mainly due to favorable product mix and operating leverage. Profits after tax increased by 17% to 4,488 million.

Our balance sheet and cash flows performed robustly in line with our clear financial strategy and discipline execution, thereby enabling a superlative performance.

Cash flow from operating activities increased 103% to Rs. 6,145 million. This was due to higher operating profit and efficient working capital management. The trade working capital in terms of Days of Sales reduced to 55 days versus 83 days as on 30 June 2023. Inventory levels also reduced in terms of Days of Sales from 73 days as on 30 June 2023 to approximately 50 days.

Page 4 of 13 The surplus cash net of debt is Rs. 44,655 million. Our balance sheet has further strengthened during the year with Net worth increasing to Rs. 91,855 million with a debt equity ratio of 0.01.

The effective tax rate for Q1 FY25 is 20.7% compared to 14.0% in the previous year.

The ETR for FY25 is expected to be around 22% to 23% due to the tax exemption of our second SEZ at Jambusar moving from 100% to 50%.

This concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Sir, a couple of questions from my side. First one on the margins, which have been very strong this quarter again at about 28 odd percent and that's despite ~ Rs. 70 crore PBT loss in the pharma segment. So, given this, and the fact that we have been maintaining an EBITDA margin guidance of 26% for this year, should we expect that this current quarter's margin sustains for the rest of the year? And would you like to upgrade your guidance for the full year?

Rajnish Sarna: Thank you, Abhijit. These margins are linked to the product mix and as we have always explained that the product mix changes from quarter-to-quarter depending on the supply schedules and also our domestic season. So, we maintain our guidance

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that we expect to achieve a 50% to 51% gross margin, 25% to 26% EBITDA margin and these variations quarter -on-quarter will keep on happening depending on the product mix. But we maintained our earlier guidance of maintaining a 25% to 26% margin.

Abhijit Akella: The second one was just with regard to the pharma segment. I understand there is some deferment of revenues there, but if you could please help us understand whether this is coming primarily from the Archimica business in Italy, the API business or is it the CDMO shipments from Therachem in India ? And given this kind of start to the year, a week start, what kind of revenue number could we work with for the full year for pharma?

Rajnish Sarna : Well, now we call all this as PI Health Sciences . So, I would rather say that it is mix of both, the product supply to the innovator s and also one of the product s which is being supplied from Italy. T his is primarily because there is a good amount of inventory with the customer s, and they are going a little slow in terms of procurement. In terms of the subsequent quarter or the year, we are still review ing with our customers. It will take a little more time for us to get absolute clarity that what is going to be the revised schedule of supply of these major products. So, maybe by next quarter , we will have better clarity.

Abhijit Akella: Just one last quick thing from my side, j ust in the CSM business, what would the contribution from new products have been in this quarter as percentage of revenues?

I know it has grown well, but if you could give us the percentage contribution.

Rajnish Sarna : It is more than 20%.

Moderator: The next question is from Ankur Periwal from Axis Capital. Please go ahead.

Page 5 of 13 Ankur Periwal: First question on the CSM side, we are increasing our expected products launch to around 8 to 10 versus typical of 5 to 6 products for us. Will this be a mix of Agchem, pharma and how about the other segments, electronic chemicals, et c., that we were looking to expand in?

Rajnish Sarna: Yes, this is a mix of both Agchem, electronic chemicals and other specialty chemicals.

Ankur Periwal: It will include pharma as well.

Rajnish Sarna: Pharma product will be included in the pharma business and not in CSM exports .

Ankur Periwal: On the gross margin expansion front, you did allude towards a favorable revenue mix here and given that the new product had shown a good 24 % to 25% odd growth, fair to say that these new products are all margin accretive to us and which are the ones who will be driving growth?

Rajnish Sarna: Yes, on a blended basis, the margin expansion is driven not only from CSM products, particularly new products, but also from product mix at our domestic market , including biologicals. So, there is a favorable product mix on both export and domestic sides, which is contributing in margin expansion.

Ankur Periwal: And sir, last question. On the pharma side, your commentary suggested deferment in terms of revenue and hence a lower number here. Our overall guidance here was around 25 odd percent growth in revenues for this financial year with gradual improvement in EBITDA margins. Any changes or any clarity you can provide there given where we are now in terms of our discussion with the clients?

Rajnish Sarna: As I said to the earlier participant , we are currently reviewing the inventory and order book position for some of the key products, and we will be in a better position in coming quarters to comment on that.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley . Please go ahead.

Vivek Rajamani: Just one question on CAPEX . In the presentation, you mentioned the capacity expansion is in line with the plan. Just wanted to get a sense of what is the CAPEX expectations for this year and given that you have seen such a good r

amp up in some

of these new products which have obviously been growing well, is there a plan to augment some of these new products with any kind of dedicated capacities? Any color on that would be super helpful .

Rajnish Sarna: We have a plan of close to Rs. 800 crore – Rs. 900 crore CAPEX this year and we are moving in that direction. Apart from fresh CAPEX and building new capacities, we are also, as we have alluded to in the past, optimizing plant capacities and improving throughput by adopting various technologies and that also gives us good room to maximize the capacity utilization because so many new products are now getting commercialized.

While in the initial phases, there will be relatively lower volumes of the new products , but our capacity optimization helps us commercialize many number of new products in the existing plants without very heavily investing on the ground and that is a great achievement of the team over the last couple of years which is also helping us improve

capital efficiency. For current year we have Rs. 800 – Rs. 900 crore of CAPEX plan as of now, and we will keep reviewing it as we progress.

Page 6 of 13 Vivek Rajamani: And just one small clarification. You mentioned that you have obviously been optimizing your capacities and you have obviously benefited from that. Just wondering if you still have more significant levers to that extent where you can continue optimizing for the foreseeable future or do you think you are kind of getting to a point of demand and how these products are getting accepted. You may have to start considering some of these products. Just wanted to get a sense of where we are in that evolution.

Rajnish Sarna: Atul, maybe you can add something to this.

Atul Gupta: As we said that there are new products in the product mix portfolio, so there is always room for improvement through the operational excellence initiatives to improve the capacities by different levers. So, that's how we keep on continually working on optimizing the capacities on the new products as well as the existing products by various initiatives. And that's how that's an ongoing process. This year also we have similar kinds of plans by which we intend to improve our capacity utilization of the plants.

Moderator: The next question is from Rohan Gupta from Nuvama Institutional Equities. Please go ahead.

Rohan Gupta: Question is on our pharma part of the business; you mentioned that there is a high inventory with the customer. Can you just explain it a little bit because we understood so far that the higher inventories were the only problem in the agro chemicals. So, just in pharma, please, if you can explain how long it may continue to impact our revenues?

Rajnish Sarna: No, I don't think the high inventory we are talking about is only a challenge with Agchem industry. We hear this as a challenge even in pharma. In our case, this is a long-term customer and one of the products is a new drug for that they have already build good inventory and now they are positioning the product. They are now going a little slow for further procurement till the time they kind of come to a reasonable level of inventory.

Rohan Gupta: It was only related to one product with one customer.

Rajnish Sarna: Yes, it's not one product but two products related to two different customers.

Rohan Gupta: Sir, in pharma piece of the business, you have been looking at and you have been guiding for over next 2-3 years that this part of the business can be Rs. 1,500 – Rs. 2,000 crore with the margins in line with the Company's margin. That's the kind of guidance you shared at the time of acquisition, and we are almost already 1.5 years over now. Just wanted to understand how you see that this pharma piece of the business in your initial guidance and how it is progressing so far now given the current weakness included?

Rajnish Sarna: We still maintain robust outlook on pharma. As we have always said that it is going to be taking little time for integrating, building this differentiated model of completely integrated CRDMO which is what we are doing. There are a lot of successes in terms of improving the R&D setup, infrastructure, modernizing plants, getting in new pipeline of customers and enquiries etc. So, all that is going as per plan. This quarter slowdown is temporary. But in terms of mid-to-long-term outlook, objective, visibility, everything remains in line with our initial expectations.

Rohan Gupta: Sir, second question is on our CAPEX. You mentioned it is still roughly Rs. 800 crore to Rs. 900 crore while we are sitting on almost Rs. 4,000 crore kind of cash and if you Page 7 of 13 see that there is not enough opportunity because we have been looking at for last 3-4 years, do you see that the possibility of returning this cash to the investors in terms of either buyback or any other thing?

Rajnish Sarna: There is no dearth of growth opportunities in the area of operations that we are in and the long-term strategic objectives that we have. We are actively evaluating many inorganic opportunities. We have also acted on some of these opportunities in the last 2 years. But yes, at an appropriate time, the board will obviously take a view on both the cash situation and also the growth opportunities that would be in front of us and we will act accordingly.

Rohan Gupta: Last bit from my side and I will come back in queue. Sir, despite a very solid gross margin expansion of roughly 500 bps to 52% in the current quarter, you are still maintaining roughly 50% kind of gross margin guidance only. And so, you are just being cautious, or you see that there can be this quarter some kind of anomaly and higher margin because of this better product mix and will normalize in the rest of the quarters or you are just being cautious in sharing the outlook?

Rajnish Sarna: No, we maintain the same position as I explained to the earlier participant that these margins, gross and EBITDA are all linked to the product mix and product mix keeps changing QoQ. So, our guidance is that we will maintain around 50% -51% gross

margin and accordingly the EBITDA margin.

Moderator: The next question is from Ajit Motwani from Dymon Asia Capital . Please go ahead.

Ajit Motwani: On the overall revenue guidance for FY25 , we have been given guidance of 15 %-20%. Our Q1 numbers are at about 8%. Would you be able to throw some light on the sense that it is under review, or you are still confident of delivering on those growth numbers?

Rajnish Sarna: Well, a lot will depend on how the domestic season pans out. As we have explained in our presentation also that in Q1 due to delayed monsoon and scattered rainfall, the sowing got delayed and accordingly , the season also got delayed. But now things are progressing well. But yes, we will have to keep a watch that how this whole Kharif season pans out in the next couple of months and that will also help us build better visibility that where we will land in terms of our overall revenue growth in coming quarters. Prashant , you may want to add something.

Prashant Hegde: Overall, 2nd Quarter is looking positive. 1st Quarter you already highlighted. Our focus was basically in terms of placement. But we also made some strategic adjustments. Because we reduced strategically our dependency on some of the old generic products and we launched two products in the 1st Quarter and a couple of products planned for the 2nd Quarter . Our focus will be on scaling up these products as well. So, all these should have a positive momentum in Quarter 2.

Ajit Motwani: On the CSM business, I think this quarter was 13% . That business, since you have some visibility because of the order book, on that business, do you see delivering

on those heightened numbers?

Rajnish Sarna: Yes, CSM certainly has better visibility because there we have the order book position and supply schedules .

Ajit Motwani: And one last question on the pharma business . From the time we acquired, the revenues have come off very sharply. I know you alluded issues in two products, but apart from that, the discussion or the deferral of the client, can you just elaborate to us, is it beyond products? Is it discussions on plant restructuring, process

Page 8 of 13 restructuring, people recruitment or some sort of insight into the way the business is shaping up because Rs. 25 crore revenue per quarter looks pretty low ?

Rajnish Sarna: Yes, as far as revenue point is concerned, that has already been explained. But as I said earlier, that on many other fronts, whether it is integration, whether it is upgrading the manufacturing setup, building additional kilolab setup in Italy, commissioning our R&D, pharma R&D setup in Hyderabad, inducting leadership teams in research development , manufacturing, business development areas across these geographies, etc, there have been lot of initiatives and successes across.

Let's not look at one quarter revenue as the benchmark of progress . There are so many things that have been done and we are progressing very well in terms of our overall long- term plan. And we shall certainly be reviewing the situation in the coming quarter.

Ajit Motwani: I think you had alluded to that you need to build a pharma team as well. So, today, let us say, changing some plant integrations you are doing. So, the development of the team or let us say increasing headcount for the pharma piece of the business, that will follow once the integration is done or that is already in place?

Rajnish Sarna: No, this is already done. This is what I was alluding to that process research, business development, etc. all that is already in place.

Moderator : The next question is from Ramesh

Sankaranarayanan from Nirmal Bang Equities.

Please go ahead.

Ramesh S: Is it possible to share the breakup of the order book of \$1.75 billion between Agrochem and non- Agrochem? And similarly, in the share of new products, would it be possible to share the breakup between Agrochem and new products and non - Agrochem segments?

Rajnish Sarna: Well, order book is mostly Agchem only. Non-Agchem products are at the initial stages and there are purchase orders for the year or two and those are not significant part of order book position. The other question of yours, breakdown new products, I think more than 40% of the new products that we are commercializing are all non-Agchem. Even at R&D scale, if we look at our R&D pipeline, more than 40% -45% of products are non- Agchem.

Ramesh S: Second thing is, on the domestic business, despite the strong growth in biological, there is a decline. I understand there is a seasonal impact on the other portfolio. And if you see the balance sheet details given in your annual report for Jivagro, while the gross margins have improved, the revenue has gone down, and it is possible to earn less than 10% of the net margin in ROE. So, like Jivagro, do you see any measures you are taking which will help you improve performance over the next 1- 2 years?

And similarly, in terms of the new product launches for the domestic business, what is the kind of pipeline you have for the year in domestic formulation, excluding Jivagro and how many new products you are planning in Jivagro?

Rajnish Sarna: My friend, you have so many questions in this one question, but let me try to answer them one by one. A bout our domestic business growth, yes, it was a little subdued, but let me also clarify that if we look at our domestic brand sales , it was down by 1%-1.5% compared to last year. The other impact is coming due to local supplies of a few export products during previous year . In terms

of introduction of products, maybe

Prashant, I will request you to enlighten how many new products we are introducing this year, how many we are introducing in the Jivagro also.

Page 9 of 13 Prashant Hegde: We have launched two products in Q1, and we are launching another 5 products for the rest of the year that are spread across both Agrochemical side as well as Biological side. Even in Jivagro as well, first quarter, we did not launch any new product, but the rest of the year we have 6 products, including 3 in Q2 and then 3 in H2. So, this is what we have planned for Jivagro. Your question on Jivagro growth, we have registered growth even in Q1, and on a full year basis, again, the momentum is good, and we are expecting good growth for the rest of the year.

Moderator: We take the next question from Tarang Agrawal from Old Bridge Asset management . Please go ahead.

Tarang Agrawal : Three questions all on PI Health Sciences. One, of the 700 R&D staff or 700 scientists that you have in your roles, how much would be dedicated to PI Health Sciences and how many to PI Industries?

Second, in the current nature of the PI Health Science business, is it more indexed to generic APIs or generic intermediates, if you could just give us a pulse of what the current structure of the business is and how do you intend to transform this business over the next 2 years or 3 years as you achieve the \$200- \$250 million run rate?

And number three, what are the internal milestones that you have, if you could just give us some sense qualitatively to calibrate the traction in this business and considering that it has been about 14- 15 months, how have you progressed in terms of reaching those milestones that you had set out initially and what are the milestones going forward? So, three questions from me?

Rajnish Sarna : Coming to your first question, most of 700 research scientist you mentioned are all for our Agchem areas. For Pharma, we have around 100- 110 scientists at Hyderabad and Jaipur specifically working in the Pharma space . Your second question about the business model, I would say it is a mix of both. We have a lot of projects with Pharma innovators. Similar kind of a business model that we have in Agchem which is CDMO or CRDMO kind of a structure, but as a legacy, we also have certain generics that we are doing in our API setup in Italy, that is continuing.

The long- term objective is that we will aggressively grow CRDMO model and leveraging our integrated service facilities both in research and development and raising traction for CMO by leveraging our US FDA approved API setup in Italy.

Coming to your third question about internal milestones , I guess I have already answered to the earlier participants that establishing our research setup in Hyderabad, modernizing our research setup and development setup in Jaipur, setting up kilolab in Italy, upgrading systems and processes to a global level , strengthening our teams across process research, development, business development, manufacturing, supply chain, etc are many such milestones that we had set and almost all of them have been achieved during this year . As we informed earlier, we already commissioned the Hyderabad research setup, which is also helping us build a good pipeline of new customers, new enquiries, new businesses at the R&D scale. On the manufacturing side, we have upgraded our facilities and successfully demonstrated to many new customers and exploring potential collaboration with them. So, we are progressing satisfactorily on many fronts .

Tarang Agrawal : Sir, just a follow up, is this business indexed to cater to big pharma or is it indexed to cater to the requirements of EBPs? And second, are you looking at focusing on specific therapeutic areas or specific technology platforms, just to follow up?

Mayank Singhal : Let me tell you that the fact is, you have to build certain capabilities to get into the

big pharma. They are clearly looking at strategies with technological levers as the

last point that you made. Clearly, these are still evolving, as we are right now building

Page 10 of 13 the basic infrastructure, which in any case would cater to the strategy. And as you would appreciate in this business, getting the infrastructure, the resources, the processes, integrate work before you approach customers has its own destination.

That is the stage where we are. And once we are able to put these together, obviously, differentiating ourselves with technological capabilities, that is the strategy, broader outline I can give you for now.

Moderator: The next question is from Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Sir, just first on the PHC acquisition, can you throw some light in terms of how should we look at the revenue shaping up over the next 3- 5 years? That is one. Secondly, in terms of manufacturing, as per PHC's annual report, they were outsourcing the products to a European leader. Are we looking to start manufacturing those products in-house now, once the acquisition is completed?

Mayank Singhal : Let me put it this way. Right now, it is too early to make comments on this. I think, strategically, we acquired a technology platform which has potential for growth. And it is showing good signals of growth. And you already mentioned that we are looking at the 20% CAGR over the past year. The idea is that once we have the full grip and the strategies, we will evaluate and get a deeper understanding before we can make any specific answers.

Siddharth Gadekar: Sir, second is on the product that we have launched on our own, any talks we have started with any global innovators to tie up that product or how should we look at the product progressing over the next 3 years?

Mayank Singhal : Yes, we are in dialogue with a few.

Moderator : The next question is from Naushad Chaudhary from Aditya Birla Sun Life. Please go ahead.

Naushad Chaudhary : Two clarifications. Firstly, on the Agri CSM business, we have talked a lot about this division. Just want to understand, given now the size we have reached, do you think the size and base is now a problem for us to keep enjoying the past growth run rate we used to enjoy?

Rajnish Sarna : Not really. This is what we explained that while our size has grown, but over the years we have diversified into adjacencies, into other specialty chemical areas, and that is also driving growth. Apart from the other specialty chemical areas, we have deepened our business model into process innovation as well, which is also giving us additional lever to grow even in the Agchem CSM space.

Naushad Chaudhary : The number of commercialization we have done in the last couple of years, how many of them do you see have a potential to be Rs. 700 - Rs. 800 crore plus revenue for you in the next 3-4 years?

Rajnish Sarna : First of all, I don't think we have done 30- 40 products in the last couple of years, 30- 40 products we would have done in maybe last 7- 8 years. But what I can say is that there are many products which we have commercialized, or those we are currently evaluating/ scaling up at R&D, have this potential of more than 500 million of a global opportunity.

Naushad Chaudhary : Just the last one in the domestic biologicals segment, what kind of opportunity you see in this piece of business in the next 3- 4 years? And what kind of edge do we have here versus our competition?

Page 11 of 13 Rajnish Sarna : I think this question is already answered to the previous participant, that it would be too early for us, but what we see here is a cutting edge, unique technology platform in peptides. And this will open huge opportunities for us to keep coming up with new biological products and get access to some of these large global markets. It is going to be a differentiated approach

of getting into those markets.

Moderator : The next question is from Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda: I just had one question on the CRDMO business, which we are looking to build. If I just understand, looking at the landscape in India, on this, how companies evolve, it probably seems like from your commentary that in the CRDMO business, we are more in the earlier stage of scale up, where we are trying to build out the infra as well as resources. And it is a fairly long gestation business is what I understand, at least. So, would it be fair to say that next 2 -3 years, we are just going to look to build out sort of a client engagement and build out the pipeline and then scale up is a bit more beyond that or in the next couple of years itself, we expect very strong scale up in this business, just wanted to understand where we are in the sort of scale up journey for this segment?

Rajnish Sarna : Yes, you are right. If one starts from scratch, the gestation is longer. But the difference here is that we have acquired two businesses along with set of customers and products, portfolio and pipeline etc., which gives us some head start and it would be relatively faster. But in terms of large scale up, it will take little time.

Madhav Marda: And is it also fair to understand that the kind of pipeline we want to build here would be for novel molecules which sort of customers have. So, we would have at some point, a certain number of projects in Phase- 1, Phase -2, Phase- 3, and then as we kind of move through the development cycle, we will look to scale up as some of them commercialize. Is that how we should think about this business model going ahead?

Rajnish Sarna : Broadly yes.

Madhav Marda: Could you share how many projects do we have in the pipeline today? Like is that something that you could help us understand? Like do we have 20 projects, 30 projects, something around that.

Rajnish Sarna : Yes, we would have maybe close to 12- 15 projects in all.

Madhav Marda: Any skew towards Phase- 1, Phase -2, Phase- 3?

Rajnish Sarna : Well, that data I may not have in front of me.

Moderator : The next question is from Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani : Firstly, since you have maintained 15% full year revenue guidance and 26% EBITDA margin guidance, that translates to about 12% Y -o-Y EBITDA for the next 9 months,

Are you being conservative or is this realistic guidance?

Rajnish Sarna : Well, it is realistic given the current industry scenario.

Krishan Parwani : And secondly, on the tax rate, do you still maintain 24% tax rate guidance or any changes there?

Rajnish Sarna : We just indicated that as per the current estimate, we see close to 22%-23%.

Page 12 of 13 Krishan Parwani : And lastly, if I may, can you please highlight what led to a sequential decline in other expenses?

Manikantan V : In the last quarter we had one- off expenses. That is the reason for that.

Krishan Parwani: How much was that?

Manikantan V : Rs. 25 crore.

Moderator: The next question is from Lokesh Garg from UBS Securities . Please go ahead.

Lokesh Garg: Basically, the growth that has come in, which is let us say 14% that you have reported, originates from two parts. One is legacy molecules ; another is sort of new molecules. Last year, FY24 Presentation, you had presented a break -up of that , absolute percentage like of the 19% you had broken up into 14% from new and 5% from let us say older, more than 3 years old. Is something like that possible this quarter also?

Rajnish Sarna : We don't have this data here, but I responded to one earlier participant that close to 20% is coming from these new products.

Lokesh Garg: Yes, that is the revenue share today. I was asking about the growth share, basically, the incremental 14% that you have grown.

Rajnish Sarna : Let's take this up on the sidelines because

we may not have this data right now in front of us.

Lokesh Garg: The other way to look at it is this new product is a rolling number, right? Because you define it at 3 years, so basically, every year , quarter, it is a rolling number. If you were to sort of have that number possible, if you were to do it, let us say at 6 years, what would be that proportion today of the molecules being done?

Rajnish Sarna : No, this data is not in front of us.

Moderator: The next question is from Darshita Shah from Antique Broking. Please go ahead.

Darshita Shah : My first question is regarding the order book , given that we have not mentioned anything in the order book this time, do we assume it to be sustained at around \$1.75 billion?

Rajnish Sarna : It is around \$1.5- \$1.55 billion.

Darshita Shah : The domestic part of the business, how much would be the domestic brand business and how much would be the B2B part of the business if you could give a contribution?

Rajnish Sarna : It is mostly brand. few percentile would be the institutional.

Darshita Shah : Why was I asking is because you mentioned that the domestic brand business saw a decline of barely 1% -1.5% whereas the domestic business actually has seen a decline of about 8%?

Rajnish Sarna : The reason for that is the local delivery of some export products during previous year. Because of delivery destination, such revenue gets clubbed in domestic revenue but that is not brand sales .

Page 13 of 13 Darshita Shah : And what would be the biological contribution be to the overall domestic business for FY24 and Q1 FY25?

Prashant Hegde: Yes, as of now, it is 10%. But biological is growing faster than the Agrochemicals. This may change at the end of the year.

Darshita Shah : And what would this be for FY24?

Prashant Hegde: Biological definitely grew in double digit numbers. And our aim is to at least contribute to around 15% of our total revenue in domestic brands.

Moderator: Next question is from Sabyasachi Mukherjee from Bajaj Finserv AMC. Please go ahead.

S. Mukherjee: Two questions from my side. Of this Agchem CSM business of Rs. 7,500 - Rs. 8,000 crore odd annually, we did somewhere around Rs. 2,000 crore this quarter. How much would be non- AgChem, I understand that out of the new molecules almost 40% is non- Agchem, but on the revenue side, is it meaningful yet?

Rajnish Sarna : Not really, it will be less than 5% as of now, but it has significant potential for scale up and growth.

S. Mukherjee: Sir, any ballpark number, let us say from 5 years from now, how big could be this

non-Agchem, non- pharma business?

Rajnish Sarna : It could be easily more than a few hundred million dollars.

S. Mukherjee: And then going ahead, can we expect a separate segment from your side in the reporting? We already have AgChem and Pharma, can we expect this?

Rajnish Sarna : Well, as of now everything is common between agchem and non agchem from R&D scale up, development, manufacturing plants, sales team to other resources. U nless and until we get to a point where we have an independent setup for non- agchem, it would not make sense to report separate ly. We do not see that independent setup happening soon. But we will surely keep reviewing it.

S. Mukherjee: And in terms of gross margin or EBITDA margin profile, will it be very similar to?

Rajnish Sarna : Broadly, similar.

Moderator: Thank you very much. That was the last question of the day. I would now like to hand the conference back to the management team for closing comments.

Mayank Singhal: Yes, thank you for all your support and we look forward to better quarters going ahead. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2024

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PI External

PIIL:SEC:NSE/BSE :64:2024 -25

November 20, 2024

BSE Limited

Corporate Relationship Deptt.

PJ Towers, 25th Floor, Dalal Street,

Mumbai – 400 001

Code No. 523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G-Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051

Code No. PIIND

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference call pertaining to the unaudited financial results for the quarter and half year ended September , 2024

Pursuant to the provisions of Regulations 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the transcript of Earnings Conference call held on Thursday , November 14, 2024 at 2:00 PM (IST) , to discuss the unaudited standalone and consolidated financial results of the Company for the quarter and half year ended September , 30 2024.

Further , please note that the said transcript is also made available on the Company's website at <https://www.piindustries.com/investor-relations/co-go/Concal-Transcript> .

This is for your information and record please .

Thanking you,

Yours faithfully,

For PI Industries Limited

Sonal Tiwari

Company Secretary

ACS: 16638

Encl: As above

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PI Industries Limited

Q2 & H1 FY25 Earnings Conference Call Transcript

November 14 , 2024

Moderator : Ladies and Gentlemen, Good Day and Welcome to the Q2 & H1 FY25 Earnings Conference Call of PI Industries Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishid Solanki from CDR India.

Thank you and over to you.

Nishid Solanki: Thank you. Good afternoon, everyone and thank you for joining us on PI Industries' Q2 FY25 Earnings Conference Call.

Today, we are joined by senior members of the management team, including :

- Mr. Mayank Singhal – Executive Vice Chairman and Managing Director
- Mr. Rajnish Sarna – Joint Managing Director
- Mr. Sanjay Agarwal – Group Chief Financial Officer and Head – Strategy and Integrated Development Cell
- Mr. Prashant Hegde – CEO, Domestic , and

■ Dr. Ramesh Subramaniam, Global CEO, PI Health Sciences

We will begin the call with "Key Perspectives from Mr. Singhal," thereafter, we will have "Mr. Agarwal sharing his views on the Company's financial performance," after that, the forum will be open for "Question -and-Answer Session."

Before we begin, I would like to underline that certain statements made on today's conference call may be forward -looking in nature and a disclaimer to this effect has been included in the "Investor Presentation" shared with you earlier and also available on stock exchange websites.

Please note that some of the management team members are travelling and hence joined through mobile connection. So, please excuse any audio quality issues you may encounter.

I would now like to request "Mr. Singhal to share his perspectives." Thank you and over to you, Sir.

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Classification | PI External Mayank Singhal: Yes. Thank you, Nishid. Thank you and good afternoon to all of you. A very warm welcome to our call to review PI's performance for the 2nd quarter and first half of FY25.

I will start by providing a perspective on the current state of the global and local industry, an update of our operational progress and highlights and strategic milestones that we are working towards.

The global crop protection industry is currently navigating the challenging landscape, influenced by fluctuating agricultural markets, commodity prices, destocking, general product pricing pressure, rising inflation and deferring purchase decisions and so on. On the domestic side, delayed and erratic rainfalls impacting sowing patterns of many crops, price pressures of generic channel inventories have also impacted the overall demand scenario and sentiments of kharif seed.

PI, on the other hand, has shown resilience despite the generally moderate industry sentiments. We have once again achieved strong financial results for the quarter in H1 consistent with our plans.

During Q2, we have delivered a 10% increase in AgChem exports, driven by volume growth and growth of new products. New products have shown a 42% increase year -on-year. In the domestic business, we saw 7% improvement in branded products where volume growth was sustained at 12% with the impact on pricing seen across the industry. However, given our emphasis on product mix and optimization of working capital management, the impact has been mitigated.

I wish to highlight that our biologicals portfolio has delivered robust 18% growth year -on-year. We have seen enhanced profitability and margins in line with the product mix decisions, contribution from biologicals . As a leading player in the AgChem sector, we are confident in our capacity to enhance engagement with innovators , driven by ongoing commitment, improving key technologies and chemistries . Our focus on high -end projects has led to collaboration with top innovators for the commercialization of advanced molecules. Additionally , as previously mentioned, the pace of these commercialization has increased in line with our investments in research and new technologies.

On the domestic front, the business model is aligned for introducing new brands especially in high value crop pest segments and biologicals . During the first half, we saw four new brands launched, these were PRESSEDO® that is a novel broad -spectrum insecticide, DORITO® which again is a broad -spectrum insecticide with cotton and brinjal, OSHEEN ULTRA® a superior formulation for sucking pest control and SOLJU , which is a microbial biofertilizer.

H2 will see a couple of more brands getting introduced. There is an equally attractive runway of growth available in the domestic business where we have demonstratively

superior product pipeline. We are present in high potential category within agchem, horticulture products and biologicals which will underwrite margin-led growth in the years to come.

PI has a history of setting industry-leading outcomes. Our relationship with big global innovators is strong and consequentially the pace of six to seven molecule getting commercialized, will be maintained. Molecules that have been commercialized in recent years are gaining scale, driving a runway of sustainable growth. I am confident

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Classification | PI External that the next batch of molecules shall maintain these level of traction and enhance our mix in the periods to come.

The pace of the enquiries are healthy and more than 50% coming from non-agchem side are for innovator products. The work we have done in advanced research, new chemistries, technologies is aiding this trend.

We have seen a recovery of our domestic revenue in the second quarter. Several high performing brands getting established in key crop

segments and horticultural areas. The recent initiatives on the biological front will further strengthen foothold in an upcoming growth era for us. PI has a sterling record of execution and with a strong balance sheet in place, is placed very comfortably to continue delivering as per plan, adjusting on such temporary industry level disturbances.

We have finalized the acquisition of Plant Health Care, following the successful completion of all legal and regulatory requirements, as planned. This business boasts top-tier expertise, products and intellectual property within protein and peptide platforms for agri-biologicals. It has experienced considerable success in the commercialization of peptide products. Both current and pipeline offerings present substantial growth potential and we plan to advance development efforts to continue to introduce this innovative class of biological solutions at a global scale.

Our pharma vertical is shaping up well and upgrade is underway in core infrastructure and business development capabilities. We have been seeding investments with a view to having an integrated CRDMO for global innovators. We are building leadership strength in the US, Italy and Hyderabad both in business development and scientific areas. I am very happy to say that this is going to drive the business into the future.

During the first half, we have seen revenues remain impacted due to high inventories with innovators. We expect order visibility to translate into a healthy runrate in H2. Initiatives for upgrading capabilities are progressing well and in the coming years this venture shall see strong momentum in growth and scale. Hyderabad R&D facility has commenced operations where as the upgrades to the Italy facility are expected to be completed soon.

We have continued our efforts and initiatives to keep improving our ESG performance which is reflected in the recent upgrade of S&P Global CSA ranking to the 97th percentile. This reflects our vision of reimagining a healthier planet. This also puts us in the S&P Global Sustainability Yearbook 2024 as a part of select group of companies from India who made it to this list.

Considering the current global industry scenario, we are re-aligning the overall outlook to high single digit growth for now and We will keep updating this as the industry passes through this transient phase.

Growth in the second half of the year will be driven by demand scale-up in new products launched in the past 3 years. Capacity expansion is on track, as is the momentum in new enquiries.

I would now like to conclude my remarks and hand it over to Sanjay to move forward with the conversation and thank you once again for being with us. Thank you and over to you, Sanjay.

Sanjay Agarwal: Thank you, Mr. Singhal. Good afternoon, friends whoever are there on the call today.

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Classification | PI External I will summarize the Company's financial highlights for the second quarter ended September 30th, 2024. Please note that all the comparisons are on year-on-year basis, and we are referring to consolidated performance.

As Mr. Singhal has shared, our performance demonstrates a differentiated approach to doing business and a sharp focus on keeping operating parameters in line with the objectives.

To share the specific highlights, during Q2, we reported a revenue of Rs. 22,210 million, a growth of 5% over the same period of last year, which also translates into a three-year Q2 of CAGR of 18%. Export revenues grew by 8% at Rs. 17,610 million and a 5% decline in domestic revenue to Rs. 4,600 million, while the revenue of the branded products grew by 7%, volume growth was 12%. There's been also a healthy

expansion in the gross margin by 519 bps to 52% and EBITDA has increased by 14% and stands at 28%. Profit after tax increased by 6% to Rs. 5,082 million, primarily attributed

to the EBITDA growth in spite of an increase in ETR to 23%.

Let me also cover the YTD performance which is for half year FY25. Revenue was Rs. 42,899 million, a growth of 7% over the same period last year, again translating into a three-year H1 CAGR of 19%. Export revenue grew by 10% to Rs. 35,104 million and a 6% decline in domestic revenue to Rs. 7,795 million, while the branded products grew by 3%, there's a volume increase of 9%. So, overall, the expanded gross margin and EBITDA stand at 52% and 28% respectively and profit after tax for the half year increased by 11% to Rs. 9,571 million, ETR for the past six months YTD has been at 22.1%. We expect the ETR for the full financial year FY25 to be in the range of 22% to 23%. Cash flow from operating activities also increased by 20% to Rs. 8,006 million. This was due to higher EBITDA and efficient working capital management. The trade working capital days in terms of days of sales has improved from 84 days to 70 days. Similarly, better inventory management has led to a reduction in inventory days from 63 days to 50 days.

In terms of the balance sheet, as you would have noticed, the balance sheet has been further strengthened during this quarter. Our net worth has increased to Rs. 95,454 million as of 30th September and a healthy net cash balance of Rs. 39,227 million.

With this, I conclude my opening commentary. I now request the moderator to open the forum for Q&A. Thank you.

Moderator: We will now begin the question-and-answer session. We'll take our first question from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First question is on the pharma business here. We have been seeing pretty soft revenues. If we leave out the one-time expenses that we incur in this quarter, but otherwise also the margins have been keeping low. Just trying to understand your thoughts in terms of the volume, whether there's a volumetric decline as well or it is largely pricing and the trajectory going right over there?

Rajnish Sarna: Thanks, Ankur. The key reason for softness is the slow offtake of some of these products due to inventory at the innovators level, that has also impacted the overall margin profile as you see. The other reason is that one of our customers has filed Chapter 11 in this quarter, and some inventory which was meant for them, we have not supplied and that has also impacted this quarter's projected revenues and the margin, as the development spend is continuing. I hope this answers your question.

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Classification | PI External Ankur Periwal: Just a follow up there. From a volumetric perspective, is there a significant decline in terms of volumes as well what we see in the revenues and how do you see that picking up?

Rajnish Sarna: Yes, so for H1, there is certainly volume reduction, but we are expecting the volume to pick up in the third and fourth quarters.

Ankur Periwal: Second question is on our guidance wherein now we are expecting a high single digit number versus let us say a 15% sort of a growth earlier. What is driving this guidance revision -- is it the domestic AgChem business which has declined year-on-year in H1 or the pharma or CSM or all of them?

Rajnish Sarna: In any case, as you know, pharma doesn't contribute significantly to the overall PI's revenue as of now. So, this realignment in growth guidance is done in view of the global industry scenario we are seeing. We are also experiencing that, at least for the short term, global companies are in a wait-and-watch situation and are critically monitoring inventory levels. You must also be reading the commentaries of these global companies as they are closely monitoring the working capital levels and deferring their procurement decision. So, in view of this transient phase, we have also realigned our growth guidance for FY25, which we were earlier

projecting in

double digits; we now see that we should certainly be aiming for higher single-digit or near double-digit kind of level.

Ankur Periwal: Just a clarification here. So, when you say deferment in the short term, essentially, we are referring to the entire H2 then, right, because this is a peak season from a business perspective for us, so any deferral here is going to, the recovery will be further back-ended in FY26, is that the right way to look at it?

Rajnish Sarna: Well, I will not at this point comment on mid to long-term because, as I said in the beginning, this is kind of a wait-and-watch situation at this point. But yes, we are clearly able to see the next two quarters scheduling and believe that we should be touching higher single digit or near double digit kind of growth in FY25.

Moderator: We will take our next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Just to kind of go back to the previous question, you have mentioned that you are facing these inventory issues. Just wanted to check if these issues are actually more focused on your legacy portfolio? And given that you were actually reporting very strong volume numbers for the past many quarters, I just wanted to understand that's actually what has caused a bit of an inventory pile up? And just wanted to get your assessment in terms of how severe you think this could be a bit of an extension of the previous question?

Rajnish Sarna: Yes, this is certainly pertaining to some of our existing products, because for the new products, we have registered an impressive growth of close to 42% in this quarter. If you also see that in the same period, last year and before last year, we have grown at a very decent pace, 20% plus in H1FY24 and 30% plus in H1FY23. So, yes, some of these existing products are witnessing higher inventory at customer and channel level and given the overall industry scenario and general pressure on these companies to rationalise their working capital, etc., they are kind of slowing down their fresh procurements. For the new product, I think those are doing well, which is also reflecting in year-on-year growth rate.

Vivek Rajamani: The second question I had is a bit of a two-part question on the margins. Again, the margin trajectory has been very strong. So, just wanted to understand, how much of this is actually coming from the newer products? So, if you could just give us some

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Classification | PI External sense of how much these new products are making up of your overall export portfolio, and just how different are the margin profiles compared to say your legacy portfolio?

Rajnish Sarna: Well, new products account for anywhere between 16% to 18% and this depends on the quarter that we're reviewing. The margin profile is generally similar and not significantly different. Yes, in the case of new products, we keep improving the processes as we produce campaign-after-campaign, and therefore some margin improvement is always there, which is also shared with our customers.

Moderator: We will take our next question from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda: My first question is about the margin profile. If I look at PI's longer-term history, generally gross margins for us have been about 45% to 46%. In the last two or three quarters the number obviously has moved up to a very healthy 52% to 53%, which is helping EBITDA margins as well. Just could you give us some sense in terms of sustainability of these EBITDA margins for the Company on a longer-term basis -- is it a product mix or domestic a bit weaker why the margins are a bit better for us, could you help us understand something there?

Rajnish Sarna: This is mainly on account of favourable product mix in our export domestic portfolio where in we commercialized and in

roduced a lot of new products including

biologicals. So, yes, the product mix has been favorable for us over the last few quarters and that is certainly driving this margin improvement that we are witnessing both in terms of gross margin, in terms of EBITDA margin.

Madhav Marda: Is that sustainable or once some other parts of the business probably come back, of course there is some parts of the portfolio where growth is a bit slower because of challenges which you highlighted, so once that comes back, do we see like better revenue growth but with more normalized margins in line with historical or is this like a new margins for the Company?

Rajnish Sarna: We consider 26-27% margin to be sustainable, particularly for the core business that we are talking about here. It would, however, take us some time to scale up and achieve a similar kind of margin profile for the new businesses that we have invested, e.g., health science and global biological business.

Moderator: We will take our next question from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Sir, if you could please just help us understand of this high single digit revenue growth guidance for fiscal 2025, what sort of expectation do we have for the Agro chemicals, CSM business in particular, and then maybe any of the other lines as well?

Rajnish Sarna: Can you please explain a bit because I couldn't get your question.

Abhijit Akella: So, I mean high single digit guidance, I presume is for the overall company level. So, within that, for the Agro chem, CSM business in particular, is there some sort of range we can offer as a guidance range?

Rajnish Sarna: As you know that we have done reasonably well in terms of our exports; we have grown by almost 10-11% in the first half. The domestic branded business was

relatively skewed but given the positives on water levels in reservoirs, the prospects of Rabi are reasonably good and we believe that we should be doing well in our

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Classification | PI External domestic branded business, a low double-digit kind of growth in H2. On the export side, we expect to do higher single-digit kind of growth in H2. So, on a blended basis, we should be reaching close to higher single digit or near double digit kind of growth in full year FY25.

Abhijit Akella: Just to clarify these numbers, you mentioned early double digits for domestic and high single digit for exports, this is for the second half only or for the full year?

Rajni sh Sarna: Since you asked me for the second half, I was trying to explain to you for second half, and on full year basis this will result into higher single digit. This is our current estimate.

Abhijit Akella: One is the other income seems rather on the higher side. So, what exactly has contributed to that and how sustainable is that? And also, just on the revenues from new products, it is 16% to 18%, that pertain only to the CSM business, right? that 16% to 20% of CSM revenues is what we're seeing, just to clarify that?

Sanjay Agarwal: Also, the other income, this primarily has gone up due to interest earned on higher cash balance. So, if you see this year, we have Rs. 3,922 crore versus Rs. 2,890 crore last year. So, the base of the cash balance what we have has gone up say by around 25%. So, that has led to higher interest income and then there are small one-off gains primarily due to some favorable orders we had received on tax litigation.

So, that has broadly added up to the other income increase.

Abhijit Akella: So, the one-off items, is it possible to just split out how much that might have been?

Sanjay Agarwal: That won't be that significant. Primarily, as I said, it is because of the higher cash balance, what we have, which is more on a consistent basis.

Moderator: We will take our next question from the line of Rohit Nagraj from Cent

rum Broking.

Please go ahead.

Rohit Nagraj: Sir, first question is again delving on to the CSM part of the business. So, given that probably our customers, innovators would have finalized the volumes for 2025, so how do we have a visibility on our legacy products and new products from a calendar year 2025 perspective, although you have given largely for the second half, but just to be a little bit on a broader perspective for 2025?

Rajnish Sarna: Well, it is a bit early to project particularly since companies are in a wait and watch kind mode. While for many products, there is a clear indication and longer-term understanding is there, it would take some time for these companies assess the overall situation to finalise supply schedules for 2025. So, we will be able to get a clear picture in the next 1-2 quarters.

Rohit Nagraj: Second question is, usually we give our order book which is missing during this particular quarter in the presentation. So, is it because like the way you answered the earlier question in terms of the visibility that we have, or there is some order book which has probably got dissipated because of the impending issues? Just your thoughts on the same.

Rajnish Sarna: Since there is no significant change in the order book, it is not figuring in our communication, but yes, we still maintain a \$1.4 to \$1.45 billion order book position as of now.

Moderator: We will take our next question from the line of Kalpit Narvekar from EFG Asset Management. Please go ahead.

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Classification | PI External Kalpit Narvekar: So, my question was that the new molecule growth for this quarter has been 45% on

about 18% of your business, right? So, that may be like contributing 8% of the total growth and the total growth was like 10%. So, that kind of tells that your old legacy molecules are probably growing at like 2% to 4%. So, could you just elaborate on why that legacy molecule growth has kind of slowed a little bit?

Rajnish Sarna: Yes, that's what I was saying that some of our old legacy molecules have grown slower, whereas the newly commercialized molecules in the last three years have grown at a much higher rate. So, yes, this is the kind of change we see. We are very aggressively introducing new molecules. This year itself, we will be commercializing 6-7 products for exports; have already commercialised four products in the first half. And on the other hand, the growth of these newly commercialized products is higher on a lower base.

Kalpit Narvekar: My second question was on the second half outlook that you mentioned, right, that you expect kind of high single-digit growth for the AgChem exports, but that growth was like 10-11% for first half and the other way around for the domestic, right, so essentially, we are seeing some softness on the AgChem export side, right. So, what

are the key reasons of that kind of slow down, sometimes 11% to high single digit levels or AgChem exports for the second half, is it more because of the industry that the destocking with how it is coming to an end and maybe it is not or is it from competition just to get some views on that, right?

Rajnish Sarna: Yes, as I explained earlier, it is mainly because of inventory levels and the initiatives of these global companies to bring down their overall working capital investments, exposures, etc.

Kalpita Narvekar: And just any kind of visibility on like when it can potentially, by when the inventory is going to normalize or it is still too early to kind of call out on that?

Rajnish Sarna: Well, I would say we get different kinds of indications. Some indications suggest another 2-3 quarters before this whole thing is normalized. We also witnessed some very interesting scenarios where we were indicated that there was a slowdown in specific product requirements, and then suddenly, two months later, we are air shipping products

due to urgent requirements. So, you can imagine, there are different kinds of scenarios here and this is the reason I believe this is more a wait-and-watch kind of a situation, a transient situation because business fundamentals remain strong given the growing population, increasing climate change impacts and growing food security concerns. We are also not seeing acreages going down. So, demand in mid to long term is going to normalize. It is only a temporary phenomenon because of generic pricing pressure, commodity price corrections and destocking in some of these markets that it is reflecting on overall market sentiments at this point, but we believe that in the next few quarters, these things should get normalized to a great extent.

Moderator: Next question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Just one question. What has been the pricing trend for some of our key older products -- are we seeing any change in that?

Rajnish Sarna: I would say reasonably stable pricing. Of course, wherever there is some softening of raw material prices, that has reflected in the selling prices. But if your question was more about our exports of existing molecules, yes, it was reasonably stable.

Aditya Jhawar: You explained well about the inventory buildup, but sorry to harp on the same topic. So, clearly, I mean since we cater to the innovators, the supply is fairly curtailed in that sense. Now, are we seeing a situation on the ground where some of the products

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Classification | PI External are seeing an increase in competition, are we seeing shift towards the generic maybe downgrading because some of the generic companies have reported a strong volume growth? Any specific thing that you would like to call out on product-specific issues?

Rajnish Sarna: Well, so far we have not seen that sort of a scenario that some of these product volumes are getting curtailed due to genericization. In fact, we have also not seen a great financial performance coming from many of these generic companies. So, I am not sure what kind of generic company performance you are indicating.

Mayank Singhal: I want to highlight that we may also need to look at the base from last year while showing growth. Whatever the growth, please look at the drop in the base from what we had last year and then you can probably get a better sense.

Rajnish Sarna: This is what I was also explaining earlier that last year same quarter we grew by 24%, before last year around 30%, even first half if you see last year we grew by 22% and before last year almost 30%. So, the point being made is the high base built over a period of time.

Aditya Jhawar: So, final question. So, could you please remind us of which are the key markets for our main products where registration process is still ongoing? We are yet to launch in some of the major markets.

Mayank Singhal: For which product are you referring?

Aditya Jhawar: Our biggest product Pyroxasulfone which are the key markets where the registration process is still.

Rajnish Sarna: We will not be in a position to comment, yes.

Mayank Singhal: Because these registrations are generally taken up by the innovator, not by us.

Aditya Jhawar: Right. But there is geotagging also for our location. So, last time I think I remember you indicated about markets and just wanted to get an update on that, I will take it offline and final question on any change in CAPEX outlook considering changed situation.

Mayank Singhal: No, we are going with the same plan, Rs. 800 crore to Rs. 900 crore this year. That is the plan.

Moderator: Thank you. We will take our next question from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Thanks. On the pharma business, Sir, what is the outlook for the business from here

on and from the time you acquired the business , wh

at has not really played out to plan?

Rajnish Sarna: So, the outlook I already explained to the earlier participants that we are seeing volume uptick from second half . This is what the current assessment is . In terms of your second question that what has not played , so I will say I do not see anything that has not played because we always maintain that we are acquiring these companies to build this CRDMO platform. A lot of development effort will be there, and which is what we are currently doing, whether it is upgradation of the research and manufacturing facilities that we have got with these acquired entities or whether building leadership team both on the research side as well as on the business development side, building new clients , product pipeline , etc . So, a lot of

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Classification | PI External development is happening. I would also request that Ramesh , my colleague , shed some light on this . Ramesh, you are there ?

Ramesh S. : So, as Rajnish pointed out, what we focus on is to have the right people in the team.

We have now almost fully staffed based on the business side and on the scientific side. And the second part we focus on is operationally we have the right cadence growing, so we focused on the sites that we acquired to make sure that any customer that comes in is able to scale with us so the people who come want to stay with you for a longer time. And that is why we build a sustainable business. So, to that extent we have that sort of back integrated one of the sites that we got in Italy by putting a key role in that, that should be operationally almost there. That should be operational in Q1 FY26. So, we can begin projects there and the R&D center in Hyderabad and the Jaipur facilities are also now operational. So, we have got the operational thing almost done. When we finished the key hires, we have had some headwinds in terms of the general market also in the pharmaceutical business and we see that also sort of favoring us and green shoot happening in terms of the future. So, starting from H2 this year and for the future, we expect to provide you with a lot more detailed answers on both the pipeline build up and future growth.

Nitin Agarwal : And Ramesh do you expect the business to be EBITDA positive? When do you expect the business to become an EBITDA positive from which period of time?

Ramesh S. : We certainly hope that the trend will begin even in H2, but I will be able to give you a lot more clarity as we go into Q4 next year. So, if you can just hold that thought as I push through.

Nitin Agarwal : My last one, what is the pipeline like on the CDMO side in your business right now? How many products do you supply commercially and how many more do you expect to go commercial?

Ramesh S. : So, the pipeline buildup in general, I can comment saying that we are engaged with several customers both on the early development side and on the late development side. On the commercial side, although we are talking with multiple customers, commercial projects are not easy to come by. Typically , we try to get into the late phase and then go into commercial, that is what we are trying to do.

Moderator: Thank you. We will take our next question from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh : In the pharma business, you have mentioned on Slide #13, some new additions to your business like new CDMO order and three new projects. So, is it possible to quantify this in terms of what will be the impact on revenue and some color on exit revenue for FY25 if I may ask ?

Rajnish Sarna : Sorry. Come again. What was your second question?

S Ramesh: The second question was what do you hope to achieve as revenue by the end of March 2025 or exit revenue for the base for FY26?

Rajnish Sarna : We are targeting to achieve Rs. 250 to 275 crore by the end of this year. But yes, we are

also assessing the inventory situation while talking to these large customers. So, this is more of the current assessment that we can share.

In terms of your other question, projects identified for near to long-term. So, again I think it will be too early for us to quantify these numbers. But yes, the key point here is that there is a significant pace that these new customer interaction, engagement

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Classification | PI External and development is happening with the strengthening of team both in US, Europe and of course in India. And by the way, this is only the second year of this business.

So, as we have indicated in past that it will take for us a couple of years ' time to bring this to a faster pace from the level that we have acquired it , and we are still very confident that in the next 3 -4 years ' time, we will be taking this to a completely

different level and making a meaningful contribution to the overall PI's Business.

S Ramesh: And secondly, if you look at the domestic business, I think the revenue of Rs. 460 crore, it is very hard and possibly one of the highest. So, in the context of the growth in new products you talked about and the pricing pressure, can you highlight what is the kind of timeline you see for the pricing pressure to abate? And any key segments or crops where you saw the growth and how do you see the second half based on the strengthening Rabi fundamentals helping you in terms of the second-half performance in the domestic business?

Rajnish Sarna: There were too many questions, so let me try and respond one by one. I think I have already explained to the earlier participants about our current outlook for the second half, which we expect to do better in terms of our domestic distribution business. We expect Rabi to be good. We already have launched a host of new products. There are already very interesting products introduced in the last 2-3 years. So, we have a very decent portfolio where a lot of effort is going on, and we expect that we should be growing in double-digit in second half. As far as our exports are concerned, second-half, as I said, we will be in the higher single digit kind of level given the overall global industry situation that we are seeing. And then for pharma, I think we have separately explained it to you, so this probably answers your question.

S Ramesh: On pharma, one last thought, you have given some CAPEX details. So, can you give us some sense of how much you plan to spend for full year in CAPEX in pharma in for FY25 and for the next couple of years?

Rajnish Sarna: I think we already indicated the CAPEX to the tune of Rs. 100 to 125 crore for FY25 and for next year, it will be half of it because lot of spend is already done this year.

Moderator: Thank you. We will take our next question from the line of Siddharth Gadekar from Equirus. Please go. Ahead.

Siddharth Gadekar: Given that we have completed the Plant Healthcare acquisition, can you give us some color in terms of how are we planning to scale up this business in terms of both domestic and global launches?

Rajnish Sarna: On Plant Health Care, as you know, we completed our acquisition this quarter. Now our objective is to invest in product and market development of their existing and pipeline products to take this business to the next level. This company has a cutting-edge technology platform, they have three products which are already commercialized in major markets like US, Brazil, Europe. We would also be commercializing some of these products in India for which initial effort have already started. So, lots of development efforts will be made because all these three products have a significant growth potential across these major markets that I explained. The other market, I forgot to mention was Mexico. We are also very actively working with the research team of Plant Health Care and looking

at opportunities of working on

joint development along with our Agri Research setups in PI and coming out with some very interesting solutions for regenerative and sustainable farming. This is our next goal in this business.

Siddharth Gadekar: And secondly, in terms of manufacturing these products, would we be looking to also manufacture these products in-house or we would continue with the existing vendors from Europe? How would we think about that?

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Classification | PI External Rajnish Sarna: Well, we are evaluating various options; for now, we are continuing with the existing sources. However, for the future, we are evaluating several opportunities.

Siddharth Gadekar: So, just one last question, Plant Healthcare had spoken about \$100 million plus revenues by FY28-29. Do we think that we could get to that number now that given that we have a strong balance sheet size as well?

Rajnish Sarna: Yes, that is very much possible given the significant potential those products have.

Moderator: Thank you. We will take the next question from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Sir. So, for domestic business in the last two quarters, we have seen 6% growth. When we see the industry, growth is in higher single digit or double digit and other Agro chemical companies are performing. So, is there any issue with any product where the price is declining apart from what institutional sales de-growth you are talking about.

Rajnish Sarna: Yes, as far as our domestic brand business is concerned, there is no de-growth and that is the reason we tried to explain in our Investor Communication that there is volume growth that we have seen, for example, for the first half we have seen close to 9% volume growth. We have seen some price pressure in some of the old molecules. But yes, overall, there is 3% growth. In the second half as I mentioned earlier, we are expecting double-digit growth mainly driven by many of the new

introductions we made over last 2 -3 years . Prashant, if you are there, you may want to give some color on domestic brand business.

Prashant Hegde : Domestic brand business has registered a volume growth of 12% and overall growth of 7% in Q 2 and H1 volume growth of around 9% and overall growth of 3% because there is a price correction. Second -half is looking good. Water in the reservoirs is better. Hopefully , adverse weather -related events what we have seen in the first half are behind us. Hence, we are seeing a good momentum, especially in crops like chili , rice, pulses, fruits and vegetables, plus the three new products which have launched in first half and another three more products which are scheduled for launch in the second -half these things should help us to register good growth next quarter.

Moderator: Thank you. We will take a last question from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: By when do you think our recently acquired Plant Health Care business could turn EBITDA positive and does this quarter contain any one -off expenses from the acquisition?

Rajnish Sarna: Yes, there were some one -offs not in front of me, but yes, there were some small one-offs in this quarter . It will take, I would say 2-3 years ' time for this new business to scale up mainly because a lot of development spend ing would be needed , as I explained earlier, to grow these products in the large markets that are there from US , to Brazil , to South America, to Asia , to Europe and also a lot of research work which will happen. So, yes , maybe in the next 2 -3 years' time , we would expect this business to start contributing in terms of profitability.

Krishan Parwani: So, let us say despite negative contribution from PHC and also our Health Sciences business, you expect this 26 % to 27% margin. So, you are expecting a decent

performance in the AgChem and CSM business , is that correct?

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Classification | PI External Rajnish Sarna: Yes, so this is what when we share our outlook on margin, we account for these development spends that are happening. So, yes, we will continue . The strength of our portfolio both in our exports as well as our domestic, so strength of our product portfolio , the technologies that are helping us keep on improving processes and margin profile of these products basically differentiates us in the in the industry and that strength will continue.

Rajnish Sarna: Thank you all for your continued interest in PI. We r eally appreciate your time and effort in joining and participating in this call. Thank you so much.

Moderator: You. Thank you , members of the Management Team, on behalf of PI Industries Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your line.

Disclaimer: This is a transcription and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Mar 2025

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PI External

PIIL:SEC:NSE/BSE: 84:2024- 25

February 14 , 2025

BSE Limited

Corporate Relationship Deptt.

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Mumbai – 400 001

Code No. 523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G-Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051

Code No. PIIND

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference call pertaining to the unaudited financial results for the quarter and nine months ended December 31, 2024

Pursuant to the provisions of Regulations 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the transcript of Earnings Conference call held on Friday, February 07, 2025 at 4:00 PM (IST), to discuss the unaudited standalone and consolidated financial results of the Company for the quarter and nine months ended December 31, 2024.

Further , please note that the said transcript is also made available on the Company's website at <https://www.piindustries.com/investor-relations/co-go/Concal-Transcript> .

This is for your information and record please.

Thanking you,

Yours faithfully,

For PI Industries Limited

Sanjay Agarwal

Group Chief Financial Officer and

Head- Strategy and Integrated Development Cell

Encl: As above

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PI Industries Limited

Q3 & 9M FY2025 Earnings Conference Call Transcript

February 07, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the PI Industries' Q3 FY25 Earnings Conference Call.

As a reminder, all participant lines will remain in the listen- only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*", then "0" on your touch tone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you.

Nishid Solanki: Thank you. Good afternoon, everyone. And thank you for joining us on PI Industries' Q3 FY25 earnings conference call.

Today, we are joined by senior members of the Management Team, including:

- Mr. Mayank Singhal – Executive Vice Chairman and Managing Director
- Mr. Rajnish Sarna – J t. Managing Director
- Mr. Sanjay Agarwal, Group Chief Financial Officer
- Dr. Atul Gupta – CEO Agchem Exports
- Mr. Prashant Hegde – CEO, Agchem Brands , and
- Dr. Ramesh Subramanian – Global CEO, PI Health Sciences

We will begin the call with “Key Perspectives ” from Mr. Singhal. After that, we will have Mr. Agarwal sharing his views on the Company 's “Financial Performance.”

Thereafter, the forum will be open for question- and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call may be forward- looking in nature. A disclaimer to this effect has been

included in the investor presentation shared with you earlier and also available on stock exchange websites.

I would now like to request Mr. Singhal to share his perspectives with you. Thank you and over to you, sir.

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Classification | PI Confidential Mayank Singhal: Yes. Thanks, Nishid. Thank you, and good afternoon to all of you. Welcome to our

call to discuss PI's third quarter and the nine- months performance for the year '25.

While I shall provide an update on the operating scenario, I shall also bring in the perspective on the strategy that we have embarked upon in the mid- to long- term.

Our approach of aligning with innovators and working on high potential molecules and brands has helped us deliver stable performance amidst challenging market dynamics. In order to ensure a continued strong runway of performance, we are already actively engaged in multiple areas, and that will underline our progress for the coming years.

The global crop protection industry is passing through a transitional downswing . However, mid - to long-term trends in the industry remain the same. Despite earlier challenges like supply chain bottlenecks and fluctuation of input cost, the sector is adapting to an evolving landscape. Over the past few weeks, tariff war and challenged geopolitical scenarios have been making the headlines, indicating a shift in the global trade dynamics.

Since the underlying demand is there, the tailwinds could impact Indian exports favorably. We continue to focus on innovation, sustainability, and an efficient supply chain to play our part in creating a stable, productive future for agriculture.

Domestically, the generic segment faces ongoing pricing pressure and elevated inventory levels. Looking ahead to the next season, market sentiments will be strongly influenced by investment trends in the sector and the overall health of the rural economy.

Directionally, from a pure play agrochemical CSM and distribution opportunity size of \$15 billion to \$20 billion of innovative products, we will be chasing a 10x market opportunity over the next two decades. Addressing the multi -billion -dollar market of pharma, CRDMO, electronic chemicals, and biologicals, and new NCE's through differentiated business models focusing on niche segments with innovation, and building talents and distinct asset capabilities with a systematic regulatory support, we are on the journey to evolve from becoming an ag science Company to a life science Company .

During the year, thus far, our performance has stood out and we continue to deliver to clients. Trends during the period reflect strength of our business model and a disciplined execution , underscoring profitable expansion even in inclement industry sentiment. Revenue growth for the AgChem exports was 9% on a high base, given volume gain and contribution from new products grew by 35% year -on-year.

Biologicals, on the other hand, have added growth showing a 25% increase.

Let me now cover the trends during the reported quarter :

We saw consistent improvement in the AgChem exports backed by scale -up of new molecules that were launched in the past couple of years. The new products have delivered growth of more than 40% year -on-year. The new product growth is

mitigating global headwinds. Over the past couple of years, they stood at six to seven molecules every year. The new inquiries continue to come in with over 50% of those

from non- AgChem innovator products . This is in step with consistent investments made towards novel chemistry platform process technologies and various technology support deliveries.

Moving on to our “ Domestic Business ”:

Classification | PI Confidential From a good base of FY 24 compared to the market, PI has grown 5% year -on-year.

This follows decisions taken to drive a superior product mix with enhanced margins and maintain quality of revenue. Our biologicals range has shown a strong growth of 25% over the prior year. Domestically, we have already introduced six brands. Beyond these, we have a pipeline of 20- plus products at different stages of evaluation and registration. M

oment um for launching new innovative products will

continue, each aimed at delivering visible gain to the pharma with a better sustainable offering. Our range in horticulture and biologicals are growing well. We

will remain determined to develop new varieties of brands backed by a stable capital base and entrenched relationship with the innovators.

While our existing business model of Agchem exports and brands continue to generate strong momentum in the foreseeable future, in the coming three to five years, you will see a noticeable growth coming from our new initiatives. Fresh cash generation and a strong balance sheet are driving growth opportunities. I will elaborate on some of the key perspectives.

As you are aware, we have invested and are continuing to invest to build a differentiated CRDMO offering in the pharma space with high quality of talent being onboarded, assets being built to deliver the future, processes implemented benchmarked to the best -in-class in the world and customer portfolios being built . FY25, financials reflect the transition to a new business model and the development spend, which will continue over the next couple of years.

We have added global industry veterans to lead the pharma business, and they have begun to deliver the results supported by integrated processes and newly refurbished assets in our locations of Jaipur, Hyderabad, Lodi, Italy, .

Biologicals has been our passion for over two decades. We have acquired a leading edge technology platform in biologicals with patented proteins and peptide technology, a unique technology platform of proteins that are showing promising results in the field. In addition to the existing market in the U.S., Mexico, Brazil, the UK, we will now be introducing these products into India as well .

We are also working on a proprietary offering, where rigorous work is under way. We have taken a critical step for the development of the first AI of an insecticide 'PIOXANILIPROLE' and in the midst of Phase- 3 trials to develop regulatory data for product registration in different geographies under evaluations with partnerships . Harnessing our competencies on innovative and advanced technology and capabilities to scale products by delivering standout products substantially different from what's available.

While these new avenues will scale up, our existing strategies continue to deliver results as per our plan.

Moving on, I wish to underline our effort on the sustainability side. As we seek to scale our business across multiple pathways, we align our processes and strategies to contain any adverse environmental impact. For PI, Caring is one of our values, and Caring for Mother Earth is a way of life, far before ESG became a buzzword and companies began charting their sustainable programs , PI has been a trendsetter and far ahead of its peers in the chemical industry with many firsts to its credit. Fast forward to now, we are proud to be ranked the top 3 percentile of ESG rated companies globally and listed in the exclusive S&P Global Sustainability Yearbook 2024. We expect to retain our listing in the prestigious S&P Global Sustainability Yearbook consecutively for the second in 2025, which speaks volumes of our ESG journey.

Classification | PI Confidential At this stage, I request our Group CFO – Sanjay, to continue to discuss forward. And thank you very much. Over to you Sanjay, take it forward.

Sanjay Agarwal: Thank you, Mr. Singhal. Good afternoon, friends. On the call today, I will summarize the Company 's financial highlights for the third quarter ended 31st December , 2024. Please note that all the comparisons are year-on-year and refer to consolidated performance.

So, to share the performance highlights, I am sure most of you would have already looked at those Results .

During Q3 FY25, we reported a revenue of Rs. 19,008 milli

on, a growth of 0.2% over

the same period of last year. Specifically , Agrochemicals , which accounts for 97-98% of our total revenue, is up by 4%, and EBITDA has been flat. AgChem exports are up 2%, and within that , our new product growth is 40% year -on-year. Our total

domestic revenue has increased by 5% to Rs. 2,806 million. Pharma has seen a strong sequential revenue growth of 55% to Rs. 637 million in Q3 FY25. Our ETR has increased from 14.7% to 22.5%, impacting our quarter's net profit .

Let me also cover the " YTM Performance" for FY25:

Revenue is at Rs. 61,907 million, a growth of 4% over the same period of last year.

Export revenue is up by 6% to Rs. 51,306 million. Once again, there has been a growth of new products which remain a key feature of our nine- months result FY25.

AgChem exports is up by 9% and the new product growth is 35% year -on-year.

Domestic branded revenue grew by 3%, and within that the volume is up by 8%.

If we look at EBITDA, without our pharma business, while the pharma business is in a build -out mode, our EBITDA has increased by 17% to Rs. 18,760 million. Profit

overall has increased by 1% to Rs. 13,297 million. We expect the ETR for FY '25 to be in the range of 22% to 23%. Cash flows from operating activities increased by 8%

to Rs. 12,482 million, this was due to good EBITDA growth and efficient working

capital management. The trade working capital in terms of days of sales has

improved from 80 days to 68 days. Similarly, better inventory management has led

to a reduction in inventory days from 59 days to 46 days.

The balance sheet has further strengthened during the year. Our net worth increased

to Rs. 98,660 million. And we have a healthy net cash balance of Rs. 42,091 million.

That concludes my opening commentary. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question- and-answer

session. The first question comes from the line of Rohit Nagraj from B&K Securities.

Please go ahead.

Rohit Nagraj: Thanks for the opportunity. My first question is on the pharma products that we were

developing under PI umbrella before the acquisition of the new pharma business.

What is the progress of that? Have we seen scaling up of those products which were

under our R&D into the new facilities? And a concurrent question on the pharma

business is, where are we currently in terms of the margin profile, both on gross and EBITDA level? How are we foreseeing it in the future, given that at least the top- line

seems to be increasing over the last two, three quarters? Thank you.

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Classification | PI Confidential Rajnish Sarna: Thank you for your question. So, the first part of the question about the earlier products. Yes, during the COVID -19 time we had developed and supplied certain

intermediates to global customers , and those were specific to the COVID -19 period. Besides , some of the earlier development projects we were working on are now part

of the overall development pipeline in pharma. So, that is continuing.

Regarding the second part of your question on margins, as you have seen, the

margins have been maintained. If we see quarter three last year versus this quarter,

it is broadly around 48% to 50% gross margin level. But as we are now building more

CRDMO projects, particularly CRO and early CDMO kind of projects, the margins

will, obviously, over a period of time improve. And you will see that reflecting in our

financials in next one, one and a half years.

Rohit Nagraj: Sure. That is helpful. My second question is on the three areas that you mentioned,

and Singhal sir also mentioned, into pharma, CRDMO, electronic chemicals,

biologicals. So, currently where are we in terms of maybe revenue or probably

number of products into each of these areas? And maybe three years down the line,

how are we looking to shape u

p these verticals in terms of the overall contribution to

our revenues and the number of products under each category? Thank you.

Rajnish Sarna: As our Vice Chairman highlighted in his speech, both of these areas represent new

business ventures: pharma and biologicals, particularly the new technology

platforms we have acquired. We firmly believe that we are on the right path. We are

also transitioning, as you will understand, from the previous business model to the

new CRDMO model. Consequently, there are certain portfolio changes in products;

new product inquiries, new types of projects, and new customers are being incorporated in pharmaceuticals. We anticipate

that once this business model stabilises in approximately the next year, we will experience growth of 20% to 25%

year-on-year in the forthcoming period. This is the visibility we have in pharma for

the next two to three years .

Similarly, in the acquired business of biologicals, we currently have a reasonably

sized biological business in our domestic markets. Furthermore, the business we

have acquired is currently at a low base, but we expect to build upon it in the markets

where the business operates, based on the registrations we have obtained. This growth is certainly projected to be significant

. We are already anticipating more than

25-30% growth next year, and from there, we will solidly develop that business.

Overall, while both these businesses currently operate on a small scale, we are

anticipating aggressive growth in the next two to three years as we build upon them there.

Mayank Singhal: So, if I may answer and add a little bit to this, PI is always looking to create a differentiated business model in this place. These do take investments, time and strategies to be shaped. So, typically these businesses have a long term J-curve approach, and that is where we see that's the PI way. And we have been able to do that whether it is in the ag business in the early 2000s, or whether it is the CSM manufacturing post 2008- 2010, where we have been building and stabilizing important themes as they shape into the next level. And that's the stage that these two initiatives are today. And I am pretty confident that with more experience of the past, these curves could be even sharper if not better.

Rohit Nagraj: Sure. Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Vivek Rajamani from Morgan Stanley.

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Classification | PI Confidential Vivek Rajamani: Thank you for the presentation. One clarification and one question from my end.

Firstly, with respect to these new products which have grown 40% on a year-on-year basis, would it be fair to say that they make up about 20% of the exports portfolio like you have mentioned in the past? Or has that number changed materially this quarter?

Rajnish Sar na: Yes, it is broadly in the similar range.

Vivek Rajamani: Sure. So, still about 20 -odd-percent of the exports portfolio?

Rajnish Sarna: Yes.

Vivek Rajamani: Got it. The second question, was on margins. If you look at the EBITDA margins that you have reported, on a consol basis, we have seen them improve pretty strongly.

We have gone from about 22% to 24%, to about 26% last year. And for the nine - months, we are obviously close to about 28%. So, congratulations on that.

I just wanted to better understand, this margin uplift which clearly looks to be structural, is this a function of your new products still operating at a significantly better margin profile? Or is there something that you have gotten on your cost side that's driving this very sustainable increase? I know you have mentioned in the past that the margin profile is a function of the product mix which can change every quarter, but just some color on the gains that we have made and the outlook going forward will be super helpful. Thank you.

Mayank Singhal: Yes. We would say si

mply, you have got the last statement right, which is exactly the product mix. And there's multiple moving parts and different -to-different quarters it

can move around income. And so I think the guidance that we give, we keep that, yes.

Vivek Rajamani: Sure, sir. I will then rejoin the queue. Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: So first on the diamide that we are targeting to launch, can you give us some color that in terms of field trials where are we today? When do we plan to launch this product? And given that we are looking to launch it in India, can our India business materially double from here in the next two, three years?

Mayank Singhal: Well, innovation comes in a very different challenging space, but giving specific answer, we are pretty confident and happy with what we see as a product. One, with our experience of what we know in the field, and we see the potential of that in India and globally.

Today, where we stand, we are in the Phase 3 of trials. We believe, in a year or so, we should be looking to get to look at the regulatory framework, and maybe a couple of years down the road we should be in the market. And I think once you see what the product does and performs, that gives the confidence to take it to the next phase, typically for any new launch, any new AI that we have done, historically.

And I am sure we have this strong capability of a few decades of taking new innovations to the market and scaling them to create an impact. It's an experience which we are very confident will be more embedded, at least in the geographies that we operate. And for other geography, we should look at partnership approaches.

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Classification | PI Confidential Siddharth Gadekar: Okay. Secondly, in terms of the impact on the market because of the Plant Health

Care acquisition, can you just quantify that number?

Rajnish Sarna: On the Plant Health Care, it's a small business at this point in time, so the numbers will not materially change.

Siddharth Gadekar: Okay. Thank you.

Mayank Singhal: As we mentioned, to be very clear, this is a technology platform which is very promising to us. We see some very interesting data and facts, globally. And based on that, we are in the process of, again, knowing the business as you know. In the regulatory framework it does take time and to get them into the market and development. So, we will be investing aggressively in that timeframe globally for the next couple of years, if not more, to really take this product at scale to the platform, and the products which are there, and use the platforms to create new technologies and new products.

Siddharth Gadekar: Yes. Thank you.

Moderator: Thank you. The next question comes from line of S. Ramesh from Nirmal Bang. Please go ahead.

S. Ramesh: Thank you, and good evening. So, when you talk about this 20% to 25% growth in pharmaceuticals, CDMO in the next two to three years, what are the kind of revenues you need to breakeven at EBITDA? And what is the timeline to achieve, say, a critical mass of maybe in the range of Rs. 500 crore to Rs. 750 crore, when do you see that materialized?

Mayank Singhal: I would give it a couple of years or more. As the pharma development space is a unique space that we want to operate have a longer gestation period, so some of this could become very quick and could multiply, and because we are looking at a differentiated model here. But I would say, I would give it a quick two year run before we get to those spaces.

S. Ramesh: Okay. Under biologicals, is it possible to share what is the current share of biologicals in your domestic portfolio, and what is the kind of overall market potential you see in India and exports?

Mayank Singhal: Well, biologicals, I believe that if I were to examine the India

n market, we are quite

well-poised. We are among the top three players, and our approach is aggressive, with at least 15% of our revenue portfolio derived from biologicals. With this growth trajectory, we certainly aspire to make a significant impact and become one of the largest players in biologicals within the country. Furthermore, some of these

technologies could potentially crossover to other geographies, while the technology we acquired could also have an entry into the Indian market.

So, our strategy to become a dominant player in this space is on track, and we have a very good execution capability, as demonstrated by the fact over the last two to three years with the growth rate in the challenging domestic market, yet we continue to show that with more than over 20- plus-percent of growth. So, giving us the confidence that we have got a machinery that knows how to work, and we are now going to look at putting more portfolios and products and delivering that.

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Classification | PI Confidential Rajnish Sarna: If I may, it is important, gentlemen, to note that the biologicals segment is growing at

a much faster pace than chemicals on a global scale. From the current estimated \$10 to \$11 billion, it is expected to reach around \$20 billion in the next three to four years. Therefore, we believe we are well-positioned, both in India and with the recent acquisition of this technology platform. Furthermore, there are also three or four products that are registered in the most developed markets worldwide. We believe we will be significantly part of the growth journey we anticipate in the biologicals sector globally.

S. Ramesh: Okay. So, if I may squeeze in one last question. In your slide you mentioned that you expect a recovery in the second half of this calendar year in the custom synthesis exports. So, in terms of the basic agro-chem cycle, do you think that it will synchronize with the potential recovery in the distribution of Agrochemicals? Or will it happen with a lag? And once you see this recovery in the second half, do you see the volume growth revive in the traditional CSM exports in Agrochemicals?

Mayank Singhal: Yes, sure. I mean, if you look at the market recovery, for sure, the benefits of that would pan out for everybody, and we should be also well-poised to do that. And it is expected, we are looking at the global situation as you must have understood that, yes, India's season has not gone well for a year. We have looked at also the challenges, and globally one of the biggest market is Brazil, there have been a lot of challenges. But it is expected next half of this year things will pick up, and I think the industry overall will start tuning up.

S. Ramesh: Thank you very much and wish you all the best.

Moderator: Thank you. The next question comes from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Thank you for taking my question. So, firstly on agri-CSM business, how does your order book look like in CY25? As in, would that be able to give you a double-digit growth in, let's say, CY25 or FY26?

Rajnish Sarna: The growth of the business does not stem solely from the order book; there are both annual PO and long- term businesses to consider. Our long- term agreements provide some visibility, but annual POs also contribute to yearly growth. As Mayank explained to the earlier participants, the business and the global industry are in a transitory phase. Numerous trade wars, tariffs, and other challenges are currently confronting the industry. Therefore, we might gain more clarity regarding overall growth for FY26 or FY27 in the next one or two quarters. However, for now, we are reasonably maintaining and sustaining the volumes at which we are operating today .

Krishan Parwani: Noted sir. Fair point. Secondly, has there been any progress on our own AI, Pyroxene, Helipro, I mean, where are we

in that? Has the registration started out?

Which stage are we at?

Rajnish Sarna: As we outlined in our presentation and the opening commentary, there are certain leads making significant progress in the development phase. One of these leads is even more advanced, and we are also focusing on the registration process, particularly for India and a few other countries, which is also progressing very well.

Perhaps, Mayank, you would like to add anything further?

Mayank Singhal: No. So, as I mentioned earlier, that is the stage, as you rightly mentioned, we are at that stage and we are pretty confident how this looks. So, this would be really where I want to create a mark in what PI has been able to do globally in the innovation space.

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Classification | PI Confidential Krishan Parwani: Got it. And just two small clarifications from my side, on pharma you have incurred

close to Rs. 100 crore CAPEX in nine- months FY25. So, when do you expect that to start contributing to the top- line or margins if that was for the backward integration or for some other CAPEX ?

Mayank Singhal: No, so let me answer this to you. We are not in the business of backward or forward integration here, to be very straight. We are in the business of creating offerings and capabilities in the various facets of the value chain from discovery to markets, from a strong science in technological capabilities. For each of these, we are making investments both in hardware and software, software typically being human capital and skills, hardware being assets. And the other critical part of this integrated piece is a regulatory framework which has a gestation period to deliver a value created offering to the customer, and those investments are being made. And that will take a couple of years to shape up to meet the requirements from a regulatory standpoint to deliver value to the customer.

Krishan Parwani: Got it. And the last bit was on the plant healthcare, I do not know whether you mentioned earlier, but how much was the contribution to the top line this quarter and to the margins, if you can share?

Sanjay Agarwal: As we mentioned, this is more of a development platform for us. And for now the revenues are not any significant at the top level.

Krishan Parwani: Got it, sir. Thank you for patiently answering my questions, sir. Wish you all the best.

Rajnish Sarna: Thank you.

Moderator: Thank you. The next question comes from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Good afternoon and thank you very much. My first question is with regards to the depreciation and amortization expense which seems to have increased quite significantly quarter -on-quarter. If you could please just help us understand the reasons for that? And whether this is a good run rate to trend off of going forward.

Sanjay Agarwal: So, yes, the incremental depreciation charge is primarily because of the amortization of the intangible which has been added during this particular quarter on account of the PHC for the biologicals business which we have acquired. So, it will be fair for you to take this run rate going forward.

Abhijit Akella: Thank you. The second question is just with regards to, I guess, number one, if it's possible to share the order book number as it stands at this point in time. And just to clarify whether the revenue growth guidance, which has been mentioned as single digits in the presentation, last quarter it was high single digits, so should we interpret that, that has been reduced a little bit or how should we interpret that?

Rajnish Sarna: We are maintaining the growth guidance we indicated last quarter. This is due to the ongoing Rabi season and the overall export scenario we explained earlier. Whether it will be in the mid or high teens, we will figure out in the current quarter. Regarding your second question about the order book, it remains

approximately at the same

level, around USD 1.4 billion. That addresses your two questions.

Abhijit Akella: Thank you. Just to clarify, you meant mid- single- digits or high- single -digits, right?

Just now you mentioned mid- teens or high- teens, so I just wanted to clarify.

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Classification | PI Confidential Maya nk Singhal: 5.1 inches or 5.12 inches, that's the single- digit gain.

Rajnish Sarna: You are right, Abhijit.

Abhijit Akella: Okay, okay. Thank you. Just one last thing from my side. On the pharma business, last time we had mentioned that we see full year re venues in the range of Rs. 250 crore to Rs. 275 crore . I think we have done something like Rs. 130 crore in the first nine-months, so how does that target sort of look at this point in time?

Rajnish Sarna: Yes, we are targeting the same numbers that we indicated last time.

Mayank Singhal: Around the same range.

Abhijit Akella: Got it. just one really last thing from my side if I may, just on the pharma business, any sense you could provide with in terms of new customer additions, number of new customers or some metrics around that would be great. Thank you so much.

Mayank Singhal: I think Ramesh you can comment on that.

R. Subramanian: Yes. So, we continue to gain traction. From a new customer addition perspective, in

Q3 we have had between 5 to 10 new customers, I will just leave it there, but the quality of the customers has been excellent. But we are also focusing on the quality of the products, right, there are certain products that would give a good long term sustainable revenue, that is where the focus has been. So, we hope that those products continue to go through that clinical pipeline and lead to good results for the investors.

Moderator: We move on to our next question, which is from the line of Bhaskar Chakraborty from Jefferies. Please go ahead.

Bhaskar Chakraborty: Thank you very much. Could you give us some color on the CDMO order secured with the new program that you have mentioned in the presentation, how long the duration that is and would that drive growth in FY26?

R. Subramanian: Yes. I can. So, this is for a new development project, it's actually a life sciences application, it's an interesting and exciting program for us. It's a commercial product, the product is now being tested. So, if it works out, it certainly has, since it's already a commercial application, it has a good long term potential. What we are waiting for is to see the success of the application, which we would know in the next six months or so.

Mayank Singhal: And the one- line disclaimer I put rather than going in to the details of the project, which is the nature of the business and confidentiality and the stage gates of various approvals, the risk factors you know better.

R. Subramanian: That's right.

Mayank Singhal: So, that we would say, yes. But what is exciting is that we have three interesting projects and they are looking at a near mature- gate approach, yes.

Bhaskar Chakraborty: So, is this like a pilot right now that can convert into a long term order in the next six months?

R. Subramanian: Yes. This is an end application that we have supplied the material in for, and the market is being tested with that application. It's a life sciences application.

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Classification | PI Confidential Bhaskar Chakraborty: Okay. Thank you very much.

Moderator: Thank you. The next question comes from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: One question on next year's guidance. Obviously, we will not be giving it right now. But we have said in the CSM part that demand will start improving in the second half of CY25. So, is it safe to assume that FY26 also would be in transition? And given that the legacy business is still having some kind of volatility, is that the right way to look at it?

Rajnish Sarna: Well, I would s

urely suggest that we should wait for another quarter, and probably post the fourth quarter we will be in a better position to give a very clear visibility of next year . as we explained earlier, there are many moving parts at the moment, including the global situation, the tariff situation, and the industry inventory scenario, among others. However, we believe that in the next three to four months, we will have better visibility and understanding.

Rohit Nagraj: Sure. Second question again on the pharma CDMO front. So, in terms of customer profile, are these the large innovators we are working with or the mid and small -sized innovators? And usually from an approval perspective, does it take relatively longer or lesser time as compared to maybe working with the large innovators? Thank you.

Mayank Singhal: So, the way I would put that answer, there is a strategy which we have which is probably not only customer -centric , but also technology, platform and application.

So, it's a combination of that, so I would not talk about large or small and our offerings for what value-added services to which customer we could play an influential role.

And that's really where I would leave that because customer strategy is dependent on how best we are fitted to. And some may fit in the mid, and some may fit in the small, and some may fit in the start-up area.

Rohit Nagraj: Sure. That's helpful. Thanks a lot and all the best.

Moderator: Thank you. The next question comes from the line of Tejas Pradhan from Citi. Please go ahead.

Tejas Pradhan: Yes. Thanks for the opportunity. On the non-AgChem side of the portfolio in say electronic chemicals which you have mentioned, while you have mentioned about the inquiries, is there any material contribution to revenues from that side so far? Any color you can provide on your plans?

Rajnish Sarna : We have actually already commercialised three or four projects over the last two years. So, this is not merely an enquiry or R&D level kind of development we are discussing here in electronic chemicals. We are already collaborating with some of these global players in Japan and Europe in this space. This year, we have also commercialised a few projects. Additionally, there is a very healthy pipeline in R&D where we are evaluating and scaling up those projects. Perhaps, Atul, you might want to add something?

Atul Gupta: Yes. So, the electronic chemicals business is doing very well. This year, so far we have commercialized two molecules, and in the next quarter there are another two molecules in pipeline which we intend to commercialize. And out of the total enquiries, we have achieved more than 50% enquiries are from electronic chemicals. So, there is a good traction for the future as well what we see going forward in the electronic chemicals segment.

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Classification | PI Confidential Tejas Pradhan: Okay. Sure.

Rajnish Sarna: The advantage here is that, in addition to having access to the global players with whom we have been conducting business for the last few years, there is also a significant opportunity emerging in India over the next couple of years as semiconductor projects commence in the country. Therefore, I can confidently say that we are very well positioned in this segment of specialty chemicals.

Tejas Pradhan: Sure. And just to sort of add more, like what could be the percentage contribution ballpark currently? And maybe three, four years down the line how much could this increase to?

Rajnish Sarna: Well, it would be a difficult question to answer right now because, as Atul mentioned, there are already three or four projects that have been commercialised, and several of them are at the scale-up stage. So, perhaps in the next year, we will have a much clearer picture regarding the percentage or the kind of value it can add to the growing CSM business PI.

Tejas Pradhan: Sure, thanks. Thanks a

lot.

Moderator: Thank you. The next question comes from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V: Yes, thank you. First question is on the AgChem space, so based on your interaction, generally from the industry, the inventory and pricing trends, so is it still in a bit of a decline mode or the decline has now stopped and then things are kind of stabilized?

How are you seeing it for the industry, both pricing and inventory?

Rajnish Sarna: Well, I would describe it as a mixed scenario. We are engaging with nearly all the major innovators in this industry. It is indeed a mixed situation, particularly with respect to specific products. In certain markets, there has been improvement. Inventory levels have returned to normal, and the general demand situation is also positive. So, to sum up, those regions are more recovered than others.

On the other hand, certain products are still facing an inventory destocking situation. However, this mainly applies to the generic category of products. Thus, it is difficult to generalise the overall industry situation at this moment. However, most of these companies feel that industry will be in a better position in the next two quarters.

Somaiah V: Got it, sir. The second question is on the CAPEX for the AgChem business, so how are we seeing it for the next one year? What is our CAPEX plan? And also, any MPPs that we will be bringing on?

Atul Gupta : Yes. So, if I may answer that the CAPEX which we had given the forecast, in the coming year we are going to build two new multiproduct plants to meet the future requirement and the visibility for the business what we have. So, that's one major CAPEX investment which is going to happen.

Somaiah V.: Any CAPEX number that you can give as a guidance for the next year?

Sanjay Agarwal: We have already indicated.

Rajnish Sarna: I said it would be between Rs. 800 to 1,000 crore.

Somaiah V.: Got it, sir. Thank you.

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Classification | PI Confidential Moderator: Thank you. The next question comes from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Yes. The couple of acquisitions that we have made, what is our assessment, have they lived up to our expectations, fallen behind, or what is the assessment?

Mayank Singhal: As I would answer, Bharat bhai, I think they are completely in line to what we thought we wanted to do with them. But the business model improvisation, as you know PI, well, takes time. These are very small entry points into these businesses, and we have not been silly about our capital allocation, either from multiples perspective, but we have got into certain areas by, one, by taking some regulatory timelines to enhance our growth plans and investing in these to really differentiate these models. I would say that the size of the investment, the technology, and the capabilities we desire are indeed differentiated. We are currently enhancing these capabilities, and I firmly believe we will witness positive outcomes in the next two to three years, during which the graph will begin to show signs of upward movement. From our internal perspective, we are excited about these developments and foresee a promising future for them.

Bharat Shah: But, Mayank, are we saying it will take two to three more years before we see meaningful results, is it?

Mayank Singhal: Yes, of course. I mean, it's clear that things change, as you can see. However, today, if you look at the PI technology platform and want to scale these products, there's a regulatory framework in place; it's a developing framework, and it takes time. It's akin to any new molecule, if you will. It serves as a platform, and then there's the investment in R&D to create a pipeline. You consider the PIHS and CRDMO, engaging with customers, building capabilities, and the early-stage development; getting through your approval cycle

le numbers takes time.

These are the long gestation businesses, and also, as you move into them and you create your own uniqueness and capabilities, you build your moat. And let me remind for those, I mean, you know very well that it took about 10-12 years of hard work before CSM started showing colors. But that's not what we are expecting here. This is much faster, and therefore we went in the entry from the acquisition point by those timelines, yes.

Bharat Shah: Sure.

Rajnish Sarna: I just wanted to add, Bharat Bhai, that when we are saying two, three years, it is more from the point of view of them making any meaningful contribution to overall PI, which is a \$1 billion-plus kind of business today, okay? Because of the scale of these acquisition investments and current revenues were small, we are saying that it will take maybe a few more years to contribute meaningfully.

It is also important, Bharat bhai, to highlight here that if one examines PI's progression over not merely a few quarters or years, but the last 20 years, we have managed to scale up, build the business, and achieve a growth rate of over 20% to 25% CAGR across two decades by establishing new businesses and verticals. All this was accomplished primarily through our focus on agrochemicals.

And now, for the next two decades, to sustain that momentum, we have established these growth engines with relatively smaller investments. Therefore, they are currently operating both of these initiatives, in pharma as well as biologicals, on a relatively smaller scale. However, the growth opportunities available are significant;

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Classification | PI Confidential in pharma, we may be pursuing another USD 100 billion worth of addressable market, and similarly in biologicals, which will offer more than USD 25 billion in addressable market that we will be targeting. We firmly believe that by adding these two or three verticals, we will be in a much stronger position to sustain the growth story we have delivered over the past two decades.

Mayank Singhal: And if I may add here that given that we have entered this in over the next two years, we have strong balance sheets to scale up and accelerate by value-addition in these places, as the foundations are laid by them.

Bharat Shah: On that, there is absolutely no doubt. We have patiently nurtured capabilities and strength in the business to develop and grow the business in a significant way for a long period of time. Bit by bit each product we have nurtured and brought it to the shape and size where the business tends to be. I was only speaking from the perspective whether the acquisitions made with our strategy is really the capital allocation objectives, or you have any, I mean, supposing these opportunities were to come all over again today, what would you do different than what you did when you acquired it?

Mayank Singhal: Sorry, what would I do different than when we acquired?

Bharat Shah: Supposing the same thing were to be acquired today, if the offer was on the table

today instead of when we acquired them, what would we do differently about the same offer if it were to be on the table?

Mayank Singhal: The PHC, the offer is relatively recent, it's not too long, so I think I would still go for it and bite that bullet without a question. The offer that we have on the pharma, I think we would have still said yes, it's a good bite. And we still bite that bullet because what we are building we are very excited about. And what we have been able to build on the softer aspects whether it's in talent, global offering capabilities, customer mindsets and also certainly intrinsic parts of the assets that we have been shaping

up to deliver the value, it's something completely different. And these take time, both; one, not only to build and deliver, I can show you the best car but eventually to make the car win you need to train the driver. And t

hat's also where we are, we have got the car and the driver, now we need the crowd, which takes a bit of while after even a few races then only the crowd follows you. So, that's really where we are today in the step.

Bharat Shah: Sure, appreciate. And one last bit, I could join only a little later so I might have possibly missed this, but did you offer any view about the upcoming year 2025- 2026 in terms of likely growth at the overall business and the parts will witness?

Rajnish Sarna: Yes, Bharat bhai, we responded to these questions that we will wait for another three, four months to be able to give a very clear guideline on that.

Bharat Shah: Okay. So, that will come after the March quarter results?

Rajnish Sarna: Yes.

Bharat Shah: That's because there is currently haziness or there things that you need to get your hands around before you want to put out that?

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Classification | PI Confidential Rajnish Sarna : Well, this is not so much about us specifically but we are observing haziness today

almost everywhere following the recent regime change in the big country. I would say that most of the large customers are expecting things to settle down in the next few months. Therefore, we will perhaps have better visibility over next one quarter than speculate at this juncture.

Bharat Shah: Thank you. And all the very best. Mayank, Sarna sahab, all the best.

Mayank Singhal: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.

Mayank Singhal : Yes. Thank you, everybody, for your kind support. And we very much look forward to your continued support. And all the best to our team to continue to put in great effort. Thank you.

Moderator: Thank you. On behalf of PI Industries, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: May 2025

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PI External

PIIL:SEC:NSE/BSE: 12:2025-26

May 26, 2025

BSE Limited

Corporate Relationship Department

PJ Towers, 25th Floor, Dalal Street,

Mumbai – 400 001

Code No. 523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G-Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051

Code No. PIIND

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference call pertaining to the Audited Financial Results for the quarter and financial year ended March 31, 2025

Pursuant to the provisions of Regulations 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of Earnings Conference call held on Tuesday, May 20, 2025 at 3:00 PM (IST), to discuss the Audited Financial Results (standalone and consolidated) of the Company for the quarter and financial year ended March 31, 2025.

Further, please note that the said transcript is also made available on the Company's website at <https://www.piindustries.com/investor-relations/co-go/Concal-Transcript>.

This is for your information and record please.

Thanking you,

Yours faithfully,

For PI Industries Limited

Shruti Joshi

Company Secretary and Compliance Officer

Encl: As above

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PI Industries Limited

Q4 & FY25 Earnings Conference Call Transcript

May 20, 2025

Moderator: Ladies and gentlemen, good day, and welcome to PI Industries Limited's Q4 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you and over to you, Mr. Solanki.

Nishid Solanki: Thank you. Good afternoon, everyone. And thank you for joining us on PI Industries' Q4 FY25 earnings conference call.

Today, we are joined by senior members of the Management Team, including :

- Mr. Mayank Singhal , Executive Vice Chairman and Managing Director
- Mr. Rajnish Sarna , Joint Managing Director
- Mr. Sanjay Agarwal, Group Chief Financial Officer
- Dr. Atul Gupta , CEO, Exports
- Mr. Prashant Hegde , CEO, Domestic Brands and
- Dr. Ramesh Subramanian , Global CEO, PI Health Sciences

We will begin the call with key perspectives from Mr. Singhal. Following that, Mr.

Agarwal will share his views on the financial performance. Thereafter, the forum will be open for question-and-answer session.

Before we begin, I would like to underline that certain statements that may be made

on today's conference call may be forward-looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you earlier and also available on stock exchange websites.

I would now like to request Mr. Singhal to share his perspectives. Thank you and over to you, sir.

Mayank Singhal: Yes, thanks and good afternoon. Thank you everyone and good afternoon to all present. I aim to discuss our operating environment and provide updates on our

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strategic initiatives to enhance our global position as a leader in technology, research, and manufacturing in the life science arena.

Let me start by providing a brief perspective on the industry scenario.

While the overall global crop protection market continued to expand, challenges emerged in the form of extreme climate change events, commodity price volatility, tighter regulations, softer farmer sentiment, and pricing pressure, which weighed on the pace of growth. The industry is steadily pivoting toward more sustainable practices, with growing investment and innovation in biologicals, precision agriculture, and digital farming tools. In recent months, trade flows have been impacted by tariff wars. However, the mid-to long-term outlook remains positive, driven by a rising need for higher agricultural productivity, greater resilience against climate-related threats, and a faster shift toward sustainable inputs.

Domestically, signs of volume growth have been observed, driven by early Kharif sowing activities and a favourable monsoon indication. The adoption of biologicals gained further momentum, aligning with broader sustainability trends. Nevertheless, price realizations remained under pressure due to global oversupply, increased generic competition, and declining raw material costs. The sector's growth trajectory will increasingly be influenced by innovation in differentiated solutions and a shift towards sustainable crop protection practices, and supportive policy measures. Amid this business environment, outsourcing remains a strategic imperative for multinational companies. In the agrochemical industry, cost efficiencies, supply chain diversification, and the need for stronger regulatory compliance are driving innovators to outsource manufacturing to India.

In the pharmaceutical industry, outsourcing is increasingly aligned with high-value, complex segments driven by the need for regulatory and scalability.

Both sectors are shifting towards deeper, long-term partnerships as companies prioritise resilience, operational efficiency, and with focus on technology and innovation.

We are targeting growth opportunity in agrochemical CSM, with an expanded addressable market size of \$15 billion to \$20 billion in innovative products.

In parallel, we are actively positioning ourselves to capture value across the multi-billion-dollar markets of pharmaceuticals, CRDMO, electronic chemicals and biologicals.

This is well in line with our transformation from an agricultural sciences company to a life sciences company.

Once again, PI Team has yet again delivered commendable performance in the Q4 and FY25 as a whole given the environment. Our Standalone performance for FY25 features ~6% growth in revenue, 17% growth in EBITDA, broadly in line with our guidelines. The consolidated financials were marginally lower due to developmental spends in the new businesses.

During FY25, our Agchem exports have continued to show improvement with ~5% growth YoY, which is in line with our plans. This growth is mainly driven by new products commercialized over the last few years with ~31% growth which we've been able to achieve YoY in this area. Over the past 3 years alone we have commercialised over 15 molecules. Our pipeline remains robust, with approximately 50% of new enquiries being non-agricultural chemical molecules.

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Moving on to the domestic operations, in Q4, our strong domestic brands led the growth with ~21% YoY growth. Our steadfast focus on product mix and crop solutions approach has yielded the desired results. Our biologicals range showed a strong 20% growth over the prior year, which has already been at a very high growth rate over the last 3 years. Domestically, we introduced 7 new brands in this year. Further, we have a pipeline of over 20 products at various stages of development to be introduced over the

next years.

So, while our core business mix assures us of sustained traction for the coming years, the development of new verticals will contribute to future performance as we

are transforming from a pure agrochem leader to a life sciences powerhouse and aiming to be a global technology platform leader in the biologicals space and also becoming a differentiated CRDMO player in Pharma.

While we continue to build a fully integrated Pharma CRDMO platform to provide world-class solutions, with the combination of high-quality assets across R&D, Kilo/Pilot and commercial-scale manufacturing and now with an excellent leadership team, we are looking at an accelerated pathway to look for growth. During the year, we have upgraded and added to our asset base across geographies in alignment to our strategy to meet our customer requirements.

Moving on to Biologicals, this category of offerings has added experience at the fastest growth rate in the recent times, outperforming the industry. Our acquisition of Plant Health Care having specialization in Peptides marks a significant step with an intent to becoming a platform technology-based biologicals product solutions and biologicals company to serve the global markets. This is very much in line with our purpose of building a healthier planet.

We are also making good progress on our proprietary offerings. We, as PI, our 1st NCE from India which is currently in midst of Phase 3 trials. We are evaluating partnerships across the world and developing regulatory data. Additionally, our R&D programs are giving us some positive progress in leads to build a pipeline with exciting outcomes.

These initiatives are perfectly aligned to strengthen our position as a leading technology leader and manufacturing powerhouse and bring new opportunities in partnership model across globe.

We remained the leader within the chemical industry in ESG. Having achieved the claims, we are proud to have retained our listing in the prestigious S&P Global Sustainability Yearbook for the second time in 2025, which speaks volume of our ESG journey. While global industry navigates, trajectory headwinds and general business dynamics remain uncertain, we maintain our growth outlook, expecting the broader sentiments to improve in the second half of the year.

We are confident in the long-term prospects of growth outlooks, our investments in new capabilities, capacities across the business lines at a global level remain on track, setting the stage to deliver a vision. With this, thank you to all of you for joining the call.

I would now like to hand over the discussion to our Group CFO, Sanjay. Thank you very much and over to you Sanjay. Thank you.

Sanjay Agarwal: Thank you, Mr. Singhal. Good afternoon, everyone on the call today. I will summarise the Company's financial highlights for the fourth quarter ended 31st March, 2025.

Please note that all comparisons are on a YoY basis and refer to consolidated performance.

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To share the performance highlights, during Q4 FY25, we reported revenue of Rs. 17,871 million, a growth of 3% over the same period of last year (on a 3-year CAGR basis the growth is 9%). While there is a decline in Agrochem Exports, the Volume is up by 7% and new products growth is 23% YoY due to the scale up of products commercialized over the last 3 years.

Our domestic branded revenue grew by 21% YoY supported by a strong rabi season, marked by increased acreages in wheat, rice and pulses. The pharma business also had a strong sequential revenue growth of 33% to Rs 850 million in Q4 FY25.

In spite of development expenses of Pharma and PHC, our consolidated EBITDA grew by 3% and remained at healthy 25.6% due to good product mix and tight overheads management.

Let me also cover the performance for the full year FY25.

Revenue was Rs. 79,778 million, a growth of 4% over the same period of last year

(3-year CAGR of 15%). New launches and biologicals remained key feature of FY25. Agrochem Export revenue grew by 5%, new products growth is 31% YoY and Domestic branded revenue grew by ~6% (Volume up ~9%). So, momentum for launches of new innovative products has continued with 7 new products launched during this year with a crop solution approach and similarly biological business on a yearly basis grew by 20%.

On a consolidated basis, the EBITDA grew by 8% for the full year to 27.4%. On a standalone basis, EBITDA grew by 17% and Pat grew by 8%.

On a consolidated basis, the profit is marginally down by 1% at Rs. 16,602 million, impacted slightly due to a higher ETR at 22.5% v/s 11.2 in the last year. We expect ETR to be in the range of 22% - 23% for the next 2-3 years.

The Trade working capital in terms of Days of Sales has increased to 73 days while

better inventory management has led to reduction in inventory day from 62 days to 45 days.

Our balance sheet further strengthened during the year. Our Networth increased to Rs. 101,570 million and healthy net cash balance of Rs. 40,926 million.

In summary, our healthy financial performance, leading to stable cash flows provide us the flexibility to continue with the growth plans. And our CAPEX spends allocating additional capital towards our future growth engines in PIHS, our pharma business, and PHC, our global biological franchise. This gives us confidence to have a focused growth.

With this, friends, I will conclude my opening remarks. I will now request the moderator to open the forum for Q&A. Thank you .

Moderator : Thank you. We will now begin the question -and-answer session. The first question comes from the line of Rohit Nagaraj with B&K Securities. Please go ahead.

Rohit Nagaraj: Thanks for the opportunity and glad to hear that the NCE has moved to Phase -3.

Just one question on the NCE PIOXANILIPROLE in terms of what is the time to commercialize that we are looking at and how much have we already invested in terms of R&D and how much incremental R&D investments are likely to undergo for this NCE ? Thank you.

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Rajnish Sarna : Maybe I will take that. So as we explained, we are right now in the process of regulatory data development, evaluation, and also application preparation. We expect to commercialize in the very first country in the next couple of years. As regards to the second part of your question about the investment, etc., this is not in front of us. And also it is very confidential data. So I hope this information helps you.

Rohit Nagaraj: Thanks. The second question in terms of what is the composition of the new high growth molecules in Ag-Chem CSM by the end of FY25 ? And similarly, a composition of biologicals in our domestic branded business at the end of FY25 . Thank you.

Sanjay Agarwal: When we are talking about new product launches and their contribution to our Ag-Chem export business is around 15 % to 18 %. And similarly, the biologicals business to our Ag-Chem brands business accounts for around 18 % to 20 %.

Moderator: Thank you. The next question comes from the line of Vivek Rajamani with Morgan Stanley. Please go ahead.

Vivek Rajamani: Hi, sir. Thank you so much for the presentation. Just continuing with the question on the new products in your portfolio. For FY25, they have grown at about 30% plus.

How should we be thinking about the growth of these new molecules in FY26 or even FY27? And sir related question, these new molecules grew about +40% into 2Q and 3Q and about +20% odd in the remaining two quarters. So any thoughts with respect to if there is the functionality element here would also be super helpful. Thank you.

Sanjay Agarwal : Yes, for the next Financial Year also , we can have a similar new product pipeline of molecules getting commercialized, 15 products got commercialized in the last 3 years and will continue

with the same momentum of new products adding to the topline growth and giving us stable margins on that.

Vivek Rajamani : Sure sir, that is helpful. And anything with respect to seasonality or it would just be equally spaced .

Mayank Singhal : Well, this is a seasonal industry and as you will see over the years, quarter to quarter variation always happens. It depends on demand, supply, market situation, positioning. So yes, that will continue to happen. That's the DNA of this business.

Vivek Rajamani : Sure, sir. And just a clarification, if you are going to continue the same momentum on these new molecules, would it be fair to say that the 15 % to 18 % of contribution that we have as of this year, that number could probably be maybe north of 20 %-25% by the end of next year? Would that be a fair assumption?

Mayank Singhal : Well, I would not put it as a mathematical computation, but yes, because there's a variation volume wise and multiple things come together. But our objective is to continue to increase this portfolio because some products come in and some drop out. That's way it works.

Moderator : Thank you. Next question comes from the line of Abhijit Akella with Kotak Securities. Please go ahead.

Abhijit Akella : Yes, thank you so much and good afternoon. The gross margins this quarter seem to be really strong, almost at record levels, despite the fact that there has been some price cuts in the CSM business as we alluded to in the presentation. So just sort of wondering what's behind the really strong gross margins. And with regard to the EBITDA margin outlook for FY26, what's the range we should work with ? I mean, this quarter we reported 26%, but the full year was 27 %. So what's the right number to work with for next year?

Mayank Singhal : So if you were to look at it, again, quarter -to-quarter would not be the right way to

look at numbers. But yes, the margins vary based on product mix. As we indicated
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earlier, we continue to keep those guidelines around 25% as our EBITDA margins on a long-term sustainable basis. As we have indicated clearly, product mix, strong growth in domestic business and continuing to look at the margin improving going forward as indicated

Abhijit Akella: Okay, thank you. And the other thing was just on the couple of data points, if I may, for Mr. Agarwal. One was what was the pharma EBITDA loss for FY25? We've given the PBT loss, but it will be possible to just share the number at the EBITDA level.

And the presentation states that there's this target of aspirational target of increasing the biological revenues 5x in 5 years. So where those revenues stand at present and therefore, where do they go in the next 5 years? Thank you so much.

Sanjay Agarwal : EBITDA loss for the full year for pharma business has been in the range of around Rs. 180 - Rs. 190 crore .

Abhijit Akella: The biological revenues, what is the amount right now at present?

Sanjay Agarwal : We spoke about it, that the biological India business contributes around 18 % - 20% of our India agri-brand s business.

Abhijit Akella: Yes. But the presentation says we want to increase it 5x in the next 5 years.

Mayank Singhal: Yes, so it is clearly what we are looking at, you asked two questions, I think the biologicals. One is what is that you are looking at, it's already stated as 5X. Clearly, today we are at something around Rs. 250 crore right now. This would probably move up to 5x, it will be Rs. 1,000 to Rs. 1,200 crore in the next 5 years.

Moderator: Thank you. Next question comes from the line of Ankur Periwal with Axis Capital. Please go ahead.

Ankur Periwal: Hi sir, thanks for the opportunity. First question on the margin outlook for us. Now as I understand pharma losses are expected to go down as we look to ramp up this business over the coming FY 26 or 2-3 years. At the same time the Ag-Chem business is going

to see more launch of new products, which presumably will be a better margin and still we are maintaining our overall guidance at the same level as FY25 . Is it that there is some bit of pricing pass through or maybe some pressure that we are seeing in the older products or if you can help your thoughts over there ?

Mayank Singhal : To be very honest, the investments and overheads which are being built up, so ratios are different , but on a global blended basis, we've indicated where we are looking in terms of margins. And that's what the company will continue to maintain.

Ankur Periwal: Okay, fair enough.

Mayank Singhal : At the same time, I think just to appreciate that the company is investing hugely to build a global footprint in biologicals and in pharma and cost of running global organizations from a different cost structure . So taking all those blends and building up to create the next place, to be in the Life science place , there are investments both in human capital and other areas.

Ankur Periwal: Sure sir. Secondly, on the pharma business, while we are targeting a much sharper sort of revenue growth going ahead, will we need an incremental FDA approved or maybe a bigger production facility for this business to ramp up? Or that is still some time away and probably nominal CAPEX will do here?

Mayank Singhal : Clearly , I think is a step by step approach. We have assets which have been upgraded with investments.. And as you see things turn their shape, we'll definitely be looking to scale up as we have ambitions to put a huge number in scale to go to this business.

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Ankur Periwal: Sure, sir. Just one last bit, a bookkeeping one. So in the balance sheet, we have contract assets of around Rs. 430 odd crore, which was around Rs. 150 - Rs. 160 crore last year. If you can just highlight what exactly is that for?

Sanjay Agarwal : Yes, so these are standard industry practice of having any contracts where the goods have not been delivered before the cutoff date. So these are specific contracts where the goods are produced for a particular customer, and which are subsequently been shipped out in the next subsequent months.

Ankur Periwal: Sure. Agarwalji, is this for pharma or for the Ag-Chem export bit?

Sanjay Agarwal: It will be in both the businesses.

Moderator: Thank you. Next question comes from the line of S. Ramesh with Nirmal Bang Equities. Please go ahead.

S. Ramesh: Thank you and good evening. In the pharma business, when you are looking at improvement in margins, is it possible to share what is the kind of improvement in gross margin you can expect from the 52% in FY25 ? And in terms of the run rate for the overheads at Rs. 306 crore in FY25 , do you see this stabilizing at these levels with marginal inflation rate increase, or would you see further increase in overheads?

Sanjay Agarwal: In this particular Financial Year we had unfortunately some one-offs which we had to take care of it. Going forward, what I can say at this point in time, the business is built with gross margins of around 60 %-65%. And with the scale up of the revenue, the operating leverage will start kicking in and we should have better profitability at the bottom-line too.

S. Ramesh: So can you share what is the one-off impact of the old inventory write-off, which has increased overheads?

Sanjay Agarwal: So it will be difficult for me to give you the exact numbers, but the current overheads have development spends, also as we spoke in the Q2, we had one particular customer where we had to take a doubtful debt provision and some other one-off costs, which impacted this year, which led to a higher overheads in this Financial Year, which we do not think would be there in the times to come.

S. Ramesh: Okay, so on the domestic business with the current run rate of around Rs. 1400 crore, what is the kind of potential you see

or when do you think you can say go to over Rs. 2000 crore because a lot of small peers are already at Rs. 1,700 - Rs. 2,000 crore and you have so many new products being launched. So what is the kind of direction you are seeing this business heading towards over the next 2-3 years?

Mayank Singhal: Domestic business is about Rs. 1,500 crore to Rs. 1,600 crore but it's pure brand business whereas when you are comparing to other smaller players, they also have technical and B2B business and exports. We are looking at a 15%-20% growth which is 2x of the industry average growth.

Moderator: Thank you. The next question comes from the line of Saurabh Jain with HSBC. Please go ahead.

Saurabh Jain: Thank you so much for the opportunity. If you can give some more insights into your guidance. When you say a single digit growth guidance, so that kind of implies a broad range from 1% to 9%. Is there a possibility you can give a sense on whether it's going to be a mid-single digit or high single digit kind of guidance? That's my first question.

Mayank Singhal: We are looking for mid single digit level growth this year given the industry headwinds and the uncertainties of the climatic situation. As we said, we would definitely see

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some positive trends coming in H2, but that's where we stand for now, and we will keep that outlook for the present.

Saurabh Jain: And when you say H2, do you mean by calendar year or it's going to be the Financial Year?

Mayank Singhal: Financial year.

Saurabh Jain: Okay, understood. Is it possible to also give a sense on how do you see the exports v/s domestic in terms of your guidance, both business scoring by single digit or I presume domestic would be higher?

Mayank Singhal: Yes, we would see a good growth in the domestic business. As you are very well aware, the global headwinds, that's the areas are still under challenges from the export front. But we believe that from H2, the export business would start picking up well with the launch of our new products and the growth in those areas.

Saurabh Jain: Okay, thank you. My second question is related to CAPEX. The Rs. 925 crore of CAPEX, this includes the amount that we paid for PHC acquisition, right?

Sanjay Agarwal: No, this is only the fixed asset addition. So there is a small minor amount which has been added to the consol level arising from the PHC acquisition, but primary relates to the CAPEX what we have done at PI and PIHS.

Saurabh Jain: Understood. And one final bit, on the acquisition side, can you give us a direction in terms of how much of the CAPEX you are directing towards your legacy Ag-Chem portfolio? Does it share a major part of the CAPEX or it has moderated? Any insights would be very useful?

Mayank Singhal: No, I am not very clear of the question, what do you mean by legacy Ag-Chem portfolio CAPEX?

Saurabh Jain: The key products in the portfolio which you export for the last few years which are some sort of headwinds now, most products are you committing more CAPEX incrementally or is slowing down. Any sense on that side, please?

Mayank Singhal: No, I think the company looks at CAPEX based on what are the requirements of the business, business plans or the commitment, partners outlook in the product and value efficiency drivers and typically the existing products and all the assets which need constant upgradation, improvements in all those areas. So that is mixed bag, and that is typically the CAPEX, but when we build the assets, we are both strategically investing for building our new offerings and our new product solutions.

Moderator: Thank you. Next question comes from the line of Madhav Marda with Fidelity. Please go ahead.

Madhav Marda : Hi, good afternoon. Thank you so much for your time. Sir, one question, I think we have NCE which you said has reached Phase -3 trials. Just wanted to understand that if y

ou will be launching our own branded product in the market, does that create like a longer -term conflict of interest with our existing model which has been a more contract manufacturing CSM model and we partner with?

Mayank Singhal: I am not certain how do you look at this as conflict of interest because we are, in any case, at PI doing branded sales , contract manufacturing, innovation. The unique point of our capability at the global level is partnerships across the value chain. Actually, this gives us the total sum of the business partners strengthening our relationships from being innovator to the market as a co -creator to develop this business, so I don't really see that as a challenge.

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Madhav Marda : I just asked because our branded business is more focused than India, whereas our exports used to be more contract manufacturing driven, so that is why the question got it?

Mayank Singhal: The same way for these products we will work with partners for global markets and handle local market ourselves, so that is all the same approach .

Moderator: Thank you. Next question comes from the line of Krishan Parwani with JM Financial. Please go ahead.

Krishan Parwani: Thank you for the opportunity. Couple from my side, with strong 75% growth in the pharma business, do you expect pharma business will turn EBITDA positive in FY26 or if not in FY26, then when?

Sanjay Agarwal : Yes. So , this one will take time . It is not easy to give you a number. Definitely, it will take time over next few years because as we are scaling up , the developmental spend will also go up. So while EBITDA breakeven is on the horizon, but it will definitely take more time, not in FY26.

Mayank Singhal: Yes, very clearly over the next FY26, FY27, FY28, we should see the positive trends of this business very clearly.

Krishan Parwani: Got it. And on PIOXANILIPROLE, the new NCE, just wanted to understand which major crop would this insecticide be used on and which is the first country you intend to commercialize it?

Mayank Singhal: Well, this is diamide chemistry, so we will be looking at the multi -crop application and obviously the objective would be to see if we can get India first, but while we are working with 2 or 3 countries with partner's application. So it depends on how the regulatory framework works.

Krishan Parwani: Noted. And one final bit on the CAPEX, how much CAPEX will you be incurring in FY26, it could get done like breakdown of agro and pharma, please?

Mayank Singhal: Well, there is no breakdown we would have, but CAP EX in the manufacturing would be around that same area, right now about Rs. 800 - Rs. 900 crore in the similar ratio that we had last year.

Moderator: Thank you. Next question comes from the line of Sumant Kumar from Motilal Oswal Financial Services Limited. Please go ahead.

Sumant Kumar: Hi, sir. Sir, can you comment on EBITDA margin guidance for FY26?

Sanjay Agarwal : We would be looking at in the range of around 25%.

Sumant Kumar: So now compared to FY25 , do we have any expansion from here?

Sanjay Agarwal : see When we are looking at the next 12 months down the line, there are investments, in new businesses which are going to be a growth engine. So I think for now it is better to take around 25%. .

Mayank Singhal: Our guided line and we continue with that.

Sumant Kumar: And any CAPEX for FY26 - FY27 and tax rate guidance?

Sanjay Agarwal : FY25 -26 CAPEX should be in the range of around Rs. 800 - Rs. 900 crore and the effective tax rate should be around 23%.

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Sumant Kumar: Thank you so much.

Moderator: Thank you. Next question comes from the line of Riju Dalui with Antique Stock Broking. Please go ahead.

Riju Dalui : Hi sir, thanks for the opportunity. So my question regarding in terms of the guidance that you have provided, so the growth that you were expecting, so it is mainly drive

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by the volume or kind of price increase you are expecting.

Mayank Singhal: If you see the Domestic branded revenue performance of last year up - 9% volume growth, 6% on value growth . As the prices are looking to stabilize, volume will definitely grow and that balance should remain dependent on how the market reacts, this is more of like a straight -line walk. But as you know, as sometimes prices go

down, volumes pick up, prices go up, volume go down .

Riju Dalui : Understood that. And in terms of your degrowth in Q4 and as you reported in the presentation, so what I believe is that there was a strong growth in volumes and which was partially offset by the realization growth, so like how are they paying product prices currently and how do you see going forward those prices?

Mayank Singhal: Sorry, in which segment?

Riju Dalui : In terms of Ag -Chem exports?

Mayank Singhal: Well, the segments, I think as you would appreciate that the Ag -Chem, we are continuing to grow, our new product pipeline growth is at 30% odd. And if you look at the products in the individual areas, which areas, which segments, those are with the customers, so broadly that strategic move continues to grow, the existing product profile in the same ratio while the other products continued steady state growth rate, yes.

Riju Dalui : That I understood, but like what I wanted to understand is that like during the quarter, Q4 FY25 , our AG exports, volume growth was roughly 7%. Correct me if I am wrong.

So vis -a-vis like want to expect that there was a sharp decline in the prices. So how do you see the prices going forward?

Rajnish Sarna : Yes, there is obviously some price softening and that is on the basis of input cost softening. So over last 1 to 1.5 year, post COVID, input prices have come down and given our business model of CSM Exports, where these input cost improvements are also passed through and therefore the pricing of some of these existing products have also come down, which is also reflecting in the revenue growth numbers that you were explaining.

Riju Dalui : Understood. Thanks for the clarification. And one last thing, kind of bookkeeping. So if you could tell the order book size that we have currently as on Q4 FY25 ?

Rajnish Sarna : Est around 1.3 billion USD plus, but we don't have exact number in front.

Moderator: Thank you. Next question comes from the line of Keyur Pandya with ICICI Prudential Life Insurance Company Limited. Please go ahead.

Keyur Pandya: Thank you for the opportunity. Question on the CAPEX for FY25 , we have spent around Rs. 800 crore on the organic CAPEX and guidance also remains similar number for FY26 and on the current gross block that suggests that over 2 years, the average expansion, the gross block would be upwards of 15% -17%, whereas our revenue growth is relatively lower. So anything has changed in terms of asset turn or eventually the asset turn has to catch up by higher revenues. So if you can just throw some light on this and the breakup of the CAPEX on domestic, exports and pharma or any colour on CAPEX? Thank you.

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Mayank Singhal: As you would understand that we are building a new vertical called pharma, obviously, the CAPEX turns will be lower if we get to a certain scale and size. On the other hand, CAPEX is if you look, these are tactical in nature. In the past, they have always as capacity linked demand and therefore the building capacity is based on certain demands and understanding from our customers of products which are in the pipeline. So we do believe that overall on an average basis of 3 years, we should be able to manage our asset turns in better.

Keyur Pandya: Sir, just one follow up, so sustainably what kind of asset turn at a company level or as a segment wise we should think of and break up of CAPEX in these 3 key subcategories? Thank you and all the best.

Mayank Singhal: The asset

turn continues to be at the similar range. I think today we have one of the benchmark asset turns in the industry and we try and continue to manage.

Rajnish Sarna : Yes. anything between 2.2 x - 2.5x is what we will consider a sustainable number of asset turn.

Keyur Pandya: And sir, breakup of CAPEX?

Rajnish Sarna : Maybe Sanjay, you can take this. Major CAPEX of this is for our CSM exports and some bit of it will also be for pharma of course. But Sanjay, maybe you can share the breakup, if you have.

Sanjay Agarwal: Yes. So broadly in the Rs. 800 - Rs. 900, when you look at it to around Rs. 100 crore would be in the PI HS, the pharma business and the balance will be in the manufacturing in the Ag -Chem business.

Moderator: Thank you. Next question comes from the line of Himanshu Binani with Anand Rathi. Please go ahead.

Himanshu Binani: Sir, thank you for taking my question. Sir, again on the guidance side basically, so we have been like guiding for a 75% plus sort of like growth in the pharma business and on a consol level, we have been guiding for a single digit sort of growth. We just wanted to have a sense in terms of how one should actually look into the CSM Exports business growth, so how one should actually work with the CSM Exports

business growth for FY26?

Sanjay Agarwal : When we look at pharma, it is only 5% of our total business. So that will not move the needle for the whole organization and the whole organization as you already mentioned that it should be in the mid-single digit growth plans for this Financial Year.

Himanshu Binani: Got it, sir. And sir, any sense on the gross margin guidance?

Rajnish Sarna : Yes, this will remain around 50% - 52% depending on the final product mix that we are able to achieve.

Himanshu Binani: Got it, sir. Thank you.

Rajnish Sarna : And for CSM, we have to also keep in mind that for the last 3 -4 years, we have been growing at 20% - 25%. So obviously, the base is pretty high. And as we have guided that for next couple of quarters, while the global industry is navigating through this headwind, we certainly believe that from the second-half of FY26, we should be able to again be catching up the growth momentum and that is how it will function.

Moderator: Thank you. Next question comes from the line of Somaiah V with Avendus Spark.

Please go ahead.

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Somaiah V: Hello, thanks for the opportunity, sir. Sir, first question is on margins. So in the domestic side, biological seems to be the next growth engine and then also on the CSM side, your new products is like roughly around 30% as you mentioned. If you could just give some color on margins in both these businesses, directionally compared to biological v/s existing branded and domestic and new product versus the rest of the other portfolio with CSM that should be helpful?

Mayank Singhal: We don't do individual numbers, but I think broadly as you would know biological products give better margin and for new products, again it is a mixed bag. So that is how it works.

Somaiah V: Got it, sir. Sir also, when we are giving this FY26 guidance, so we have given it for broadly pharma and then we have broken it down. So, what is the thought process for the 70% of the CSM business, which is the not the new products one, what is the volume v/s pricing thought there, you would be, volume that will kind of overtake pricing and then that is how we are looking at, what broad thoughts there?

Mayank Singhal: Well, that is not the right way. As I said, it is a balance between volume and price, but obviously that is going to remain in mind with the industry as we have those mature products and some of new products, so they will work with the market dynamics and that is typically, as I said in this industry, that is the genetics of this industry, that volume or price continue to play differentiator.

Rajnish Sarna : And just to add to th

is. So obviously, there is portfolio of products, with legacy products, there are new products as we are saying, significant percentage of new products are getting added and they are contributing in the growth. So in fact, pricing also works like that in terms of old products where the input cost is improving, those improvements are passed through, and price reduction happens. But as far as the new products that are being launched where the input costs are sort of stable. There, the pricing trend is different. So, on a blended basis it is not so simple to tell you that pricing will be 5% -10% down and volume will be 15% up or something.

Somaiah V: Sir, also the Ag-Chem CAPEX that you are referring to, any multi-purpose plans that are expected to come this year, next year or is it more of existing facilities we are putting in CAPEX or how does it work?

Mayank Singhal: As we had said in the past, we are doing our CAPEX with two multi-products plants which are under construction. We expect to commission one this year, maybe the next in the beginning of March next year.

Moderator: Thank you. I am promoting the next that is Shivanshu Dubey with Dhruv Investment.

Please go ahead.

Shivanshu Dubey: Yes. Congratulations for our great results. Sir, actually I wanted to understand the working capital cycle. Would we expect it to remain in the same number of days?

Sanjay Agarwal: Yes. We have seen a slight increase in our Networking capital in this particular financial year, but inventory days have come down. For the next year, you may consider the range, what we have, so we are at around 73 odd days, the same could be taken around 65 -70 days.

Shivanshu Dubey: Sure. And can you also tell us about the new products development that is happening in the Ag-Chem Export with Pyroxasulfone going off patent in, I think mid of 2026 in USA?

Mayank Singhal: Not sure what is that you are looking? Because yes, as we said, the new products over the last few years have been going in the CAGR of 30% and that is really where we are on that product portfolio.

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Moderator: Thank you. Next question comes from the line of S Ramesh with Nirmal Bang Equities. Please go ahead.

S Ramesh: Hello. Thank you for the follow up. So when you talk about the target for the bio business, would it all be focused on the domestic market or does it also include some growth from the plant health investment in the subsidiary?

Mayank Singhal: Yes. We have been so far looking at biological play at domestics level but for the next 5 years, it will become a global play.

S Ramesh: And in the pharma business, in your slide 17, you mentioned about improving order book visibility. Is it possible to share the line of sight there in terms of discussions or inquiries, what is the thought process there?

Mayank Singhal: Let me put it this way. Yes, we can give the high level, obviously, you would understand the confidentiality both from a customer name and products from areas that we are working. Ramesh, maybe you would like to give some insights that yes, you have been looked at what you are looking at, but broad line of development.

Ramesh, over to you.

R. Subramanian: Yes, sure. We continue to build the pipeline we have over the course of the last year added the early development pipeline, meaning new projects and high single digits and the new on early development and high single digits also on late development that is the pipeline moving forward. We also have on-boarded 2 new big pharma customers and the goal in FY26 is to add another 2 or 3, so that we can have a sound base of big pharma that gives consistent revenue and the biotech give you better margins. That sort of the play that we are progressing with.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for

closing
comments.

Mayank Singhal: Once again, thank you to all of you for participating in the PI Investor Call. We look forward to a positive time going forward and continued support. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Aug 2025

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PI External

PIIL:SEC:NSE/BSE: 39/2025-26

August 21, 2025

BSE Limited

Corporate Relationship Department

PJ Towers, 25th Floor, Dalal Street,

Mumbai – 400 001

Code No. 523642 National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, G-Block

Bandra Kurla Complex,

Bandra (East), Mumbai – 400 051

Code No. PIIND

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call pertaining to the Unaudited Financial

Results for the quarter ended June 30, 2025

Pursuant to Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we enclose herewith the transcript of Earnings Conference Call held on Wednesday, August 13, 2025 at 2:30 PM (IST), to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30, 2025.

Further, please note that the said transcript is also made available on the Company's website at

<https://www.piindustries.com/investor/disclosure/stock-exchange-filings/earning-call-transcript-and-audio-recordings/>

This is for your information and record please.

Thanking you,

Yours faithfully,

For PI Industries Limited

Shruti Joshi

Company Secretary and Compliance Officer

Encl.: As above

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Classification | PI Internal

PI Industries Limited

Q1 FY26 Earnings Conference Call Transcript

August 13, 2025

Moderator : Ladies and gentlemen, good day and welcome to PI Industries Limited's Q1 FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Siddharth Rangnekar from CDR India. Thank you and over to you.

Siddharth Rangnekar : Thank you , Avirat. Good afternoon , everyone and thank you for joining us on PI Industries ' Q1 FY 26 earnings conference call.

Today we are joined by senior members of the management team including :

■ Mr. Mayank Singhal – Executive Vice Chair person & Managing Director

■ Mr. Rajnish Sarna – Joint Managing Director

■ Mr. Sanjay Agarwal – Group Chief Financial Officer

■ Dr. Atul Gupta – CEO - CSM AgChem

■ Mr. Prashant Hegde – CEO - AgChem Brands

■ Dr. Ramesh Subramanian – Global CEO -PI Health Sciences

■ Mr. Jagresh Rana – Global CEO - Biologicals

We will begin the call with key perspectives from Mr. Singhal following which we will have Mr. Agarwal sharing his views on the Company's financial performance.

Thereafter, the forum shall be opened for a question -and-answer session.

Before we begin, I would like to underline that certain statements made on today's call will be forward -looking in nature. A disclaimer to this effect has been included in the investor presentation that has been shared with you earlier and is also available on the stock exchange websites.

I would now like to request Mr. Singhal to share his perspectives with you. Thank you and over to you.

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Classification | PI Internal Mayank Singhal : Yes, thank you and good afternoon to everyone. Just also wanted to add that we also have on the call for the first time Mr. Jagresh Rana, Global CEO - Biologicals . So, now let me begin by sharing my views of the business environment and the role of PI as a leader, as a technology solution provider and a global partner in the AgChem space.

The global AgChem industry is navigating through a dynamic market environment and landscape, having witnessed an overall decline over the last two years. Low commodity prices, farm income and high interest rates and extreme weather events and uncertainty related to tariffs over the last six months have impacted the market sentiments.

On the positive side, there's a gradual destocking of inventories in most of the markets and a secular trend on global innovators pushing the China Plus One strategy.

On the domestic side , we have seen favorable monsoons, positive sowing trends in major crops. The abrupt regulatory challenges in biologicals, fertilizer shortfalls have impacted the growth momentum in the Kharif season.

Beyond the near term, development of advanced crop care solutions remains a global priority. Given the underlining requirements for higher and more reliable crop yields and the shrinking arable land, weather variability and growing population, innovators are adopting new technological initiatives including AI -based platforms from research to farms. The initiatives are improving product efficacy , farm output and regulatory compliances. Concurrently, the demand of biologicals for integrated crop health management has increased , given the challenges of climate change. In the current landscape, the global companies continue to elevate their strategic partnerships across the value chain in pursuit of cost optimization and build resilient business models amid heightened regulatory challenges.

I now move on to our business highlights for Q1 FY26 :

Our performance is broadly in line with the H2-weighted FY26 plan. On the AgChem export side, we have seen a decline that is in line with the customer delivery schedules to balance the inventory levels. As explained before, we have built in transitional softness in the financial year 2026 plan. However, it is important to highlight that the growth of the new products commercialized for the last three years have registered a decent 46% growth year-on-year. We are expecting to resume acceleration of supplies in H2. We will commercialize 6 to 7 new molecules in the remaining quarters. Electronic and specialty chemical area has also gained traction and scale.

Now, on the domestic side :

We have seen a growth of 6% year -on-year for Q1 FY26, which could have been much higher if temporary regulatory disruptions were not there in the biological space, given PI's play in that arena. Given our advanced product mix and crop solution s-based approach, the momentum has sustained and we have introduced two new brands in Q1, and introducing additional 3 products during the year. Our development pipelines comprise of 20 plus new products that are in various phases of development and regulatory registration.

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Classification | PI Internal During the quarter, our pharma business has showed an 186% year-on-year growth in revenue. We are seeing good traction in the new business inquiries with aggressive investments in business development. Our efforts to establish an integrated CRD MO platform, which is delivering world-class solutions by leveraging a combination of high-quality assets, world-class processes, solutions backed with knowledge and business development strategies led by strong leadership, are continuing to take shape and show some early bloom. We have carried out planned upgrades and additions to the assets across various locations to support the path of strategic

growth.

Now coming to the biological space, with the acquisition of Plant Health Care, PI has taken a significant step in scaling our biological business globally and bringing innovative, sustainable solutions to the farmers. Proprietary technologies including PREtec and Harpin, help in withstanding disease and environmental stress leading to higher yields and better financial returns to the growers globally. We are further intensifying our R&D efforts to integrate solutions with a focus on the markets of U.S., Brazil, Mexico, and India, and partnering across with others.

As one of the key strategic milestones, which is now coming, I am pleased to share, we have filed the registration of India's first discovery, PLOXANILIPROLE, a significant breakthrough of the innovation journey taken by PI over a decade ago, is now showing its early shoots. We are happy to share there are other products in the pipeline at different stages of development and research. We continue to tap our growth opportunities in the various arenas of Ag science, Health sciences, and Specialty chemicals, marking a transition from an agri-science company to a life-science company. Each of these segments and growth engines have significant potential to expand and strengthen our position at a global level. We are continuing our investments in these growth engines to ensure we pave and lay the foundations for the next level of growth in the coming years.

Let me take you in terms of our outlook for global industry:

We are still passing through a tough time, and an ongoing U.S. tariff drama is unfolding every day. We remain cautious and optimistic about reimagining the growth momentum in H2. I will highlight certain initiatives that we are working to further strengthen our outlook. CSM exports will see the introduction of new process technologies. We are investing in technology-based augmentation in our distribution business in order to drive customer centricity and efficiency. We continue to invest in newer acquired businesses to scale up and drive a more rounded growth. Implementing business processes reengineering like S4 HANA, global supply chain integration with strategic synergies. Further, not only that, based on our growth expectations, we shall continue to invest about Rs. 700 crore to Rs. 800 crore during the year.

With this, I would now like to hand over the discussion to our group CFO, Sanjay.

Thank you very much and Sanjay, over to you.

Sanjay Agarwal: Thank you, Mr. Singhal. Good afternoon, everyone.

I will summarize the Company's financial highlights for the quarter ended June 30th, 2025. Please note that all the comparisons are on year-on-year basis and refer to the consolidated performance of the Company.

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Classification | PI Internal So, as you know, Q1 unfolded against the backdrop of macroeconomic headwinds and geopolitical uncertainties which continue to influence the market sentiment. And we anticipated these headwinds in our annual plan, which is H2 weighted. And therefore, the Q1 results are broadly in line with the business plan. To share the performance highlights during Q1 FY26, we reported revenue of Rs. 19,005 million, a decline of 8% over the same period of last year and a sequential growth of 7%. On a 3-year CAGR basis, the growth in Q1 is 7% as we had registered a growth of 8% in Q1 FY25 and 24% in Q1 FY24, making it a high base.

Our domestic business grew by 6% backed by Kharif season and we remain buoyant based on favorable monsoon forecast and strong product portfolio which we have.

However, there was a decline in the biological segment due to regulatory changes. Our pharma platform rebounded, registering revenue growth of 18.6% over previous year, driven by deepening relationship with biotech and big pharma innovators. Our development spent into creating fully integrated pharma CRDMO platform has

helped to create an accelerated pathway for strong future growth.

Q1 FY26 results also include the financials of our global biological business, which was acquired in August 2024. The business has been performing in line with the business plan with many innovative products in the pipeline. Due to the favorable product mix and cost optimization projects, our gross margin for the quarter has expanded to 57.4% and increased by 5.7% and our EBITDA margin remained resilient at 27.5% for the quarter. We expect the ETR to be in the range of 22 %-23% for the next 2 -3 years. Further, the trade working capital in terms of days of sales has increased to 91 days from 73 days in March 2025, while better inventory management has kept the inventory days almost at the same levels of last year. Our healthy performance leading to stable cash flows provides us the flexibility to continue with our CAPEX plans, allocating capital towards our future growth engine which we have done in PIHS, a pharma business, PHC, a global biological franchise and Discovery R&D.

Our balance sheet further strengthened during the quarter. Net worth increased to Rs.1,06,003 million and a healthy net cash balance of Rs. 41,554 million. Given our leadership and strong partnership with global AgChem companies, our innovation pipeline, we expect accelerated H2 to drive a single -digit revenue growth for FY26 with a sustained EBITDA margin.

With this, I will conclude my opening remarks. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator : Thank you. We will now begin the question -and-answer session. The first question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar : It would be great if you can give us some sense on the applicability of tariff on our key product in the US , as well as other products. How do we think about it and what is our interaction with customer suggesting is it completely exempted all our product or the customer is willing to absorb some sense on that? That is the first question.

Mayank Singhal : As you know, the tariff scenario is evolving so there is no clarity on the implications of the tariff , but at present it is not applicable and we do not see any challenges.

Aditya Jhawar : Okay. My second question is, any update on our registration of one of our key products in Brazil , pyro?

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Classification | PI Internal Mayank Singhal : So, let me answer. Number one, we don't call that as our product. We're just a contract manufacturer, to be very fair. But already, it's been registered in Brazil, from what my understanding is from public domain.

Aditya Jhawar : Yes, but our supplies are to Brazilian market?

Mayank Singhal : No, we supply to a customer who will, in turn, may supply to Brazil.

Aditya Jhawar : Fair enough. Next question, when can we expect normalization of biological sales in India?

Mayank Singhal : That's an interesting question. As you know, this is a fact which is still in the hand of the Government and the court . We would have wanted it to happen as of yesterday, but obviously, it's going to take some time.

Aditya Jhawar : Okay. The final question, to give a fillip to our domestic business, are we also evaluating some inorganic opportunities in the Indian market?

Mayank Singhal : Yes, we are looking at many inorganic opportunities for various business segments.

Aditya Jhawar : Okay, that's it. I will fall back in queue. Thank you so much, Mayank.

Moderator : Thank you. The next question is from the line of Abhijeet Akella from Kotak Institutional Equities. Please go ahead.

Abhijeet Akella : Thank you so much. So, on the gross margins, they've come in very strong at about 57%. I know you mentioned the product mix as well as cost optimization projects.

Last quarter, I believe we had guided to gross margins in the range of only 50 % to 52%. So, now, in light

of this performance for the 1st Quarter , would we like to update that guidance range? Should we expect to stay closer to these levels?

Mayank Singhal : We would stick to our guidelines. But like we mentioned, it is based on the product mix and some of the efficiencies driven by the operating teams.

Rajnish Sarna : And these product mix vary quarter -to-quarter. So, the margin profile will also vary from one quarter to the other.

Abhijeet Akella : So, 50 % to 52% gross margins and 25 %-27% EBITDA margins. Is that still the range to work with?

Mayank Singhal : Yes.

Abhijeet Akella : Okay. Thank you. And then the other thing was just a couple of quick bookkeeping questions, if I may. Just on the order book number, if it's possible to share that at the end of this quarter and also the revenues from Plant Health Care for the quarter, please. Thank you so much.

Mayank Singhal : So, I think the order book is about \$1.2 billion. And in regards to the Plant Health

Care, the revenue is about?

Sanjay Agarwal : So, on a yearly basis, it's around \$8 to \$10 million.

Abhijeet Akel la: Possible to share it for the quarter, Sanjay?

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Classification | PI Internal Sanjay Agarwal : So, it will be around \$3 million to \$4 million in this particular quarter.

Abhijeet Akel la: Okay. And is this included within the CSM business?

Mayank Singhal : No. That's a separate vertical.

Sanjay Agarwal : So, it gets clubbed under the exports business what we have.

Abhijeet Akel la: Okay. All right. Thank you so much and I will come back in queue if any more.

Moderator : Thank you. The next question is from the line of Saurabh Jain from HSBC Securities .

Please go ahead.

Saurabh Jain : Yes. Thank you for the opportunity. My question is on the domestic business. Can you please give more details on why the trade receivables kind of increased in the quarter? Because is it more to do with the push that you did in the market and possibility the risk of sales returns in Q2?

Mayank Singhal : Okay. If I may get your question right, Prashant, maybe you can answer. The question is that why has there been an increase in the trade receivables ?

Prashant Hegde : Yes. So, one, obviously, there are inventories in the market for the industry. And second, as Mayank earlier explained, fertilizer shortages that resulted in a lot of money being basically diverted to secure the fertilizers. And we have seen a little bit of slowness in terms of agrochemicals, especially in terms of collection is concerned.

So, that is what is reflecting on the receivables.

Saurabh Jain : Okay. And would you also assume a higher risk of sales returns coming into Q2?

Prashant Hegde : No. So, as of now, our quality of sale is looking good. We do not see any higher returns compared to what which we have been seeing from last one year. It is in line. So, we do not see any major increase in terms of our returns.

Sanjay Agarwal : And also, just to add to Prashant . Prashant spoke about the domestic business, the numbers when you look at aggregate levels, even from the March 2025, and what we are seeing now in June 2025, they are broadly in line. So, there has been no major increase in the receivables. And as you asked, yes, the receivables, what we have, there is no concern at all for us in terms of the recoverability and they are very much in line with the current business environment.

Mayank Singhal : So, I think the point also to emphasize here is that receivables increase is more from the export segment which will be in line with plan .

Saurabh Jain : The other question I had was on the pharma business. Just for my understanding, we reported in the current quarter that the gross margins for pharma business in the market is about 52%. But to look at the same presentation of last year, it was reported at 42%. Where am I missing?

Sanjay Agarwal : So you are right. The numbers of last year were

over 42 %.

There was a reclassification which was done. And therefore, the numbers broadly are the same at 52% for the last year and this year also.

Saurabh Jain : So, now, like -for-like 52 % versus 55 %.

Sanjay Agarwal : That's correct.

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Classification | PI Internal Saurabh Jain : Okay. And do you also want to make a comment on your guidance for your pharma business? Because previous quarter you mentioned 75% revenue growth with improved margins. How would you see it now after this Q1 performance?

Mayank Singhal : Your question is on the revenue growth or the margins?

Saurabh Jain : No. So, in the previous quarter, you mentioned that you are expecting to achieve 75% revenue growth in FY26 in your pharma business with improved margins.

Mayank Singhal : So, we are broadly in line with that guideline.

Saurabh Jain : Okay. Sure. Thank you. I will get back in the queue .

Moderator : Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.

Naushad Chaudhary : Thank you for taking my question. 2-3 clarifications. First, on the biologics regulatory issue registration requirement. Let's assume in the next 1-2 quarters, if things get settled, how the industry shape would look like versus what it is today? Can it consolidate? Can it be new players like you? How you see post -issue gets resolved?

Mayank Singhal : No, sorry. I didn't get the question. I mean, are you asking that if the issues get resolved, would the industry get consolidated?

Naushad Chaudhary : Yes.

Mayank Singhal : Well, that would be very difficult to say what the industry does. But given the fact that it is a temporary stoppage , there will be certain changes and people will go back to business.

Rajnish Sarna : And it is also progressing very positively in the court in last couple of hearings. And

I think industry expects that this issue will get resolved in next, maybe, a month or so.

Mayank Singhal : But you would expect that, as you would have all seen in the past, Biological is the key agenda of the Government of India to create balanced, equitable environment for agriculture, and also one of Prime Minister's key agenda, and which also gave the Company the spirit to say we should invest in Biologicals. So, I am pretty sure this will be a top priority to resolve at every level.

Naushad Chaudhary : And what is the percentage contribution currently from this piece of business? And is it completely zero for now, for the ongoing quarter?

Mayank Singhal : Yes, because if the sales are stopped, it stops, it will be zero. And approximately, we have 20 % plus revenue coming from this segment.

Naushad Chaudhary : 20% of the domestic revenue?

Mayank Singhal : Sure.

Naushad Chaudhary : Second, what is the status of our 2 MPPs which is in working progress? And by when this should be operational and the ramp-up expectation?

Mayank Singhal : So, one plant will start by the last quarter of this year, and the other one probably from first or second quarter of next year.

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Classification | PI Internal Naushad Chaudhary : And ramp-up plan?

Mayank Singhal : Ramp-up is a 3-4 year process.

Naushad Chaudhary : Okay. And last, on the U.S. tariff, in your commentary you mentioned it is creating uncertainty plus an opportunity as well. So, on opportunity side, if you can elaborate, what did you mean by that?

Mayank Singhal : I just said uncertainty, because opportunity would be if it settles.

Naushad Chaudhary : All right. Thank you so much. All the best.

Moderator : Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh : Good afternoon, and thank you very much. So, if you look at your biological segment globally, where would the margins be once you scale up to a certain critical mass?

Would it be somewhere close to the CSM margin,

or slightly higher or lower? Can

you give us some sense of that? And what is the kind of size you can expect, say, in 3 to 4 years' time?

Mayank Singhal : So, let me put it this way. Biologicals do have a better margin profile than chemicals. And, let me also make it very clear, biological is a long journey. It means investments in developing the products to share the benefit with the farmer. So, it is a balancing equation. And, in four or five years, I believe they should be giving us better margins than the other businesses of the Company. Therefore, it's quite futuristic in our mind.

S. Ramesh : Okay. So, in terms of the new molecule you launched, PIOXANILIPROLE, is it possible to give us some sense in terms of the different crops? And what are the kind of target market size you can expect, say, for the next 3 to 4 years? And what is the supply chain plan in terms of raw material, intermediate procurement? How is that going?

Mayank Singhal : Well, I think let's focus on the front end of the market, typically, where we say this is the pest segment which has a pretty decent sized opportunity as the pest in multiple crops, specifically in the row crops is where the area of focus will be. And we are at different stages of development and evaluation at the given moment.

Prashant Hegde : So, effectively all important row crops, as Mayank mentioned, sugarcane, rice, pulses, and a few vegetable crops also that include tomatoes.

S. Ramesh : Okay. And is it possible to give us the cost of development? And is there any further development expenditure required for scaling this up?

Mayank Singhal : That would not be possible. Thank you.

S. Ramesh : Okay. One last thought on Jivagro vertical. If you see the last two years, actually, the revenues have declined. So, how much is the Jivagro revenue in this quarter and how do you expect that vertical to perform in your domestic portfolio this year and next year?

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Classification | PI Internal Mayank Singhal : So, Jivagro is contributing, again, roughly around anywhere between 17 % to 20 % in

terms of our domestic revenue. And so we have completely changed our portfolio in Jivagro. Earlier it was mainly generic products. Now we have more specialty products, which are suited for horticulture crops. And it is shaping as per our expectations. So, it's basically, we are treating this as a specialty division, and we continue to do so.

S. Ramesh : Okay. So, one last thought on the pharma segment. In terms of the overheads, which you have reported 839 million, and there is an inter -segment adjustment. So, in terms of the ramp -up of the business, where do you expect the overhead to settle on annualized run rate? And what is that inter -segment adjustment you have shown in the segment results in the BSE filing?

Sanjay Agarwal : So, broadly the pharma overhead, what you have seen is in line with the growth plans, what we have. On a run rate basis, yes, you can take this as a base . It has higher development spend currently at this point of time. But on a 12 to 18 month period, yes, we would look at a break -even EBITDA situation in this business.

S. Ramesh : And what is the inter -segment adjustment which you have shown? Because the losses are higher if you look at the BSE filing compared to what you have shown in the presentation. So, what are the inter -segment adjustments in the segment results?

Sanjay Agarwal : No, that is only between the corporate expenses which get allocated between the two lines of business, which is agrochemicals and pharma.

S. Ramesh : Okay. So, the business loss, should we go by what is reported in the BSE filing? Is that the loss?

Sanjay Agarwal : Yes, that is right.

S. Ramesh : Okay. Fair enough. Thank you. I will join the queue.

Moderator : Thank you. The next question is from the line of Rohit Nagraj from B &K Securities. Please go ahead.

Rohit Nagraj : Thanks for the opportunity. So, first question is in terms of our guidance. So, given that the 1st Quarter has been relatively muted, and if we were to get to maybe middle single -digit growth for FY26, we will have to grow by about 9%-10% for the rest of the year. What gives us confidence given that we have also just spelled out in terms of headwinds in domestic channel inventory plus the biological ratio? So, is it backed by certain firm orders on the CSM side? What is our thought process on this? Thank you.

Mayank Singhal : So, there is a guidance we have given . Obviously, it is backed up by supply schedules on the CSM side. Domestic business, we were looking for a more aggressive plan, but we would see the biological regulatory issues resolved , we should be able to still somehow get there. If it doesn't, then yes, it could pull a few things down, to be fair. And the other segments that we have invested in, we are seeing as per plan running right now. So, I think we would still maintain the guidance . But as I've also mentioned in my speech earlier, there are headwinds and tailwinds and this whole dynamic world, whether it is tariffs or whether it is the agro -climatical situation. So, we still remain conservatively positive to maintain our guidance , if I was to put it very straight.

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Classification | PI Internal Rohit Nagraj : Thank you. The second question on the PIOXANILIPROLE role. So, in terms of commercialization, what are the timelines that we are looking at, given that it's finding good results in phase III trials? And in terms of the marketing on a global scale, what are our thoughts currently? How are we going to go ahead with it? Thank you.

Rajnish Sarna : So, as we said, our continued business model approach is partnering for innovation. As we started the business of bringing innovative products as a pioneer in India, we created the next business play of pioneering or bringing in contract manufacturing for patented products and commercializing at a global scale to support Discovery partners. Now we are getting into the phase of creating new NCEs, and we will be looking for partnering across the global space. We have advanced talks in certain cases, in certain geographies. We are looking to talk with certain distribution partners at a global level to see how we can take it to the rest of the world. Given the India context, obviously we will leverage our near home capabilities for being able to put innovation out into the market. So, that's really the approach we're taking at a higher level.

Rohit Nagraj : And in terms of commercialization timeline ?

Mayank Singhal : We have filed for a regulatory approval for now for India. We eventually look at a certain timeline with other geographies, with our partners . So, I think we would see this product come to life maybe in a two and a half year scenario.

Rohit Nagraj : Thank you so much, sir, and all the best.

Moderator : Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar : Yes. So, in CSM, we are going to launch 8 to 10 molecules in this year, in FY26. And earlier, we have seen the momentum was 50% of this. So, how are we going to plan for CSM and how is the growth momentum in the coming FY27 -28, considering the product launch is going to accelerate?

Mayank Singhal : Well, as you know that the product launch is going to accelerate, that gives us a little confidence that the long -term story looks good. But the short -term, as you know, the start of the product is minuscule, but they scale up. And typically, in the ag world, the product continues to scale up for 10 to 15 years scenario. And on the other hand, other segments which you put here, which continue to contain these products, are in the specialty of high -end technology chemistry, using specialized applications like electronic

s and others, which are also showing some good green shoots , given the unique PI technological capability for high -control quality manufacturing, followed with chemistry and process controls. So, that's the other opportunity which is significantly unique to PI.

Sumant Kumar : And what is the CAPEX and tax rate guidance for FY26?

Sanjay Agarwal : It will be around Rs. 700 crore to Rs. 800 crore in this financial year. And tax rate will be around 22 % to 23%.

Sumant Kumar : Okay. Thank you so much.

Moderator : Thank you. The next question is from the line of Navid Virani from Bastion Research. Please go ahead.

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Classification | PI Internal Navid Virani : Thank you for the opportunity. So, first one was on the pharma business. So, we mentioned in our presentation that we are in the process of building strong relationships with biotech and big pharma players. So, this is a two -part question.

Can you share some progress for us to understand better where are we on this journey? That's one. And secondly, is our strong experience and history in CSM helping us to forge relations faster in the pharma division?

Mayank Singhal : Sorry, I didn't get the second part of the question.

Navid Virani : The second part was, we already have a very strong name in Agri -CSM, right? Is that helping us build the pharma business slightly faster than that not being the case?

Mayank Singhal : Well, obviously, that's an incredible leverage. But in terms of what is being done in terms of developing the business at a high level, Ramesh, maybe you can come in and explain.

Dr. Ramesh S : Yes. So, I will take it up. Thanks, Mayank. So, firstly , I think we stated some time last year that our goal is to bring in 3 to 4 large pharma clients. We're well on our journey to get there. We have already onboarded two large pharma clients. And, the trends are that by the end of the year, we will have two more. So, I am hoping, to get to that 3 to 4 large pharma clients, which will serve as a good base as we continue to grow. Because pharma is sort of immune towards, you know, any cash challenges that biotech may have to provide with stability. So, that's the goal. But the biotech industry is going through some challenges. But, we continue to grow our biotech portfolio. So, that's an answer to your first question.

The second one, yes, it definitely helps. And not just in terms of credibility and name, but also at the end of the day, it's a contract manufacturing business. There are a lot of technologies. So, the way we look at things is that we focus on making the molecule . The molecule can impact plant health, or it can impact animal health, or it can impact human health. But the focus of PI as a whole is to make the molecule the most elegant, efficient, and cost effective manner. So, the technologies that you put in, the experience we have in the CSM business, both in terms of R&D and manufacturing, that translates to making the molecule the best way. It definitely helps us when it comes to the pharma business.

Navid Virani : Perfect. Thank you for that very clear answer. Next up, I wanted to understand, so we have also mentioned that we have commercialized 15 molecules over the last 3 years, right? And we are planning to scale that up as well in this year. So, can you help us understand , like the top 3-4 molecules, what is the kind of opportunity wise, we are seeing that can drive growth coming going forward?

Mayank Singhal : So, let me answer that. You see, obviously, we can't get into specific molecules and say what is the opportunity size, you would appreciate these are closely held strategies of large companies, and we are bound by certain confidentiality obligations . But at a higher level, given the historical credibility of what we have been able to achieve , clearly, we see a couple of them in the big ticket items, and I see that in the next

3 to 4 years, they will give us substantial balancing act.

Navid Virani : Just one last question. So, I've been tracking PI for a good time now. And I've been listening to your commentary saying that we were wanting to diversify in categories like electronic chemicals. I think you also mentioned semiconductors some time back. So, where are we on this diversification journey, if you can share some progress to

help us understand better?

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Classification | PI Internal Mayank Singhal : So, I think if you missed earlier, but I think in my communication itself, we already stated electronic chemicals, we have done five to seven products in that area. And I do see a very good opportunity coming to scale and we see this to become a good segment in the next 4 to 5 years.

Rajnish Sarna : Maybe, Atul, you may want to also add something, Atul?

Atul Gupta : Yes, so I think, that's a very promising segment on which we continue to work and there is a good traction. We have been able to connect with some of the global customers and are working actively on some 10 odd projects which will in coming period give us a good revenue as well.

Navid Virani : Thank you for all the answers. Wishing you all the best.

Moderator : Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking Private Limited. Please go ahead.

Bhavya Gandhi : Thanks for the opportunity. First question was regarding, we filed one product of our first discovery molecule in India. Can you throw some light on the revenue potential?

What is the product like? How would the margins look like? Something on that front ?

Mayank Singhal : As we mentioned that it's in the Lepidopteran space, which is a pretty large segment for multiple crops, you can appreciate the size of the insecticide market for those crops is in a couple of thousand crore in India . So, that's the opportunity segment that we have. Now, obviously, as we get closer to the market, at that point, it'll be right time to estimate size and scale we can target to achieve . As you said, we're in the development phase, but it's a substantial, exciting , more than the size, its about the ability to put innovation out there and commercialise .

Bhavya Gandhi : Right. and on the pharma utilization, if you can throw some light, what is the peak revenue that we can generate on a 2 to 3 year basis that will be really helpful?

Mayank Singhal : We are looking at a growth rate. So, there's no asset utilization model here. This model is about CRDMO contract, development and research services along with the investment that we're doing. So, obviously, as we mentioned, we are looking to at least 2 to 3 times the revenue size in the next 3 to 4 years.

Bhavya Gandhi : Sure. That's it from my end.

Moderator : Thank you. The next question is from the line of Saheel Shirsat from Delta Investment Advisors. Please go ahead.

Saheel Shirsat : Thank you so much for this opportunity. So, my question was on the agrochem molecules that we have launched in the last three years. How much is their contribution in our current revenue now and how do we see this mix going forward? Thank you.

Mayank Singhal : Agrochem is launched in the last 2-3 years , what is the contribution of the total revenue? Is that your question?

Sanjay Agarwal : Yes. So, if you're talking about the freshness index, that's around 17% to 18% of AgChem export business and that's what has been growing substantially in the last few years.

Saheel Shirsat : Thank you so much.

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Classification | PI Internal Moderator : Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh : Thanks for the follow up. So, if you look at the pharma business in terms of the revenue ramp up, now currently what is driving the revenue? Is it API sales or R&D projects and can you share

are when you talk about client additions? What are the milestones you expect in terms of in a line of sight for the business in terms of contracts or order book for intermediates? How do you really actually put that in perspective so that we can get something .

Mayank Singhal : I will answer that in the first phase and then Ramesh will. We at the present moment are building a foundation. So, it's too early to have order books and scenarios. We're building credibility in the market. We're demonstrating our ability. And our strategic focus is to move to the CRDMO play. And I would say that we are pretty happy with the progress that we have made in that area. And the growth rate has primarily come from that area. And obviously, as you would very much understand, being in the CRDMO play, which you would understand well, there's a long drawn gestation. But as earlier Ramesh mentioned , the seeds have been sown. And it is building the right customer client base where a lot of efforts have been put by the team. And given the external dynamics and when the environment settles, we see this could turn up into a longer term as a 3 to 4 year scenario to drive the positivity. Ramesh, if you wish to add anything more at a higher level, please go ahead.

Dr. Ramesh S: Thanks, Mayank. I think that covers it well. But on your first question, both products

and the services business, which is essentially the CRDMO business, both of them grew nicely year-over-year. So, that's an answer to your question on CRDMO contributed to the growth numbers. What we're focusing on is to build a pipeline on the DMO side that involves late stage programs. And we are doing okay there. You know, it is a world that keeps changing, given some of the policies that we're still trying to get clarity on. But in general, there is interest in diversification. You know, the China Plus One strategy is still active. We also have a site in Europe, which is attractive to a lot of customers to begin a conversation. And again, as I mentioned, there are some unique technologies that have come through the CSM, flow being one example. So, we have been leveraging the brand, we have been leveraging the science that is the foundation for PI as a whole. We're leveraging the fact that we have EU presence. And of course, we have excellent capabilities, internally and people to sort of build the brand. So, yes, there is significant traction, we just have to make sure that we are doing our job despite the uncertainty that's created with all the policies. So, I think Mayank said it right, when everything settles down, we want to be there with the customers.

S. Ramesh : So, you on the CSM business, this volume decline of 9% is because of deferral of orders, or is it because some of your contracts are maturing? And how do you see the business excluding new products, kind of go back to the normal double digit growth? Would it require new orders or repeat orders? How do you see that in terms of the progress in the business?

Rajnish Sarna : So, this is driven by, supply schedules. In Q1, we have seen some sort of, inventory balancing by the customers. But we expect those supplies to renew in the second half.

S. Ramesh : Okay, thank you very much.

Moderator : Thank you. Ladies and gentlemen, that was the last question for the day. And I would now like to hand the conference over to the management for closing comments.

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Classification | PI Internal Mayank Singhal : Yes, thank you everyone for coming on to this call. We continue to appreciate your support and keep our fingers crossed for favorable monsoons and agroclimatic situations. Thank you.

Moderator : Thank you. On behalf of PI Industries, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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November 19, 2025

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Results for the quarter and half year ended September 30, 2025

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ursuant to Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Earnings Conference Call held on Wednesday, November 12, 2025 at 11:30 AM (IST), to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2025.

Fur

ther, please note that the said transcript is also made available on the Company's website

at:

<https://www.piindustries.com/investor/disclosure/stock-exchange-filings/earning-call-transcript-and-audio-recordings/>

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For PI Industries Limited

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Company Secretary and Compliance Officer

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PI Industries Limited

Q2 FY26 Earnings Conference Call Transcript

November 12, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the PI Industries Limited's Q2 FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch-tone phone. I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good morning, everyone, and thank you for joining us on PI Industries' Q2 FY26 Earnings Conference Call. Today, we are joined by senior members of the management team, including:

- Mr. Mayank Singhal, Executive Vice Chair person and Managing Director

- Mr. Rajnish Sarna, Joint Managing Director
- Mr. Sanjay Agarwal, Group Chief Financial Officer
- Dr. Atul Gupta, CEO, CSM AgChem
- Mr. Prashant Hegde, CEO, AgChem Brands
- Dr. Ramesh Subramanian, Global CEO, PI Health Sciences, and
- Mr. Jagresh Rana, Global CEO, Biologicals

We will begin the call with key perspectives from Mr. Singhal. Following that, Mr. Agarwal will take us through his views on the financial performance. Thereafter, the forum will be open for an interactive question-and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call may be forward-looking in nature. A disclaimer to this effect has been included in the investor presentation shared with you earlier and also uploaded on stock

exchange websites. I would now like to request Mr. Singhal to share his perspective. Thank you, and over to you, sir.

Mayank Singhal: Thank you, and good morning, everyone.

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Let me begin by sharing my views on the global agchem industry scenario and then the performance of PI in this context.

The global crop protection has been passing through a prolonged down-cycle driven by distributor/ farmer destocking, sharp price deflation from Chinese overcapacity, low commodity prices, rising interest rates and on top of

all this, weather disruptions that cut

sprays in several regions. FY26 is expected to see a modest recovery in Q4, a full recovery is not expected to realise before 2nd half of 2026 or later. The silver lining is that input prices are stable, and volume increase is driving a gradual normalisation of inventory levels. Most of the global innovators have reported 3% to 5% decline in H1 revenue with a guidance of cautious volume led recovery in the second half.

On the domestic side, Q2 witnessed erratic and prolonged rains, which negated the positive start to the Kharif season. While we have seen largely a favourable monsoon and positive sowing trends in the major crops, excessive rainfall, abrupt regulatory changes on biologicals and fertiliser shortfall, etc, played a spoilsport to the growth momentum in Kharif. Over 1.2 million acres of crops were damaged in Punjab and Maharashtra due to excessive rains and consequent flooding. As a result, we are seeing higher inventory and credit levels as the industry has sought to support channel partners amid market liquidity constraints. On a positive note, the plentiful rains have helped the paddy crop, and also Rabi is looking good so far with replenished and healthy reservoir levels.

Over the medium and long term, the push to develop next-generation crop protection and enhancement technologies remains vital to global agriculture, due to agronomic, environmental, and economic pressures. Customers are seeking new products that are environmentally friendly, can overcome disease and pest resistance to existing chemicals, and produce higher yields to meet increasing demand for food, fibre, and biofuels. At the same time, the demand for biologicals for integrated crop health management is growing faster because of the challenges posed by climate change.

In the current landscape, global companies continue to elevate their strategic partnerships across the value chain in the pursuit of cost optimization and build resilient business models amidst heightened regulatory challenges.

I shall now move to our business highlights. During Q2 FY26, our performance is broadly reflecting current market conditions and in line with our plan except for the domestic market where excessive and uneven rainfall and abrupt regulatory actions in the biological areas impacted the demand scenario.

On the AgChem exports side, we have seen a decline that is in line with customer delivery schedules to balance overall inventory levels. As explained before, we have built this transitional softness into our FY26 plan.

However, it is also important to highlight that the

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growth of new products commercialised over the last three years has registered a decent 38% Y-o-Y growth in H1.

We remain on track to commercialise 8 to 10 new molecules in the current fiscal, having commercialized 5 in H1. I am pleased to share that our current pipeline includes non-AgChem molecules, in the categories of electronic chemicals and specialty chemicals.

On the Domestic side, we have seen a 5% Y-o-Y decline during H1 FY26. Domestic revenue was negatively affected in Q2, offsetting the growth seen in Q1. Thanks to our advanced product mix and a solutions-oriented approach, the momentum of new product launches remains strong. We introduced three new brands in the first half of the year and plan to launch an additional three products later this year. Our development pipeline includes over 20 new products scheduled for future development and registration.

During the quarter, our pharma business showed 54% Y-o-Y revenue growth. We

onboarded new customers and continue to build pipeline with our BD teams in place in US and Europe. Although our pharma business is modest, with significant headroom for growth, there is a slowdown in biotech funding and geopolitical challenges that are impacting the conversion of proposals in the pipeline. In the meantime, we co

ntinue to invest in capability -

building, people and processes to build an integrated CRDMO platform. We have also carried out planned upgrades and additions to the assets across locations to support the path for strategic growth.

Last year, with the acquisition of Plant Health Care, PI took a significant step in scaling our biologicals business globally and bringing innovative and sustainable solutions to farmers. In India, we are well on our way to becoming one of the largest biological products companies, both in terms of product portfolio and revenue. Our Peptides based Biological technology platform is unique and offers biological solutions for many unmet needs of the growers across the world. This platform has the potential to develop many new products for variety of crop/ pest solutions. During this quarter, we have commissioned a new biological research centre in Hyderabad to study plant systems and support our global biological research centre in Seattle. We are continuing to make investments in market and product development in focused geographies across the US, Brazil, Europe, Mexico, and India, and in partnering with crop solution companies.

We continue to seize growth opportunities across Ag Sciences, Pharma CRDMO, and Specialty Chemicals — transforming our company from an agricultural sciences firm into a diversified life sciences enterprise. Each of these segments presents considerable potential to expand our global presence and leadership. Our ongoing investments in these growth sectors are creating a solid base for the next stage of strong, sustainable growth.

Our long-term growth outlook remains intact while in short term, the global and local industry are still facing Macro headwinds, climatic challenges, geopolitical uncertainties, etc. Our long-term strategic initiatives are on track and aligned to strengthen our leadership position

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in the market and achieve targeted scale across newer growth platforms. We remain committed to harnessing cutting-edge technologies and leveraging our integrated model to drive niche offerings. Furthermore, financial discipline ensures that this growth is balanced by robust cash flows and sustainable returns on capital.

I would now like to hand over the discussion to our Group CFO, Sanjay. Thank you very much, and over to you, Sanjay. Thank you.

Sanjay Agarwal: Thank you, Mr. Singhal. Good Morning everyone.

I will summarize the Company's financial highlights for the quarter ended September 30th, 2025.

We have been delivering resilient performance amid headwinds in the global agrochemical industry, driven by factors such as low commodity prices, rising interest rates, inventory destocking, and extreme weather challenges. This demand softness has been coupled with excess capacity in China, causing value erosion, particularly in the generic products.

Back home, in Q2, uneven rains created huge crop losses, impacting our key focus crops; however, we expect better rabi seasons, and an increase in rice and corn acreages should lead to a positive market scenario in H2.

To share the performance highlights for Q2 FY26, we reported revenue of Rs. 18,723 million, a 16% decline from the high base of the same period last year and a 1% sequential decline. On a 3-year CAGR basis, the growth in Q2 is 2% as we had registered a growth of 5% in Q2 FY25 and 20% in Q2FY24, making it a high base.

On an H1 basis, there is a 12% decline in revenue, which is broadly in line with plan except for domestic revenues, which were impacted due to excessive rainfall and abrupt regulatory actions. We have delivered on an H1 8% 3-year CAGR basis, which continues to outbeat the industry.

We have commercialised 5 new products in AgChem Exports and 3 in Domestic Agri Brands. These new products in AgChem Exports have seen a 38% growth in Y-o-Y in H1, which clearly demonstrates our derisking strategy and focused approach to gain new b

usiness in this tough environment.

Decline in AgChem Exports business is primarily volume-led, driven by slow demand and customer delivery schedule deferments. The domestic business, despite our strong product portfolio and new product launches, declined due to erratic rainfall, which disrupted demand, and the biological business was impacted by abrupt regulatory changes.

We expect both these issues to be transitory, and we are confident in driving the business to a higher growth trajectory in the coming quarters.

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Our pharma platform doubled its revenue over the H1 of the previous year, driven by a deepening relationship with biotech and big pharma innovators. Our development spent into

creating a fully integrated pharma CRDMO platform has helped to create an accelerated pathway for strong future growth. We are currently in the investment phase in this business, building capabilities, strengthening people and processes, which is reflected in higher overheads and is expected to get absorbed with higher scale over the next few years. Our global biological business has been performing in line with the long-term business plan, and we are focused on new product development, strengthening our go-to-market in the US, Brazil, and other markets, and filing for registrations of new products and label expansions for peptides.

Moving on the margins profile, due to the favourable product mix and operating efficiencies, our gross margin for the quarter has expanded and our EBITDA margin remained resilient. While the revenue has been affected by industry headwinds, we are adopting a focused approach to maintain healthy margins, which allows us to withstand industry challenges and invest in the future.

We expect the ETR to be in the range of 22%- 23% for the next 2-3 years.

Furthermore, the Trade working capital in terms of days of sales has risen to 113 days and reflects current market conditions.

We expect to improve this as the market scenario normalises in the coming quarters.

We remain very positive about the company's long-term growth outlook and expect to regain growth momentum in the coming years. We also anticipate a recovery in our domestic and agchem exports, particularly in Q4, to offset the decline in revenue and profitability in the first half.

With this, I will conclude my opening remarks. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask questions may press star and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Also, before we begin, a request to participants to please limit your questions to two per participant. Should you have follow-up questions, we request you to rejoin the queue. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from Saurabh Jain from HSBC Securities. Please go ahead.

Saurabh Jain: Thank you for the opportunity. My first question is on the guidance. You were vocal about saying that you expect a mid-single-digit kind of a growth possibility for this year. How would you look at your H2 given such a sharp decline in the first half?

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If you could give us more details around what kind of growth you are expecting in your exports, your domestic and your pharma business for the remainder of the year?

Mayank Singhal: So, as we mentioned in the earlier part of our call today, due to the climatical challenge the expected growth rate have not kept up to the mark in H1. But as we see, at least in the Domestic and Exports, there are early shoots of a positive trajectory. Clearly, we see good potential for the H2 from the Rabi season, given the reservoir levels.

But again, I must put a cautious view to say that today looking at the climatical situations, it

will be very much dependent on that but the positivity water levels gives us a positive outlook for Rabi.

Saurabh Jain: I mean, on the export side, what we understand is that U.S., we are seeing a good amount of destocking that is happening. And some of the products that you do, the competing products of those portfolio of yours are doing really well in U.S., when do you expect those kind of positive tailwinds also reflecting in your portfolio, whether it is going to happen in Q3 or Q4 because now the season is closing by, any thoughts on that?

Mayank Singhal: As we said that we see those positivity coming through Q4.

Saurabh Jain: So, can it really open up in a very big way because can you go back to those double-digit kind of growth in the second half is where I am coming from?

Mayank Singhal: Well, it is picking up but one market is not going to drive all the growth as you well understand. There is U.S., Brazil, there is India which is expected to come up, in 2026.

Saurabh Jain: Yes, sure. So, I was asking about one of the competitors, the global players. They have been vocal about talking, they exiting the Indian markets, right? I can call it FMC is talking about exiting Indian markets for which they have also taken a write-down on their Indian business.

And PI in the past has been talking about looking at several inorganic opportunities if they come their way. So, any comments on that side? What would be your outlook when you look at such opportunities that would be very useful for us.

Mayank Singhal: Well, I do not think this kind of a comment can be given. We are as always open to looking at opportunities, but cannot comment about any specific opportunity.

Saurabh Jain: Okay. If I may just rephrase it, do you think there is enough merit in this business because the pressure that CT PR has been witnessing in the Indian market, if they kind of take back their stocks or if they look to exit the Indian market, does it at least help the competitors or the peers in India get into more market share opportunities? Does it bring health of the

Indian market back?

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Mayank Singhal: I do not think it will be very fair, for me to comment on somebody else's business at this point .

Moderator: The next question is from Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Thank you very much sir. So just on the cash flow statement, there is a significant increase in contract assets of about INR 450 crore, if you could please just specify what that might be due to?

Sanjay Agarwal: As you know, the increase in contract asset is in line with the customer delivery schedules, which are lined up for H2. And those are recorded in accordance with the accounting standards. So, there has been an increase but this is keeping in line with the customer delivery schedule, which is arising again from the global agrochemical industry situation today.

Abhijit Akella : So yes, if you could please just help me understand the accounting here. I mean, what exactly does this asset represent on the balance sheet?

Sanjay Agarwal: So, these are the finished goods, what we have produced, which is to be delivered to the customers. And as we have confirmed orders from them and they have been produced exclusively for them, the deliveries will happen over a period of time in the next 1 to 2

quarters. And therefore, as per accounting standard, we have to recognize the revenue and create a corresponding asset on the balance sheet side.

Abhijit Akella: Okay. So , this does not get shown under inventories, is that? You have to separately break it out as contract assets?

Sanjay Agarwal: Correct. That is right.

Abhijit Akella: I see. Okay. And then just on the outlook front, if I may. So, Pharma, we were expecting to grow 75% this year. And yet there does seem to be some headwinds from the biotech slowdown, funding slowdown and the

se sorts of things. So, if you could please just update

us on what our new expectations might be over there. And Plant Healthcare, would it be possible to just break out the revenue number for the first half of the year that is gone by?

Sanjay Agarwal: Yes. So , Pharma, we spoke in the past and also on the call today by Mayank and myself, the business directionally has been doing well. We have a positive outlook. It is a business for long term, and we are doing well there. On the Plant Healthcare, the yearly revenues are in the range of \$10 million to \$12 million, and we have been doing well there as well.

Abhijit Akella: Yes. Just on Pharma, so 75% is still something you can hold on to or that might be a bit out of?

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Mayank Singhal: Right now, you see the CDMOs, they are in development phases. As things mature, the numbers come close. And right now, we have significant space for that growth and we are positive about long-term outcomes for the business .

Abhijit Akella: The EBITDA margins have been very strong. They have been significantly higher than your guidance range of 26%, 27%. So, should we expect them to remain around this range of 28%, 29% going forward?

Mayank Singhal: Well, as we have given the annual guidance given the top line challenges , this quarter has been good because of the given product mix, as we mentioned. So, we will keep to our guidance as earlier.

Abhijit Akella: Okay, sir. Got it. Thank you so much.

Moderator: The next question is from Rohit Nagraj from 360 One Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. So , first question is, what has been the contribution of new CSM products in the overall CSM revenues during the first half of this financial year?

Mayank Singhal: So, as we mentioned, we do not have the numbers here, but I think we have delivered about a 38% growth on new products over the last year.

Rohit Nagraj: Right. Fair enough. Second, on the biologicals front. So , on PHC, we have just indicated that we have about \$10 million to \$12 million of revenues. When do we see a significant scale up in this opportunity? Would it be more like FY28 given that there are multiple registrations, which are currently ongoing across different markets? And what could be the potential sometime maybe FY28-29 from this biologicals acquisition?

Mayank Singhal: Jagresh, would you like to comment that, please?

Jagresh Rana: Yes, absolutely. So, see, the biological phase, we are in the situation where we are investing in the market, creating distribution as well as launching our new products and getting label expansion for the product. So, we are into that kind of a phase. Based on the performance of product, what we are seeing, we expect our growth to start from , this year as well and continue to grow basically from the next year onwards. We see a significant growth from this business in the years to come.

Rohit Nagraj: And is this business again generating profitability at the EBITDA level or will it have some time to breakeven?

Sanjay Agarwal: This is a business as you know we are in the investment phase. So once the scale happens -- profitability will also follow.

Rohit Nagraj: Yes, that is it from my side. Thank you and all the best.

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Moderator: The next question is from Navid Virani from Bastion Research. Please go ahead.

Navid Virani: Yes, thank you for the opportunity. First one is on the newly commercialized products. So, we can see that there are 5 new products, which we have commercialized in H1 FY26. And I am sure there will be a couple of products planned in the 2 quarters, which are expected to come. What I wanted to understand was what is the agri versus non-agri mix in these newly commercialized products, be it H1 or coming H2?

Sanjay Agarwal: Yes, these are primarily in the agri side of the business

Navid Virani: So, it will be 100% on the agri

side? Or are we looking at something. So, the reason why I

am asking this question is just wanted to understand how are we progressing on the diversification aspect of the CSM business?

Mayank Singhal: In the CSM business, there have been a few products commercialized, and it takes about 3 to 5 years to really get to the ramp-up stage. So just to give you a sense of what it takes because you get into the evaluation, you get into the early stage and as the molecules pick up, the n values go up.

Rajnish Sarna : Atul can explain that how many of CSM or non-CSM are there in the first half?

Atul Gupta: Yes. So , this year, in H1, we have been able to commercialize 5 to 6 , new products, another 5 to 6 new products are planned, which has got the mix of both agrochemicals as well as the non-Ag Chem products. We are ramping up our capacity with the expansions wherein we had a plan to start the new plant. Out of the 2 plants, which are in the process of getting commissioned, one is of the AgChem plant where we intend to take up these products. So that is where we stand today from the new products commercialization point of view and the assets which are being there.

Navid Virani: Thank you for the clarity. Next up, I just wanted to have a long-term view on the biologicals business since we are so bullish and are investing heavily in this business. So, if we take, let us say, a 5-year view, given the visibility which we have right now, how big do we see the biologicals business becoming for PI? And if you can give some numeric sense to give us an understanding, that would be very helpful.

Mayank Singhal: Yes. as you look at the biological business where we are today, we expect it to at least have it three - to four -fold increase . We have shown that kind of growth. If you look at the past, we have given a 25- plus percent CAGR on the domestic business. Now on global platform , with the development regulatory timelines, once we are able to cross those hurdles, we see at least achieving that level of growth.

Navid Virani: Sure. Thank you for that answer. If I can squeeze in one more. I wanted to understand regarding the pharmaceutical business. So, in the past, we have talked about onboarding 3

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to 4 large pharmaceutical clients in the segment. So where are we on that particular journey?

Mayank Singhal: Yes. So , as we have mentioned in my earlier comments today, we have onboarded a couple of pharma companies and onboarding is ongoing process but then moving into the next phase of the journey, and that is where we are right now.

Navid Virani: Okay. Thank you for all the answers. Wishing you all the best.

Moderator: Thank you. The next question is from Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Thank you for the presentation. Apologies if this was addressed in the previous questions. But just wanted to clarify where exactly are we with respect to the regulatory challenges that you were alluding to on biological? Have we seen the resolution for that or that would continue for maybe one more quarter? And in that case, how should we think about the scale -up of the biologicals segment in the next 2 quarters and potentially fiscal 2027? That is the first question.

Mayank Singhal: So if you look at it from what was mentioned earlier for the Indian regulatory context, there has been disruptions. We are expecting to see in this coming quarter or the next quarter for that to wind down and get sorted. Regarding the global perspective, Jagresh gave an outlook earlier .

Vivek Rajamani: Sure. Just one clarification there. I think in the previous quarter, you mentioned that because of this, you could not make any sales in the previous quarter. Would it be fair to say that at least we started to see some traction come back? Or that is still some time away?

Mayank Singhal: Yes. As you know, there was ban put on biologicals pro

duct sales with the regulatory

framework in India. Those have now been sorted out, but now we are in the regulatory phase of getting the documentation procedures and once that comes, we see it moving from the fourth quarter and this is specific to India.

Vivek Rajamani: Thank you sir. That is very clear. And the second question that I had was just some color

with respect to the U.S. tariff, if that is been having any sort of impact on the business or the conversations that you may have with prospective customers? Any color on that will be super helpful. Thank you.

Mayank Singhal: Yes. The U.S. tariffs is a complicated conversation. At present, we are not seeing much issue, but clearly we are seeing uncertainty, both in the ag chem and pharma sector to have a long-term clarity and which is creating slowdown in decision-making.

Vivek Rajamani: I am sure, sir. I will rejoin the queue. Thank you so much and all the very best.

Moderator: Thank you. The next question is from Tejas Pradhan from Citigroup.

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Tejas Pradhan: Yes. Hi, sir. Just to clarify on the domestic biologicals business, could you split out what would have been the impact of the regulatory changes from this quarter revenue perspective?

Sanjay Agarwal: So, for most part of the first half of the year, the business was under restricted category and then post that, as Mayank mentioned, we are still in the process of getting approvals at the state level to restart the sales. So yes, it has impacted significantly, and that is why you are seeing the overall agri business being significantly down in this quarter.

Mayank Singhal: To be honest, we do not have that exact number on hand but maybe you could take it from Sanjay later.

Tejas Pradhan: Sure, sure. No problem. And apologies if this was clarified earlier, but just on the FY26 overall guidance, we still maintain the guidance that we had initially provided?

Mayank Singhal: No, we had said that looking at how the H1 has gone, and I think we had a conversation as you rightly gathered, we expect the positive trajectory now coming from Q4 FY26 on Exports.

On the Domestic business, we expect a good Rabi, but I would put a cautious statement given the fast-changing weather conditions. So if things go well, we should do well, but I would keep the guidance muted.

Tejas Pradhan: Yes. Okay. Thank you.

Moderator: Thank you. The next question is from Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes. So, my question is regarding Pharma business loss in H1. And when we can see a positive trajectory in the coming year? And what is the key molecule development happening in that segment where we can see momentum and profitable growth.

Rajnish Sarna: Yes. As we explained, we are currently in the investment phase. And we expect that this phase will continue for another year or so. And we expect that in next 1 year, we will reach to a scale that will be able to sustain and maintain profitable growth and also achieve positive EBITDA.

Sumant Kumar: My question regarding CSM. We have seen a muted performance in Q2 in CSM segment. How you are talking about recovery going forward. So, can we see some single-digit growth in Q3, Q4?

Rajnish Sarna: As we have already guided that we anticipate recovery from Q4FY26 and accordingly, this whole year will pan out.

Sumant Kumar: So, we will see growth in Q3.

Rajnish Sarna: I think it is too speculative to talk about quarterly growth numbers. What we are indicating today is based on our current visibility on Domestic and Exports.

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Moderator: Thank you. Next question is from Darshita Shah from DSP Asset Managers. Please go ahead.

Darshita Shah: Yes. Thank you for taking my question team. I just had one question What is giving us the confidence of the recovery that we are anticipating in the fourth quarter?

Mayank Singhal: That is coming from wh

at we see from the feedback from our customers ..

Darshita Shah: Got it. Okay. So, this is maybe a schedule, a tentative schedule shared by the customer, which is driving the confidence?

Mayank Singhal: Yes.

Darshita Shah: Got it. Okay. That is all. Thank you.

Moderator: Thank you. The next question is from Farokh Pandole from Avestha Fund Management. Please go ahead.

Farokh Pandole: Yes. So, I am referring to the presentation where there has been a mention of PI's own NCEs and there is been good progress and forward movement on that. So, is there some additional color or light you can shed on these initiatives and if you can tell us how we are placed and sort of some kind of timeline with respect to the future?

And second question is with respect to the cash position. Is this sort of a level that we are comfortable with? And how do we see that playing out? Or what is the plan with respect to future cash flows?

Rajnish Sarna: For our new NCE, we are on track for the first registration in India. While we are waiting for it, we have also gone ahead with a large number of field trials in India and working on product development in that direction. As regards cash flow question, yes, we are right now evaluating several inorganic opportunities in the domestic and also in other technology areas outside India as well.

But at the same time, given the kind of uncertainties in the general business environment, we are not in a hurry to deploy the available cash. We are happy to sit on cash and looking for the right set of opportunities.

Farokh Pandole: Great. Thanks very much. And wish you all the best for the coming quarters.

Moderator: Thank you. The next question is from Chetan Thacker from M3 Investment. Please go ahead.

Chetan Thacker: Just one clarification on that contract asset piece. So, from an accounting perspective, is the revenue already booked in this quarter and that is the asset that is sitting on the balance sheet?

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Rajnish Sarna : Yes, the revenue has been recorded. This is not the first quarter that we are talking about contract assets. It has increased in the recent quarter mainly because of deferment of customer delivery schedule. So, there is nothing new about it.

Chetan Thacker: Sure. So, I just wanted to clarify that for my understanding. Thank you so much. All the best.

Moderator: Thank you. The next question is from Madhav Marda from Fidelity. Please go ahead.

Madhav Marda : Thank you so much for your time. Sir, two questions. The first one is on the Pharma CDMO business, which you are looking to grow. As we understand, looking at many of your peers in India as well, it is slightly a longer gestation business. Just wanted to understand where we are in that journey in terms of building up the pipeline.

And if you could give some color in terms of how many projects we are addressing and how many are in Phase I, Phase II, Phase III? If you could give some color there on our sort of pipeline, that will be helpful to understand the business better.

Ramesh Subramanian: So yes, I can give you some color. So, what we have done is we have onboarded 2 new clients in the first half. The focus is on investing in the CDMO business.

There are two pieces to that. One, we look at growing late-stage programs, which in the next 2 to 4 years, potentially start giving us sustainable revenue. And the other one is onboarding quality customers. So, in addition to the 2 customers that we have onboarded, I can tell you that we have two new late-stage programs that we have onboarded and we also expect to add two more late-stage programs in the second half.

Right now, these things hopefully as they move forward, can become good businesses. And we have several actively pursuing late-stage opportunities, and we will see how some of them play out. So that is the first foundation. And the second foundation is quality customers. And I t

hink Mayank and Sanjay referred to it in their opening comments.

We have onboarded 2 large pharma's, and we expect to get one more in Q3 and in Q4. We had given guidance that we will try to onboard 4, and we are well on track for that.

Madhav Marda : Understood. So currently, how many Phase III programs do we have?

Ramesh Subramanian: In terms of late-stage programs, we have six.

Madhav Marda : Six late stage. So, I mean, usually, late-stage in the industry is Phase III or late Phase II, something like that is how we should also look at that?

Ramesh Subramanian: Yes, Phase I, Phase II.

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Madhav Marda : Phase II, Phase III. Got it. Okay. Perfect. Understood. And there are no commercial programs yet, right, for us. We are doing more like pipeline development work. There is no commercialized molecule yet in our revenue.

Ramesh Subramanian: We have quoted on some.

Madhav Marda : Quoted on some. Okay. So, this would be like a second source to an already commercial molecule, something like that tech transfer?

Ramesh Subramanian: That is correct.

Madhav Marda : Okay. Got it. The second question was PI in the past few years has been looking to seed the electronic chemical business as well. I do not know if you have shared any update yet on how that is progressing in terms of ramping that up? And any update on that business as well, that will be helpful. Thank you.

Rajnish Sarna : We are already doing electronic chemical products for the last few years. We have already commercialized 5-6 products and in Current year also, we are commercializing a few. And on top of it, we have a very good pipeline in R&D for scale up studies and development. So yes, we are very much there in electronic chemicals and growing and also expect to do well in the next 1 to 2 years.

Madhav Marda : Is there any comment you can share in terms of capital or capex that we have installed for electronic chemicals specifically for us in our current gross block?

Rajnish Sarna : I think, Atul while responding to another question already mentioned that we have one plant, which is already near commissioning. We have another multi-product plant for electronic chemicals. So yes, there are a couple of plants used for these kinds of products.

Madhav Marda : And what was the gross block, including the one that we are adding and the one

Rajnish Sarna : We do not have this number in front of us.

Madhav Marda : Understood. Thank you.

Moderator: Thank you. The next question is from Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Just one from my side. I think, Mayank, you mentioned that you have offtake visibility from Q4 FY26. So, in

that context, can you guide us for the order book status for FY27 and probably result in CSM growth in FY27?

Rajnish Sarna : Yes. We will not have order book positions for year-wise – FY27 or FY26 or something like this. We generally keep track on the overall order book position, which is around \$1.25 billion as of now. I think it is too early to guide you for FY27. We still have to see how the

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inventory restocking and normalization happens in the next 2 quarters. But yes, we will surely guide you sometime in the fourth quarter around what is our visibility for FY27.

Krishan Parwani: Okay. And just one clarification. I think we have stopped giving the overheads and the gross margin for the Pharma segment from this quarter. Can you please give us for the second quarter?

Sanjay Agarwal: The gross margins have been in line with what we had seen in the past. In this particular quarter, the PBT margins, what are required to be disclosed, they have been there. There has been a slight decline in the profitability in this quarter for the Pharma business due to some one-off waste processing-related costs and unfavourable product mix. And as you know, the overheads have been higher because we

have been in the investment phase, building capabilities and people cost.

Rajnish Sarna : I think the information structure is the same as previous quarter. Is that correct, Sanjay?

Sanjay Agarwal: Yes, the statutory requirement disclosures all have been given. I think he wanted more color on the gross margin piece and at the overhead level, which obviously gets culminated at the PBT level.

Krishan Parwani: Okay. No problem. Thank you so much for answering my question. All the best.

Moderator: Thank you. Next question is from Riju from Antique Stock Broking. Please go ahead.

Riju: Thanks for taking my question. I think all my questions have been answered broadly. Last one thing. If I look at the gross margin, so that has increased by roughly about 500 bps. So, is it because of lower inventory that have helped in terms of getting the gross margin? Or was there only the product mix that you have talked about earlier?

Rajnish Sarna : Well, it is primarily because of product mix. And as we have explained in past also that every quarter, you will have variability in the product mix. On a longer-term basis, as we have guided in the past, 50% to 52% gross margin is what we believe is a sustainable level.

Riju: Understood. And one last clarification in terms of CSM order book that you have mentioned.

So that is \$1.25 billion that you have said, right, as of Q2?

Rajnish Sarna : Yes.

Riju: Okay. Thanks.

Moderator: Thank you. The next question is from Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Thank you so much for taking my follow-up. Just to understand this -- the point about the contract assets one last time. I am sorry, it was a bit unclear in the past. So, this is basically

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revenue that we have recognized but the billing has not been made to the customer. Is that basically how it is?

Mayank Singhal: Yes.

Abhijit Akella: Okay. And how do we make the decision regarding when to shift it from, say, inventories to contract assets? Because I guess we would have the choice of keeping the inventories as well.

Rajnish Sarna : No, accounting is not done by choice. Accounting is done according to accounting standards. So, if we have produced inventory exclusively for a customer and we have an order in place, accounting for revenue recognition has to be done that way.

Abhijit Akella: Okay. So, the increase in this line item is largely because certain large deliveries have gotten deferred in the recent past.

Rajnish Sarna : Yes.

Abhijit Akella: Okay. Got it. And just last thing on the outlook for this year and maybe a little bit beyond. So, third quarter, we still expect maybe a little bit of lingering softness in terms of the CSM business on a year-on-year basis. But Q4 onwards, we expect growth to revise. Is that how we are looking at it?

Rajnish Sarna : Yes.

Abhijit Akella: Okay. And finally, I mean, just with regard to calendar 2026 or fiscal 2027, whichever, are you seeing that there could be a recovery in the agro industry in terms of demand? Or do things still look a little bit challenging?

Rajnish Sarna: In the earlier commentary, Mayank also indicated, we see recovery in the second half of calendar year 2026. And this is based on the discussions and the commentary we see from all the global players because the consumption is more or less getting normalised, destocking has already occurred in many geographies, and it is only a matter of the next few quarters, 2-3 quarters that the normalisation of re-stocking will happen.

Abhijit Akella: Got it. No, that is very clear. Thank you so much and wish you all the best.

Rajnish Sarna : Thank you.

Moderator: Thank you. We take the last question from Rohit Nagraj from 360 One Capital. Please go ahead.

Rohit Nagraj: Thanks for the follow-up. On the biologicals front, when do we expect the margins to converge to the business level

or margins at, say, 25% plus/minus?

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Rajnish Sarna: Well, as I explained, biologicals for us is a global long-term play. And we are right now in the investment phase. We have a very small-scale revenue of around \$12 million. So, while you will see that we will be growing at a very high rate, we will be investing in the market and product development for the next couple of years.

So, my view is that as far as margins are concerned, for next few years, we should only be focusing on scaling up this business and not looking at margins. I hope this clarifies. Also, let me add that biologicals for this industry is going to be the next growth driver.

Last 5 years, biologicals have been growing at double-digit, while chemicals have been growing at 2%-3%. Next 5 to 10 years, biologicals will still continue to grow at that rate and become a significant portion of the overall crop protection play. With our cutting-edge peptide platform, we have a great opportunity to be in the right place at the right time in biologicals over the next 2 years. If we are able to scale up, profitability will obviously follow.

Rohit Nagraj: Sure, that explains. Thanks a lot and all the best.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Mayank Singhal: Thank you once again for joining this call of PI Industries and look forward to connecting with you. Thank you for all your support.

Moderator: Thank you very much. On behalf of PI Industries Limited, that concludes this conference.

Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2026

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info@piind.com

PIIL:SEC:NSE/ BSE: 88:2025-26
February 20, 2026
BSE Limited
Corporate Relationship Department
PJ Towers, 25th Floor, Dalal Street,
Mumbai – 400 001

Code No. 523642 National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C/1, G-Block Bandra
Kurla Complex, Bandra (East),
Mumbai – 400 051

Code No. PIIND

Dear Sir/Madam,
Sub.: Transcript of the Earnings Conference Call pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31, 2025
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Earnings Conference Call held on Friday, February 13, 2026 at 09:30 A.M. (IST), to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2025.
Further, please note that the said transcript is also made available on the Company's website at <https://www.piindustries.com/investor/disclosure/stock-exchange-filings/earning-call-transcript-and-audio-recordings/>
This is for your information and record.
Thanking you,

Yours faithfully,
For PI Industries Limited

Shruti Joshi
Company Secretary and Compliance Officer

Encl.: As above

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PI Industries Limited
Q3 FY26 Earnings Conference Call
February 13, 2026 at 9.30am IST

Moderator: Ladies and gentlemen, good morning, and welcome to the PI Industries Limited Q3 FY26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Siddharth Rangnekar from CDR India for opening remarks. Thank you, and over to you, Siddharth.

Siddharth Rangnekar: Good morning, everyone, and thank you for joining us on PI Industries Quarter 3 FY26 Earnings Conference Call. Today, we are joined by senior members of the management team, including :

- Mr. Mayank Singhal, Executive Vice Chairperson and Managing Director
- Mr. Rajnish Sarna, Joint Managing Director
- Mr. Sanjay Agarwal, Group Chief Financial Officer
- Dr. Atul Gupta, CEO, CSM AgChem
- Mr. Jagresh Rana, Global CEO of PI AgSciences , and
- Dr. Ramesh Subramanian, Global CEO of PI Health Sciences

We shall begin the call with key perspectives from Mr. Singhal, following that. Mr. Agarwal will share his views on the Company's financial performance. Thereafter, the forum will be open for question-and-answer session.

Before we begin, I would like to underline that statements made on today's conference call could be forward-looking in nature. A disclaimer to this effect has been included in the investor presentation that is available on the stock exchange website, and which has been shared with you earlier.

I would now like to request Mr. Singhal to share his perspectives with you. Thank you, and over to you.

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Mayank Singhal: Thank you, and good morning. And a little apology for this sore throat, but I shall try and make my best effort. So, I shall comment with brief perspectives on the global AgChem industry environment and touch upon PI's performance and the strategic progress.

The global crop protection market is approaching the latter phase of a prolonged down cycle, driven by the distributor destocking, adverse weather conditions in certain regions, soft commodity prices and elevated interest rates. Channel inventories are gradually normalizing and in-season buying has begun to improve, although product pricing continues to remain

soft, particularly for the generic category.

Farmer buying behaviour is expected to remain cautious and sensitive to commodity realization and the liquidity conditions. At the same time, global Innovators continue to optimize supply chains and recalibrate inventory levels. We have seen early signs of stabilization with gradual improvement expected to come over the quarters.

In India, the Rabi sowing progressed well and is ahead of last year, supported by healthy soil moisture, high reservoir storage levels above the long-term average. However, the demand for key agrochemicals during the quarter remained muted due to elevated channel inventories, adverse weather conditions, lower crop prices. Prices have stayed under pressure and volumes have been primarily driven by revenue performance.

Looking ahead, structural drivers remain intact. Sustained innovation and advanced crop protection, crop enhancement solutions will be central to supporting global agriculture productivity. Structural agronomic challenges, environmental conditions and considerations and economic realities are reshaping the farmers' expectation.

Growers are increasingly seeking solutions that are safe for the ecosystem, effective against evolving pest and diseases and capable of delivering high productivity to meet rising demand for food, fibre and bioenergy.

Now moving to our business highlights. Q3 FY26. Agchem exports moderated in line with the overall demand softening, inventory levels of many key products and resulting customer supply schedules.

We are on track to commercialize 8 to 10 new molecules with 5 molecules already commercialized. The strategic initiatives towards technology advancement, portfolio diversification, strengthening the revenue pipeline and adding new clients are progressing well. Our domestic business was mainly impacted by lower farmer demand of high value products.

Now coming to Pharma, we have delivered a 50% year-on-year growth. During the period, we have added new clients to our portfolio to expand our opportunity funnel, supported by

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dedicated business development, building capabilities, operations in the U.S. to Europe and expand into the East markets. Near term momentum, however, has been moderated due to global biotech funding and ongoing geopolitical uncertainties, which have lengthened decision cycles and slowed the conversion of select opportunities.

In Biologicals, we are very excited as we progress and scale towards building a scalable global franchise. Our peptide-based technology platforms and differentiated solutions across the crop and geographies. Regulatory milestones, including the approval of Harpin $\alpha\beta$ in India and ongoing filings in the U.S. and Latin America support our long-term ambition. We continue to allocate capital towards product innovation, market development and strategic partnerships in the region, including the U.S., Brazil and Europe, Mexico and India to support the long-term scalable growth.

PI has improved its S&P Global Corporate Sustainability ranking at 98% percentile and we

are pleased to inform that PI has featured in the S&P Global Sustainability yearbook. This is a ranking among the top ESG rating companies globally.

So, despite the near shortness, the underlying fundamentals remain strong. Development scale up of our strategic growth platforms are progressing as per plan. A robust balance sheet and innovator pipeline remains healthy. The Company is driving a fully integrated research set up, and our one of its kind single site centre at Udaipur is critical to our growth aspirations. The teams are developing technology platforms that are giving opportunities across new vertical such as, biologicals, specialty chemicals and electronic chemicals. Now the first NCE from India, PIOXANILIPROLE is under registration in India, extensive on-

field demonstration have been launched. We are very excited about the performance of the product.

On the peptide technology platform for biologicals, and we are excited by the response of this from the market while expanding our reach with development efforts. We see this as creating a new play in the industry.

The pace of commercialization of advanced molecules has increased in line with our investments in research and differentiated technologies from flow to biotechnology. Our long-term growth outlook remains intact with a focus on margin discipline, high-quality growth and platforms.

With this, now I would like to hand the discussion over to our Group CFO, Sanjay, and thank you, everyone, and over to you, Sanjay. Go ahead, please.

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Sanjay Agarwal:

Thank you, Mr. Singhal. Good morning, everyone. So, I will summarize the Company's financial highlights for the quarter ended December 31, 2025. Our Q3 FY26 performance reflects the continued impact of global industry headwinds that we have been discussing with you in our previous calls.

However, we believe the sector is nearing stabilization now and expect sequential improvement beginning quarter 4. For quarter 3 FY26, we reported revenue of INR 13,757 million, which comes on the back of a high base of the previous years.

Despite global challenges, we have still delivered a growth over a 3-year CAGR for the 9-month period. The moderation in AgChem export is primarily volume-led, driven by slow demand and customer delivery schedules. Also to note that the 9-month period FY24 for the AgChem export business, we grew by 22%. Similarly, we grew in 9M FY25, by 9%. So going forward, we remain fully confident of the future of our AgChem export business.

We have commercialized 5 new molecules in AgChem exports and 4 in domestic agri branch. The 10% growth in new products in AgChem export demonstrates our derisking strategy and focused approach to gaining new business in this tough environment.

Domestic agrochemical demand remains subdued due to high channel inventory, low commodity prices, delay in normalization of biological portfolio post regulatory headwind and specific impact from lower demand in a few target crops for PI.

Our domestic business is supported by strong product portfolio and new product launches, which have offset the challenges faced on the ground. We have launched 3 new herbicides, Alcor, Comet, Fixit and 1 insecticide Uranus this year with 2 more expected to be launched by the close of FY26.

We expect the domestic growth to be back on track from FY27 onwards. We have also launched our direct to farmer mobile app, 'PI Mitra Kisan', a one-stop farmer engagement solution offering crop advisory, product guidance and loyalty benefits. This digital platform strengthens our connection with growers and drives scalable tech-enabled growth.

Moving on to our pharma platform. It has been on a very strong foundation, increased revenue by 50% over 9 months of the previous year. Driven by deepening relationship with the biotech and the big pharma innovators.

We have onboarded several new customers over the last 12 months, including several strategic accounts and big pharma customers. Global biologicals continue to progress in line with the long-term road map with ongoing investments in registrations, product development and global market expansion.

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On other financial metrics, our gross margin expanded to 59% during the quarter, supported by a favorable product mix and cost discipline. Further, at EBITDA level, we have delivered a margin of 27% for a 9-month period, which remains resilient despite industry headwinds.

During the quarter, net profit includes an exceptional income in our pharma business on account for a write-back of contingent consideration of INR 1,260 million which has been partly offset by addition

nal provisioning of retirement benefits as per New Lab our Code to the tune of INR 209 million.

Our trade working capital in terms of days of sales has increased to 139 days and reflects current market conditions, we expect to improve this as market scenario normalizes in the coming quarters. Our debt-free balance sheet position supported with net cash of INR 35 billion provides strong resilience and flexibility for strategic investments.

While the operating environment remains cautious, we expect gradual recovery beginning quarter 4 FY26, with growth momentum building to FY27 as industry conditions stabilize and our new product stamp up.

With this, I conclude my opening remarks. I will now revert to the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you. We take the first question from the line of Saurabh Jain from HSBC Securities. Please go ahead.

Saurabh Jain: So, first question is on the guidance. When you say growth resuming in fourth quarter, is it only a sequential growth that you are talking about or you even expect a Y-o-Y growth and what this growth is really? Is it like a volume growth that you are alluding to? Or do you even expect a revenue growth or a value growth in the fourth quarter?

Sanjay Agarwal : Yes, there will be a volume growth from beginning quarter 4 FY26. And yes, there will be a sequential growth in quarter 4 over what we have seen in quarter 3. And as we build in into FY27, we believe with all the efforts we have been putting in, we should be on a growth momentum.

Saurabh Jain: So, volume growth in Q 4, is it also a Y-o-Y volume growth?

Sanjay Agarwal : Well, we would target to have volume growth. But as I said, the momentum will start picking up from FY27 onwards.

Mayank Singhal: Yes. But just to clarify, we see good momentum of uptick started in the quarter 4. I think we should be in a good shape in the quarter.

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Saurabh Jain: Understood. And then when you say FY27, you are expecting the revenue growth returning to the Company in that year? And if possible, can you also give more contours to it, whether you expect a gradual recovery in growth? Or do you expect to get the growth in a big way?

Mayank Singhal: Yes. So, I think we see the positivity of growth. And as I mentioned in my talk earlier that the industry is still having an extended cycle of value correction. But given the scenarios and as you must have seen in this year, there have been many headwinds, the geopolitical uncertainties, softer commodity prices, India's regulatory framework in biologicals, unfavourable weather conditions, etc and some of these areas have created certain challenges. But given positive shoots are already there, we are positive to say that we will start seeing growth in FY27.

Saurabh Jain: Okay. So just to kind of continue on that point because the kind of robust business that we have, we have visibility, a lot more visibility compared to the other kinds of businesses in the sector. So, are you noticing already a great enough visibility from your customer side that you are getting optimistic in terms of a recovery in FY27? Or is it mainly coming from some optimism that you have in mind?

Mayank Singhal: I think, as you know, for some part of the business, we get this visibility from our global customers. But at the same time, if there are adverse headwinds, our philosophy of partnership goes strong. And even while we have what we have committed to with them but we still have to optimize the market situation because you have to partner-up to create value.

For the other part of the business, we get this visibility from our own read of the market conditions and various lead indicators. So, we see the uptick in demand. But clearly, as I said, there has been a reset in the way the customers are thinking, the way they look at supply chains, given the prolonged challenges that they have been seeing.

But clearly, given where we are, what they feel, the operational aspect of the issues in the industry are getting cleaned up, but the external factors still will have a role to play. Further, we will know how geopolitical scenarios evolve. But clearly, there is a positivity from all quarters in terms of how we see going forward.

Saurabh Jain: Understood. That is helpful. The second question is, we noticed that the gross margins continue to improve every quarter for you. And I think we delivered a 59% kind of gross margins. Would you also give out a guidance on what kind of gross margin do you expect on a sustainable basis?

Mayank Singhal: As always we guide, we continue to manage the gross margin on a quarter-to-quarter basis. It will be difficult to put that out, as you clearly would understand that there are product and business mixes, which come together. But as we guided in the past, we continue to

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maintain our long-term GP margin guidance between 50% to 52%, and we continue to move

with that.

Saurabh Jain: So, we have been delivering quite good kind of gross margins for last few quarters. What is the gap between what is your expectations on a sustainable basis? And what we are delivering? What is this gap attributed to?

Sanjay Agarwal: First of all, while we will aim to deliver more, there will be a product mix gap between quarter-on-quarter. So, on a yearly basis is when we can talk with more clarity and whatever gross margin benefits we get, it helps us in planned investment in our new businesses. And therefore, it is better to track the EBITDA margin.

Again, for the 9 months, we are at a healthy 27% and we would still hold ourselves for the year what we have started the year with 25% to 26. Once we have our budgeting exercise completed for FY27, we can give you more guidance for the next year thereafter.

Saurabh Jain: Sure, thank you so much and all the best. I will get back in the queue.

Moderator: Thank you. We take the next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Thank you for the opportunity. The first question I had was an extension to the earlier guidance question. That is going to fiscal 2027, I know it is a bit early, but would it be possible to give some sense if you are expecting more like mid-single digit or high single digit? Any range, if that is possible? And also, whether it will be broad-based across the portfolio? Or you expect certain parts of the portfolio contributing more towards the fiscal 2027 recovery?

Mayank Singhal: So let me put it, as we said, there is still the demand softness, but we are definitely seeing recovery. Now different buckets, different plays. Clearly, it would be too early to give guidance, as we see. But I think coming in the next quarter, as we always do, over the decades, is where we give a guidance for the next financial year, post the end of the year.

Vivek Rajamani: Sure. Understood. The second question with respect to the new products that you have been disclosing. I think for the 9 months, you have mentioned that the new products have grown at about 10% which given the first 2 quarters of the year, which saw a very, very strong growth, it seems to suggest that Q3 the growth of the new portfolio seems to have slowed down.

I just wanted to get some color with respect to were there any specific reasons around that?

And if there was some impact of the U.S. tariffs, and how should we think about that going forward into fiscal 2027? Thank you.

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Mayank Singhal: So, at a fundamental level, as I highlighted in my speech, that the key challenge is the commodity prices and the demand cycle, which is creating challenges and the headwinds of weather. Obviously, the U.S. policies have impacted the growers, which in turn has a consumption differ

entiation. It is not the trade policy per se. So, I think that is clearly one of the key challenges. But going forward, I definitely see that could move into the positive direction.

The second important issue as we see for the new products it takes a little time for development, as you can understand from the Ag business. It takes literally a decade-plus to keep products and the beauty about Ag products is that they continue to grow for life.

And that is what the time cycle is. But the positivity is the mix of the new product portfolio, the percentage growth coming from that. With time, if the industry switches to normalisation, this could accelerate the growth rates of these new products.

Moderator: We take the next question from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Good morning. Thank you so much. Could you please just update us on the contract assets number on the balance sheet at the end of December 2025, please?

Sanjay Agarwal: Yes, Abhijit. So, this particular quarter, the contract assets are in the range of around INR 1,065 crore.

Abhijit Akella: Okay. Got it. So, compared to basically about a little under INR 900 crore last quarter?

Sanjay Agarwal: Correct.

Abhijit Akella: And in terms of the liquidation timeline for this line, I think we have said in the past that we expect it to come down towards the end of this financial year. So, any sense you could give regarding how we should expect the trajectory to shape up over here?

Mayank Singhal: Yes. So, as we look at the past history, this is a typical cyclical approach and no inventory is kept beyond 3 to 6 months. So clearly, yes, at the end of the year, this will be coming down.

And I think over the next couple of quarters we may further go lower. This is a mix of how asset utilization, capacity utilization, customer contract mechanisms work.

Abhijit Akella: So, by year-end, where should we expect this number to be?

Mayank Singhal: Well, I can only give you guidance to say it will be reduced, but to give a specific number will depend on how we shape these up in terms of customer shipments, time lines, and asset mixes. So, I don't have a specific number I can come up with today.

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Abhijit Akella: Alright. And then just on the gross margin guidance. Just trying to understand, I mean, in terms of this 50% to 52% trajectory that we expect, is that something we should expect in the relatively near future itself, say, in fiscal 2027? Or for fiscal 2027, what is the line of sight we have. Can we maintain the gross margins around these levels of 58%, 59%?

Mayank Singhal: So, as we mentioned, we have given that guidance and intention is to continue to obviously manage and maintain the gross margin. And clearly, we will give FY27 guidance at the year - end.

Abhijit Akella: Thank you so much. All the best.

Moderator: Thank you. We take the next question from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. Any update on the Plant Healthcare when we had acquired this almost 1.5 years back, we were expecting some cross-selling of products from India, our own products to the other geographies where PHC has its presence in U.S., Brazil and Mexico so where are we in that process? And where can we see some tangible benefits from the same? Thank you.

Jagresh Rana: Thank you for asking. So, on plant healthcare part of the business, we have made tremendous progress this year. We are expanding our business in Brazil, U.S., Mexico and European countries. In Brazil this year, we have gone from last year, 2 distributors to 33 distributors. We have more than 400 farmers who are right now using our products in their own field, testing the product. Similarly in Mexico, we have more than 28 distributors right now who are working with us.

In U.S.,

we are setting up a distribution network for the entire Midwest and some of the world's largest farmers from Brazil and Mexico, they are basically right now testing our products. They have been working with us. We have also got some new products under registration. We launched 2 new products in Brazil, 2 in Mexico. We have just got our disease control product approval in California that makes the entire U.S. and California is the largest market for this product. We are awaiting approval for one of our nematode management products in U.S., which is expected sometime this month. And all the trials which we are doing in the farmers field in Brazil, the harvesting is just getting started and what we are seeing is almost more than 80% win rate. So, we are basically making good progress. In India, we have got Harpin $\alpha\beta$ approved and we are looking at launching this product in the next quarter.

Rohit Nagraj: That is helpful. Second question on Pioxaniliprole. Now that we have filed for the registration in the Indian market, what are the timelines that we are looking at from

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commercialization in Indian market? And any progress on probably having registrations in the global market?

Mayank Singhal: The progress is that, within the next financial year, we should be achieving the registration. So that means a landmark in Indian history and the first Indian innovation in Ag-chem, Pioxaniliprole, will be commercialised in the coming financial year. On the other hand, yes, there are regulatory works underway in a couple of other geographies. We will be filing for registrations in the coming years and hoping as soon as we get the regulatory approval, we launch the product at the global level.

Rohit Nagraj: Sure. Thanks a lot for answering all the questions. And all the best.

Moderator: Thank you. We take the next question from the line of Siddharth Gadekar from Equirius Securities. Please go ahead.

Siddharth Gadekar: Just on the pharma and the biologics business. Now if you look at the numbers, we are heavily investing in these businesses, and we are roughly at a INR 75 crore, INR 80 crore quarterly EBITDA loss in these segments

So, how should we think about the investments from our medium to longer term? And are we at the peak of the investment in these businesses? And going ahead, the investment should move in line with our overall OPEX?

Sanjay Agarwal: That is a very good question. See, look first, we need to understand why we are investing in these businesses. If we understand that these are good costs / investments that we are doing is going to be a long-term value creation for the organization. That is where we are at. We have got the businesses, we have incubated them, we have got the people now. And now we have to make the right investments. Unfortunately, all of it gets charged off to the P&L. So yes, it will take some time. Pharma is now getting on to a strong foundation, biologicals Jagresh just spoke. Currently, we are having a P&L charge, and we will have to bear it for few more quarters. But thereafter, we think as an organization, these will be future growth engines for us.

Mayank Singhal: So, to put in 1 line, look at these as investments for the future and not as losses of present.

Siddharth Gadekar: Secondly, just on the CAPEX side, we were working on 2 multipurpose plants, and now we have expanded that to 3 multipurpose plants, and we have also spoken about a non-GMP plant in India in the pharma side. So, the third plant is largely for the pharma business. Is that a fair understanding?

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Mayank Singhal: No. As you know, we look at certain other verticals, as we mentioned earlier. So, the third plant will be servicing those verticals, which are in the specialty and electronic chemicals.

So that is really where we are putting our footprint.

Siddharth Gadekar: So, any CAPEX on the

pharma intermediate plant that we are setting up in India?

Mayank Singhal: Yes, we will be coming up with the plans and announcing that in the next quarter.

Siddharth Gadekar: Okay. Got it. Thank you so much.

Moderator: Thank you. We take the next question from the line of Tejas Pradhan from Citigroup. Please go ahead.

Tejas Pradhan: I know it is early, but could you provide any guidance on the CAPEX plan for FY27?

Mayank Singhal: So broadly, it will be about INR 500 crore to INR 600 crore. And obviously, once we get through the whole process after Board approval, we will give you proper guidance next quarter.

Tejas Pradhan: Okay. Understood. And on the domestic biologicals' registration process, any update where we are, what percentage of portfolio would be already registered?

Mayank Singhal: So, if you look at the domestic biological portfolio, as you know, at the beginning of the year, we have had certain turmoil in the industry. So those are getting sorted. I believe, in this quarter, those should be in the past. Clearly, certain other new products, as we already mentioned, that products like a new peptide of ours, Harpin $\alpha\beta$ is registered. And we are looking and evaluating about 2 to 3 new products in this segment. And I think today, we have a very robust, large portfolio in biologicals. We are making those investments to scale them up.

Tejas Pradhan: And just lastly, any sort of thought process on the use of cash on balance sheet, if there are any opportunities, domestically or elsewhere? How are you thinking about it?

Mayank Singhal: Yes, the Company has resources and the team, which are already evaluating various options and also on the lookout for opportunities that could be synergistic and aligned to our strategies, which are knowledge-led capabilities for building a differentiated play. So that is really where we are focusing, and we will continue to do so.

Tejas Pradhan: Okay. And just to add. I mean would this largely be in AgChem or largely looking at outside of AgChem?

Mayank Singhal: In a lighter way, let me put it, if you have 3 children, we have to decide which fits the best opportunity, which school fits what scale, right? So, when you look at the opportunity, we

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are looking to grow in every sector that we are playing in. So whichever opportunity comes and fits in well, we are going to put it there.

Tejas Pradhan: Understood. Thanks a lot.

Moderator: Thank you. We take the next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Thank you so much for the follow-up. This is an extension of the previous participant's question. On the biological, you mentioned that the regulatory issues are now behind, in Q4 will potentially be a normal quarter?

Mayank Singhal: Now yes, in the Indian market, if you remember, they are now expeditiously approving products. So that is why I am saying behind.

Vivek Rajamani: Sure. Understood. And would it just be possible to share what is the Biologicals' contribution in fiscal 2026 so far?

Mayank Singhal: It is around 20 odd percent.

Vivek Rajamani: Okay. Thank you very much.

Moderator: Thank you. We take the next question from the line of Ranjit Cirumalla IIFL Capital. Please go ahead.

Ranjit Cirumalla: Thank you for taking the question. My question is on the write-back of the contingent consideration that we have taken off the PI Health Science. How should one view this? Does the original performance thesis of this particular equation remain intact? Or there is going to be any change in the expectations?

Sanjay Agarwal: There is no change in the strategy. There is no impact of it and that is why we renegotiated contingent consideration, which was lying in our books. So, the business is on a strong footing. We have now our experienced global business development team. So, we are looking forward

orward for our Pharma business to scale up and build one of the best global CRDMO platform s.

Ranjit Cirumalla: Sure. Thank you.

Moderator: Thank you. We take the next question from the line of Siddharth Gadekar from Equirus Securities. Please go ahead.

Siddharth Gadekar: My question is on the Plant Healthcare business. Can you just share some broader thoughts on how should one think about the overall opportunity and the trajectory of the segment,

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specifically on Saori , Teikko given that we have been looking to ramp up these products, any indicative timelines and peak sales number that we could look at from these products?

Jagresh Rana : Overall, in the industry, biological business globally has been growing in double -digits. So globally, the biological business is in the range of around \$10 billion today. This has been continuously growing over 10%. And that is the segment, we are participating. We are bringing in some of our key products. The difference what we see is overall biological business globally is a fairly crowded space.

But we have some unique products and these technologies no one has. We are the first Company in the world who has commercialized peptide in agriculture, peptides have been used in pharma, etc ., in the past. But we are the first Company who has commercialized in agriculture, and we see this differentiation driving significant growth.

Products like Saori, Teikko, these are the plant protection products. Within biologicals, the fastest -growing segment today is the biocontrol segment because of the challenges which are coming in like society is looking at how can they basically bring in the products which have a lesser impact overall. And that is what is driving the growth. Also , farmers are looking at those kind s of options which can help their crop to grow better. So , we actually see significant growth opportunities as we expand this portfolio.

Siddharth Gadekar: Okay. Secondly, we have made a comment in the presentation that our aim is becoming among the top 5 CRDMOs on the pharma side. So , any timelines or how should one think about the investment in this segment going ahead?

Mayank Singhal: As you know, this is a long gestation business, capable of building and I can just give you an example, it took about a decade to build PI in contract manufacturing, and then you have what the hockey stick effect. So , I think we are right now in the same phase , and we expect, yes, the scale will take time if you want to differentiate and have sustainability . So, I think we should expect numbers picking up going forward.

Moderator: Thank you. We take the next question from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Thank you for taking my question. Just firstly, I wanted to understand the CSM business that has struggled this quarter. So , when do you expect the CSM business line to show a Y -o-Y growth, maybe 6 months down the line or 9 months down the line, when do you expect?

Mayank Singhal: So let me first clarify we are not struggling, number one. It was in line with expectation what we see. But clearly, it is what we have indicated that in the coming quarter, we are already seeing a positive traction and have started showing certain green shoots. We are pretty confident it will turn positive in FY27 .

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Krishan Parwani: Sir, did you mention that the fourth quarter onwards you will have a CSM growth again? Is that what you said?

Mayank Singhal: Yes.

Krishan Parwani: Okay. And with when do we expect this pharma contributions to be fairly positive for the Company? Because I think our targets to go EBITDA positive have been pushed out? I know you have been trying a lot, but what is the sense there?

Mayank Singhal: So let me put it , definitely we are putting in all the efforts. The idea of EBITDA positivity is something dependent on the market and the opportunity. And clearly, we do not want to

lose the focus on what the strategic differentiator will be just because the markets are dwindling, but I think we are holding in building capability.

So, we are taking more aggressive calls on investing hence you may see EBITDA challenges. But I do believe that now the foundations are set and it should start moving positive once we hit INR 400-500 crore of topline.

Krishan Parwani: Understood. And lastly, if I may, it has been some quarters since we have stopped giving out our order book number. So , has the order book declined or what is its status of it? Can you just help us with that

Sanjay Agarwal : We have been regularly sharing order book. I think last time, we also mentioned that on call. And as of this quarter, we are in the range of \$1.2 billion of order book.

Krishan Parwani: Understood. Thank you for patiently answering my questions. Wish you all the best. Thank you so much .

Moderator: Thank you. We take the next question from the line of Naushad Chaudhary from Aditya Birla

Mutual Fund. Please go ahead.

Naushad Chaudhary: Just one question. If you can touch upon on the electronic chemicals, what exactly are we doing here from an end user point of view, and how big this platform can be for you in the next 5 years and beyond?

Atul Gupta : Yes. So , in terms of Electronic Chemicals, I think there is a good traction. New customers have been added and the couple of products have gone into the commercialization and we expect that 4 to 5 molecules should be going for commercialization this year. So , there is a good amount of the projects with the new customers getting added and I see a good amount of traction going forward in the coming years in the electronic chemicals space.

Naushad Chaudhary: Can you touch upon the end user, which specific area space of these molecules are you targeting?

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Mayank Singhal: They are more on the semiconductor and the high -end application of electronics.

Naushad Chaudhary: Okay. Are these only for domestic market or for export as well?

Mayank Singhal: We only work at global innovator market.

Naushad Chaudhary: Thank you so much. All the best.

Moderator: Thank you. We take the next question from the line of Amit Kadam from Canara Robeco MF. Please go ahead.

Amit Kadam: Good morning. Thanks for giving me this opportunity. My first question is, have you seen some kind of a price realization impacting some of our key products, I just wanted to understand how the pricing or the realization is also behaving when you are anticipating revival in the growth.

Mayank Singhal: Let me put it this way, price realization in overall industry has softened as you can see clearly , and also the costs of raw materials come down. The Company's strategic focus is to continue to manage its gross margins. And while we continue to look at optimizing to be competitive on the price front to capture value and volume both. So that is the approach.

And that is always the case in a cyclical industry like Ag.

Amit Kadam: So, is it fair to assume that some kind of impact is also seen in our portfolio in terms of compression in the price realization?

Mayank Singhal: Portfolio mixes always have a challenge, very clearly. And that is due to the lifecycle of different products or phases, but the company 's focus is on how we manage gross margins.

So, portfolio management is one strategy. Technology is the other part of strategy. The third is the market to create value, and that is what creates gross margins.

Amit Kadam: My extension to the question was, what is the recourse in this particular thing? Is that only recourse is that we try to do some backward integration. And that is how I try to be better in that particular product when there is a price compression happening for that particular portion or is there

any of finding?

Mayank Singhal: Your background noise is too much. Secondly, I did not get your question. So , I do not know how we get with that?

Amit Kadam: Maybe I will just come back. I will just fix something, and I will come back with my second question.

Moderator: Thank you. We take the next question from the line of Aditya Jhawar from Investec. Please go ahead.

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Aditya Jhawar: If you can give me some sense that how has been our penetration in some of the new clients. So clearly, over the last 4, 5 years, we would have added multiple clients in different geographies. So , is there a line of sight where we can see that in the next couple of years, we should see a meaningful ramp up in some of the new relationships we have started?

Mayank Singhal: So which business area are we talking this about?

Aditya Jhawar: CSM. This is I think the elephant in the room?

Mayank Singhal: So, in the CSM , we cover all the large global players already and they are expanding new businesses. But if you are talking about the electronic and the new verticals, that is where we are basically focusing on adding new customers. We have got 5 new customers in the areas of electronic chemicals from Japan, and Europe for high -end specialty technology development products.

Aditya Jhawar: So continuing with this, Mayank, in the Ag chem business, as we had a strong relationship with Japanese innovators, is there a line of sight where we can say that we are having meaningful contribution coming from say European, American innovators in the next couple of years based on our existing business discussions with them?

Mayank Singhal: So, I am not sure because we are working with the 3 large European customers for at least the last 20 years. And we were also the pioneering CSM partners with them . So those relationships have continued to add their new products , new evaluations happen , and we are developing with them and same way with the large American companies, which you

would know of.

Aditya Jhawar: Sure , fair enough. So , my second question, Sanjay, if you can throw some light, there has been a n increase in the working capital quite sharply, almost from 68 days to 139 days Y -o- Y. So , could you please explain and how we should expect the intensity of working capital coming down?

Sanjay Agarwal : So, Aditya, this is a reflection of the global scena rio. We had one of the lowest working capital days across the industry. Now we have to accommodate the needs of our partners. And in those lines is where our net working capital days have gone up , still much better than the industry benchmark norms. But ha ving said that, I will not be able to give you an exact number right now, but we expect to improve this as the market scenarios normalize in the coming quarters.

Aditya Jhawar: That is it from my side. I will fall back in queue. Thank you.

Moderator: Thank you. We take the next question from the line of Archit Joshi from Nuvama Institutional Equities. Please go ahead.

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Archit Joshi: Thank you , good morning. And thanks for the opportunity. I have only one question. I would like to understand your thoughts on the evolving landscape amongst global agri major s, we have seen some a bit of corporate actions happening in some of the large MNC agro innovators. Given this scenario, how do you see the development o n new technologies and patented products coming up, especially in regards to their R&D spend s.

And what would be our stance and capability to have a person or advantage within these patented technologies going ahead? So that we can garner a good amount of product portfolio and scalability going ahead. So , if you would have a 3 to 5 -year view on this developing and evolving scenario I would like to hear it more from you. Thank you .

Mayank Singhal: I think that is a very good question and let me put this this way.

Every challenge brings an opportunity. And I think PI is the only Company which is geared with this philosophy of partnership and technology. As an innovator, which creates an opportunity just not in manufacturing, but also in building new entities together. That is the PI value proposition. If you look at the history of PI , we started as partners with in -licensing , domestic business and scaling that up , as partnership for innovation, the PI way.

The next was partnership into process development/innovation and manufacturing. Now we will lead the path in AgChem sector for partnering for innovation for new product development, not only for a developer but we opened a few more engines. We have taken the engines of biologicals, where we are creating innovative platform in partnerships. So , the partnership platform and PI innovation are the drivers, of which the opportunity in the challenging environments make s us a differentiator to partner even deeper in the relationship from markets to research.

Archit Joshi: Thank you. And all the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question, and we conclude the question - and-answer session. I now hand the conference over to the management for their closing comments.

Mayank Singhal: Thank you, everybody, for joining us on this call. And also , I would like to highlight that today we celebrate our Founder's day. It is an exciting time indeed for all of us. So , thank you for bein g here.

Moderator: Thank you. On behalf of PI Industries Limited, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: May 2026

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PIIL:SEC:NSE/BSE:13 :202 6-27
May 26, 2026

BSE Limited
Corporate Relationship Department
PJ Towers, 25th Floor, Dalal Street,
Mumbai – 400 001

Code No. 523642 National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C/1, G-Block Bandra
Kurla Complex, Bandra (East),
Mumbai – 400 051

Code No. PIIND

Dear Sir/Madam,

Sub.: Transcript of the Earnings Conference Call pertaining to the Audited Financial Results for the quarter and financial year ended March 31, 2026

Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of Earnings Conference Call held on Wednesday, May 20, 2026 at 03:00 P.M. (IST), to discuss the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended March 31, 2026. Further, please note that the said transcript is also made available on the Company's website at <https://www.piindustries.com/investor/disclosure/stock-exchange-filings/earning-call-transcript-and-audio-recordings/>

This is for your information and record.

Thanking you,
Yours faithfully,
For PI Industries Limited

Shruti Joshi
Company Secretary and Compliance Officer
Encl.: As above

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PI Industries Limited
Q4 FY26 Earnings Conference Call
May 20, 2026

Moderator: Ladies and gentlemen, good day, and welcome to PI Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good afternoon, everyone, and thank you for joining us on PI Industries' Q4 FY26 earnings conference call. Today, we are joined by senior members of the management team, including:

- Mr. Mayank Singhal, Vice Chair person and Managing Director
- Mr. Sanjay Agarwal: Group Chief Financial Officer
- Dr. Atul Gupta, CEO, CSM Agchem
- Mr. Jagresh Rana, Global CEO, PI AgSciences, and
- Dr. Ramesh Subramanian: Global CEO, PI Health Sciences

We shall begin the call with key perspectives from Mr. Singhal, following that Mr. Agarwal will share his views on the company's financial performance. Thereafter, the forum will be opened for a question-and-answer session.

Before we begin, I would like to underline that certain statements made on today's conference call could be forward-looking in nature. A disclaimer to this effect has been included in the investor presentation that is available on the stock exchange websites. I would now request Mr. Singhal to share his perspectives. Thank you, and over to you, sir.

Mayank Singhal: Thank you, and good afternoon to everyone joining us today. I will begin with a brief view on the global agrochemical landscape, follow that with the domestic agri environment, and then walk you through PI's operational and strategic progress.

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The global crop protection market has continued the multi-year downcycle and recovery remains uneven further complicated by global events during the quarter which has led to a clear shift towards just-in-time purchasing.

The conflict in the Middle East since late February have introduced a fresh layer of disruption that the industry was not anticipating. While these pressures are difficult, they also reinforce the strategic value of geographical diversification.

The domestic backdrop is genuinely encouraging on the fundamentals, even though near-term industry demand has been muted due to elevated channel inventory, lower crop prices and incessant rainfall.

Rabi season was good with increase in acreages.

The structural drivers for our industry remain firmly in place. The world still needs to feed a growing population and farmers globally are demanding solutions that are safer, more selective and more sustainable. Innovators and integrated R&D-led manufacturers with proven trust, scale and execution will be the long-term winners.

Moving to our business performance for the quarter. PI continued to demonstrate resilience underpinned by the breadth of our portfolio and the depth of our customer relationships. More importantly, we believe the investments made over the last few years have meaningfully strengthened PI's long-term position to differentiate and move into the next orbit.

Our consolidated revenue for the full year FY26, we have delivered revenue of ₹ 67,137 million with healthy EBITDA margins of 25% and cash balance of INR 34,265 million enabling the company to pursue future strategic investments for long-term sustainable growth.

Our Pharma business delivered 40% growth for the full year. We continue to strengthen customer engagement across innovator, biotech companies, while investing in capabilities across process development, regulatory systems and commercial scale-up. We believe PIHS represents a strategically important long-term growth platform for PI, leveraging our deep chemistry capabilities, integrated India-Italy operating model and strong process innovation expertise.

Let me draw your attention now to Biologicals which has been a passion of ours for over two decades, during which we have built one of the most comprehensive biological portfolios in the Indian market.

Over the past few years this business has emerged as one of the fastest-growing segments within our portfolio compounding at over 20%+. Our acquisition of a differentiated technology platform has given us global market access and advanced R&D capabilities has significantly accelerated our growth ambitions. We believe our technology has the potential to address next-generation crop health and protection for sustainable agricultural solutions.

On sustainability we have maintained our position in the S&P Global Sustainability Yearbook, and our most recent S&P Global CSA percentile has improved to 98 percentile, placing us firmly in the top tier of global chemical companies.

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I want to shift focus to a defining platform for PI over the coming decade, our in-house New Chemical Entity programme. Our first NCE, Pioxaniliprole, discovered in India is now coming soon to the markets demonstrating our ability to invent at a global scale and take innovation from India to the world. We believe this brings a major shift in the PI way from distributor to global scale manufacturer to reposition as a global innovator with the backbone strength of partnerships across the value chain.

We expect FY27 to deliver growth, with exports and global biologicals gaining traction backed by customer momentum as well as domestic business is expected to gain from new brand launches.

Today PI stands to move into the next orbit, into the innovator mindset, taking NCEs to the world in Ag, and in Lifesciences building the CRDMO platform and working in Electron

ic Chemicals, creating opportunities for growth across multiple lines.

Our growth will continue to be supported by strong balance sheet, technological capabilities powered by science-driven global platforms with deep-rooted relationships with customers and strong understanding of global work culture.

Before I conclude, I would like to acknowledge the decades-long contribution of Rajnish Sarna, our JMD, and thank him for shaping and supporting PI. He has stepped down from his executive responsibilities, including IR, to focus on his health, while continuing to be associated with PI as a Non-Executive Director on the Board.

Going forward, our Group CFO Sanjay Agarwal will continue to actively engage with the investor community and ensure continuity in communication and strategic engagement.

With that, I will now hand over to our Group CFO, Sanjay, to take you through the financial performance in detail. Over to you, Sanjay .

Sanjay Agarwal : Thank you Mayank, Good Afternoon everyone.

I will summarize the Company's financial performance for the quarter ended 31st March 2026 and for the full year FY26. FY26, As Mayank mentioned, it has not been easy for Ag Chem sector, however, we have been backed by our strong business model and hence navigated this near -term industry down cycle. We have taken several initiatives proactively to work with our global Ag Chem customers, and we believe the sector is transitioning out of downcycle.

For Q4 FY26, we reported revenue of Rs. 15,652 million delivering sequential growth as per our guidance given last quarter. On a full year basis, revenue is Rs. 67,137 million delivering growth on a 3-year CAGR.

Decline in AgChem Exports is primarily driven by lower volumes reflecting the broader global industry contraction and customer delivery schedules. We have commercialised 5 new molecules in AgChem
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Exports and launched 4 new products in Domestic Agri Brands. New products now contributing 18% of AgChem Exports highlights our focused derisking strategy and innovation led approach.

Domestic agrochemical demand remained impacted due to channel inventory, pricing pressure, delay in regulatory transitions of biological portfolio and lower crop acreages impacting key crops for PI.

However, we expect growth momentum to pick up with stronger Kharif season.

Our domestic business is supported by our strong product portfolio, new product launches and focus on several on ground initiatives led by technology & enhance farmer engagement. We have launched 4 new products this year – 3 herbicides & 1 insecticide

Our pharma platform delivered 40% growth in revenue for the full year driven by onboarding strategic customers and our relentless effort to continue building capabilities to build differentiated CRDMO model.

Global Biologicals continue to progress with ongoing investments in market and product development, focus on innovation & strengthening R&D capabilities in the US & India.

Our gross margin expanded to 58% during the quarter & for the year, supported by a favourable product mix and strong operational efficiencies. Further, at EBITDA level, we delivered what we committed at the start of the year a resilient margin of 25% for full year.

While the ETR for the quarter has risen due to higher non-SEZ sales, on a full year basis, the ETR for FY26 remains at 22%. We expect FY27 and thereafter ETR to inch upto 24%.

We have sustained our Trade working capital in terms of days of sales at 139 days despite of volatile market scenario. Our strong Debt free balance sheet supported with net cash of Rs 34 Bn provides resilience and flexibility for strategic investments.

We have successfully implemented SAP S/4 Hana which marks a key milestone in our digital transformation journey, strengthening our operational backbone, enhancing data visibility, and enabling scalable growth with improved governance. As we see t

he opportunities in FY27, we expect a positive growth in FY27 led by recovery in exports in the second half, supported by new product launches especially our first homegrown NCE in the domestic business and our pharma & biologicals continue to scale up.

With this, I will conclude my opening remarks. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Saurabh Jain from HSBC Securities . Please go ahead.

Saurabh Jain: Thank you so much for the opportunity. My question is on the capex that we have incurred over the last three years, which translates to almost like a INR 2,600 crore of capex, but we are not seeing a

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conversion of this capex into the revenues for the last two years. And for that reason, the asset turns, which used to be almost like 2.5x, they have dropped down to almost like 1.5x now. So, wanted to understand where this capex is being directed to and, some sense in terms of how much of it is being focused towards the legacy projects and the new projects . And when do you expect this capex to be translating into the revenues?

Mayank Singhal: So, I think that is quite a valid question. The point is that if you look at it, these asset investments are done for a multi -year ramp -up both in capacities and scale of manufacturing. Some of these investments have been in the soft arenas of technology , NCEs and new business arenas which have a longer gestation . Some of them are coming off in the coming year and the next couple of years.

Saurabh Jain: But generally, I thought the gestation period used to be pretty short, right? We used to set up a plant in 8 to 9 months and then it used to start to flow into the revenues. Now this gestation period is seeming to be kind of wide ning. And INR 2,600 crore, how much of that would be spent i nto the R&D and technology developments and how much on, you know, actual steel on the ground?

Mayank Singhal: Yes, but the ramp -up does not happen over one year as you would appreciate. You know, if the eventual new molecule capacities are at X, which move to maturity over five years, you build the plant. The ramp -up typically takes four to five years to do that. plus the distribution in the newer arenas of

innovation which have been done

The arena we have been doing, the regulatory investments to take the new molecules into the markets, that comes at a price tag and those are also investments. We are building the new pharma capabilities and assets to create offerings for tomorrow. So, that is really the split today. Fundamentally, the new products would scale up at some point with maybe a delayed gestation

Saurabh Jain: Okay, sure. Thank you so much.

Moderator: Thank you. Next question is from the line of Tejas Pradhan from Citi Group. Please go ahead.

Tejas Pradhan: So, for full year FY26, could you give a sense on what the growth would be, excluding your largest product in agro CSM business?

Sanjay Agarwal: So, as you know, with all the new molecules we have been launching, they contribute now around 18% of our total portfolio and they also have been growing at a faster pace in the overall portfolio. While the revenues have declined because of the overall challenges, but the new molecules have been shaping well and contributing incrementally to our margin profile.

Tejas Pradhan: Okay. So, just apart from the new molecules, even the existing molecules which you would have launched prior to that, right? So, if we just strip out the impact of the largest product, pyrooxasulfone, excluding that, would there have been growth in FY26 in CSM exports or that would have been a YoY decline?

Mayank Singhal: Well, if you look at the other lines of biologicals, new molecules, yes, there is growth, but expected growth rates which were to be there, given the external environment situation and

the agriculture

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scenario, they have not kept pace. I mean, eventually they are to come up to shape. That is what we see from our global partners' communications and understanding.

Tejas Pradhan: Okay. Understood. And secondly, on the contract assets, now we have seen a reduction from INR 1,000 crore as of December '25 to INR 700 crore as of March '26. Now, while that has reduced, even on a YoY basis, it is still higher. I think in March '25, it was around INR 400 crore, right? So, would we expect further reduction over here to like FY25 year-ending levels and how should we look at this number on a steady-state basis? What sort of level you target over here?

Mayank Singhal: Well, I would say that there is a reduction of about 30% -35% in contract assets as you would have seen clearly from the last quarter. This is subject to asset utilization, value of products in the pipeline. So, I would say this will hover around the same level given where the business model and structures are today.

Tejas Pradhan: Okay. Thanks. And just one more if I could squeeze in. Would you be able to share what the capacity utilization would be at a company level for FY26?

Mayank Singhal: For FY26, it is around 80%.

Moderator: Thank you very much. Next question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Thank you so much for the opportunity. Just one question on the margins. I think I can see over the last couple of quarters and for much of fiscal '26, you have been able to maintain your gross margins at a very healthy level of, you know, 58% to 59%, but for the last couple of quarters, at least on the EBITDA side, we have seen a bit of compression going back to the 22% mark, whereas we started the year with a 27%-28% margin profile. Just going into fiscal '27, if you could just give us some sense of, you know, how should we think about margin profiles both on the gross margin level and the EBITDA margin level?

Mayank Singhal: I said, the quarter-to-quarter volatility continues, but if you look at the average gross margins for last year, we continue to focus to maintain the gross margin at that level.

Vivek Rajamani: Understood. And the EBITDA margin would be a similar comment?

Mayank Singhal: You see, given the present environment, the volatility of the various factors, whether it is input costs or whether it is other cost structures and challenges, our target is always to say that we can continue to manage them. But it would be very difficult to give a specific answer today. But yes, the company continues to manage that while making sure that we do not compromise on our long-term trajectory and our continued focus to look at market share and growth.

Vivek Rajamani: Sure. That is clear. And if I could just squeeze in one more clarification. In the opening remarks, when you mentioned you are looking at positive growth in fiscal '27, would that be positive revenue growth or positive earnings growth?

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Mayank Singhal: Well, clearly, we are looking at revenue growth as one of the key drivers going forward.

Vivek Rajamani: Sure. That is clear. I will rejoin the queue. Thank you so much.

Moderator: Thank you. Next question is from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Yes, so we have received a regulatory approval for the launch of a nematode in US. That is what we have indicated in our PPT. Is it a biological and what is the kind of market size that we are tapping in terms of this particular product, what is the kind of potential revenues that we can generate over the next maybe three to five years?

Mayank Singhal: I will take this as first and maybe Jagresh can pitch too. Yes, it is a launch of a new biological nematode and it is the first-ever new biological nematode coming in to the market at scale.

Jagresh Rana: Yes and

thank you for asking this. So, this is, you know, based on the performance we have seen, this is a very unique biological nematode product. Most of the nematode products which are there in the world today, they are mainly applied in the soil. Today, there is hardly any nematode product which is foliar application.

So, first of all, this is the first time that we have introduced a product in the market which is a foliar application based. Second part, the nematode market overall globally, especially in Brazil, US, in these markets, has been growing very rapidly and more farmers are realizing the problems of nematode. We are expecting a significant growth from this product. We have already launched it in Brazil and Mexico. US is the third market. Where we have launched in Brazil, we are basically seeing this year that we should be almost more than tripling our sales for this particular product. It is a product which competes very well with the synthetic chemistry products and we are seeing some very positive results and good performance from the farmer side.

Mayank Singhal: Only one caveat I will put, we are still in the early stage of developing a product, farmer acceptance to biologicals. I think what Jagresh is saying, we are very positive about what we see and I think it will take a couple of years to establish a product. But the results are very encouraging and gives us a huge capability to say, yes, we need to invest to build the markets and the investments would be an aggressive approach to build this product.

Rohit Nagraj: Sure, that is helpful. Second question in terms of CSM business. So, last year we have indicated FY25, the contribution from new products was about 15% to 18% and this year we have said FY26 the contribution is about 18% to 20%. If I do the math, it seems that on a year-on-year basis, the new product absolute revenue seems to be flattish or slightly negative. So, how do we look at it from the FY27 perspective?

Mayank Singhal: You are right. You see, as you can very well understand, the global agriculture market scenario itself is challenging, and you can see that from the performance of the large companies trying to put new products, customer expectation, acceptance due to commodity prices. Clearly, as the situation is very

volatile, but we do see this becoming a bit better. And I think fundamentally the whole agriculture cycle has to pick up and innovation could get adopted at a much faster rate.

We see that to be looking a little bit more positive and as you would have seen our commentary over last year, there were challenges in the market and what was expected to turn around and outcomes we were looking at second quarter, second half, but still not come around. But hopefully things shape up in the right direction, we would see a better number coming from here.

Rohit Nagraj: Sure, the last one I am squeezing in. On our novel NCE molecule, Pioxaniliprole, we plan to launch in the Indian market. What about the global launch? Are we expecting any kind of out-licensing for the same and what could be the timelines for the same?

Mayank Singhal: Yes, so right now for the global markets, we are working in a couple of global geographies where we will be looking to file to meet local regulatory requirements.

So, we will be looking to put in application outside India for filing probably at the end of this year or next year. We will be looking at strategic partnerships and would announce them at the right level when we come to the right point of decisions with them, The first point today is to have the global level regulatory framework.

Rohit Nagraj: Perfect. Thank you so much and all the best.

Moderator: Thank you. Next question is from the line of Rahul Jain from Credence Wealth Management. Please go ahead.

Rahul Jain: Sure. Thanks for the opportunity. My questions are centered around the electronic chemicals market.

So, typically we have mentioned in the previous call about, commercializing about four to five molecules. So, if you could share some details in terms of the molecules, what kind of revenue contribution, what kind of end application each of these molecules are supposed to serve, and what kind of customer sets we have been talking about both between Japanese and the non-Japanese? That is my first question.

Mayank Singhal: As you would have seen that in the past from the PI commentaries of handling innovation, we are working on some new innovative ideas with companies. They are right now at the ramp-up stage. The electronic chemicals, they are not a significant portion of the company's top line. But what is an indicator that we are very strongly working in that area and once we scale up, we will have the right answers. But to give into specifics, they are niche applications and they are unique in their offerings and that is the area which we always operate in.

Rahul Jain: Sure. And sir, if you could share some kind of, you know, typically what can be the size of this segment of our electronic chemicals, say in next 2-3 years? Can this be a INR 1,000 crore business in next 3 years?

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Mayank Singhal: Well, I do not know about 3 years, but yes, certainly with time, we will definitely look at that, that is our target. As we have stated earlier last year, we are looking to target about \$100 million in the next 4 to 5 years in this segment.

Rahul Jain: Last bit. When do we expect the pharma segment to turn EBITDA positive?

Mayank Singhal: The pharma revenues as you have seen the global situation, the CRDMO play is what you call swing-in and swing-out play. We are right now very confident that we are looking at certain interesting

opportunities in some parts of the value chain, which should fructify with time. Obviously, the investment mindsets are shifting.

As we have seen these things move and as we have stated earlier, achieving a INR 500 crore – INR 600 crore top line is when you would see these things move into a positive phase. This could be a couple of years, if not a bit more than that to get to that phase. But right now the company is more focused in building capabilities, offerings, and building customer confidence. So, look at our value-added play. That is really where we are.

Moderator: Thank you. Next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : Thanks for the opportunity. First question on the overall pricing environment, given the volatility in raw material prices off late and the pressure from Chinese-led, you know, the global pressure there on the Agchem cycle as a whole.

Is there any significant pricing correction or pressure that we are seeing across our portfolio? And second bit, one clarification there, the 5% -odd realization decline in our exports that we are seeing, is it more a product mix issue or it is a R&D deflation or some pricing correction there?

Mayank Singhal: there are pricing corrections, currency deviations that you know, we have pass through models. Yes, we are seeing volatility in the raw material prices and they have had some impact, but there is a balancing act which the company is playing in this volatile market while supporting customers, looking at end customer challenges to ensure that we have a sustainable growth and continue to put high utilization of our delivery plants while focusing and managing our gross margins.

So, as you would very much understand, I cannot give you a straight answer because nobody seems to have a straight answer in this very volatile market. Oil is swinging, raw materials swinging. But the outcome today is yes, there is an impact. We are focusing on those impacts and looking how to create the value and the company has a very strong focus to say how we can optimize and maximize

taking consideration from customer to supplier.

Ankur Periwal : Sure. So, okay, let me put it this way. Our focus here will remain on volume growth for our existing as well as newer products or we will prefer to have a balanced approach in terms of margin as well?

Mayank Singhal: Well, our focus today would be to continue to hold the market share and volume because the margins could always return back when the market swings.

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Ankur Periwal : Sure, that is helpful. Thank you. And just one clarification if I may ask. The electronic chemicals or the newer areas where we are expanding into, the capex for these will be largely MPP-based or there will be some dedicated capacity coming in or which is already there in our books?

Mayank Singhal: So again, these are niche chemicals, they will be multi-purpose assets and some may be specialized assets. Because we are not in the commodity end of the electronic chemicals, we are more focused on niche and complex areas of operation globally.

Ankur : Sure, Mayank. That is helpful. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Siddharth Gadekar from Equirus Securities. Please go ahead.

Siddharth Gadekar : So, on the pharma business, could you just re-share your thoughts in terms of growth and profitability over the next two-three years? How should we see this business scaling up?

Mayank Singhal: I mentioned to the earlier question was exactly that we are trying to build those capabilities in the next two-three years, the positive EBITDA where we would be able to look at INR 500 to INR 600 crore top line, we should be able to move into that phase. And as you would very well understand, being in the CDMO play, it takes a long time to build the foundation, but then you start seeing an accelerated curve which moves fast because the entry barriers and the regulatory frameworks followed with early-stage products you start targeting and when the cycle picks up, it takes a J-curve. That is really the approach that we are seeing. So, I see that in the next two-three years to start showing some early shapes,

Siddharth Gadekar : Secondly, on the global biologicals business, given that now we have started getting product registrations and also building our distribution model across geographies, how should one think about the opex in this business and when do we achieve a scale where we break even on this business?

Mayank Singhal: Again, I would say the way to answer this, what we are seeing as I think Jagresh mentioned earlier, we are seeing the positive trajectory. As you would see the markets themselves are depressed today in the agri sector. We are clearly seeing a great acceptance of our technology and product performance. And I would say we are very much positive to see that in the next couple of years, we should be in the position that you are looking to achieve for ourselves, as you rightly questioned to get into a break-even position. Again, if we see more opportunities of more innovations, we will be investing and we would not do that without a value add. So, we are definitely very excited to what we see, but a couple of years from now, does not look too far from us to be playing that game.

Siddharth Gadekar : And lastly for FY25, would we have any higher opex in terms of any large registrations or any other one-time cost that would be coming in our P&L given that we are looking at commercializing a few products?

Sanjay Agarwal : Yes, so this is an ongoing thing since we have been investing into R&D and we are looking at these new NCEs. So, this has been continued for the last few years and the same trend will continue of INR 50 to INR 100 crore of additional spends.

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Mayank Singhal: I think the question was next year.

Sanjay Agarwal : Yes, next year FY27 as well, we will have similar expenses for the R&D and also

for the launch since

we are looking at the Pioxaniliprole launch this year, we will have some additional cost in the next few quarters on that.

Siddharth Gaddekar : And for the global products also we would have a additional cost coming in?

Mayank Singhal: Yes, clearly , I think the answer to be very precise to your question, next year is going to be heavy investments in building out markets. So, those costs will be there.

Moderator: Thank you. Next question is from the line of Surya Patra from Phillip Capital. Please go ahead.

Surya Patra: Yes, thanks for the opportunity. Sir, my first question is on the investment priorities going ahead and what is the kind of a capex? In terms of the investment priorities, I was just wanted to understand the any specific investment that we are talking about the new business opportunities?

Sanjay Agarwal : So, the capex would be as we have guided in the past also, we should have INR 700 to INR 800 crore of capex both at the manufacturing level, some of the new launches which we are going to be having, R&D spends across both pharma and our agrochemical business.

Surya Patra: Okay. And also to have a better understanding about the kind of incremental contribution that we should be seeing from the newer business area, is it possible to discuss what is the kind of a construct of order book position currently in terms of the areas whether it is the a gro-chem, pharma, and whichever newer area that we are talking about?

Mayank Singhal: Well, we do not have a specific for new areas, but I think somewhere around \$ 1-1.2 billion which is already the order book position which continues to hold on. But we would not have a specific break-up of those right now because typically the other big businesses are more B2C like the biologicals and there's no order book situation there. And pharma is too insignificant in terms of the topline of PI in terms of numbers for order book.

Surya Patra: Sure, sir. Then next question would be on the supply chain constraint. Let's say you have mentioned about maintaining the gross margins situation for the full year FY27 , but if you can say something what is the kind of availability situation and what is the kind of impact that possibly in the near term that we can see on the availability of raw materials? Whether that is a big challenge at this juncture?

Mayank Singhal: You have got it exactly. So, I think it is one of the most simple question with the most difficult answer . , we are all challenged with that availability and that is not something in our hand, but so far we have been able to manage and will continue to manage , but we never know when the situation changes , the way the world is in today . And I am sure that is applicable to most of us in the sector and the industry.

Moderator: Thank you. Next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

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Sumant Kumar : My question regarding pharma segment and you have mentioned in the PPT a significant increase in CDMO inquiries. So, how is the conversion going to happen considering all the inquiries you have , Number one. Number two, we have seen in the PPT your services business has increased significantly.

So what is leading this business and also you are adding new customers in the last 12 months. So considering all these factors, next two to three years how much growth you are expecting in this segment?

Mayank Singhal: As we mentioned earlier, right, in that there is all these initiatives which have been taken, we are looking to target to get this to the next two to three years, a INR 500-INR 600 crore business which could then become the J -curve approach to look at how we can look at more accelerated growth going forward.

Sumant Kumar : Okay. And for the outlook, you have written we remain positive for the growth in FY27. So, any number can we talk on double -digit, lowe

r double -digit, mid -teens kind of growth we are expecting in FY27?

Mayank Singhal: I would say growth for sure. Double or late single will all be subject to how the world reacts. And that is the reality.

Sumant Kumar : In normal case scenario?

Mayank Singhal: I cannot look at the normal case scenario right now because the quarter is gone, it is too close to the quarter to answer that. But yes, I can tell you we can definitely look at growth, at nearly late-stage single digit or early -stage double digit at the worst-case scenario.

Sumant Kumar : Worst -case scenario.

Mayank Singhal: Yes, at the worst case we will definitely have some growth I hope, because if the world really goes that , there is no oil and there is no fuel and there is no food, then we cannot do much. So, today's world to answer that is challenging, but we have plans for growth at a n aggressive pace compared to the competition.

Moderator: Thank you. Next question is from the line of Abhijit Akella from Kotak Institutional Equities . Please go ahead.

Abhijit Akella: Good afternoon. Yes , thank you so much, sir , for taking my questions. The INR 1,100 crore capex that we incurred for FY26, sir, would it be possible to just break down of specific key projects in which this investment has gone?

Sanjay Agarwal : Yes, so it is across both the agrochemicals, pharma and the R&D spends which we have done. we are about to commercialize our Kilo facility in Lodi plant, so that has taken substantial sum plus the Flow MPP we have commercialized during this year. So the spends have been there on the agrochemical side

and on the R&D investments .

Abhijit Akella: Okay, but just to clarify, the presentation says pharma capex was about INR 91 crore for the year?

Sanjay Agarwal : Correct, INR 100 odd crore.

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Abhijit Akella: Yes, so then should we understand that the remaining say INR 1,000 crore or so is all agrochemicals or how is it?

Sanjay Agarwal : Agrochemical and in the R&D.

Mayank Singhal : And the fine chemical area where we are talking about.

Sanjay Agarwal: That will include all the electronic chemicals, agrochemicals, the R&D, fine chemicals, etc.

Abhijit Akella : Okay, all right. Thank you. Second one, for Plant Healthcare, would it be possible to just quantify the revenues for FY26?

Sanjay Agarwal : They have been in the range around USD 12 to 13 million.

Abhijit Akella : Understood. And yes, I might have missed this earlier, so please excuse me if I did. But on contract assets of INR 700 crore, what is the kind of trajectory we are expecting in the year ahead? I mean, will it decrease further or by how much?

Mayank Singhal: Well, I think that is the range we have always been in in the last few quarters given the business model and scenario, balance sheet capacity, inventory and customer needs and also look in the volatility of supply chains, we would look to keeping it at that level.

Abhijit Akella: Okay, all right. Thank you so much, sir. All the best.

Moderator: Thank you. Next question is from the line of Rupesh from Long Equity Partners. Please go ahead.

Rupesh: Thank you for the opportunity. First I have one request. One of your largest product in the CSM segment, there are patent risks, it is nothing new, most of the CDMOs or CSM companies have to deal with it. Would be really nice if you can address that question in your press release in some way.

That I think would be really appreciated because there are so many layers to that molecule. So, that is my request. The first question, is on that molecule. Do you see a gradual decline over next 2 years, 3 years and then bottoming out or do you expect like a cliff that we will see, only on that molecule, I am not asking about rest of the business.

Mayank Singhal: Well, I do not know how to answer that. Number one, you need to appreciate that this is not our

molecule, it is a partnership. Revealing strategies would be challenging in the today's context. We are in a highly competitive world and I would like to look at this model through the approaches that you have seen for any other product that goes into genericization in the sector.

Rupesh: Okay. The second question is for electronic chemicals business. What is our current gross block and what kind of gross block do you expect in next 2 years, 3 years?

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Mayank Singhal: We will be making another few hundred crore investments in that area and it is a new avenue of growth.

So, new assets and plants will be built up as we continue to see that we want to scale this business. We have got four to five products in the pipeline which are working well. We are looking to develop more strategic areas into this. So, investments of the gross block would be going up in this area and then over the next 5 years, we start seeing volumes and revenues that we plan to achieve.

Rupesh: But is that number like INR 200 crore, INR 500 crore, INR 1,000 crore, what kind of asset, asset turn any range would be helpful.

Mayank Singhal: Anything substantial of that area, INR 500 crore is a number which PI would really look at. INR 100, INR 200 is not a significant investment as you would appreciate in the plant today.

Rupesh: And asset turn would be high or low, some idea around that?

Mayank Singhal: That would be difficult to answer today because you are right now investing to build the business. The asset turns as you would see in the CSM business, the early stages have lower asset turns, but when business touches maturity, reaches a scale, you would start seeing those colours.

Rupesh: Okay. And the final question, sir, is on the NCE molecule. In the NCE molecule, life of a patent, let us say 15 years sort of. I mean, what kind of potential. I know it is a very dynamic world, there is so much hard work we have to do, find partners and all that, but what kind of potential can it be for the company of our size? Today we are at let us say INR 8,000 crore revenue scale. Would it be significant for our scale or it would be 10% kind of scale? I mean, some range there would be very helpful in terms of potential over the life of the patent?

Mayank Singhal: We are positive to bring an innovation out. I think the year of launch and the first season of launch will give us the impact at the larger scale to look at the significance. I think the most important significance that needs to be noted is taking an innovation commercializing. I do not think a single company from India has done that and it is probably the first company in any chemical sector to do that. So, that is the benchmark of putting our capability to take from discovery to markets. And rest assured, it has to be of a significant number for us to invest and build, followed with that learning, we will have an understanding from the seasons that we go and we will be in a better position to answer.

And we are also looking at this as a capability build out for more new things from the pipeline to come.

So, that is the way I would look at that the shift in the PI capability mindset from a distribution company to a manufacturer for innovation, now taking innovation to the markets.

Once this is demonstrated well with this product, it gives us hope to build a lot more for the next multi-decades, multi-years if

I was to say to bring innovation to the market. This is the significance of this product. The numbers significance for the revenue, it should be a good contribution to the top line for the domestic business to start with. Based on some of our learnings for a season or two, we will be in a better estimate to look at the potential sizing of the product.

Rupesh: Yes, okay. I hope at some point of time you give some preview into the upcoming NCE molecule, sir. I do hope that and all the best.

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Moderator: Thank you. Next question from the line of Ram Arvind from i Thought PMS. Please go ahead.

Ram Arvind: Thank you for the opportunity. So, my question has to do a bit with the client that we are serving for our biggest molecule. So, since they have come up with a guidance of their formulation in which they use our molecule, they have come up with a guidance of beating their conservative guidance of full year of last year. And so I am just trying to understand if our shipments to this client of ours is going to get better in the upcoming quarters. So, what I am trying to understand is if we will have growth on our Agchem export side which is dominated by one single molecule. Do we see traction in that molecule going forward? Will we see volumes picking up in that molecule specifically for the next couple of quarters?

Mayank Singhal: I would look at the way you have looked at that customer and follow that guidance. From our perspective, we are in contract manufacturing so what we are building in is already what we have contracted. As you would appreciate the supply chains are long. Clearly, it would be too early for us to answer and to guide how we see that, but yes, if they do benefit, it is a good to see the reciprocating benefit over time.

Ram Arvind: Right. Just to follow up on that since I know we have addressed about the contract assets already on the call, but we have seen a reduction of contract assets going from Q3 FY26 to Q4 FY26. So, does this mean that we are basically billing our clients and they are actually drawing up on the reserves of our contract assets? So, would we see this trend moving forward let us say by Q1 '27, Q2 and Q3 '27?

Mayank Singhal: I would say this is the business, where there is a bare level of inventory which is also kept. There would be a higher level kept given the volatility as you could appreciate in the world. We are looking to keep and build and optimize capacities so that at no point we run out. And I think given the scale and the complexity of the value chain of production, contract assets below INR 500 crore -700 crore would be a challenging number to manage that risk.

Ram Arvind: So, any number that we can probably close on the contract assets for '27?

Mayank Singhal: As I mentioned, we will be remaining within this range from what we have estimated for today. It could shift on a quarter-to-quarter basis.

Ram Arvind: Right. And another question just on the electronic chemicals side. So, what is the approximate revenue figure that you can give us for the electronic chemicals for FY26 and any guidance for '27 and '28 as well? Because some of your clients have been talking about the end market doubling by FY30. So, I think there is a lot of traction in these molecules that PI is entering into and I am just trying to understand the whole market for these electronic chemicals and the numbers from your side for guidance for '27 and '28.

Mayank Singhal: So, to be honest to tell you, we are right now in the early stage, the numbers are not significant for the PI topline with the development stage of some of these products. We are building capacities and understanding capabilities for the customer. In two to three years, we would be in a better position to

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understand the scale and size. As you would understand, these are very serious level of confidentialities with our customers and confidentiality contracts given highly competitive environment in this space.

But we are excited about it given the fact the areas that we are operating are in the niche space. And as these are like life science, as we have mentioned four to five products which we are evaluating, developing, they have gone into the various phases which we will be looking at a manufacturing scale at a later date.

Ram Arvind: Right. So, for it to have let us say a significant contribution

on like say how pharma is having in our business, right? So, for those kind of numbers.

Mayank Singhal: Five-six years is the estimate about somewhere about \$ 80 million to \$ 100 million of revenue in this space.

Ram Arvind: Right. Yes, thank you for that. And any commentary on gross margin guidance for '27?

Mayank Singhal: So, I think as earlier questioned by a couple of others, we said we would continue to manage and maintain the average gross margin of last year.

Ram Arvind: All right. Yes, that will be all. Thank you so much.

Moderator: Thank you. Next question is from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Thank you for the opportunity. Two questions. PI has spent more than a decade discussing adjacencies like pharma, electronic chemicals, life sciences, yet agrochemicals still remain the dominant economic engine of the company and we have been discussing. So, as on today, from management's perspective, was the original assumption that PI's process chemistry and customer trust advantages would automatically transfer more easily across domains than they actually did? And what has been the biggest, unexpected challenge in building meaningful non-agro scale? That is my first question. Thank you.

Mayank Singhal: So, I am not very sure about whether you are talking about a decade, but we made these investments over the last two -three years. Clearly, agrochemical s is our bread and butter, so as an adjacency we have got into discovery and just not manufacturing. Adjacencies have been only evaluated in the manufacturing space. And if you look at the history of PI, even in the manufacturing and contract manufacturing, it took about 10 to 12 years before significant impact on numbers could be seen in the early 2000s.

So, that is when you are gettin g in the innovator phase. If you completely understand C RDMO, a product does not get into a manufacturing play in pharma at least for five to six years for impactful numbers . Same in the electronics, we have invested in them over the last three to four years, we are seeing products, there are scal ing-up, we are seeing investments that we are making, so they will be time.

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So, I do not know whether I would say that this is a concern for us, but this is something which we see working well, but in the strategies of the chosen play where we go for a differentiated play, not just a large -scale commodity play in the other adjacencies. Yes, there are challenges, especially in the pharma sector there has been challenges in the ex ternal environment investment , biotech startups -reduction in that space. So, the aggressiveness at which it was supposed to be approached has become one challenge, but now I see that sector picking back up, so we could see those scales come up.

Sajal Kapo or: Sure. That is helpful. I was actually alluding to the 2012 annual report, but anyway. I mean, what has PI learned so far about the difference between scaling Agchem CDMO versus scaling pharma CDMO and what capabilities still need to be built before PI can genuinely compete with established pharma synthesis leaders on innovation depth, not just chemistry execution . Thank you.

Mayank Singhal: Yes, so if you see the investment s there, we have looked at the biological offering capabilities we started workin g in that. We are looking to further invest building KSM -material in batch. We have a GMP facility , need to be further upgraded for CDMO.

Our kilo facilities are going to be fired up this year, which is going to create pipeline for the future number one, you ca nnot build all the capabilities and all the offerings. So, we are looking at capabilities which we need to add which we can differentiate.

Two, areas where we want to partner so we can become a full y integrated partner for a pharma biotech startup , to a company with strong manufacturing in a regula

ted and in an unregulated environment. So,

I believe in the next couple of years, we will be in a pretty good , unique competitive position with best -of-class assets to play this game well.

Sajal Kapoor: Wonderful. Wish you all the very best, Mayank and team. Thank you.

Moderator: Thank you. Next question is from the line of Archit Joshi from Nuvama . Please go ahead.

Arhit Joshi: I just had one question. Would it be fair to assume that the current Ag Chem market is tilting more towards generics than that of patented products? And if you could also allude us to why would this be happening? Would there be some stress on the farm economics level or is it the farm demand that is going through a rough patch? So, any thoughts on that would be quite helpful.

Mayank Singhal: Yes, I think that is a good analogy if you were to pick it up. If you look to be very honest, the commodity prices are not moving, fertilizer prices on the other side are high, the input costs to the farmer is g rowing. Agrochemicals are becoming a necessity, so he is looking at cheap solutions right now.

But there are positions and openings for the opportunities in certain sectors where it does not have any value -contributing solutions where inn ovation is coming. While the rate of adoption may have slowed down, it does not mean new molecules and new innovation are not being adopted. It is just the cyclical nature.

And as the aggression would come up in the commodity cycle and the agriculture sect or, this would accelerate. That is our view. Innovation will still continue at a steady pace.

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So, on an average CAGR, you would appreciate that innovation is still continuing to do better and on short -term or windows of cycles, if you cut and paste, yes, you could see the cycles and trends that you are talking about, which is what you call external dynamics which play the game.

Arjun Joshi: Right, sir. Thanks. That helps and all the best.

Moderator: Thank you very much. With this, we conclude today 's conf erence call. I now hand the conference over to the management for closing comments.

Mayank Singhal: Thank you everybody for joining the call and thank you as always for your support and look forward to catching up with you over the next quarter. Thanks onc e again. Warm regards.

Moderator: Thank you very much. On behalf of PI Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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